Eureka Forbes (EUREKAFORB)

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Sub: Intimation of Transcript of Earnings Conference Call held on Tuesday, May 30, 2023

Dear Sir/Madam,

Pursuant to Regulations 30(6) read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call held with Analysts/Inv estors on Tuesday, May 30, 2023.

The transcript of the Earnings Call is available on the website of the Company at www. eurekaforbes .com
Request you to kindly take the above information on record.

Thanking you,

For Eureka Forbes Limite d
(formerly Forbes Enviro Solutions Limited)
Pragya Kaul
Company Secretary & Compliance Officer

Encl: As above

"Eureka Forbes Limited
Q4FY23 & FY23 Earnings Conference Call "
May 30, 2023

MANAGEMENT : MR. PRAT IK POTA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – EUREKA FORBES LIMITED
MR. GAURAV KHANDELWAL – CHIEF FINANCIAL OFFICER – EUREKA FORBES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Eureka Forbes Limited Q4 FY23 and FY23 Earnings Conference Call. We have Mr. Pratik Pota, Managing Director and CEO, and Mr. Gaurav Khandelwal, CFO, Eureka Forbes with us.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you ne ed assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Before I hand it over to Pratik sir, please note the disclaimer. Certain statements made by the management in today's call may be forward -looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business.

I now hand the conference over to Mr. Pratik Pota. Thank you and over to you, sir.

Pratik Pota: Good afternoon everyone. I am pleased to welcome you all to the first investor call for Eureka Forbes after the company's li sting last year. We thank you for your patience and understanding.

These calls will now be a regular feature of our calendar. In addition, we will also be engaging with our investors and the wider community outside of these quarterly calls as well. Since t his is our first earnings call, we thought it would be appropriate to share some more information about EFL and the more recent developments in the company. Let me first start off with a wider context.

As you are aware, we operate in the space of pure water, clean earth and pure air. The categories of water purifiers, vacuum cleaners and air purifiers play a critical role in enabling the health and hygiene for our communities, families and individuals. These categories, however, have very low penetrations i n India and therefore offer considerable headroom for growth.

Additionally, these categories will see tailwinds from the enhanced post-pandemic consumer sensitivity towards health and hygiene and from programs on universal electrification and pipe water av ailability, which will provide a strong platform to drive growth and penetration.

We believe that at Eureka Forbes, we are well placed to lead and participate in this growth. We are pioneers in the cleaning and water categories in India with a 40 years plus heritage. In Aquaguard, we have a power brand that enjoys tremendous consumer trust and acceptance. Our omnichannel presence, including a direct sales network and a nationwide service network, give us unique advantages and position us well for driving sustained multi -year growth. Recently, we began working on a new transformation strategy that will drive growth, improve profitability and unlock value for the business.

This exciting strategy, titled Project Udaan, will propel us towards a vision of tra nsforming into a vibrant D2C health and hygiene leader, delivering sustained and profitable growth. Let me say that again. It will propel us towards a vision of transforming into a vibrant D2C health and hygiene leader, delivering sustained and profitable growth through a strong product portfolio,

best-in-class innovations and obsessive focus on customer service, all delivered through a digital-first model.

Towards this, I would now like to outline the new strategy and the themes that we are working on. Our first strategic pillar is to grow the water business, both by growing the category as also by driving differentiation and premium innovations. Water purifiers in India have a very low penetration of only 5% and we will focus on driving accessibilit

y, rele vance and affordability to address the category barriers and drive growth.

Our recent campaign launched in quarter 4, titled Nal se kapda hatega toh sar se kapda hatega, aimed at the cloth and sieve users, along with product price affordably starting at IN R6,499, were steps in that direction. In addition, we will also drive premium innovations to serve customers who are becoming more discerning and design conscious and looking for new differentiated products and new features from what they buy. The second pillar of our strategy will be to grow the categories of cleaning an d air.

In cleaning, there is both a category growth task as also a premiumization agenda and we will grow the business through a portfolio that addresses both. Given the increasingly poor a ir quality across the country, we believe that air purifiers offer significant potential and our role here will be to nurture and incubate the category and drive consumer education and awareness.

The third strategic theme is about transforming our custome r experience.

Today's customers expect control, convenience and speed and we have several initiatives lined up that will give customers a much better and completely reimagined experience. We will give customers the ability to schedule and monitor their ser vice and provide ratings and feedback. In addition, we will also equip our service network with digital tools that will in turn help them

provide seamless service delivery to our customers.
Our fourth pillar is about operating with leaner cost structures a nd a much more efficient operating model. We have put in place a structured program to drive efficiencies and execution is underway in areas of productivity, cost negotiations and control on spends. Our scope of work covers not just cost but cash optimizat ion as well to create the headroom for growth and for investments. Technology is now all pervasive and being digital first is our fifth strategic pillar.
We believe digital will play a critical role in leveraging our 8 million plus customer base and the large network of feed force and channel partners. We have embarked on a digital strategy aimed at improving customer experience, employee and partner experience as also at driving agility.
Our digital assets are being rebuilt and will be optimized for delive ring convenience, engagement and commerce to our customers.
Finally, our army of proud, passionate and committed Euro champs will be the sixth and the most critical pillar. We are building a team that will be an exciting amalgam of experience and
fresh tal ent and this will be critical in driving the transformation agenda. We have strengthened the leadership team by hiring at various levels across functions and across the organization. In

addition, we are building the culture focused on customer centricity, collaboration, agility, ownership and accountability.
In summary, we are excited about the opportunity of driving growth and profitability on the back of innovations and improved customer experience and a more efficient operating model. I will now turn my attention to Q 4 FY23 and full year FY23. In Q 4, consumer demand continued to be subdued and was reflected in our top line growth. Our net revenue stood at INR 508.1 crores, a decline of 8% over last year. During the quarter, we launched a new range in water purifiers including Aquaguard Superio, Blaze and Eden.
We also launched the latest range of robotic vacuum cleaners. Our EBITDA in Q 4 FY23 was INR 47.4 crores at 9.3% of revenue and a growth of 35.6% over last year. Our operational efficiency initiatives reflected in a sequential and year on year improvement in EBITDA margins. Most importantly, our Q3 and Q4 margins reflect a decisive shift in our ma rgin
trajectory up from our past levels of low to mid -single digits. Similarly, be

tter cash management
enabled reduction in our net debt by 70% plus, thereby creating headroom to invest in growth.
We aim to significantly step up our capex in FY24 to suppor t the growth and retargeting agenda.
On a FY basis, net revenue came in at INR2080.4 crores, a growth of 2.2% year on year. EBITDA for the year stood at INR131.7 crores at 6.3% of revenue. In summary, we have started
off on an exciting transformation journey, Project Udaan, that will fundamentally reshape our business, unlock growth and profitability, and help us evolve into a D2C health and hygiene powerhouse. We look forward to sharing updates with you about this in the quarters ahead. I will now hand you over to Gaurav, our CFO, who will provide more colour on the financial performance and the numbers. Over to you, Gaurav.
Gaurav Khandelwal: Thank you, Pratik. Good afternoon, everyone, and thank you for joining us. Starting off with the Q4 performance. Du ring the quarter, our revenue was INR 508.1 crores and grew by 8% on a year-on-year basis. This was due to a combination of a soft demand environment and some impact of transformation, including portfolio rationalisation. EBITDA grew by 35.6% year -on-year to INR47.4 crores, leading to a margin of 9.3%, an expansion of 300 basis points versus previous year, and also a sequential improvement by 61 basis points.
Improvement in year -on-year EBITDA margins was driven by a combination of cost initiatives and a relatively soft commodity environment. Annual debt reduced from INR177 crores as at end of March -22 to INR50 crores as at end of March -23, a 72% reduction. This was on the back of focused transformation initiatives in the areas of digital collection and impr oved inventory management. And this was reflected in our finance cost, which reduced by 47.9% from INR 6.7 crores to 3.4 crores in Q4.
We believe that the combination of an improved margin profile and lower debt gives us headroom for growth investments. Aided by EBITDA margin expansion and lower finance costs, our PBT before exceptional items grew by 120.9% to INR35 crores. PBT margin for the quarter was at 6.9%, an expansion of 400 basis points year -on-year. During the course of the year, we have made sever al choices to ensure focus on our core portfolio. Continuing with that

in Q4, we recorded an exceptional charge of INR9.1 crores related to closure of non -core product lines.

PAT was INR 16.3 crores compared to INR8.2 crores in Q4 FY22, an increase of 98%. I now move on to the full year performance. Our revenue for the year was INR2080.4 crores up 2.2% year-on-year. EBITDA for the year grew 20.2% to INR131.7 crores. EBITDA margin was at 6.3%, an expansion of 94 basis points year -on-year. Depreciation and am ortization expenses increased to INR55.3 crores compared with INR31 crores last year due to the full year impact of amo rtization of intangible assets.

PBT before exceptional items grew by 19.5% to INR67 crores. PAT was INR17.1 crores compared to INR26.3 cr ores last year with a drop being attributable to exceptional charges. To summarize, we have embarked on an exciting journey of transformation under Project Udaan. With our strong brands, omnichannel presence, wide service coverage and the energy of our Euro champs and partners, we believe that we are well -placed to drive long -term growth and profitable growth. The initial impact of our early initiatives is visible in our profitability and cash flows and we intend to make steady progress on other transformat ion fronts as well. On that note, I would now like to hand over to Q&A.

Moderator: Thank you very much. The first question is from the line of Vimal Gohil from Alchemy Capital Management. Please go ahead.

Vimal Gohil: Yes, sir. Thank you for the opportuni ty and great to have you guys on the first ever co

nference
call.

Moderator: Mr. Gohil, sorry to interrupt you. Please increase the volume of your device.

Vimal Gohil: Yes, great. Sir, my first question is on the overall demand environment. While you highl ighted that it is being soft, but are you seeing some signs of improvement of late? That is question number one. And the question number two is on margins. While there has been significant improvement, how do you think about it from here on and what will be the primary levers of margins going forward? Thanks.

Pratik Pota: Thank you. I will take on the first question and request Gaurav to chip in on the margin question.

On your first question about our expectation of the change in trajectory, as I mentioned in my opening remarks, we have been faced with a reasonably tough macro environment in the last couple of quarters. We expect that with the coming festive season, that demand environment should begin to improve. We are seeing a few green shoots, but I woul d say not appreciably so.

And we expect the demand curve to shift only coming to festive season.

Gaurav Khandelwal: Yes. Committing on the margins, so we see margin expansion over a period of time as an outcome of all the work that we do under our transformation agenda of growth and customer service.

Having said that, we do recognize the need for operational efficiencies and hence one of the strategic pillars is about leaner cost structures. We hav e put in place a structured program to

drive efficiencies and as we speak, execution is underway in several areas, as an example, productivity, cost negotiations, and strong control on spends.

The first step in this journey is reflected in our Q3 and Q4 results, which represent a break from a past EBITDA trajectory. Also , I would want to add that our work in this area would not just be limited to cost but would also encompass cash initiatives to keep providing the fuel for growth investments.

Vimal Gohil: So Gaurav, where do you see the levers come? I mean, considering the fact that the demand is going to remain slightly challenging for a couple of quarters, where do you see the levers coming from and what are the challenges, because my assumption here is th at you would have also taken up some legacy -related issues in the company. So how are you meeting those, if you can just help us understand that? Thank you.

Gaurav Khandelwal: Yes, I think the margin expansion would be a combination, as I mentioned, of growth and improving our customer service. Because again, cost continues to be an area of focus and that is something where the work will be ongoing. So that would remain a lever available for margin expansion and of course, growth would add on top of it.

Pratik Pota: Just to add to that, we spoke about the transformation into being a digital first organization. As we start implementing our digital solutions, it will have an impact on improving productivity, and cutting costs. So even outside of the growth lev er, we feel reasonably confident that we have the elbow room to improve productivity and to cut the inefficiencies and wastage and improve margin.

Moderator: Thank you. Mr. Gohil, may we request that you return to the question queue for follow -up questions . Ladies and gentlemen, in order to ensure that the management is able to address

questions from all participants in the conference, please limit your questions to two per participant. Should you have a follow -up question, we would request you to rejoin the question queue.
The next question is from the line of Swati Hiroo from Ratnabali Investment. Please go ahead.
Swati Hiroo: Hi. So like you just mentioned, the water purifier industry has a penetration of about 5%. So clearly people are not perceiving thi s to be a necessity in their homes. So you being the market leader, how do you pl

an to address this challenge?
Pratik Pota: Thank you, Swati. Thank you for the question. And yes, you are right. Despite the fact that the water quality in India is distressed , the penetration in the country of water purifier is still 5%.
Urban has a higher penetration of 12%, rural is 3%.
If you double click on the non- users, there are broadly three segments that emerge. One is a segment of customers who use cloth filters, clo th and sieve. They believe they are taking some action to at least remove the physical impurities, but they take no other action. Then there is a large segment of customers who use boiling as an intervention. And there are large segments of customers who a lso use bottled water.

There remains a small cohort of customers who also make no intervention, who just drink tap water. We have identified the category barriers and the triggers for each of these segments. For instance, the customers who use cloth and si eve filters, the barriers that we have, while unlocking their behavior, there are two barriers; fundamentally, they believe that they are taking some action and that they are doing something to improve the quality of water.
In their case, our campaign, that we reach out to them and tell them that cloth filters are not enough. They do not kill bacteria. They do not kill viruses. And on top of that, we have provided a solution that's affordably priced starting at INR6,499 for a UV product, combined with distribution expansion and combined with outreach through an aggressive advertising campaign.
So identifying barriers to category growth, investing in the right products at the right price points, supported by category creating communication and distribution ex pansion will be the levers of growth for us.
Swati Hiroo: Okay. And what would be the management's guidance, say, on top line and bottom line three years down the line?
Pratik Pota: Swati, I think I want to step back and reiterate what I said in my opening remarks that we are fortunate to operate in categories with tremendous headroom for growth. We also are fortunate to have a customer base who is becoming increasingly sensitive and aware about the importance of health and hygiene.
As we address category b arriers, as we drive innovation, we expect to see sustained multi -year growth in all our categories. We would refrain from providing the guidance but suffice it to say that we see a long runway for growth across all categories, across all consumer segments , not just in category growth, but at multiple price points. As we know, India, there are price points, there is a preparation task and a category growth task, there is equally an upgradation task and a differentiation and premiumization task. And we will participate in all these segments and address all these consumer opportunities.
So there is no paucity or scarcity of growth opportunities and we are excited by the prospect.
Moderator: Thank you. Ms. Hiroo, may we request that you return to the question queue for follow -up questions. Ladies and gentlemen, please limit your questions to two per participant. Should you have a follow -up question, we would request you to rejoin the question queue.
The next question is from the line of Harshit Kapadia from Ela ra Capital. Please go ahead.
Harshit Kapadia: Yes, hi. Sir, good afternoon and thanks for the opportunity and congratulations for a strong margin performance in this challenging environment. So two questions from my side, since you have rationalized your categories, I believe we have closed some of your categories like HC and probably Coronaguard. Are you going to further see any write -off happening in this financial year FY'24? That is the first question.

And secondly, at the AGM, Eureka Forbes AGM, Pratik sir had mentioned about that you would

want to benchmark your margins to the industry level. Now, when you consider your nearest
peer as your benchmark, or do you consider consume electrical industry as a benchmark?
Pratik Pota: Can you repeat the question, please? The last part wasn't very clear.
Harshit Kapadia: Yes. So when you had mentioned at the AGM, you generally would want to achieve your
margins very much close to your industry peers. Are you referring to your closest industry peers,
or are you referring only to the electrical industry peers, just to get a sense?
Gaurav Khandelwal: Yes, thank you, Harshit, for your question. So on the first one, what we've done so far as far as
the portfolio is concerned is exited those product lines, which were of a scale, which did not contribute meaningfully to the
business. So it's about Health Conditioners, it's about
Coronaguard, it's about our securities division and most recently about a B2B Forbes cleaning
service portfolio. So that is something that we've made a choice around it.
Going ahead, we will continue to keep looking at the opportunities that are there to see what are
the margin of creative choices that can be made and basis that we would keep taking decisions.
Pratik Pota: Harshit, if I can come in on your second question about our benchmarking, we benchmark and
we look at peers both who are more proximate in the category that we operate in as also the
largest space of consumer developers and the even larger net space of consumer companies.
As we look at our margin opportunity, we have to keep two things in mind. There is, of course,
the need to improve profitability to make sure we reduce wastage, increase productivity, drive
digitalization, get the right portfolio mix and the right cost stru cture. There is also equally the
need for us to make sure we make the right investment choices and the margins that we will,
therefore, arrive at will be a combination of these two.
I think we made the point in our opening remarks that we see headroom for margin expansion
and also we see headroom for significant growth and that will be the journey for us in the years ahead, in the quarters ahead
to drive sustainable and to drive profitable growth for our portfolio.
Harshit Kapadia: Fair enough sir. Just if I could just step in on one more question. If I look at Eureka for the last
10-year period, FY'12 to FY'16, we have seen a CAGR of close to 11% to 12% in revenue
growth, but last five years, FY'17 to '21, the growth has been more or less challenging for Eureka
Forbes. If you can highlight what has been the issues that Eureka Forbes was having, and also
how are some of these issues being addressed by this new management, and what is the market
share present of Eureka Forbes and any target that you have in mi nd to achieve market share in
water purifier space?
Pratik Pota: Yes, so let me try and address that one question, which actually was three questions Harshit, but
let me just try and respond to that. I think on your first question that in the recent past, Eureka
Forbes has had a bit of a growth challenge. There are two or three reasons for it. First of all, in
the vital environment, in the last four or five years, there have been challenges in terms of

demonetization followed by GSTs, and of course last couple of years of COVID. So there has
been a structural challenge that the category has faced itself.
Apart from that, there have been two or three challenges that Eureka Forbes has had to deal with.
The first one is I think the underinvestment we made in in novation and we've allowed ourselves
to slip versus competition. So that is something that has clearly hurt us, number one.
Number two, the fact that we have downsized some of our chann

els to drive efficiencies and to
cut costs, I'm talking of 2018, 2019, not in the recent past. Without creating the commensurate
strength in other channels, that has impacted business as well.
We recognize the need for us to build a strong portfolio of products, which are differentiated,
which are competitive, which restore t hought leadership. And you will see us driving innovation
very aggressively in the period ahead. Innovation that will both grow penetration at the bottom
end of the market, but equally importantly drive premium propositions, both in water and the
other cat egories.
On your question of market share, I think we are fortunate to have an omni -channel presence
that straddles retail, straddles direct, and of course straddles e-commerce. And we are fortunate to have a strong market
share in all of these channels, and as a result of, which we are strong
market leaders, both in water and in cleaning. And our objective going forward is, of course, to
make sure that not only do we drive category growth, but we also increase our share presence in
all these categories.
That said, I think it's important to recognize that the battle here is not as competitive as it has to
be one of driving overall category growth. But we will remain competitive and we will drive
share gain as well.
Moderator: Thank you. The next question is from the line of Charanjit Singh from DSP Mutual Fund. Please
go ahead.

Charanjit Singh: Hello, sir. Am I audible?
Pratik Pota: Yes, Charanjit please go ahead.
Charanjit Singh: Yes. Yes, thanks for the opportunity and thanks for the good show in terms of the numbers on the margin front. So my first question is, if you look at the channel mix, how it has changed once we have taken over and used to have more and more of direct channels, which got impacted during the COVID and how those things are shaping up?
Second is on the service part. Service part is an important part in this business. How large is that currently and with a very strong on the feet or ground presence, how we see that service part also scaling up within this overall business pie?
Pratik Po ta: Thank you, Charanjit. Let me respond to your first question to begin with. Like I said earlier in my response to Harshit, we have a strong channel mosaic across direct sales, whereas, you know we were the pioneers. We have a strong presence in retail, both general trade and modern trade.

And we have a strong and growing presence in e-commerce. Over the last one year, we've made attempts and we've made interventions in strengthening our play in each of these channels.
In our digital sales channel, we hav e empowered the team with strong and high -quality digital leads. We are enabling them in the future with digitally enabled sales tools, which allow them to drive much higher productivity. The direct sales channel, as you know, is a source of strength for u s and differentiation for us. It's a channel where we have a customer in dialogue with us for almost 45 minutes to an hour. And it's a very powerful asset that we intend to use to drive conversion, especially of premium water purifiers and of new concepts, which require category education and category creation. So that's on direct sales.
In retail, both in general trade and modern trade, our focus has been on driving on-ground execution excellence, in driving distribution expansion, and ensuring that we have visibility and get the right portfolio in both of these channels.
In e-commerce, w e are fortunate to have a very strong relationship with all key marketplace players and we built a portfolio of products that have allowed us to deliver very strong growth and also to gain share.
So overall, from a product point of view, we have a strong presence across all channels and we have distinct plans and very specific plans

at growing our revenues, growing our share through each of these channels.
Coming to the service question that you had, you're absolutely right. Services are a very, very import ant channel for us. It is a source of customer connect. Hundreds of our business partners and thousands of our technicians across the country help us forge an ongoing relationship with millions of customers.
And we are using this network, as I mentioned ea rlier, reinventing the service experience and the customer experience through digital enablers. I think all of us know that today's customers, they live in a world where they're doomed to expect 10-minute grocery delivery as normal. They expect on -demand s ervice, service at their fingertips, they expect control, they expect visibility.
We will transform and re -imagine our entire service experience to deliver all of this, to deliver convenience, to deliver control, and above all, to deliver productivity to our customers.
And, therefore, elevating the customer experience will be one big part of our strategy. I think with the network that we have, on -ground network, our partners, our employees, complemented with powerful digital enablers will allow us to comple tely reimagine the customer experience.
Charanjit Singh: Got it. Thanks, Pratik, for taking my questions and giving detailed insights. Thank you.
Moderator: Thank you. The next question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.
Nitin Arora: Hi. Thank you for taking my question. I'm sorry I'm again harping you on growth. As you said that you are the market leader, you see enablization of digitization, you will get the category

also growing, you will gain market share also. But just leaving aside all these things, last 10 years category growth itself has been 10%, 12%. So just in your sense, what do you see a change in the category growth? If you can throw some light on that, that will be really helpful.
Pratik Pota: Nitin, I think it's a fair question and it's a good question. But what is the likely outlook of the category in the future? And, of course, as I mentioned earlier, the category has structural tailwinds that are going to help the category move forward. The tailwin ds that I spoke about are growing, the hygiene needs and awareness, the pipe water availability, electrification, all these are structural tailwinds.

I think it's up to players like us to then ride on these tailwinds and create a proposition for customers, create a moment of conversion, which allow our customers to convert much faster. I think it would be fair to say that without putting a number on it, I mean, eventually the number that the category will grow by will be a function of multiple things, inclu ding macros. It would be hard to put a number down, but it would be fair to say that the groundwork and the base is ripe for a breakout in terms of growth, well -above the numbers of 10%.

Yes, but when will it happen? How fast will it happen? Hard to say, b ecause there are other variables at play as well. But structurally, I think the category is well-poised to move to grow at a faster pace. Again, I want to caveat that by saying that it's a function of multiple things, some within the control of the industr y players, some outside, but the structural tailwinds are all there.

Nitin Arora: Got it. Second aspect in terms of your distribution. So do you see further the channel, which you spoke about? Do you have still headroom to grow your distribution or rather than just bearing the fruit of your distribution by having more stickiness to customer conversion, or do you see distribution also expanding? You have that scope there as well.

Pratik Pota: Nitin, absolutely, I think there is significant headroom for us to grow our distribution presence and our footprint in the coun

try across all our channels. Let me start by talking about the channel, which connects through trade, which is general trade channel in the country.

I think as we start growing the category, as w e start putting the right products and the right price point, we create a virtuous cycle by which we’ll also help grow the category distribution and the category footprint. Today, we are still available as a category in a small proportion, small percentage of the small domestic appliances universe. And, therefore, there is abundant headroom for us as a category and indeed as a company to grow distribution in retail. That's number one.

Number two, indirect sales. As we work through the network of our own employees and our direct channel partners, we see room to grow the footprint, penetrate more markets and drive, like I said earlier, the new categories, premium propositions and the new concepts.

The e -commerce, of course, as we all know is a story of channel growth and channel expansion both in metros and in small towns. And we are seeing a tremendous tailwind for the category and for us in the channels.

Lastly, the service network. I think we have a strong presence among the largest service networks in the c ountry. As we grow the product portfolio, we will in turn create the enablers for the service network to expand as well.

So I mean just to summarize, I think there is abundant headroom that we see across all channels in driving distribution growth, in driv ing availability growth and in driving execution excellence.

Nitin Arora: That's helpful, Pratik. Just one if I can squeeze in. Generally, in your P&L we see a service charge, which is a very high number and I'm assuming the services part is on your payrol ls versus I'm not talking about the unorganized, but let's say a decent sized market share player. We don't see these service charges on P&L that much. I'm assuming it's their way of doing servicing business and your way of doing servicing business. Is thi s going to materially change going forward? If you can throw some light on that? That's my last question. Thank you.

Gaurav Khandelwal: Sure. Nitin, I'll step in. So first, just to throw some color on what this charge represents. So this is largely the charges that we pay for installation, for complaint handling, for call handling, etc.

This is what this charge is about.

I just want to clarify that this is something that the people who do it are not on the r oles of the company. They are the ones who work with our business partners. What we've seen so far is that this is an area, which is absolutely amenable to digitization. As we digitize our processes, as we improve our tasks, as we get more and more customer centric, we will see that cycle playing out, our complaints going down, our turnaround time is improving. And this is one area where we believe that digitization will play out in terms of varying efficiencies over a period of time.

Pratik Pota: If I can j ust add to that and just give one more contextual point there, Nitin. Today, roughly, just a little over 50% of our complaints and our calls still come through a call center. That number has been reducing over the last few quarters, as you can imagine. But there is abundant room even now to move this number up and to move most of the traffic to our own digital assets.

As that happens, we'll improve, of course, we'll reduce costs, we'll improve reliability, improve speed, and in general, improve the whole cu stomer experience. And there could be many examples like that, which we could cite to talk about the headroom we have in driving efficiencies there. But equally important in improving the overall customer experience.

Nitin Arora: Got it. Thank you very much, sir. I'll come back in the queue. All the best.

Moderator: Thank you. The next qu

estion is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.
Aniruddha Joshi: Yes. So thanks for the opportunity. Two questions, one, can you articul ate our distribution structure? What are the touch points that we are having over a period of past three years, how it has increased and how do you see the distribution changing over the next three to four years?
That is one question. And secondly, some of the products that we have in the automatic vacuum cleaner.

So the first question is about the distribution, how it has changed and what is our distribution strategy as far as the number of outlets, distributors, and how do we see the going forward that?
The second question is also on some of the products which we have introduced are automatic vacuum cleaners, etcetera. So do you see really, there existing market for such kind of products?
And again, if you can indicate our market shares, which are there across key products? Yes, that's it from my side. Thank you.
Pratik Pota: Thank you, Aniruddha. Let me attempt to answer both of them . On the distribution structure, we have four channels that we work with. The first channel that, we have is a direct sales channel.
Eureka Forbes was the first company to introduce a direct to home sales channel 40 years ago.
And that remains one of the l arger channels for us. Within that, we have both our company employee network and also network managed by our direct franchise partners. So that is a direct sales channel.
We also have a retail network, which goes to distributors and from them to retail ou tlets across the country. We also have the modern trade channel, where we have direct accounts that we work with, both national modern trade and regional modern trade. We also have direct dealers, whom we service directly. The third channel that we have is e-commerce, with the marketplaces that we work with. And the fourth channel that we have is a large channel, which has service.
And that we work through our service partners, who in turn employ service technicians. So those are the four channels that we w ork through.
Over the years, as you can imagine, e-commerce and retail have grown in contribution because they have grown faster. And direct has become smaller, but still remains a significant part of the revenue mix. On your second question, Aniruddha, on the products and the vacuum cleaners, if I look at the vacuum cleaner category and pull out a little bit, as I mentioned in my opening remarks, the category still has low penetration. One reason for that is there is in India, the habit of using domestic help for household cleaning. However, in the last three years, for obvious reasons, everyone realized the importance of having a cleaning solution, which was outside of the domestic help context.
And all the research shows that the space of convenient clean ing is going to become very large.
And when we say convenient cleaning, we mean cleaning that is less laborious, that is automated, and that allows the homemaker or the family member to have the house cleaned, either primary cleaning or top -up cleaning wit h minimal effort. So the space of convenient cleaning, robotic vacuum cleaners, upright vacuum cleaners, we believe will see strong growth over the next few years. We intend to participate in that.
Equally, the conventional vacuum cleaners are also seeing some tailwind for similar reasons, but at a different price point. So, therefore, certainly there is a market for premium and convenient cleaning products, both robotics and upright. And we have a portfolio and we're building a stronger portfolio in these spaces.
Moderator: Thank you. We'll take the next question from the line of Shrinidhi from HSBC. Please go ahead.

Shrinidhi: Yes, hi. Thank you for the opportunity and congratulations on a good set of numbers on margin front. A couple of questions on the s ervices business. Just wondering, is there a way to know, how much is the lifetime services revenue potential from a new water purifier that gets installed versus the product cost? And what are typically replacement cycles for a water purifier according to your assessment?
Pratik Pota: Yes. Thank you, Shrinidhi. So let me answer your first question. And that's a really key question that you've asked, and it underlines a very important point that, as we sell our products, including the ones, which are priced lower and which aim to expand and grow distribution, grow penetration, we also are able to thereby forge a much longer relationship with our customers.
And in the lifetime of the relationship, we also have access to service revenue.

So that's a very impor tant value stream for us. And we intend to sort of double click on that, underline that, make sure we improve the customer experience, and make sure that, we therefore forge and strengthen that relationship. As you can imagine, having a strong relationship with our customers also enables us to do replacement selling. At Eureka Forbes, given our vintage and given the trust that, we enjoy, we are fortunate to have a large number of customers, who've been with us for 20 years, 25 years, 30 years.

We are the only device and the only brand that have experienced. And they come to us, they buy the product, they avail our services. And when the time comes for the replacement, they come back to us and find a replacement product in A quaguard. The base of customers t hat we have for water, for example, also allow us to do cross category selling opportunities. And I spoke earlier about the fact that, we are investing in growing cleaning an air. In the fact that we've got a direct sales channel that is well suited and perfectly amenable for doing category creation work, consumer education work. That combined with a large base of customers. who are loyal to us, who trust us, makes for a very, very powerful asset to work off.

Back to your specific question of replacement cy cle. The cycle varies, it's a function of the interventions done by marketers like us, of this need that, they create to drive repurchase. The current repurchase cycles are between five years to six years, but we see no reason why, they can't be compressed further through the right interventions, through the right innovations, and through the right nudges to our customers to move up. If we do not differentiate sufficiently, if customers do not see a value in moving up, then they will stay with the cycle of five years to six years. But the more, we premiumize, the more we provide differentiated solutions, the more will be the encouragement that customers will have to move up faster. And that's a lever we intend to deploy.

Shrinidhi: Right. This is right. I wa s just wondering, would it be able to quantify the lifetime revenue services, revenue potential according to you? Is it like 2x the product cost or is it 1x product cost broadly?

Pratik Pota: So we wouldn't be able to quantify it and would not like to quantify it either. But you can imagine that a customer stays with us for seven years, eight years, ten years and stays with us over service, with service over that lifetime. That revenue stream is extremely valuable to us. And also it

provides, like I said earlier, a good bedrock for us to then renew the relationship both in water and other categories. Beyond that, we would be unable to quantify much update.

Shrinidhi: No. That perspective is really helpful. And just building on to this question, I also want t o understand, how much are you able to capture this service potential?

Is there a lot of this service request getting captured by non -branded players? Well, the machine is of a quality, but someone else is servicing and there is a lot of low hanging fruit that you can capture or its largely you are capturing it.

Pratik Pota: No, that's a fair question. We are certainly capturing some part of this revenue to our business partner and service network. That said, we are also aware that, there exists a fairly large market outside of purview. The unorganized market and the market that is serviced, that services customers, maybe at a lower cost, with maybe lower quality. And we intend to drive updation of this market, conversion of this market through two things.

One is consumer education. A lot of customers, who buy these parallel services are not even aware that, they are buying the unorganized sector service. They think, they are buying Eureka Forbes service. So it is our task to therefore create that awareness, to tell customers that this is the only genuine, authenticated Eureka Forbes service provider. So there is one big element of customer education that we are working on.

Equally, we are also aware that, there is a parallel market with counterfeits and spuri ous filters, which compromise the consumer's health and undermine trust in Aquaguard. So we intend to pursue legal remedies as well in driving this market down and ensuring that, we have conversion happening to the genuine Aquaguard ecosystem.

The third space and the third theme that, we intend to drive, and if you notice in my opening remarks, I used the term D2C. And it was a term, I used advisedly because the way to cement this relationship, going back to some of the earlier questions, is to make sure, w e lean over and we go past and overcome the friction and the bottlenecks in the entire activity chain and go to our customers directly.

So, we also intend to invest in building a D2C, a direct -to-consumer platform, which will allow customers to come to us and buy the right products, the genuine products, the genuine filters, and genuine service, because as a brand, we enjoy tremendous trust and tremendous goodwill. We just need to make sure that, customers are able to navigate their way to us easily. And D2 C is an important enabler towards that.

Moderator: Thank you. We'll take the next question from the line of Aditya Chheda from InCred Asset Management. Please go ahead.

Aditya Chheda: Hi, good afternoon. So to understand the business better, if you can hel p us understand how the revenue is broken up between the vacuum cleaners and the water filter and also how much of it is the traded revenues. And if you intend to add any capacity for in-house manufacturing? That is the first question.

Pratik Pota: Thank y ou. Let me answer the first question first. I think n ot many people know that the first category that Eureka Forbes launched with, was actually vacuum cleaners. And we continue to have a dominant market share in this category across the multiple segments o f conventional vacuum cleaners, the hand -held vacuum cleaners, the wet and dry vacuum cleaners, and the robotic vacuum cleaners. We also have a growing presence in the upright space. And vacuum cleaners comprise a significant part of our revenues and an ev en larger part of our volumes.

Vacuum cleaners, given the category construct, operate at a lower ASP compared to water purifiers. So therefore, the volume is higher than the revenue mix. Beyond that, I'm afraid, we won't be able to share specific numbers o f the category breakup. Both of them are significant.

Both of them are material. And we intend to grow both. Air purifiers remain very small and are not material. But as I mentioned earlier, this is a category that will be incubated, will be nurtured. It requires patience. It requires customer education and

category creation work. That is often backbreaking but gives a lot of results in the medium to long term. And we intend to invest that and invest behind that, in a calibrated way, albeit.

On your second question about capacity in -house manufacturing, we have a portfolio of the combination of both. We intend to move progressively and in a very conservative deliberate way, more of the portfolio to in -house manufacturing. However, only where it makes commercial sense to do so. That apart, we intend to focus on creating a lot more of IP within Eureka Forbes, so that we can work with OEMs, with design and IP being owned by us. So we intend to do that. And that in keeping with the theme that I spoke about earlie r of double -clicking and underlining on innovation.

We will be driving innovation aggressively, innovation across the spectrum, across the categories of water, cleaning and air. And owning the IP, owning design expertise will allow us to therefore create t he capability of being able to manufacture in India as well.

Aditya Chheda: Perfect. And my second question is that, if we look at the historical other expenses, there were a lot of, such as legal charges at 3% or IT expenses at 2%. So I see a lot of low -hanging fruits to rationalize those. So, have you already included, embarked on those? Or there are some situations, where you can still rationalize these expenses? And also, if you can quantify how the ESOP would be impacted, impacting the employee cost ov er the next FY ‘24 and ‘25, ESOP cost?

Gaurav Khandelwal : Sure, Aditya. I will first take the first question. On the other expenses, you make a very valid observation on some of the cost lines and we are very cognizant of that. Even when we have done our benchmarking, we have come to the same realization that, there do exist opportunities in these cost lines as well. We are in the process of one, assessing, two, quantifying and three, executing. So it is going to be an ongoing process. The work as we speak is underway and we believe that, over a period of time, we will be able to drive more efficiencies out of it.

Coming to your second question on ESOP, that is something, which from a Q4 perspective that, accounting is not triggered. We recently have got necessari y shareholder approvals, etcetera and that is something, which will get reflected in our quarter one results.

Aditya Chheda: Can you quantify, what that number would be for the next five years?

Gaurav Khandelwal : We are in the process of, it is work in progress as we speak. We have just got the necessary approvals and that is WIP.

Moderator: Thank you. We will take the next question from the line of Pravin Ranjan Sahay from Prabhudas, Lilladher. Please go ahead.

Pravin Sahay: Yes. Thank you for t aking my question. My question is pertaining to the balance sheet. You have a deferred tax liability of INR890 crores odd. Can you give some detail on that? Is it going to reduce the way forward? How is that?

Gaurav Khandelwal : So, just, I will give a context to it. So the recognition of this liability on the balance sheet was done at the time of the merger. So at the time of merger, there is a business combination accounting that gets triggered as far as applicable accounting st andards. Hence, you will see this particular liability on a balance sheet. You will also notice that this goes hand in hand with intangible assets and goodwill recognized on the asset side. So this is effectively a consequence of the business combination a ccounting that has been done.

Pravin Sahay: Okay. Thank you for that. And a goodwill of more than INR2, 000 crores odd, are you amortizing this?

Gaurav Khandelwal : No. Goodwill is something, which is not amortized. Again as per accounting standards, it has to go through an annual impairment testing. But there i

s no amortization that happens for goodwill.

Pravin Sahay: Okay. Thank you, sir. Thank you for clarification.

Moderator: Thank you. The next question is from the line of Jayesh Shah from OHM Portfolio Equi Research. Please go ahead.

Jayesh Shah: Hi. Congratulations for good set of results. I have again brought questions in terms of how to look at the size and scale of the company. Given the cost base of INR300 crores of employees, overheads of INR500 cr ores, service charges of INR1 ,100 crores, that comes to around INR300 crores, a total of INR1,100 crores of cost base, the revenue base of INR2,000 crores. Where do you think, a normalized operation would be? And I know, while you don't want to give a spec ific guidance, directionally, is it easy to double the turnover with the same cost base or to cut the cost base by half and grow the turnover steadily by say 10% -15%?

Pratik Pota: Jayesh, that's a good question. And it goes back to the point I made earlier in response to several questions. We are fortunate to have a foundation, which is an omni -channel foundation, a foundation, where we have a tremendous brand equity in Aquaguard, tremendous foundational strengths in terms of service, and a base of Euro Champs and our employees, who are experienced, who are knowledgeable, who know this category inside out.

However, that said, we have tremendous headroom as a category and as a company to grow the category, to grow the business across water, across the other categories, to grow the business across multiple channels. I spoke earlier about distribution expansion, whether it's in retail,

whether it's in e -commerce, whether it's in direct, there is abundant room to grow. I spoke earlier also about service and the fact that, we are fortunate to have sustained relationships with our customers, but we also are cognizant of the parallel market from which we can derive and extract growth by conversion.

We have a strong base. Even as we work to cut costs and drive effici encies, and as Gaurav said earlier, some opportunities are available, even as we seek to do that, clearly for a business with our foundation and with our potential, we can grow faster, we can be much bigger. Whether it will be 2x, 1.5x, 3x, when, hard to s ay, hard to put a finger down. But the important thing to say is to notice and to remind ourselves that. these are potentially very large categories. You go to any other country in South Asia or in the larger Asia market, the penetration of our categories is much, much larger, whether it's water, whether it's cleaning, whether it's air.

So we have a very large, potentially a large runway to grow. We have the foundational enablers. We are making the right investments. For instance, this year, we are making a significant change in our capex trajectory. Typically, we spend between INR15 crores to INR20 crores of capex every year. In FY ‘24, we intend to really move the needle and spend and invest beyond INR70 crores to INR90 crores of capex. And that is, again, pointing to the fact that, we are investing for the future.

We are investing to drive growth. We are investing in building a much larger and much more vibrant and much more customer -centric Eureka Forbes. So, I guess that's the larger picture, that this is a business that has all the enablers to be a much larger business. The pace at which we can do that, we don't know. We can't be sure right now. But the intent is to grow fast and to grow profitably and to grow sustainably.

And just to add some color, and I'll pick up from what you spoke about earlier. For example, you spoke of service charge. Now, the more we digitize, the more efficiencies will come on their own. The better is the experience on customer service. The lower is the complaint call volume. And that again translates into cost.

Another example, if I were to give was, we've got an amazing set of Euro Champs in adjacent channel. Now, with the same setup, we can play the role of building newer categories. And that won't come at an incremental cost. So we have those levers available, which can propel growth without a commensurate increase in cost.

Moderator: Thank you. We'll take the next question from the line of Jay Doshi from Kotak. Please go ahead.

Jay Doshi: Hi. Thanks for the opportunity. Prati k, this question is for you. In the past nine months, ten months since the time you took over, what are the low hanging fruits that you think, you've

already captured and or turnaround measures that you've taken? Where are you in that journey of essentiall y capturing low hanging fruits and easy turnaround sort of opportunities, both on
top line and bottom line?
Pratik Pota: Yes, thank you, Jay. It's a good question. The work that has been kicked off in the last eight
months, nine months has been a combinati on of harnessing, like you said, the low hanging fruits.
But more importantly, to put in place through the initials and the foundations for becoming a

much more vibrant or more profitable, faster growing and a future ready organization. We have
made invest ments in several areas in capability building.
As you have seen, we've built a fairly new leadership team. But we now have a team that is a
combination of experience from within Eureka Forbes, as also new inspirations and influences
from outside. So that's one big team of work we've done. The other big work theme has been
about technology and digital. We've kicked off a lot of work. Some of that is still beneath us. In fact, a lot of the work that we're doing right now is beneath the waterline. It will brea k out; it
will surface soon. But there is a lot of work happening and there is serious paddling happening
beneath the surface, beneath the waterline. We've kicked off a lot of work on innovations as
well. And again, some of that is visible.
A lot of that w ill get manifested in the months to come, in the periods to come. The work that
you are already seeing manifest and show up is, in the sequential improvement and the year -on-
year improvement in margins. And the point that I made in my opening remarks is, w e have now
broken out from the mid-single digits to low -single digits margin trajectory. And we feel
confident of being in this space or more in the terms ahead. So like any transformation, Jay, as
you can imagine, there is a need to land some quick wind and to harvest like the low -hanging
fruits. But it would be wrong to just focus on that. So, our attempts have been to balance both the short -term delivery and also lay in place for a much larger and much more exciting longer -
term transformation.
Jay Doshi: Thank you. That's helpful. Just one more, if I may. Your commentary on the near -term was a bit
subdued. I was just wondering, despite such solid sort of steps being taken in the last eight, ten
months, does the external environment still sort of is very important in terms of the growth trajectory that you can achieve? So, in short, do you have to depend on external environment to
improve or the steps that you have taken should still ensure your d ouble -digit kind of growth?
Pratik Pota: Yes. I think, again, just to respond, yes, you're right, absolutely. And I spoke earlier. We have
taken a fair number of steps to drive change and drive transformation. Like I said earlier, many of them are still a work in progress and will show up in the periods ahead. But I think it's
important to recognize that a company like Eureka Forbes that has seen not much change in the
past. It takes time to have some of these changes land and to have some of these changes show
and deliver impact. There is one element of that.
Equally, I think th

e point that you made, that there is a fairly challenged macro environment that
we are operating in. And therefore, that also depressing sentiment, depressing consumer spend.
However, I want to be clear about one thing that we cannot as a leadership team talk about only
the external environment and ascribe resu lts to that. We have to take charge, we have to take
control, and that's exactly what we intend to do. So, yes, there is a challenging macro
environment.
But we've got the investments and initiatives in play that will help us drive growth in the periods
ahead. How soon and how quickly? I think I can't tell now, but we are not depending to your
question on the environment to turn to deliver growth. Our investments are fundamental and

structural in nature and speak to either the opportunities that face us or the bottlenecks that
impinge and crimp us. We are looking at both areas of work.
Jay Doshi: Thank you so much, Wish you the very best Pratik ..
Pratik Pota: Thank you, Jay.
Analyst: And just one request, if you could have some more disclosures in the presentation in future as
the business evolves.
Pratik Pota: No, thank you, Jay, and thank you for that feedback. And as you can imagine, we have been, as we made the presentations, we have a balancing act to do. We want to make sure that we give

enough informat ion to all of you so you get an informed view of the business, of the
performance, what's working, what's not working. At the same time, we also want to be careful
not to put so much out there that it compromises our competitive advantage. So, it's a balancing act. Notwithstanding that, I hear your feedback and we hear your feedback, and we'll search it
back and see what we can do. Thank you.

Moderator: Thank you. The next question is from the line of Amber Singhania from Nippon Mutual Fund. Please go ahead .

Amber Singhania: Hi, sir. Thank you. Yes , so just a couple of questions from my side. One, if you can give some color about the current market share we have in the major three categories, which is water purifier, air purifier, and vacuum cleaner. And if you can share any targets, maybe three to five-year horizon on that side. Second thing is that you also mentioned about entering into the new categories. If you can give some color which kind of categories you guys are planning to enter, and will it go simultaneously along with the current strategic initiatives within the current categories, or you will first stabilize the current business and then enter into these new categories?

Pratik Pota: Got it. Thank you, Amber. Thank you for the questions. On your market share question, we have strong omnichannel play. We have a strong play and presence in retail, both in general trade and in modern trade. We have a strong presence and indeed a growing presence in e -commerce. We also, of course, have a foundational strength coming from a direct sales network. But as you can imagine, obviously we have 100% market share. So, our market share that we enjoy is a combination of multiple, all these channels put together and the fact, the function of how fast we go in each of these channels.

If I had to double click further on market share, before I do that, I think the fact is that we are market leaders in water very easily. We are dominant market leaders in vacuum cleaners. And as I mentioned earlier, it is our intention t o grow market share even as we drive the overall market size and market growth and penetration. We have a strong presence in all channels and leadership in all of these channels. So, that's the point about market share. The only channel where market share gets measured, as you know, is in retail, where there is a panel measurement that comes. But we know from the other sources as well that our market share across all channels gives us l

eadership.

On your second question about categories, let me clarify. Bet ween water, cleaning and air, we believe we have for the moment the right portfolio to build a business in. Water we have a dual task of growing penetration and driving premiumization and therefore increasing share. In vacuum cleaners, even as we grow the category, we have to build a stronger portfolio in the premium segments of convenient cleaning. In air, the task is much more of a category creation one and task is much more of consumer education. So, we will have a stronger portfolio and a stronger work plan in air in that doing that category creation work.

Between these three categories, we believe we have the right portfolio to deliver sustained and profitable growth. We of course will remain in the future, not right away, but in the future we will rema in open to looking at other categories to drive growth. But for the moment, we have the right portfolio to grow.

Amber Singhania: Got it, sir. And just one more related question on the more on the financial side. If you can just give some color about what is our total A &P spend and how are you seeing that going ahead? Is it sufficient to take care of our growth strategy? Because one side we are aiming towards cutting cost and improving efficiency and at the same time, market share gain will also require increasing ad spend. So, how are you looking that as any ballpark number in terms of target and how do you plan to balance that?

Pratik Pota: No, so Amber on the advertising and promotion spend, I think I would like to make two or three points. The first one is that we will invest in growing the category. We will invest in communicating our premium propositions. We will invest behind water, behind cleaning and some basic work around air but much more so around the water and cleaning. We will also invest in gr owing, like I said, customer awareness and consumer awareness about service and the genuine Eureka Forbes service. We have a very strong brand in Aquaguard which enjoys tremendous trust, tremendous equity.

We have towering top of mind awareness. We have to wering first preference scores but it is a leadership that we do not intend to take for granted and we will invest in refreshing the brand, making it contemporary, making it relevant for the younger consumer of today. Most of the young people today have gr own up having Aquaguard in their homes but we intend to make sure that we reinvent the brand to be relevant to these consumers as well. Even as we do that, we will make sure that we extract efficiencies across the entire spread line, especially in promotio ns.

As we digitize, as we get more tracking and more visibility, we believe we will be able to extract
some inefficiencies so that we can invest back in driving advertising and driving ATL
communication. Just as an aside to that, in our journey to being a D2C business, we will have to
and we will invest more in digital marketing, both performance marketing to drive app
downloads and app installs and also to drive social and influencer marketing. So, when exactly
the number will end up, I don't know. That wi ll be phased out progressively over the quarters to
come. But it will be an area for us to invest. Gaurav , do you want to add to that?
Gaurav : No, absolutely. I think, you know, from our perspective, the principle would be that we would continue to invest in
growth and we believe that there are opportunities that are available across
the P&L line to plan for it. So, that's th e overarching principle that we would be following.

Amber Singhania: Got it. Fine, sir. That's all from my side. Thank you very much.
Pratik Pota: Thank you.
Moderator: Thank yo

u. The next question is from the line of Saurabh from Multi Act. Please go ahead.
Rohan: Yes, thanks for the opportunity. This is Rohan. Sir, if you could give some color on channel -
wise profitability, like whic h amongst retail, direct e -commerce in terms of profitability would
be higher, lower than company average. What I really want to understand is that if our revenue
contribution from direct sales would be significantly higher relative to, our proximate peer, and
if margins on direct are lower, does that hinder us from reaching much higher industry -leading
margins? Thank you.
Gaurav Khandelwal : Yes. So, I think just a couple of points. One is around the fact that we have a, we have a
omnichannel presence which spans, GT, MT, direct, e -commerce. So, it is a fairly spread -out
channel presence that we have. It becomes a bit of a constraint to get into individual profitability also for the reason that there
are a fair amount of costs which are common. So, for example,
advertisement and sales promotion is a cost which, which becomes a common cost. Similarly,
there are certain corporate costs, and hence it becomes a constraint to kind of pinpoint the
individual channel level profitability.
From our perspective, one of the advantages that we have is a wide spectrum of portfolio, both
on the product side and also the channel side. And we believe that it is that portfolio play at an
aggregate Eureka Forbes level, which gives us the flexibility to manage our financials.
Rohan: But our focus that has been there on direct sales, that would continue and its salience would
come down or you would be comfortable with it going up as well.
Gaurav Khandelwal : Our agenda would be to grow all channels. Of course, with the digitization coming in, it will
come in a new form, a new avatar. So, one of the examples that we spoke about earlier on the
direct channel was, passing of digital leads. So, it is a direct channel, but it starts operating in a
very, very different manner. But our age nda is to grow across all channels.
Rohan: Okay, thank you and all the best.
Gaurav Khandelwal : Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference
over to Mr. Pratik for closing comments.
Pratik Pota: Thank you everyone for joining the call today. I hope that we were able to address the questions
that you asked and to your satisfaction. In case any queries remain unanswered, please reach out to us and we will be glad to
respond. Thank you and have a good day ahead.
Moderator: Thank you. Ladies and gentlemen, on behalf of Eureka Forbes, that concludes this conference.
Thank you for joining us and you may now disconnect your lines.

Note:
1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible wor ds.

Call: Aug 2023

August 16 , 2023 EFL/BSE/2023 -24/54

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Scrip Code: 543482
Scrip ID: EUREKAFORBE

Sub: Intimation of Transcript of Earni ngs Conference Call held on Wednes day, August 09, 2023

Dear Sir/Madam,

Pursuant to Regulation 30(6) read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call held with Analysts/Inv estors on Wednesday, August 09 , 2023.

The transcript of the Earnings Call is available on the website of the Company at www.eurekaforbes.com .

Request you to kindly take the above information on record.

Thanking you ,

For Eureka Forbes Limited
(formerly Forbes Enviro Solutions Limited)

Pragya Kaul
Company Secretary & Compliance Officer

Encl: As above

“Eureka Forbes L imited
Q1 FY ’2 4 Earnings Conference Call ”
August 09 , 2023

MANAGEMENT : MR. PRATIK POTA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – EUREKA FORBES LIMITED
MR. GAURAV KHANDELWAL – CHIEF FINANCIAL OFFICER – EUREKA FORBES LIMITED

Q1FY24 Earnings Conference Call
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Moderator: Ladies and gentlemen, good day and welcome to Eureka Forbes Limited's Q1 FY '24 Earnings Conference Call . We have Mr. Pratik Pota, Managing Director and CE O and Mr. Gaurav Khandelwal, CFO with us. As a reminder, all participant lines will be i n the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Before I hand it over to Mr. Pratik Pota, please note the disclaimer. Certain statements made by the management in today's call may be forward -looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business .

I now hand the conference over to Mr. Pratik Pota. Thank you and over to you, Sir .

Pratik Pota: Good afternoon and I welcome you all to the Q1 Earnings Call of Eureka Forbes Limited . My remarks will be in two parts. I will first speak about the quarter's performance and then frame a performance in the context of a larger transformation journey, Project Udaan . Starting off with Q1, our Q1 performance showed an improvement in trajectory, both in top line and in bottom line. In a subdued demand environment, our net revenues stood at INR 505.3 crores, a decline of 3.8% over last year. This is in the context of an average of a 8% plus decline seen during the past two quarters.

Without the impact of discontinued businesses, our Q1 FY '24 revenues were flat. This performance was driven on the back of volume growth, both in Electric Water Purifier s and vacuum cleaners. Our margin improvement journey continued last quarter with an adjusted pre - ESOP EBITDA margin expanding to 9.8% versus 9.3% in Q4 FY '23 and 8.2% in Q 1 FY '23. This is the highest ever quarterly EBITDA margin for Eureka Forbes.

Like I said, it is important to see and understand the quarter's performance in the context of a larger transformation journey. We began our journey by correcting the profitability and cash profile of the business, which has enabled us and given us the headroom to invest in growth levers. From a historical 4 % to 5% EBITDA margin range, we have now stepped up to 9% plus in the last two quarters.

Equally, our net debt has reduced by 85% in just one year, which is allowing us to invest in capex to drive innovations and in digital transformation. We also moved fast on the people strategy and have built out a new leadership team at both CXO and CXO -1 levels. This along with s ome structure changes have helped us bring a lot closer to our customers and to our partners and the early results of this are becoming visible in terms of superior on -ground execution .

A transformation of this scale needs a sense of joint ownership and entrepreneurial energies across the entire organization. Towards that, I'm pleased to share that we have recently rolled

out an industry -first inclusive ESOP program under which every single manager at EFL has been allotted stock options. With these foundati onal blocks in place, we are now much better equipped to drive profitable growth in the business.

In a category and a business that has not seen volume growth for some time, this quarter's volume performance is therefore an important inflection point. We believe that these categories of water and of cleaning and of air are ready for and amenable to expansion and as market leaders, it is upon us to take charge and drive the same.

Additionally, an important factor for us to keep in mind

is that in our categor ies, a product sale is not just a single one -off transaction but opens up an opportunity for lifetime value creation through service revenues, cross -selling, and upselling. Going forward, we will drive growth through a number of initiatives. Number one, increasing penetration and driving category growth.

Our current campaign aimed at converting non -users through improved affordability, improved distribution, and functional communication has shown encouraging results and we intend to sustain the same. Number two, we will drive differentiated innovations with a focus on the premium price segment both in water and in vacuum cleaners.

Number three, we intend to provide our customers an elevated and industry best customer experience in terms of both speed of serv ice and quality as well. Lastly, we will drive growth through best -in-class in -market execution in every store and in every home.

To summarize, under Project Udaan, we have witnessed encouraging progress on profitability, cash profile, and people. Going forward, we are confident that our growth interventions supplemented by our customer and digital initiatives will help in further improving the business trajectory, leading to a sustained and profitable growth.

We are excited about the journey that lies ahead towards the goal of transforming Eureka Forbes into a D2C health and hygiene powerhouse. On that note, I will now hand you over to Gaurav Khandelwal, our CFO, who will provide more details on the financial performance. Over to you, Gaurav.

Gaurav Khandel wal: Thank you, Prat ik. Good afternoon, everyone, and thank you for joining us. In the backdrop of a continuing soft demand environment, our revenue at INR 505.3 crores de-grew by 3.8% on a year-on-year basis. Adjusted for discontinued businesses, our revenues were flat. This represents an improvement over previous trends driven by volumes across the portfolio in both water purifiers and vacuum cleaners. Our gross margins improved sequentially as a result of our cost actions and operational efficiencies. On the cost side, overall expenses before ESOP charge were flat sequentially and declined by 6.6% on a year -on-year basis. Within expenses, our employee cost witnessed an increase primarily on account of increments and new hiring. We expect our employee cost to be range bound from here on.

With the objective of building ownership and alignment for the transformation agenda, ESOPs were given to the managerial cadre in this quarter. This resulted in a non -cash ESOP cost of INR 3.8 crores. It may be noted that, this is not the full quarter impact and we expect the quarterly impact to be approximately INR 10 crores. Given the above, while commenting at the key profitability matrices of EBITDA and PBT, we would be refe rring to the pre -ESOP EBITDA and PBT and calling them as adjusted EBITDA and adjusted PBT.

Adjusted EBITDA percentage witnessed an expansion of 164 basis points versus previous year and also a sequential improvement by 49 basis points. Our Q1 adjusted EBIT DA represents a 15.5% year -on-year growth. Improvement in EBITDA margins was driven by a combination of cost initiatives, operational efficiencies and relatively softer commodity environment.

We recognize the criticality of the cost as a lever and will con tinue to drive various cost initiatives across the entire P&L value chain. Several initiatives have been executed and we will continue work on creating new pipelines of cost actions. Continuing process improvements led to a net debt reduction from INR 216 crores as of end June ’22 to INR32 crores, an 85% reduction. This was also reflected in our finance cost, which reduced year -on-year by 46% from INR 6.3 crores to INR 3.4 crores in quarter 1.

Aided by EBITDA margin expansion and lower finance costs, our adj

usted PBT before exceptional items grew by 42.6% to INR 34.8 crores. Adjusted PBT margin for the quarter was 6.9%, an expansion of 224 basis points year -on-year. PAT for the quarter was INR 22.1 crores compared to INR 17.8 crores in quarter 1, an increase of 24%.

To summarize, in a challenging demand environment, the trends on both top line and bottom line show an improving trajectory. We continue to remain focused on executing the transformation agenda under Project Udaan and intend to build on the improv ed trajectory and make steady progress on other transformation fronts. On that note, I would now like to open up the floor for Q&A.

Moderator: Thank you very much. Our first question is from the line of Ashwini Damani from Ratnabali. Please go ahead.

Ashwi ni Damani: Good afternoon, Sir . Congratulations on the number, Sir . It has been one year since Mr. Pota has joined the organization. And clearly his work on margin expansion and steadying the ship is visible and we like to congratulate you again on the sam e. However , as shareholders, we expected some growth on top line since it's been almost one year since the new management has taken over.

But by and large, we are still clocking that same INR 500 crores quarterly run rate on top line.

Could you explain to me, what is the reason apart from the sluggish macro? We understand that the macro has been tough, but we expected that, now that the new management has been there for last one year. And when we mentioned that, the category is under penetrated, there has b een a transition from old management to new management , we observed that, you have launched new products. We have hired so many people on sales and marketing front and also launched an

advertisement campaign. Then, despite all of this, why are the numbers not translating into sales growth? What sort of quarterly or annual run rate are you targeting at least three years to four years down the line? I'll wait for the answer before I ask my second question, Sir , or whatever you suggest.

Pratik Pota: Thank you, Ashwin i. Thank you for the question and for your remarks. Before I respond to the question, let me just recap a few data points that I spoke about in my opening remarks. In this quarter specifically, if we take out the impact of discontinued businesses, on a revenue basis, we were flat versus last year. If I double click on that further, the most encouraging green shoots for us came from the volume growth.

And this volume growth came from both water purifiers and vacuum cleaners. You'll remember, Ashwini, that this category and this business has not seen a whole lot of volume growth in the past. And growth has typically come on the back of pricing. And this category has, in many ways, become almost unaffordable for a lot of consumers.

So one stated part of our strategy, as you would recall, was to grow the category penetration, make the category more affordable, more accessible. And the first evidence of that, we have seen is in the form of volume growth coming out. So that's the first, so even as we look at the net revenue numbers and your remarks are valid, within that, it's important to recognize that we are seeing a fundamental change in trajectory as far as volumes are concerned.

And of course, we know that in this category, like I mentioned in my opening remarks, an additional unit sold, an additional customer acquired, is the gateway into a lifetime of value and a lifetime of a relationship being harvested through service revenues, through sale of filters and spares, through of course cross -selling and up -selling. So that's the other point.

Now it's also equally important to remember, Ashwini that, the first couple of quarters, and indeed more of the last one year of the transfor mation journey , was spent in rebuilding the team, str

engthening the foundations, correcting some of the culture issues, and I would say that that's still WIP in many ways. And we now feel that we've begun to lay the foundations, the foundations have been l aid. I talked about people earlier in my remarks. I talked about the fact that we've got our EBITDA margins in a range which is much better than where we were last year or before. The net debt has improved significantly, giving us the elbow room to invest in growth drivers.

So all of those are the significant positive news, if you will, which will help us drive growth in the future. If I take a step back, the reality is that these categories are, as you mentioned yourself, having extremely low penetrations. Water is a category which has a universal need, pure water is a universal need, and yet it's a very low penetration category. One large part of that is that the total cost of ownership between product cost and service cost has been kept prohibitively high. Therefore, as market leaders, we are now playing this role of making the category a lot more accessible, a lot more affordable, and therefore growing the category and growing the volumes.

Equally, we recognize that there are many India's, there are mult iple customer segments. We also have a large base of installed customers and units who are looking for upgrades. So we are also investing in driving differentiated premium innovations targeted at this cohort of these segments. And you will see the impact o f that coming out progressively over the next few quarters. So to pull back and summarize, I think foundations have been laid, volume growth is a very encouraging positive. The fact that our EBITDA margins have broken out from the earlier rebound level of 4%, 5% to almost 9.5%, 10% now, that's the other positive news.

Investments are being made and have been made in driving growth, in driving execution improvement on the ground. And the results of that in terms of net revenue growth, you will start seeing i n the quarters ahead. But I would not belittle the work that's been done by the team in the last two to three quarters of just investing in strengthening the foundations that enable much faster growth and transformation.

Ashwini Damani: Thank you. Thank you, Sir. That was heartening to hear. And probably we are building the foundation even more stronger. Sir could you also help us to understand your employee costs? Every quarter, the number tends to throw up surprises. So I'll just take it down. Ex of ESOP cost, it was INR70 crores in June '22, then it shot up to INR105 crores in September ‘22. It went down again to INR70 crores in December ‘22, then INR60 crores in last quarter. And this year now, ex of ESOP it's INR72 crores. It's been all over the place and it sometime s comes as a surprise to us.

So I'm assuming there were a lot of new employees that came in, a lot of increments, bonuses that were given in. But still, if you could help us breaking it down as to how many full -time employees we have, how man y contractual employees we have, why the employee cost fluctuates so much? The representatives at stores that we have, one or two representative at every, say, Vijay Sales, etcetera, are they on our company payroll? Similarly, the AMC people who visit our homes to do these services, are they on the payroll and how is that count increasing or decreasing?

Gaurav Khandelwal: Sure, Ashwini, hi, this is Gaurav. Thank you for your question. So I think you're right in pointing out that there has been a fluctuation over the past four quarters, but I think it goes back to the point that it's been a journey where we've been putting the foundations in place, and that has meant that there have been certain actions at different points in time.
I think it's important to c all out two things. One, we are at a stage where if

you look at a quarter
1 cost, that pretty much represents in some ways where we would want to be. It factors in the investments that have been made in capabilities. So from here onwards, one can expect th at the cost is going to be range bound from where we are now. That's one.
The second is to your question on the breakup of the employees. That is something that we don't share, but I think it's important to call out two or three things. One, the service te chnicians who work with our service business partners , they are not on our payroll. So we just want to clarify that.

Number two, the sales force that is there with our distributors, with our partners, that again is something which is on their payroll and not ours. Whatever payout happens to them is covered through the trade margin which we give out and which is market benchmarked. So I just wanted to clarify that, but I think at a macro level, we are at a stage where we've built the organizational capabilit y that we wanted, and from here onwards, one can expect it to be a range-bound employee cost line.
Ashwini Damani: Thank you Sir, thank you for the answer, I'll come back in queue.
Pratik Pota: Thank you.
Moderator: Thank you. Our next question is from the line of Atul Tiwari from Citigroup. Please go ahead.
Atul Tiwari: Yes, thanks a lot for the opportunity. So just two questions. What was your market share in the key categories that you are presenting in the first quarter?
Pratik Pota: So, Atul, thank you. Thank you for that question. Our market share, as you would know, is a combination of the shares that we have in retail, both general trade and modern trade. Our market share that we have in our e-commerce channels and the marketplaces, as also the co ntribution that we get from our direct channel where of course the market share obviously is 100%.
I'm happy to report that in the quarter 1 just gone by, we reported a sequential increase in market share in the water category. In the water category, as yo u know, we are market leaders and we are dominant leaders in the VC category.
Atul Tiwari: Okay, Sir. And Sir my second question is, beyond these two categories given the kind of distribution that you have on a pan-India basis, which other products, you could launch over the next three years to four years? I'm not asking about whether you have actually plan of launching them or not as of now, I mean those things can evolve in future but given companies strength in terms of distribution, brand name and after sales services, which other product categories are amenable to being launched by you?
Pratik Pota: So Atul, I agree with you that we have an extremely strong brand. We've got an omnichannel presence. We've got a national service network. We're beginning to put in place a very strong digital footprint, digital backbone. Those are very, very important foundational strengths. That said, we believe that the headroom that we see in our existing categories, which is water, water purifiers and water adjacencies, like water softeners, etcetera, cleaning, and in air, in these categories itself, there is so much of runway that we see for growth that for the immediate future, we intend to remain focused on these three categories. To drive both penetration and to driv e through premiumization and through market share gains.
In many of these categories, as you know, there is a significant portion of the market that is unorganized. And therefore, it's also our intention to try and upgrade, convert these users into the org anized segment. So to come back to your question, for the immediate future, this is our limit, and this is the category portfolio that we intend to operate with. Beyond the first, beyond

the next

two years, it's hard to conjecture now, but this is where we intend to remain focused right now.
Atul Tiwari: Okay, Sir. Thanks, thanks a lot.

Moderator: Thank you. Our next question is from the line of Aniruddha Joshi from ICICI Securities, please go ahead.
Aniruddha Joshi: Yeah, Sir thanks for the opportunity. T wo things, can you indicate about the innovation and the new products that probably you would have launched in this quarter itself.
Secondly, now the margin has significantly improved. So what is the real cost that we would have cut or has this margin impr ovement come across the various cost. Can you articulate a bit more on how the margin is we are able to improve and what is the further scope to improve the margin over here. These are the two questions and I will come back with more questions. Yeah, thank s.
Pratik Pota: So thanks, thanks for the questions. I'll respond to the first question. And I'll request Gaurav to respond to the question on margins. I think on innovations, both in water and in cleaning, we have a portfolio that straddles multiple segme nts, multiple price points, and allows us to therefore offer different propositions to different customer segments. We have in the last three to six months rolled out a number of innovations at different segments. I'm happy to report that in most of these innovations, we have made significant progress.
To illustrate with one example, in the stainless steel segment of water purifiers, we have made two launches in the last three months, actually more than three months, last three to four months, and we have s een a significant impact of that in terms of both growth and in terms of market share. So that's one part of my answer.
Equally in our category, it's important to recognize that innovations, while product innovations will certainly play a role, we also hav e a lot of room for business model innovations beyond just product. So there's a lot of work that's going on and which we'll see light of day very soon in terms of different model innovations which will allow us to offer customers more affordable options both in terms of product and in terms of service, easier access and more convenient access through better control and through more digitization, as also in driving more of improved customer experience. And this will be across multiple categories.
So you will see that play out in the coming quarters. But I think the great news and what gives us a lot of encouragement and confidence is that whenever we launch an innovation, I think given the nature of our brand, there's a lot of acceptance, distribution hap pens, we get a lot of consumer interest, and then there is immediate pickup and immediate trials.
So excited to say that we have invested in the last six months now in strengthening our R&D and innovation team. We've got capabilities strengthened in electr onics, in design and engineering, in the cleaning category, in water itself and water adjacencies, and in marketing we've rolled out a category specific structure. So between the new marketing structure and

strengthen ed R&D and innovation capabilities, we are very, very confident about rolling out a very aggressive innovation plan, an innovation calendar in the coming few months. GK, on the margins, please?
Gaurav Khandelwal: Yes, An iruddha , just to shed some light on the margin, I think first as a principl e, the approach that we are taking is to look at the entire value chain of the P&L and see where the opportunities lie. And if I were to give you two examples of that, so one key enabler for cost efficiencies has been digitization. So if I were to just com pare the number of customer complaints that came on app versus a call center over the last six months, it has doubled, which automatically means that there's a flow -through e ffect on a call center cost, for example.
Another example is that while we've buil t newer capabilities in people, and that is something that you see reflected in the people cost line, that has also gone hand -in-hand with reducing our dependence on outsource partners. So there are a lot of work which was being done by outside firms, cons ultants, etcetera. We've got that work in -house. So these are just two examples, but at a principal level, our work continues across the entire P&L value chain. There are still opportunities in COGS, there are opportunities in procurement, and we are striv ing across all opportunities.
Having said that, from our perspective, when we look at profitability improvement, we are not just seeing it from a lens of cost only. We're equally cognizant of the fact that operating leverage will come from growth. And henc e, while we root out inefficiencies, we're equally very, very focused in investing behind growth as well.
And I think we spoke about our new campaign in the last earnings call, and I think the fact that a category which has not seen volume growth for a whi le, for that to appear in this particular quarter is a signal that this category is amenable to growth investments and we will continue to do that. But we believe that, there is still leeway in cost actions that we will take, but at the same time, invest in growth so that at an overall level, we're able to get operating leverage from growth.
Aniruddha Joshi: Okay, Sir, that's helpful. And last question, so there is a mention about B2B sales in the

presentations also. So what exactly is the percent of r evenu e? Who are the major customers, etcetera and in this business? Yes, that's it from my side, thanks.
Pratik Pota: Your voice was breaking up a little bit, but I assume you're asking about B2B, so let me respond to that question. Yes, we also have, in additi on to our B2C business, which is of course the more familiar business that we all know of, we also have a B2B business under the name of Forbes Pro. Under this, as part of this business, we cater to institutional customers and SMEs through both our own cha nnel, our own company run channel, and also a network of partner run channels. And we have a presence directly and through our partners in roughly the top 60 cities in the country. So that's about the B2B business. It's been an important part of our portfolio. And as part of this, we also service these devices. And the devices that we install also get a service revenue, which we then are able to benefit from.

Aniruddha Joshi: Okay. Understood, Sir . Sorry one more question. We have seen many brands which sou nd very similar to Eureka Forbes something like there is a brand called as Sureka Forbes and I guess they have a website etcetera and again business also, so probably Eureka brand has got more, you can say, awareness than the actual sales. So there might b e some guys, who are there in the market. So how do we tackle this issue and what are the efforts done by the company in this regard? That's it from m y side. Thanks.
Pratik Pota: Thanks Aniruddha . Let me be absolutely unambiguous and unequivocal about the first part of your question. Sureka Forbes is a fraudulent entity and it is cheating customers in its area of operation. We have filed, there's a legal case that's been filed, a criminal case that's been filed, the matter is sub judice and we will take this forward and make sure that, there is no further possibility of this entity cheating our customers and misrepresenting, who they stand for.
More generally, if I step back, and I refer to this point earlier as well, we are aware that there is a large market, which is an unorganized service market, which is catered to by small operators across most markets in the country. We intend and we have rolled out a very

clear and focused program of converting this grey market and this parallel operation through a com bination of three or four things.
First one, from a legal point of view, we are working with the authorities to identify these grey market operators, manufacturers of fake filters, distributors of fake filters and going after them.
So that's one work strea m. The other vector is about creating customer awareness, ensuring that our customers are able to discriminate and identify easily what is a genuine Eureka Forbes AquaGuard filter and what is not.
Number three, we are looking to differentiate our filters and to make sure that there is both a visible and a functional advantage that comes from Aqua guard filters. So through a combination of these work streams, we intend to attack this parallel market. Additionally, I spoke earlier about the fact that this cat egory has kept the cost of ownership high. That has been, like I said, both in terms of product cost and in terms of service cost.
And the high cost of service actually is a barrier in driving data penetration. So we intend to make, just like we've done wi th product affordability, we intend to drive service affordability as well and open up a service offering to a much larger segment of customers at different price points with different segmented offerings. This we believe, combined with the other actions, I spoke about, will help grow our service universe and our service footprint significantly in the country.
Moderator: Thank you. Our next question is from the line of Parth Sanghvi from Nepean Capital. Please go ahead, Sir.
Parth Sanghvi: Yes, I guess my q uestion is building on the previous question of the INR500 crores of top line, how much of that would be from your recurring annual maintenance contracts?
Gaurav Khandelwal: Yes, Hi, Parth. Thank you for your question. So we don't share the split of our pr oduct and service business. And to be honest, the reason for that is, in some ways in the previous question

itself, this is, we believe, important competitive information. And given that, we are in a unique place where we have a large customer base and where there is an opportunity to convert that base into a service revenue, convert people who are from the unorganized market into a service revenue for us.

This is something that we believe is important competitive information, and hence we've kind of stayed away from giving the split of this. But while that's one part of it, the second part and the more important part is the fact that there is a very large universe of customers, who today are being serviced by parallel market or grey market operators. One of the names was taken on the call earlier and we believe that in itself is a very big opportunity. The more we make our service offerings, our AMCs, available, accessible and affordable.

We believe that this is a very big opportunity to unlock, and hence ou r focus is going to be on this area, both through demand side actions and equally supply -side actions that Pratik spoke about earlier.

Parth Sanghvi: Okay, that’s fair enough. Let me ask the question a slightly different way, and I'll tell you where I'm c oming from. I'm trying to gauge the opportunity out here in the years to come. So, right now you have 8 million customers. I'm assuming a fair number of them have some sort of management contracts, do you know how much that I am assuming everyone gets it s erviced every year or periodically you only probably see a small portion of that. So, do you know how many of 8 million customers you are servicing right now, can you share that or is that something you want to keep to yourself right now?

Gaurav Khandelwal : But we don’t share the split of how many of those 8 million customers are on contract. I think suffice to say that the number of people who are

not in contract is more than the people who are in contract. And I think that gives you a sense of the opportunity that is there. And the reason we find ourselves in this position is the fact that one, there are these grey market operators that we spoke about.

But equally, as a company, how do we make our offerings more attractive, more differentiated, is somethi ng which would enable us to start converting this base. But the big picture is that there are more people who are not in contract than in contract and therein lies the opportunity.

Pratik Pota: And just to add to that part, I think the opportunity would require us to actually approach this from very different perspective. Like Gaurav said, there's a large universe of customers, our own customers with older devices who are not in our contract univ erse and they could turn to the grey market for service and for filters.

Now one reason for that is that we've not allowed ourselves to become easily accessible and available to read customers. So, one apart of the solution, apart from doing the work that I spoke about earlier and Gaurav spoke about earlier on making service mo re affordable, would also require us to have a go -to-market solve in making our filters, our service much more accessible to our customers who are not in contract. So that's the other work that's going on that will help us in the quarter ahead.

Also, I wa nt to go back to what I said in my opening remarks, which is that today's volume is tomorrow's AMC revenue and tomorrow's service revenue. And the fact that we are seeing encouraging volume growth gives us that runway a few months from now, a year from now , in strengthening our service annuity stream. And like I said, this category's always been plagued with below par volume growth.

And the fact that we are now able to stoke volume growth, drive conversions, drive penetration, and drive more customers and increase the customer franchise tells us that down the road, we can expect to see an equally strong momentum build up in service as well.

Parth Sanghvi: Got it, and just to clarify, if I take a n annual maintenance contract, the person coming to my house t o change the filter, is he on the r olls of Eureka Forbes?

Pratik Pota: No, no, Parth he is not. The technician who comes to your home is employed by a business partner who are engaged with us and who get commissions on the AMC and on every product

Parth Sa nghvi: And in that case, how do we ensure that they are selling Eureka Forbes product as opposed to a spurious product?

Pratik Pota: Absolutely. And that's one part of the challenge that I spoke about earlier, through customer awareness, through ensuring that we create differentiation of our filters, and the fact that we clamp down on the supply itself from the back end of these fake filters and various other means that you like to do and drive especially the digital interventions.

And you will see that p lay out in the months to come. But you're right, the fact that this network is a partner network requires us to put in place stronger controls and stronger governance to convert the AMC customer to a Eureka Forbes AMC customer.

Parth Sanghvi: Thank you so much. I'll get back in the queue.

Moderator: Thank you. Our next question is from the line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.

Praveen Sahay: Yeah, thank you, Sir , for taking my question. The first question is related to the servi ce expenses. There we have seen a reduction and also if I recall the last call you had said around 50% service request coming from the call centers and which you are transferring to the digital initiative. So,

is it a result of that only or something more to that?
Gaurav Khandelwal: Sure. Thank you, Praveen for your question. So, the service charge line that you see on th

e P&L
is a combination of the complaint call charges that we pay to our service business partners, the
cost for call center that is there, the cost that is paid for installations, for managed services, and also the cost that is paid to our business partners as trade margins. The reduction that you see is
largely attributable to the fact that we've been able to make decent progress on some o f our
digitization initiatives and that have helped in reducing this particular cost line.
Praveen Sahay: And there is a further room for reduction here as well?

Gaurav Khandelwal: We will continue working on it on an ongoing basis to see what opportunities can be extracted
in this area.
Pratik Pota: Just to add to that, to what Gaurav said, Praveen, Q1 FY ’23, in other words, same time last year,
a dominant share of our complaints came from the call center, the voice channel, almost 70%. And the balance 30% came from unassisted means, digital, WhatsApp, etcetera. That number
has completely inverted in Q1 of FY ’24 . More than two-thirds of our complaints now come
digitally or through non-assisted channels, with only a third or under coming from our call
center. So like Gaurav said, that has had some impact on call center savings, but more
importantly, it's also improving, helping improve the customer experience and giving customers
much greater visibility, much more control on their entire service journey.
Praveen Sahay: Okay. Next questions are related to the service revenue. So as you had also mentioned about the
grey market operator in that, can you give some sense of how much of the market of servicing
is done by the gr ey market operator?
Pratik Pota: Praveen, it's hard to give a precise estimate because of the nature of the grey market that exists.
But I think it's important to pull back and go back to the earlier point that Gaurav made, which is that the share of customer service by the grey market or the parallel market, I won't just call it
the grey market, is larger than the share that is serviced by the official Eureka Forbes channel,
pointing to the vast opportunity that exists and the fact that with our effort, we can actually
harness and tap into that and drive growth.
Praveen Sahay: Just to add on this, this parallel market is also, you know, service through the partners, channel
partners only, right, Sir ? So if you have also a channel partner, how to differentiate actually in
the services?
Pratik Pota: So this parallel market for the larger part, Praveen, comprises local service operators with a few
technicians. Sometimes it's just one technician himself who's almost like an entrepreneur
servicing devices in his area. In some cases, these happen to be old Eureka Forbes partners who
were trited many, many years ago and continue to operate in this space. And therefore the
ecosystem of the parallel market is largely of this nature.
Gaurav Khandelwal : And Praveen, just to add, I think the unl ock to this opportunity is not just from a supply side,
where it is on grey market operators, but equally from a demand side. Because come to think of
it, if most of us are asked, where can you buy an AMC or a water filter, we may not even know,
you know, but that would not be the case in many other categories. Hence, while we focus on
the supply side, there is equal focus on the demand side as well, where the focus is on making
AMCs, filters, consumables more available, more accessible, more affordable.
Because then if it's a combination of both these things coming together, and when you marry
this with consumer education, then it becomes a three -pronged approach to addressing this
opportunity in its entirety. So our intent is to operate on all the three ve ctors because the
opportunity is fairly substantial.

Praveen Sahay: Great, Sir. And the last question related to the more affordable range of product and the services
as you had mentioned, which has driven the volume for you for this quarter. But same time also
you had mentioned that the premium price segment more of SKUs launch the way forward. So
can you give some sense the way forward, how is the mix going forward like affordable versus
a premium in the services as well as in the product categories?
Prat ik Pota: Thank you Praveen, I'll respond to that question. I think the very interesting and encouraging

part of this category is that we see abundant room to grow both the economy segment by driving penetration as also the premium segment. Let me start wit h the first part, the economy range first.

You're aware that the penetration of water purifiers in the country is just about 5%. And the barriers are many, primarily being affordability, the total cost of ownership, number one. Number two, sometimes perceived lack of need. So our campaign that we ran recently, wherein we offered an AquaGuard priced as low as INR 6499, accompanied by a campaign which talked about the need and created dissonance vis -a-vis our cloth filters has worked really well and helped drive growth of the economy segment. This is one area where we intend to stay focused and continue to do more work.

Just one data point here which gives us a lot of encouragement is that more than 80% of customers who bought this economy device were fi rst-time users, who actually had not entered the category, and they were converted by the campaign along with the price point, and of course, the promise of AquaGuard brand, the brand trust. So that's one part.

Equally, we see that there are customer segments who are looking for differentiated offerings, looking for premium offerings with superior aesthetics, superior functionalities, very, very different form factors. And we are looking to innovate across these price points as well, across these consumer p oints as well, across these consumer segments as well. So as we go forward, you will see our innovations play out in the premium segment, in the mid-price segment, and also you will see us drive growth and affordability in the economy segment.

Praveen Sahay: Okay, great. And is there any focus on these categories for different channels, like for premium in the certain channels and the economy or affordable in the certain channels?

Pratik Pota: Yes, Praveen, and that's a really good question. And I think the advantage that we have as an omnichannel player is that we have a unique and advantage direct sales system, which allows us to go to customers' homes, evangelize and build categories, evangelize and sell premium products. And therefore, the role of the di rect sales channel will remain focused on premiumization, replacement selling, and category creation.

Again, in a category like cleaning or even a category like water, there is room for us to grow penetration at the premium price points. So the direct sale s team and their channel will be focused on premium offerings in water and in creating new categories. In retail, general trade, given the nature of the category, the task there is distribution expansion. And just to again put some numbers to it, the unive rse of small domestic appliances are available in more than 2 lakh

outlets. And within that, water purifiers are available in a small fraction of that, under 19,000, almost 20,000.

So the task here is for us to grow distribution and that is best done with an economy offering taking the lead. Of course, once the economy product enters the outlet, we cross -sell our entire portfolio, but the pricing open of the outlet and the outlet opening is done by the economy range.

Equally in retail, we have modern trade, which cat

ers to a much more affluent, much more aware, much more discriminating customer, typically a replacement customer. And then the task again is to offer premium offering, differentiated offering, with outstanding and superior on-ground and in-store execution.

So the fact that, we've got the e-commerce, of course, the use cases are many, both in category creation, especially in Tier 2, Tier 3 towns, and also in premiumization. So the fact that, we have this mosaic of channels allows us to play our portfolio differentially by channel, and will also therefore drive growth, drive penetration, as also drive premiumization.

Praveen Sahay: Well explained Sir , thank you for this. Just one clarification that's, a direct is still the highest contributor in your channel, right?

Pratik Pota: I think Praveen, direct used to be as you're aware, the dominant channel. Over the last few years, we've built a very strong and a very robust retail channel as also a fast -growing e -comm erce channel. So the contribution of t hese channels are equitable and symmetric and direct is no longer dominant.

Praveen Sahay: Great, thank you Sir . Thank you for the detailed explanation. All the best.

Pratik Pota: Thank you.

Moderator: Thank you. Our next question is from the line of De vika Jain from Ratnabali Investment Pvt. Ltd. Please go ahead.

Devika Jain: Hello. Congratulations, Sir, on the great set of numbers. So I basically wanted to understand the line item. Sorry. I would want this next question. What do you think will help us in revenue growth? So our typical levers would be product, price, reach, or availability and innovation. What is our geographical reach right now? What do we expect three years down the line? From

availability point of view, can you bifurcate region by di stributors? And also, if you can break it into urban versus rural, what will be our pricing strategy going forward to target those customers, who don't use a water purifier now? And lastly, what are we doing in terms of innovation and brands so that we don't get crowded out on such space?
Pratik Pota: Thank you, Devika. On a lighter note, your question is like the question that I asked in my internal reviews and pushed my team for more and more information. But coming back to your question, our strategy for driving growth is simple and is clear. Let's start with first water. In water, we have an exciting task to grow penetration by identifying category barriers, unlocking the affordability barrier, and driving distribution. So that's the first part.

Equally in water, we have an exciting task of premiumization through our innovations, through differentiated value-added offerings, both functional and otherwise and form factors and so on. So that's on water. Equally, like I said earlier, in water we have a distr ibution task and we have a larger category expansion task. So there is that work stream which is clear on water. In the non-water categories, the categories of cleaning of air, similarly we have a penetration task. Vacuum cleaners, if anything, have even a lower penetration than water purifiers as we know. The task there is also premiumization. So even as we grow the category in cleaning, we also intend to double down on the premium segments of uprise of robotics, which are part of what we call the conveni ent cleaning segment. And this segment has grown significantly post - pandemic, where consumers are looking to have very accessible and very less effort -intensive cleaning solutions. So that's the second area of work for us.
The third area of growth opportun ity for us is, as we mentioned earlier, in expanding the service universe. Recognizing that a large part of our customers do not avail right now of our AMCs and our contract service, how do we reach them through a combination of more affordable
A

MCs and af fordable service, filter sales sold to them directly, and other means, and creating awareness as well. So that's the third revenue stream.
The fourth revenue stream and the fourth area of growth for us will be digital and D2C. The fact that actually Eureka Forbes was India's first D2C company many, many years ago, and still we have a very large access to a direct sales network and a service network. We will build on top of that a very strong digital backbone and use that to drive D2C sales, starting with service, but eventually your product as well.
The good part is that when we look at a growth profile of quarter one, we saw encouraging volume growth. We saw volume growth across the population strata, in both in metros and in Tier 1 towns, as also in the Ti er 2 and Tier 3 towns. Equally, just like we see opportunity in growing penetration in the smaller towns, we also see opportunity in growing penetration and driving premiumization in the metros and the Tier 1 towns as well.
So more broadly , if I pullback, there is an abundance of opportunity. And the work that we've done in the last one year in strengthening the foundations, rebuilding the basics, put us in a very, very unique and a very, very strong place to harness and to drive the growth, both through category expansion and through market sharing.
Devika Jain: Thank you so much, but one more detail if you could give me, as on date, can you bifurcate the region wide distributors that you have and also urban and rural breakup?
Pratik Pota: No, Devika, I'm sorry, that level of detailing we don't give. But suffice it to say that we are lucky to have a strong nationwide and national presence across all regions. I think we are one of the few brands in this category who provide a national service network which g oes down to even small towns. So both product availability and service availability is across Forbes Data.

And through combination of our direct sales channel, with a company -owned channel and a partner channel, retail channel, and of course, e-com merce, s upplemented by the large service network that we have across 10,000 plus pin codes.
Moderator: Thank you. Our next question is from the line of Rajesh Kothari from AlfAccurate Advisors, please go ahead.
Rajesh Kothari: My first question is, I think a couple of times you kept insisting that the category is currently not affordable, and therefore as a market leader you would like to make sure that the affordability of it becomes more affordable product. Now in that endeavour to make it affordable it mean s

are you saying that the current product pricing point you need to reduce or you need to introduce
products which are a little bit completely different with a much lower price point? And if answer
to that is yes, then how do you see that impact on it on t he gross margin? That's my first question.
I'll follow up with my second question once I get the feedback on this.
Pratik Pota: Okay, first question, okay, I got it. Well, thank you, Rajesh, thank you for the question. And
you're absolutely right, we've ta lked about this a couple of times on the call, and we believe very
strongly that one factor that has held back category growth and penetration and universalization
has been the high cost of ownership. Both the high threshold entry cost of product as also t he
recurring cost of AMC. And we intend to expand the category by making the product and service
more affordable.
We will do this by offering customers fit for purpose, customized segmented propositions at the right price points. We saw the impact of that play out in quarter one. Just one call out that I want to do, that the growth in quarter one did not come because of any price drop. We took no pricing
action in quarter one. There was no price reduction.
And we saw significant growth com

e in our value off ering. So going forward as well, we intend
to grow the entire portfolio. We will drive the economy range, even as we drive the premium offerings, the premium segments, through innovation, through differentiation, etcetera.
I'll toggle the question on gross margins to Gaurav in a minute. But before I do that, I want to
underline and call out that the right metric for us to look at is not gross margin, it's look at
EBITDA and overall profitability. In this quarter, you saw us deliver good EBITDA increase
with a muted revenue performance, but on the back of volume growth.
And going forward as well, we are confident and we believe strongly that as we expand the customer franchise, as we get more customers and grow volume, we will be able to deliver sustained and profitable growth progressively quarter after quarter. Gaurav, you want to respond
to the other question?
Gaurav Khandelwal: Yes. And Rajesh, coming to your question on gross margin, I think I would see it slightly differently, because one way to look at gross margin is just from, let's say, a price lens and a mix
lens and see what the downsides are. But I think there are two or three important things to keep
in mind. One is that we have a fairly spread out portfolio. So our ability to mitigate any impact

on gross margin is also very high, because we straddle across channels, we straddle across price
points. That's one.
Number two is that for us, volumes also create opportunities for cost efficiencies. So higher the volumes also means that our procurement g ets better, our freight gets optimized. And this, when
we marry it with a cost program, also delivers efficiencies which, you know, can offset any
mixed impact.
The third thing is that affordability doesn't necessarily mean just the pricing play. I think i t's
important to reiterate what Pratik mentioned, that fit for purpose is in a very important part.
What you offer to a customer at let's say a INR 8,000 price point versus an INR 18,000 Rupee
price point are different products with different specs and the y also come with different cost
structures.
So that's the way you know one needs to see it. It's not just while there are competing factors at play, while there are certain factors which may create a pressure on gross margin, but there are
equal ly factors which provide a mitigation. But from our perspective, we are keeping two big
things in mind. One is the fact that for us, a product sale is the first step towards creating a
lifetime source of value in the form of an AMC revenue or cross -selling, etcetera.
The second is that we would be navigating the business basis an EBITDA margin. I think we
believe there is adequate flex available across all P&L lines and without necessarily pegging
ourselves to a gross margin line, what we will seek to optimize will be on the overall EBITDA
profitability of the company.
Rajesh Kothari: So, Sir, your economy segment, correct me if I'm wrong, probably will be bulk of your revenue,
right? I don't know, do you provide a mix? I'm not too sure .
Gaurav Khandelwal: We don't give the mix, but that would not be the case. I think the best manifestation of that would
be the gross margin percentage that you see.
Rajesh Kothari: No, no I'm saying in terms of revenue mix, the economy would not be the largest, is it?
Gaurav Khandelwal: We have a fairly spread -out portfolio. We straddle across different offerings. Economy is just
one part of it. There is a mid-segment, there is a premium segment and across the board we've
got offerings.
Pratik Pota: Let me add to that, i n fact that's not the case at all. I think we have a very strong presence in the
mid-price and the premium segments and we have now as I said made increased efforts to grow

the economy segment and to grow the category. As I mentioned ea

rlier, a dominant share of the customers who buy economy products have come from being non -users earlier. They are new adopters of the category. So it would not be accurate, it would be in fact incorrect to say that a large share of revenue comes from the economy segment.
Mod erator: Thank you, Sir. We move to our next question is from the line of Ravi Adukia from PGIM Mutual Funds.

Ravi Adukia: My question is Sir , you gave a good kind of color on your strategy, but if you could talk a little bit on your aspiration in terms of revenue growth over next three to five years? So, this is my first question. Second question would be if you can give some color on movement in working capital in the current quarter and the capex you foresee over next few years. So, that's all for my side.
Pratik Pota: Got it. No, thank you. I'll request Gaurav to answer the question about the working capital in a minute. But before that, let me respond to your first question, Ravi. I spoke earlier about the fact that we are fortunate to operate in a categ ory landscape with extremely low penetration and the fact that this offers a strong and long runway to grow.
We are also fortunate to have an incredibly strong power brand in Aquaguard which has universal trust, of course universal familiarity, and univers al acceptance. We are also fortunate to have a strong omnichannel mosaic, an omnichannel network, between retail, e -com merce, and the uniquely advantaged direct sales channels.
We also have a very large service network across the country. So these are very , very strong foundational enablers that we have in place to leverage the opportunity. Like I said earlier, our strategy is predicated on number one category expansion and growing volumes, even as we also differentiate and offer our customers premium offer ings.
And it's also predicated on growing the portfolio by playing much more aggressively in cleaning, again across multiple price points, including the premium segment. The third area is about D2C and using our D2C platform and our growing D2C presence to drive direct to consumer revenues.
And the fourth piece, of course, is about service and how do we improve customer service and how do we expand our service network. We talked about earlier in the call about how do we tap into the battle market and the gr ey market and expand both our contract revenue and our filter revenue through a combination of a number of initiatives, including driving more and more customer awareness and improving service affordability.
I think all of these initiatives are beginning to play out. Some early results were visible in the results in Q1. And we are confident that as these initiatives get rolled out, we'll see more and more impact and more and more outcomes, and more and more visible outcomes play out across volume growth, ac ross revenue growth, across EBITDA margin improvement, customer satisfaction improvement, and just in overall getting our business much more future ready.
Gaurav?
Gaurav Khandelwal: Yeah, and we're coming to your question on capex and working capital. On c apex, we'd last given a guidance of INR 75 crores to INR 90 crores for the year. We continue to stay to that. I think the important part to call out is that this capex is steered towards, one, creating an innovation pipeline for us, not just for this year, but beyond that, the idea being that this then becomes an enabler for growth.

Number two, this capex could be spent on digitization efforts. And as we progress during the course of the year, we will see the capex step up. Coming to working capital, it rem ains a very, very critical area of focus for us. You've seen our net debt numbers go down 85% year on year and a l

ot of it is driven by our focus on driving working capital efficiencies. This is an area where we will continue to keep working on because we believe there are still opportunities in this area and we take it from there on.
Moderator: Thank you. Ladies and gentlemen, that was the last question of our question and answer session. I would now like to hand the conference over to Mr. Pratik Pota for closing comments.
Pratik Pota: Thank you everyone for joining the call today. I hope that you were able to address your

questions satisfactorily. And in case you have follow -up questions, or in case some queries have gone unanswered, or if you want more color, please reach out to us, and we'll be happy to respond. Thank you so much for your time and have a very good day. Thank you.

Moderator: Thank you. On behalf of Eureka Forbes, that concludes this conference. Thank you for joining us, and you may now di sconnect your lines.

Note:

1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.

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November 23, 2023 EFL/BSE/2023-24/77

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Scrip ID: EUREKAFORBE

Sub: Intimation of Transcript of Earnings Conference Call held on Friday, November 17, 2023

Dear Sir/Madam,

Pursuant to Regulations 30(6) read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call held with Analysts/Investors Friday, November 17, 2023.

The transcript of the Earnings Call is available on the website of the Company at www.eurekaforbes.com .

Request you to kindly take the above information on record.

Thanking you,

For Eureka Forbes Limited
(formerly Forbes Enviro Solutions Limited)

Pragya Kaul
Company Secretary & Compliance Officer

Encl: As above

"Eureka Forbes Limited's
Q2 FY'2 4 Earnings Conference Call"

November 17, 202 3

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ANAGEMENT : MR. PRATIK POTA – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , EUREKA FORBES LIMITED
MR. GAURAV KHANDELWAL – CHIEF FINANCIAL
OFFICER , EUREKA FORBES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Eureka Forbes Limited's Q2 FY24 Earnings Conference Call. We have Mr. Pratik P ota – Managing Director and CEO, and Mr. Gaurav Khandelwal – CFO, Eureka Forbes with us.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the c onference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
Before I hand i t over to Mr. Pratik Pota , please note the disclaimer. Certain statements made by the management in today's call may be forward -looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting t he business.
I now hand the conference over to Mr. Pratik Pota. Thank you and over to you s ir.
Pratik Pota: Good morning and I welcome you all to the Q2 Earnings Call of Eureka Forbes Limited. I wish you all a Very Happy Diwali and hope that you had a good break.
Q2 was in many ways a landmark q uarter for E FL. With all three critical markers -- margins, net debt and growth -- showing healthy improvement , our net revenues stood at Rs. 592.3 crores, a growth of 3% over last year. Without the impact of disconti nued businesses, our Q2 revenues grew by 4.8%. This performance was driven on the back of volume growth both in electric water purifiers and in vacuum cleaners and in the face of a continued soft demand environment.
The impact of operating leverage was vis ible in our margins, which grew for the four th successive quarter with a djusted EBITDA margin expanding to 10.5% compared to flat in Q2 last year and 9.8% in Q1 of FY24.
We also reached an important milestone in our transformation journey by turning net de bt-free. As against a net debt of Rs. 199 crores in September ' 22, we ended last quarter with a net surplus of Rs.9 crores.
Stepping back , we believe that the Q2 performance offers us evidence and underlines the conviction that Project Udaan , our strategy f or transformation and growth that we spoke about earlier in the year is beginning to deliver real impact on the ground.
Our transformation-linked interventions in the areas of driving growth through entry level products, category creating communication and go-to-market infrastructure are beginning to get reflected in our growth numbers.

Our growth was broad-based. We saw the seco nd successive quarter of volume growth in both water and in vacuum cleaners . Within vacuum cleaner s, our premium portfolio of robotics especially saw strong growth.
Q2 also ha d two important revenue -related interventions. The first one was the launch of t iered AMC , aimed at improving service affordability and getting non -users of service into the fold. We understood that an AMC at a price point of Rs. 4,500 to Rs.5,000 was an entry barrier and therefore reworked our AMC offerings into different tiers for different customer segments and that will start from R s.699 onwards.
The second was the launch of a new Water Purifier, called the Slim UV Bar . It is an exciting innovation which marries form and technology , and as a first step in reclaiming our role of being innovators and pioneer.
Profitability improvement was driven by operating leverage. Driving efficiencies is a key priority in unlocking value and generating headroom for growth investments and we will stay focused on that.
Looking ahead, we will strive to build on the Q2 momentum and drive further growth and innovations

and enhance customer experience, as also continue on our dig itization journey.
Summ ing up, our Q2 numbers reflect a clear step up in growth along with continuing improvements in margins and debt. In the quarters ahead, we expect to see the impact of innovations of customer service initiatives and of digital interve ntions to play out w hich will lead to a further improvement in business trajectory and help us along towards the goal of transforming Eureka Forbes into a D2C health and hygiene powerhouse.
On that note, I will now hand you over to Gaurav Khandelwal, our C FO, who will provide more Details on the Financial Performance. Over to you, Gaurav.
Gaurav Khandelwal: Thank you, Pratik. Happy Diwali, everyone, and thank you for joining u s.

In the backdrop of a continuing soft demand environment, our revenue at Rs. 592.3 crores grew by 3% on a year -on-year basis. Adjusted for discontinued businesses, our revenues grew 4.8% , the highest growth seen in the last five quarters. This represents a continuing improvement in our growth trajectory over previous quarters . Given the nature of this category where today's product volume is tomorrow's service revenue, continuing volume growth for the seco nd successive quarter in both water purifiers and VCs bodes well for the future.

Our Q2 gross margins were at 57.4% versus 58.5% in the previous year and were impacted by product and channel mix. We expect gross margins to remain range -bound around these levels and do not expect a structural shift in the gross margin table of the business .

Our expenses as a percentage to revenue excluding ESOP charges were lower by 1 ,150 basis points versus previous year and 370 basis points sequentially.

Our focus on cost program will continue to drive further efficiencies. Our non-cash ESOP charges at Rs. 10.7 crore s reflects the full quarter impact of ESOP charges, and we expect ESOP charges to remain at these levels in the coming quarters.

This quarter w itnessed an important milestone in our financial journey. As against net debt of Rs.199 crore s in end September ' 22 and the peak of Rs. 216 crores i n June ' 22, we exited the quarter with a net surplus of R s.9 crores. Our improved profitability combined with improvements in working capital over the last one year have been the key sources of this improvement. The impact of this is visible in our finance cost, which reduced year -on-year by 49% from INR5.7 crores to INR 2.9 crores i n Q2.

Aided by operating leverage and lower finance cost , we witnessed year -on-year and quarter -on-quarter improvements in our adjusted EBIT DA, in PBT and PAT. Adjusted EBITDA margins expanded for the four th successive quarter to 10.5% and pre -adjusted PBT margins crossed 8% for the first time to end at 8.1%.

To summarize, the trends on both top line and bottom line show an improving trajectory. We continue to remain focused on executing the transformation agenda under Project Udaan and intend to build on the improved trajectory and make steady progress on other transformation fronts.

On that note, I would now like to open the floor for Q&A.

Moder ator: We will now begin the question -and-answer session. The first question is from the line of Vimal Gohil from Alchemy Capital Management Private Limited. Please go ahead.

Vimal Gohil: While as you highlighted 4% odd growth on YoY terms, it is clearly an improvement. So , should we look at this improvement as a reflection of d emand bottoming out and improvement of growth thereof or should we look at it as a clear result of our internal interventions. S econdly , on growth versus margins , now as you highlight ed there won't be a meaningful shift in the gross margin profile of the company. So, in terms of EBITDA margin, should we say that we are probably looking at the peak EBITDA mar

gins from these levels, how should we look at the margins as well when you look at acceleration of growth?

Pratik Pota: Thank you, Vimal, for that question. I think our performance in Q2 and the growth that we delivered of 4.8% on continuing business came like I said on the back of strong volume growth. This volume was a n outcome o f all the work that we've done as part of Proje ct Udaan of driving category penetration and category growth through value SKU pricing , through category creating communication , our distribution expansion efforts , as also the work that we've done across other

price points, both mid-price and premium. And that work that we've done reflected not just in the growth that we talked about , but also in terms o f market share gain. Both in water purifiers and in vacuum cleaners, we were encouraged to see market share gain both sequentially and year-on-year. That said , to your question about category momentum , we don't quite see the categories being in strong momentum yet. They likely have bottomed out, b ut we don't see the strong tailwinds to the category. Our numbers we re more a reflection of our own interventions and the fact that our strategy o f Project Udaan is beginning to land and beginning to lead to meaningful growth outcomes. On your second question about growth margins, Gaurav , do you want to chip in here?

Gaurav Khandelwal: I think it's two or three important points to call out. I think from our perspective, the way we see margins is from a len s that there are two book -ends ; one is what you would typically see in durable companies where the margin profile i s maybe 8 % to 11% and at the other end of the spectrum margins in the water purifier space. Now, keeping that in mind, we expect our margins to be somewhere in the middle , that is what we would be aiming for because from our perspective, a very important t hing that we've set out for is to ensure that we get both growth and margins. We would not want to be in a situation where we end up with high margins but not adequate growth. Keeping that in mind, we don't e xpect our current margins to be t he peak and also when you married with the fact that we a lso have a s ervice business , that also gives us additional tailwinds. So , we don't see these current levels to be the peak margin for the business. Obviously , from our perspective, we are l ooking at structural impr ovements and t o have margins play out over the l onger period of time and that is what our approach is going to be.

Vimal Gohil: Gaurav, just one more thing I wanted to clarify was on ESOP cost. You mentioned that Rs.10 crores per quarter, so about Rs. 40 cr ores of ESOP cost for the full year , right , am I reading that right ?

Gaurav Khandelwal: That's right. The only call out I would have is that typically in ESOP accounting, the initial years have a higher charge and then it starts tapering off. So, it will not be a uniform Rs. 10 crores every quarter, it will start tapering off , but for the foreseeable few quarters you can assume this to be the benchmark.

Vimal Gohil: When do you see this tapering off ? By the end of FY 25 maybe o r '26?

Gaurav Khandelw al: Look, this is done keeping the current accounting models which are there for ESOP accounting. So, it factors in various scenarios . We kept all those considerations in mind, and it will play out over a period beyond FY 25.

Moderator: We'll take the next question from the line of Abhijit Ak ella from Kotak Securities. Please go ahead.

Abhijit Akella: The first one I had was with regard to the revenues. So fairly a sharp jump on a sequential basis as well . Just sort of wondering if there's a seasonality aspe ct to the business that we need to understand, and so therefore when we model out the second half of this year, is this a good level to trend off or is there a seasonal dip in the second half of the year ? Also, just to clarify that gap between reported revenues and revenues from continuing business has narrowed quite sharply this quarter. Does that mean we are sort of approaching the anniversary date of the discontinuation of those old businesses , how should we think about that?

Pratik Pota: Abhijit, going back to your question, I don't know how much was audible, but I was responding by saying that there's been a strong growth sequentially of 17%plus and of course the growth of almost 5% year -on-year on a continuing business. Q2 tends to be the strongest quarter sequentially. Some amount of an improvement what you saw as growth sequentially reflects that, but notwithstanding that, the sequential improvement was higher than what we have seen historically in the previous years, which was a reflection of our growth interventions beginning to bear fruit. On the second part of your question about the continuing business and the gap is between that and our overall reported revenue, G aurav , you may come in please.

Gaurav Khandelwal: I think just to first layout what really constitutes a discontinued operation. So, this is largely previous business lines like Security division, Corona guard, Cleaning Services business, etc ., Those are the ones which we have exited over the course of last one year. We do expect this impact to be there for the next three, four quarters. The reason for that being that while we've exited these, if there are any residual customer orders which come in because the nature of this business is su ch that certain customers may come back asking for replacements, etc. , So whatever is the organic liquidation that happens or if there are any customer requests which come in proactively, that is something we entertain. It also helps in kind of liquidating whatever inventory is there in releasing cash . So, to that extent , there will be some residual revenue which will keep coming . But depending on the quarter , it will be somewhere in t he range of 1% to 2% and not more.

Abhijit Akella: The second question I just had was with regard to a couple of the newer initiatives that you've been working on. First, on the digital side maybe in terms of the app development, etc ., and improving the user experience , so what sort of initial feedback you have on these initiatives and whether it's already been rolled out on a wide basis across the entire country? And the second thing is also a little bit about the rental model that I believe is under pilot study in a couple of the southern cities. So , what sort of initial response you're seeing t here and any e arly learnings that you've picked up?

Pratik Pota: On your first question on digital, our intervention on digital and our digital strategy is aimed at across multiple areas. The first one is to improve the customer experience t o provide our customers convenience, the access , the seamless service that they expect. So , that's one big area of work . And towards that we have already rolled out a number of initiatives by which customers can schedule their ser vice appointments a nd pick and choose even a technician of their choice.

That's one thing that has already happened. The second thing that has happened is that to enable a much better service experience for our customers, we've also onboarded all our servi ce technicians nationally onto one central digital platform. And we will now be moving to allocate call centrally b ased on proximity , based on prior experience, based on skill levels of technicians, nature of the complaint, etc. , So, we allocate the compla ints intelligently and algorithmically to technicians

very soon. Happy to report that our early interventions are leading to meaningful improvements in customer satisfaction levels as reflected in a significant improvement in our net promoter score, which is also showing up in our improvement in our turnaround time zone service. The other area that we are working on is to also improve our product commerce experience and that work is WIP and you will see that play out on digital platforms over the next few periods. That was on your first question. Also, just to add to that, sorry , before I come to your second question, what we've also done to enable our digital play is to build organic capabilities in the organization. We've built a small team which is looking at product management , engineering , UI, UX, we also got a small team which looks at data science and analytics. So , all of these things put together will help us improve our customer experience and the quality of our digital assets. On your second question on the rental model, going back to the strategic logic of rental and why we are piloting it, we're aware th at our category has a very low penetration, almost a universal need , but a very low penetration . And one big barrier to category adoption ha s been the high cost of ownership. We believe that our rental model is one way of addressing this barrier amongst others. And towards that, we've begun piloting our rental model down south in Chennai . The rental model and its success requires very, very st rong logistics capabilities, making sure both the forward and the reverse logistics are well -tuned, no.1. No.2, the fact that the customer experience of installation or being able to renew and upgrade on rentals , was so smooth and seamless . And that's the work we're doing right now. Our initial response and feedback in Chennai h as been encouraging, but we still intend to finetune and debug the model before we scale up. But rental will be an important part of our play as we go forward along with our initiatives that we've already taken on making products more affordable per s e. I hope that addresses your questions.

Moderator: We'll take the next question from the line of Devika Sethi from Ratna bali Investment Private Limited. Please go ahead.

Devika S ethi: Sir, I have two -part questions. One would be , we have been talking about the potential that lies in capturing the service market, especially among our current customers themselves. I assume that we have successfully removed a great portion of the spu rious market and unorganized distributors of spare parts and AMC services, and we have even made our services affordable through our new tiered AM C plan. So, what kind of growth are we expecting in the services segment through this new model ? This new mode l will help us gain market share penetration and revenue in this segment, but wouldn't this affect our service margin? And has any other brand come up w ith this concept before ?

Pratik Pota: Thank you for that question. L et me go back and recap the rational e for doing segmented AMC. You're aware that we have an installed base of more than eight million customers. Only a small proportion of whom are part of our organized service offering. One barrier in expanding the size of our own service offer is the fact that there is a large and a parallel gr ey market which exists , no.1. No.2, customers also are very, very sensitive about pricing, especially if they have a lower priced economy products that they've purchased in t he first place. So , our launch of the tiered AMC and the segmented AMC addresses this b arrier and looking to make our service a lot more affordable and a lot more accessible. The initial feedback t hat we've got both in the pilot markets and after scale up has been encouragin g. It allows customers with differing levels of service nee

ds to tap into the different segmented offers and go for one which meets their requirements. We expect that as tiered AMC scales up , our service revenues will expand. We expect to get a lot more of our installed base into our own service offering , and we are very optimistic about how this will play out. In addition, you talked also about the fact that there is a large market of spurious products and spurious filters , we also are going after that opp ortunity in that market in a very focused way. One way of doing that is of course is to look at segment ed and tiered A MC offers. But the other way is also to increase customer awareness about what it takes to differentiate between a genuine and a fake Aquaguard filter , as also then taking legal action to come down hard on these parallel operators. So , all of these work streams are going on. We will also be doing some consumer awareness c ampaigns in the period going forward to inform customers both about a s egmented AMC offer as also what it takes to differentiate between genuine Aquaguard filters and the fake ones , and you will see that play out very soon in the market.

Gaurav Khandelwal: I think on the second part of the question on the impact on margins, as you can imagine, service business will be at a higher margin profile than a product business and that is the same thing which would play out here as well. I just want to draw attention to the fact that d ifferent price points come with different propositions and the associated cost structure. So, it's not that a lower price point offering is something which will come at a lower margin necessarily because the offerings also change dependi ng on the price point . And the w ay we structured it is to make sure that there is a certain minimum threshold margin that each of the price point offers. So, that's our approach. I think I'll just again a t the cost of rep etition draw attention to the fact that the sheer number of people who are not in the AMC fold is far bigger than those who are with us. And therein lies the opportunity which through a combination of lowering the entry barrier, awareness and access all of these three coming together along with grey market operations is intended to help unlock this value.

Devika Sethi: Sir, can you please talk about this new product that you've launched? I have b een noticing that the world is moving towards hiding their water purifiers, either inside the cabinet , on top of the sink or under the counter. So, then what was the thought b ehind this new launch, which makes water purifiers visible and attractive t o look at as well ?

Pratik Pota: It's a great point that you make. I think we are seeing a lot of tre nds play out when it comes to kitchen appliances and devices a nd when it comes to our own category . Certainly , one trend is what you spoke about, which is under the counter products. Equally , there is a trend towards having devices and kitchen appliances w hich are sleek , which fit in with modular kitchens, which fit in with all the new age devices that kitchens are now beginning to carry . And therefore, this innovation that we've done the, the glass bar range that you're speaking about , is to talk to that c onsumer and to address that opportunity . A consumer who ha s got a kitchen that is sleek, that's contemporary, that's possibly all glass and brush steel and she's looking to have a device which belongs right there. So , this marries very, very strong functio nal advantages, instant water dispensing through UV LED lamp, display of input and output TD S. So, those are very, very strong functional benefits along with a form factor , along with the design , that's modern, that's contemporary, that's sleek and that fi ts in with all the kitchen appliances that she possibly may have in a kitchen. So, this se

eks to address that opportunity. There are other opportunities that we'll also address in the months to come, which are more in the areas that you spoke about.

Moderator: We'll take the next q uestion from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: My first question is on the revenue side. So, we have done multiple product interventions like stainless steel tanks , affordable purifie rs over the past few months. So, just wanted first your thoughts on what will be the contribution of revenues coming from a ll these newer products which have got launched in the last one year? And if I look at the growth in the coming years, will it be som e of these products which will be driving that or you see further acceleration possible from these or do you expect the base business to pick up , so some thoughts on that part?

Pratik Pota: You're absolutely right. Over the last couple of quarters, we have done a number of interventions spanning a large part of our water purifier range , starting with the economy product , supported by advertising, supported by distribution expansion. We've also done innovations around stainless steel and the premium products as well . Encouraged to see that our growth in Q 2 in water purifiers was strong double -digit growth and that growth came not just from the economy range but from across our price point s. We expect this to continue and maybe to even gain momentum as we roll out more and more innovations. I spoke earlier in the call about the glass bar innovation that we've just launched. You can expect to see more innovations i n the periods to come a s we tap into emerging consumer opportunities and plug some of the gaps in a portfolio. So, to answer your question, you will see growth both from our existing range of products , but also from our innovations, both the ones that we've already done , and also the ones that are in the pipeline . Interestingly that answer holds true not just for water, but also for vacuum cleaners. We have seen strong growth come as I said in my opening remarks also from the robotic range of vacuum cleaner and we expect that to continue. We've just rolled out three new vacuum cleaners in the premium upright segment, and we've also rolled out a pet grooming kit. This happened in this quarter in October, not last quarter . But that just continues the trend of driving premium innovations a nd offering our customers differentiated propositions and we expect this to drive growth for us in vacuum cleaners as well.

Siddhartha Bera: Sir, some thoughts on the service revenue part of the business . Will the growth trajectory on that part be similar or better a nd with the new categorization bei ng launched now, do you expect any further acceleration in the service part of the business as well? Second on the cost side . Sir, we continue to do these digital initiatives to improve the customer experience and drive down cost . So, shall we expect in terms of the service charges as a percent of revenues, which are there that also to sort of come down from the current levels with these initiatives you have done or are currently doing?
Pratik Pota: So, I will just respond to your first question on service revenue, and I will request Gaurav to come in on the question on service charges . So, on service revenue, you're absolutely right. The whole logic of doing segmented and tie red AMC was to expand the size of our service offering and to drive much greater pe netration of our own AMC and own service amongst the installed base and there as Gaurav mentioned earlier, there is a lot of headroom for growth. We will also be driving, as I said earlier, awareness around genuine Aquaguard filters , and to address the lar ge number of out of warranty out of contract customers who sometimes resort to and

wide filters
on the parallel market, not knowing often whether what they're buying is genuine or fake. So, both of these will lead to growth in the service business, and you see that reflect in the quarters to come . Like I said , early feedback a nd early experience of the segment ed AMC is encouraging . But as you can imagine, this requires a fundamental behavior change from consumers. So, it will take time to build up. But we are optimistic and will remain on this path.
Gaurav Khandelwal: On the cost side, I think just to layout our approach, our focus on cost initiatives will be across all lines , starting from procurement efficiencies all the way to indirect overheads , everything and service charge would be a part of it. So, that's one specific area that we're looking at is, for example, our warehousing logistics cost, IT cost , our procurement cost because of volume benefits that come in. So , those are specific areas that we're looking at . Coming to your question on service charge, yes, amongst the larger initiatives, we would also be looking at service charge, but again, service charge is in some nature a bit of a semi variable cost because part of that cost is attributa ble to service revenue. So hence to that extent , there will be an interplay of how revenue moves . But our overall approach would be to keep looking at every single cost line and extract opportunities and efficiencies .
Moderator: The next question is from the line of Harsh it Kapadia from Elara Capital. Please go ahead.
Harshit Kapadia: A few questions from my side. Just wanted to check with you, as you mentioned in water purifiers , we have seen double- digit volume growth . Did we also see in the vacuum clean er as well a double -digit volume growth?
Pratik Pota: To your question , true is to see s trong growth across the board, especially in water purifiers, we saw strong double -digit volume growth . In vacuum cleaners w e saw growth as well a nd the growth was enco uraging. Specific sub -segments within vacuum cleaners delivered a very, very strong growth and we are seeing this as a pattern playing out in the vacuum cleaners category

where there is a move towards segment of convenient cleaning , the segments of robotic vacuum cleaners, the segments of upright vacuum cleaners, handhelds . So, these cordless more convenient vacuum cleaning options are growing much faster as it did for us in last quarter.
Harshit Kapadia: Second question is on the mix of your channel, which you have been trying to reduce your direct to home network and trying to get towards the other channel. So, how has been the growth within these channels , was it led by e -commerce or any other channel that you can highlight?
Pratik Pota: Look, I think the larger point is that, as you know , we are fortunate to have an o mni channel mosaic between retail , e-commerce and direct sales, which allows us to drive multiple G TM interventions, allows us to drive distribution , drive access , also allows us the ability of being able to create categories and sell premium propositions in a one -on-one setting environment . In Q2 specifically , we were encouraged to see strong growth in e -commerce, we were encouraged to see strong growth also in our retail b usiness and we were also encouraged to see a strong growth in our direct sales productivity . The growth actually was fairly cross -channel and across the board.
Harshit Kapadia: What has been your ad spends and promotion expenses in this particular quarter since this is the largest quarter for you? And secondly, the service charges cost has also increased in this quarter,

which you have been trying to reduce. So, anything to read out of it and do you think this is going to continue going forward?
Gaurav Khandelwal: We don't gi ve out a separate cut on

ad spends and sales promotion expenses . But what I can say is that our spends in Q2 have increased versus the previous quarter and directionally, we intend to keep investing in this area. I think from our perspective a very clear learning has been that the campaign that we came out with had a very good impact on the volume growth that we are seeing for the seco nd successive quarter. So , this will for us remain an area of focus . As far as service charge is concerned , on a sequential basis it has remained flat . On a year -on-year basis , there is a slight increase. But as I mentioned, it is a semi -variable cost. There are elements which are driven by revenue , there are others which are non-revenue linked . But again, our focus would be to keep driving efficiencies in that area as well without having an impact on the revenue part of it.
Harshit Kapadia: Just a clarification was on the filter side . Are the filters manufactured in -house by you or is it outsource d? And since we are increasing more on service side, so are we increasing any CAPEX on manufacturing filters or anything on that front would be helpful ?
Gaurav Khandelwal: On the CAPEX side, as we mentioned that we expect a step up from t he CAPEX levels of previous year . So, that is something that will play out during the course of this year. And as you seen in H1 we've almost spent an amount of CAPEX which we would typically spend in a full year. The CAPEX having said that, on the manufacturing side, we do not see any major requirement at t his point in time. We believe we have adequate capacity. Wherever investments

are needed and many of it may be required more at a vendor end than at our end, those investments will happen to cater to the increasing volume growth and that is something that we will continue looking at on a continuous basis.
Pratik Pota: On your first question, I am not sure if I heard it correctly or not, but just we do manufacture our filters in -house if that was your question .
Harshit Kapadia: Yes, sir, that was the question. So are you ramping up these spare filter s capacity since you are already reducing the charges on filter, so there could be as you expect more customers to come and take a service from you, which would be a larger share. So , are we prepared for those kind of increase which will come?
Pratik Pota: It's a good question. We are anticipating a growth in v olumes and therefore we are executing all the necessary actions required to support that volume growth both in terms of having a higher capacity in the service technician network a s also having a higher capacity to manufacture and supply filters. So , in both the fronts , we are enabling the back end to support what we believe will be the g rowth in service volumes.
Harshit Kapadia: I think what we have seen across many parts of India, the air pollution levels have increased significantly. So , are you looking to any launch anything on the air purifier front or if you can give any color on how do you expect this particular product to g row?
Pratik Pota: You're right a bsolutely. And I think at this time of the year I think all of us, whether we live in Delhi or in Bombay or in Bangalore, I think it is a very, very current topic and increasingly we are seeing that poor air quality is a challenge that will manifest itself across the country a nd across the year. We have a very small air purifier business . We've just launched two new products in this Q3. It has gone to the market more recently, which is aimed at addressing this opportunity. That said, wh ile we will have some play there fore and some growth coming from air purifiers , I think we are spending this year much more in building our capabilities, building the consumer insighting, building the playbook to allow us to drive a much larger

play on air purifier starting next year. We have no doubt that air and air purifiers will be a big opportunity for us in the years to come. And it will not just be a not -play and it will not just be a seasonal play. And we intend to create all the capabili ties and strengthen the foundation will allow us to play this much more strongly next year. While we do have a small portfolio which will do well , but materially and substantively, it will be a pla y that will manifest i tself next year.
Moderator: We'll tak e the next question from the line of Kevin Gandhi from CapG row Capital. Please go ahead.
Kevin Gandhi: I just had one question on the tiered A MC. So , just wanted to understand how much percentage of the installed base in the tier 2 or tier 3 cities as we are going for the AMC services is serviced

by our own company versus the other parallel operators which you just mentioned, so just some idea of it ?
Pratik Pota: Thanks, Kevin. T hat's the key question, right a nd therein lies the opportunity. So, like I sa id earlier, we have an installed base of about eight million customers. W ithin that there is a much larger and a substantively larger segment of consumers who are not in our service offering as compared to customers who are on a service offering, and that gap is huge . It is to address that gap and to address that opportunity that we've launched this tiered or segmented AMC offer. And by launching this offer and by supporting that through communication, digital communication, one-on-one communication, we int end to bridge the gap which exists right now, which is allowing our customers to avail official high quality Aquaguard service at a much more affordable cost. So , that's the gap that we are trying to bridge, and we are very, very optimistic about how this is going to play out.
Kevin Gandhi: How much of the service revenue growth do you expect by this initiative in coming two years or three years just some color on it can help?
Pratik Pota: Kevin, think about it in two ways. One tailwind that we see, and which will help us in our service revenues potentially is exactly what we said is the tier ed AMC and the larger attempt to expand our official service pie . It will play out gradually over time because it requires behavior change, it requires people to come to us as the current service contract expires, it will take time to play out, but it will play out, and that is clearly a tailwind . All the work that we've done, all that we have seen g ives us a lot of encouragement that will be a g ood ta ilwind for us. The other ta ilwind to our service revenues potentially is the strong volume growth that we spoke a bout in water . Knowing that our new units sold today is a potential service offer that we open up occurs to a year from now. So , strong volume growth and continuing volume growth in water purifiers is also going to be one tailwind for us i n the times to come for service revenue. So, overall put together, while we do not give a revenue guidance, the reality is that we are extremely optimistic about the way t his will play out in the periods to come.
Moderator: The next question is from the line of Sagar from Financial Research Technologies . Please go ahead.
Sagar : So, could you give an indication of what would be the size of the parallel markets in both produc ts and AMC service businesses ?
Pratik Pota: Sagar, thank you for the question. The size of the parallel market and product is not very large, about 75% to 8 0% of the market is organized on product. In the case of service , the largest share of the market is u norganized , not just for us, but for the larger category as well. I would say that the larger service market is unorganized a nd therein lies the opportunity for us to tap into it.
Sagar: I believe that the uno

rganized m arket is bigger than the organized, right ?

Pratik Pota: It would be yes, absolutely.
Sagar: Any indication what will be the size of that i n terms of value ?
Pratik Pota: Sagar it's a good question and it's a question that we often debate and discuss interna lly as well. It's very hard for us to put a number to it because of the very nature of this unstructured market and unorganized market . It is fragmented, it is very local , it is hard to quantify and hard to trace. So, very difficult t o put a number to it . But the larger point being that , as you said , the unorganized segment is larger than the organized segment of service, and in many cases, customers don't even know that they're a vailing of a parallel operator service , they think it's the organized brand gi ving them service. So , giving visibility on that , giving our customers easy access, digital access, convenient access, creating awareness, providing distribution, providing the right price point i s a way of driving service revenue is much higher and making the market a lot more organized.
Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Pratik Pota for his closing remarks. Over to you, sir.
Pratik Pota: Thank you, everyone for joining the call and asking the questions. I know that this call has happened a week after our earnings being put out and that was obviously because of the D iwali festival in between. We go back to doing the follow up call s traight after the board meeting from next quarter onwards . I hope we 've answered the questions that you've posed to us . In case you have any follow up questions, please feel free to reach out to us and w e'll be happy to respond. Thank you so much and once again, festive gre etings to all of you.
Moderator: Ladies and gentlemen, on behalf of Eureka Forbes , that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Note:
1. This document has been edited to improve readability

2. Blanks in this transcript represent inaudible or incomprehensible words.

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Call: Feb 2024

February 20 , 2024 EFL/BSE/2023- 24/97

BSE Limited
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Dalal Street, Scrip Code: 543482
Mumbai 400001 Scrip ID: EUREKAFORBE
Sub: Intimation of Transcript of Earni ngs Conference Call held on Thursday, February 15, 2024

Dear Sir/Madam,

Pursuant to Regulation 30(6) read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call held with Analysts/Inv estors on Thursday, February 15, 2024.
The transcript of the Earnings Call is available on the website of the Company at www.eurekaforbes.com .

Request you to kindly take the above information on record.
Thanking you,

For Eureka Forbes Limited
(formerly Forbes Enviro Solutions Limited)

Pragya Kaul
Company Secretary & Compliance Officer

Encl: As above

"Eureka Forbes Limited
Q3 FY'24 Earnings Conference Call"

February 15, 2024

MANAGEMENT : MR. PRATIK POTA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – EUREKA FORBES LIMITED
M R. GAURAV KHANDELWAL – CHIEF FINANCIAL OFFICER – EUREKA FORBES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Eureka Forbes Limited's Q3 FY24 Earnings Conference call. We have Mr. Pratik Pota, Managing Director & CEO, and Mr. Gaurav Khandelwal, CFO, Eureka Forbes with us. As a reminder, all participant lines will be on the listen-only mode.
There will be an opportunity for you to ask questions after the presentation concludes. Should

you need assistance during the conference, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded.
Before I hand it over to Mr. Pratik Pota, please note the disclaimer. Certain statements made by the management in today's call may be forward-looking statements. These forward-looking statements reflect management's best judgment and analysis as of today.
The actual results may differ materially from the current expectations based on a number of factors affecting the business. I now hand the conference over to Mr. Pratik Pota. Thank you and over to you, sir.
Pratik Pota: Good afternoon and I welcome you all to the Q3 Earnings Call of Eureka Forbes Limited. During the quarter, we reported a strong revenue growth of 14.1% over last year with a revenue of INR538.6 crores. Excluding the impact of discontinued operations, our Q3 revenue grew by 16.8% year-on-year. There were several dimensions to this growth. Growth was broad-based across all the three product categories of water, vacuum cleaners and air and also across the service business.
Water purifiers and vacuum cleaners continued the trend of volume growth for the third successive quarter and registered strong volume growth in Q3 as well. Within these categories in water purifier, we saw good growth in both our economy and our value-added segments. In vacuum cleaners, our robotics range primarily drove the growth along with a range of upright vacuum cleaners.
We have an omnichannel presence and the quarter's growth was reflected across all our channels. Within them, modern trade and e-commerce registered the strongest growth. Lastly, our revenues are beginning to reflect the impact of the innovation pipeline that we are building.
I will speak more about that in just a bit. On the profitability side, adjusted EBITDA margins continue to expand on a year-on-year basis, up to 9.8%, up 111 basis points from last year due to operating leverage and our structured cost optimization programs. This margin improvement was delivered despite a conscious choice of significantly dialing up our advertising spends this quarter both versus last year and versus last quarter.
Our cost program has been instrumental in giving us the headroom to invest behind growth and will continue to remain focused on driving cost optimization. We continue to strengthen our balance sheet with a net surplus of INR60 crores as compared to our net surplus of INR9 crores in the previous quarter and a net debt of INR122 crores in Q3 FY23. As we reflect on our transformation journey, I am pleased to see that many of our efforts are beginning to bear fruit.

Our growth of 16.8% is a visible improvement versus the last few quarters' performance and also compared to earlier long periods of sustained low single-digit growth. The fact that this growth was volume driven is an important dimension and difference versus the largely pricing-led growth of the prior years. Our focus on driving innovation is showing some visible outcomes.
In Q3, we launched new products in all our categories. In water purifiers, we launched the ‘Aquaguard Slimtech Glass Range’ with a classy contemporary design. ‘Aquaguard Blaze Insta’ with a differentiated functionality of instant hot water and two new products with alkaline wate

r
functionality.
In vacuum cleaners, we launched an exciting range of convenient, handheld and cordless vacuum cleaners, the Forbes ZeroBend Z Series and a category-first Pet Grooming Kit, the Forbes Buddy. Our new range of 360 Surround Air Purifiers too did well last quarter.
Importantly, the quality and profile of our innovations like the Slimtech Range, ZeroBend vacuum cleaners etc. indicate Eureka Forbes reclaiming its role as a pioneer and innovator in our categories. We will continue the focus on innovations and we plan to launch several new products in the coming quarters as well. Building our categories and driving growth will require compelling and category-creating communication.
As you know, we made a start with our ’Nal Se Kapda’ campaign early in the year. I am pleased to share that the campaign was selected as an Effie Award winner, which is an award for marketing effectiveness campaigns. We increased our advertising spend in Q3 and ran the first ever TV campaign on our Forbes Pro robotic vacuum cleaner with extremely encouraging results.
We will continue to invest on advertising and category-creating communication and to this effect, we have recently launched our first ever service campaign to increase awareness of Genuine Aquaguard Service. Our efforts at improving our customer service levels have also begun to deliver visible results. Q3 saw significant improvement in service levels and turnaround times and our NPS was at an all-time high.

In summary, we are happy with our strong all-round Q3 performance. Looking ahead, we feel very confident that we have the right strategy and the right set of plans to drive sustained and profitable growth in the future and to transform Eureka Forbes into a D2C health and hygiene powerhouse.
On that note, I will now hand you over to Gaurav Khandelwal, our CFO, who will provide more details about our financial performance. Over to you, Gaurav.
Gaurav Khandelwal: Thank you, Pratik. Good afternoon, everyone, and thank you for joining us. Q3 witnessed a continuing step-up in our performance on all three fronts of revenue, profitability and cash flows.
Our revenue at INR538.6 crores grew by 14.1% on a year-on-year basis. Adjusted for discontinued businesses, our revenues grew 16.8%. More importantly, this growth was broad-based across categories and channels and intrinsically driven by volumes. Gross margins were flat at 58.9% versus previous years, and we expect these to remain range-bound. Our diverse

portfolio, a service revenue stream and an ongoing cost program gives us the levers to drive gross margins. Our continued focus on cost initiatives ensured that our employee costs and service charges were largely flat versus previous years.
Q3 employee costs include a non-cash ESOP charge of INR10.7 crores, and we expect these ESOP charges to remain at these levels in the coming quarters. Our key agenda is to drive profitable growth, and towards this end, this quarter witnessed increased advertisement spends to support our launches and innovations. Year-on-year increase of INR21.7 crores in other expenses line is largely attributable to increase in advertisement and sales promotion spends. Our efficiency initiatives in various cost lines have given us the headroom to invest more for growth.
It is important to call out that a year-on-year EBITDA margin improvement of 111 basis points is after a significant 310 basis point increase in our advertisement and sales promotion spends. Also, when we see a quarter-on-quarter EBITDA margin movement, there is an increase of 150 basis points in advertisement and sales promotion spends. We believe that there are more efficiencies that can be extracted to drive growth investments and profitability.
Strong cash flow generation continued in quarter 3 from INR122 crores debt in December 202

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we moved to a surplus of INR9 crores in September 2023 and were at INR60 crores in December 2023, leading to a 60% lower finance charge year-on-year. The combined effect of the above has led to an adjusted EBITDA growth of 28.6%, an adjusted PBT growth of 45.6% and a PAT increase of 131.3% on a year-on-year basis. In summary, all three financial matrices of top line, bottom line and cash flows show an improving trajectory. We continue to remain focused on executing the transformation agenda to drive sustained profitable growth going ahead. Thank you.
Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.
Priyank Chheda: Hi, so my question is if you can help on some data point on the service income, so what would be the percentage of new customers buying your innovated, new AMC plans on the new products? And in few calls earlier you had mentioned that large universe of your customers existing base is getting serviced on parallel or grey market, so how has that been trending now with all the interventions coming from your side?
Pratik Pota : Thank you for your question Priyank. Let me begin by first talking about our service business and the performance we delivered in Q3 in service. I think we were encouraged to see a robust value growth in our service business but equally also a very encouraging volume growth in the number of AMCs that we sold. Within this, one small nuance that I want to call out also, is the fact that our web based AMCs saw significant increase versus both last year and versus last quarter.
Like you rightly mentioned, there is a large segment of unorganized service play wherein the parallel market provides service to a customer. It is precisely to talk to this customer base that

we have launched an advertising campaign which calls out the benefits of Aquaguard genuine

service. We've also launched our new filters which look different, which are in a grey packaging and grey sort of body.
And they also have a QR code which allow for authentication by customers and which we are calling out very clearly in our communication. Our segmented AMCs that we had launched last year is also helping in driving both volume growth and the expansion of the franchise of customers that we service with our genuine service. So overall, I believe we have got a strong set of plans in motion that we believe will help us grow our service business sustainably.
And will help us address this large market like you said of parallel operators.
Priyank Chheda: So, just to clarify, the volume growth in the services, so the number of AMCs sold as a percentage would be much higher than what the new products are getting sold. I hope the reading is correct.
Pratik Pota: No Priyank, I did not comment about one as compared to the other. My comment was, which I also called out in my opening remarks, that we saw good growth in both the product business and in the service business. And in the service business specifically, like I said, we saw both value growth and a growth in the number of units of AMCs sold, in other words, volume growth.
And we also saw an increase in the online element within that of service sales. I hope that clarifies.
Priyank Chheda: Got it. And in the continuation of this service portion going up as we progress, how should we view gross margins in the long term? And this is kind of a contrasting to your guidance in the CFO remarks I heard. We have a guidance of keeping gross margins at a similar level. So, how should we view for the longer term as service income grows, how should the gross margin trending ahead?
Gaurav Khandelwal: Yes, I think, Priyank, I'll just call out the fact that yes, gross margins for the service business is higher than the product

business. And yes, directionally it will be gross margin accretive for the business overall. Having said that, if you go back to a strategy, it is also about driving penetration and there will be an equal amount of push on the product business as well. So, they will go in tandem and our belief is that between the two there will be an element of balancing.
But obviously, wherever there are opportunities to drive gross margin improvement, those opportunities we will be looking at availing off.
Priyank Chheda: Got it. Very clear. Just a last question, may I add. Being such a young organization in our new avatar, why would our growth get restricted at 15%-17%? Would we see a kind of a linear pickup in our sales growth is how our category would see or would we see a very step up growth after a few years of investment into brands? And as well as if you can call out what would be the percentage of sales coming from the new products launches?

Pratik Pota: Got it, Priyank. I think, first of all, it's important to take a step back and look at the growth delivered this quarter in a broader context. We delivered this growth and as you know this growth represents a continued increase in growth over the last few quarters. I call out the fact that this growth was volume based. The fact that this growth was broad based across all our categories and all our channels. That's the other important point to underline.
I also want to call out that we have the right set of plans and a very clear strategy aimed at driving sustained growth in the future. We have a very clear plan to drive penetration in water purifiers, to expand the category size, to get in many more users by converting non-users into users. We also have a very clear plan – early signs which you are seeing already of launching differentiated and premium innovations aimed at providing our existing customers and non-users with very, very value-added propositions.
Again, thus we've seen some launches happen already and you will see more action in the future.
We also have a very clear strategy of growing a service business and we spoke about it just a little while back. And the fourth element of our strategy is to grow our D2C and our digital business. Again, we saw some green shoots on that both in quarter three and earlier. All of this we believe will give us a path and will have put us on a path to deliver sustained growth in the longer term.
I don't want to comment on quarterly outlook because there will be some noise there, but if I take that shorter term noise out, the fact that we are well positioned to deliver sustained growth and sustained profitable growth in the longer term, that is unambiguous, that is absolutely clear.
Priyank Chheda: All right. All the best and thank you for answering our questions.
Pratik Pota: Thank you, Priyank.
Moderator: Thank you. The next question is from the line of Devika Sethi from Ratnabali Securities Pvt. Ltd. Please go ahead.

Devika Sethi: Hello, sir. Thank you. Congratulations on a great set of numbers. So, sir, I wanted to understand what kind of seasonality do we experience in our products and why?
Pratik Pota: Thank you, Devika. Thank you for your compliment. On your question, there is a seasonality that we see certainly in the water business, wherein typically our quarter two ends up being a bigger quarter because it's accompanied by monsoons and there is a very clear effort both from consumers and from people like us to drive categories and there is a citing concern about people falling ill. So quarter two typically you end up seeing some spikes. Our attempt has been to even as we drive this seasonality.
And make sure we grow and we gain share, we also want to grow the shoulder quarters and therefore our innovations, our initiatives in quarter three as you saw was significantly more th

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what we delivered in quarter two. So if you look at the last three quarters and our journey, our first attempt and if I go even earlier back to last year, our first attempt and first set of initiatives

were aimed at building capabilities and laying the foundations, getting the team right, building the right set of plans.
In stage 2, we created elbow room for ourselves by driving improved profitability. Elbow room to invest, elbow room to drive growth. And in quarter three you have now begun to see the impact of innovations come by. Impact of innovations, impact of more sustained and more aggressive advertising support and that led to the growth that you have seen this quarter. So while there is seasonality which we will ride on and we will build on, we also intend to grow the other adjacent quarters and the shoulders.
Devika Sethi: Okay, thank you for the detailed answer. My next question is we make commercial water purifiers and even vacuum cleaners for institutions, schools, etcetera. And because of the increased intensity of air pollution, do we plan to make commercial air purifiers as well? Is it in our pipeline?
Pratik Pota: Devika, what we intend to do in the air purifier business is first to invest in growing the residential and the domestic market and the B2C market. We believe that with air quality turning adverse and there being a lot more awareness and sensitization about the ample effects of poorer air quality, we believe there is a long runway we have to drive growth in the B2C segment itself. And in fact in quarter three as well as I mentioned earlier, we launched a range of air purifiers. We saw very, very encouraging growth and response and we intend to sustain this and build on this. We believe air could be a very big category for us in the future, but we will invest in it progressively in a calibrated way. As of now, we have no plans to enter in the B2B side of air purifiers.
Devika Sethi: Okay, thank you so much. That’s it from my side.
Pratik Pota: Thank you, Devika.
Moderator: Thank you. Ladies and gentlemen, if you wish to ask a question, you may please press star and one. We have the next question from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.
Aniruddha Joshi: Yes, sir thanks for the opportunity. So three questions. One, if you can elaborate on the rental model which we had launched only in Tamil Nadu. So what has been the feedback on that rental model? Is the success as per the expectations of the company? And secondly, do you see this plan getting rolled out pan-India basis? Question one.
Question two: We have introduced a pet buddy, but how big is the market and do you see any real investment in this kind of a model that can really lead to a sizable revenue, at least in over next two years, three years? So what has been the thought process and what is the revenue potential over a three to four year timeframe, if you can indicate?
And third, so we have already done a good amount of portfolio restructuring. So do you see, if there is still need to introduce some of the premium products and even to reduce or cut down

some of the older SKUs so as to rationalize the number of SKUs in the market? So where are we on this thing? Yes, that's it from my side. Thank you.
Pratik Pota: Thank you, Aniruddha. Let me start with your first question on the rental pilot and the rental

model. Like you rightly said, we've got the rental pilot in play in Chennai. We continue to observe and monitor the rental business and the rental pilot very closely in Chennai. And you'll be happy to know that there's some very valuable learnings that we are distilling from the pilot. There's some learning that we have drawn about the pricing and the pr

oduct and the range that
we need to have.
There's a very clear learning about service and customer expectations of service, both the speed of service, the reliability of service, there's some learning for our on-ground teams, our field teams on execution, on the responsiveness, on the rigor. And also some learning on our digital experience and ease of access, the intuitive nature of UI, UX, etcetera. And that's what we are drawing as learning's. We are now, based on these learnings, we are looking to scale this up in the next financial year.
And as you can imagine, this is the time of the year when we draw up our annual plans for next year. So doing a progressive extension of this pilot is something we certainly evaluate for FY25. The extension will be calibrated, it will be measured, because we believe this could be a very, very big market. But we want to make sure we take measured steps and not plunge into it headlong right away. So this will be a very deliberate and very measured expansion of rental, starting with a few towns, based on the learnings from the Chennai pilot.
That's where I must also say that we don't see this happening earlier than second half of next year. So that's the answer on rental. On pet buddy, and I'm glad you noticed that product, it's one of my own personal favourites. It is a very, very convenient product for pet parents. All our consumer work shows that the pet care market is a market that's growing very, very rapidly and growing very encouragingly, and can be much bigger than what it is right now.
All the consumer work again shows that pet parents tend to indulge and have a very different threshold to expenditure compared to other consumers.
And we are seeing that already in the early response to the Forbes Pro Buddy. As we imagine, Aniruddha, having a direct sales channel is also a very effective channel for us to do the demonstrations and to do the category creation work required for Forbes Pro. On a lighter note, the challenge happens sometimes when our frontline team members are afraid of pets, but there is a way that we found of working around that, but the learning has been very encouraging.
And this could be a big product for us in the future. I don't want to put a number to it, because I think number would be misleading, because the number would be very, very large. I don't want to cap our ambition, but it could be very significant and meaningful in the future. And again, going forward, this will not remain a one-off product. We will certainly evaluate based on the early learning on how we can expand this and create a larger range around pet care.

On your third question about portfolio restructuring, you were right in your observation that we have done some work already in restructuring and optimizing a portfolio. What we intend to do in the future is, and I called it out in my earlier remarks as well, is two or three things. First one is, we intend to stay focused on driving penetration in the category, and that may require us to create the right products for different consumer segments and different non-users. So that's the first thing.
The second area where we will remain focused is on driving innovations, driving differentiated innovations driving premium innovations, and value-added innovations. That will require us to add some products in a portfolio. And again, going back to what you asked, the expansion of the innovations will happen at both ends of the spectrum.
You will see innovations coming at the value end, but you will also see some very exciting and very significant innovations coming at the super-premium end and the premium end. And that will play out over the next few quarters progressively.
As we launch these new products, you can be sure that we will remain focused on looking at opportunities for rationalization

and culling products that do not belong in the future. So we will
try and stay lean, try and stay optimized on the portfolio, but we will be investing in creating new propositions and driving innovations at both ends of the spectrum.
Aniruddha Joshi: Okay. Sure, sir. Understood. So just last one question, now we have seen in case of air purifier, the market is shifting in other ways also. For example, there are air conditioners which offer some sort of air purification also. Or even there are companies who have introduced ceiling fans with the benefit of even air purifier also. So will we contemplate launching such products or how do you see the air purifier per se market getting impacted by such products? So what will

be the strategy of Eureka in this regard?
Pratik Pota: That's such a good question, Aniruddha. And you are absolutely right that there are people attempting to enter this category and address this opportunity from different vantage points. And that is absolutely outstanding news. Because the more people enter this category, the more news they create, the more will be the visibility of this category and more will be the awareness creation. This category is so small now, Aniruddha, so microscopically small that any attempt to grow this category can only be accretive and only be growth enabling.
So as of now, our focus remains on the consumer and we believe that we have the right strategy and the right plan to incubate and grow this category. That said, we will remain open. We will remain consumer-focused and consumer-centric. If the consumer wants us to do something different, we will of course remain open to it. but the category is so small right now that there is enough and more that all of us can do to just work together and grow this category.
Also, just one more point, Aniruddha, on this one. Just to conclude that point. Remember, our service business ends up being an important dimension, an important force multiplier for us. Because in many ways, air purifiers are analogous to water purifiers and require service, require

filter changes. And again, our strength in service will help us wield that and grow the category and grow the range much more effectively.
Aniruddha Joshi: Okay, sure, sir. Understood. Very helpful. Many thanks.
Pratik Pota: Thank you, Aniruddha. Thank you for the questions.
Moderator: Thank you. The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: Hi, sir. Thanks for the opportunity. Sir, first question is on this growth side. So is it possible to sort of indicate? So we have done this affordable launches in the past to expand the market. so how much percentage of our revenues will be coming from the affordable products in the water purifier category? If you can share some numbers, it will be really helpful to track the progress.
Pratik Pota: Thank you, Siddhartha. Thank you for that question. I think our quarter three performance, as I mentioned earlier, saw very encouraging growth across all our categories; water purifiers, vacuum cleaners, air, across the board. In water purifier, our growth was driven not just by the value segment and not just by the economy product, but we also saw strong growth coming from the mid-price segment and the premium segment.
As you also saw, in quarter three, we launched a number of innovations. All of these were in the premium price points, be it the Aquaguard Slimtech range or indeed the Blaze Insta Hot product. They are all at the premium price point. So going forward, you will see our growth come from a variety of products and propositions. You will see the value range driving growth, but you also see us drive growth in the mid-price and the premium segments.
One very interesting data point that I want to call out is that as we see customer entry into

the
mid-price and premium segments, just like we saw in economy, a large number of customers are entering to the mid-price and premium products. So even new entrants are opting for more expensive, more premium, but more differentiated product propositions.
So therefore, our belief now is that it will be not just economy and value that will drive penetration, it will also drive penetration to the complete stack and the complete range of purifiers, provided they deliver to a customer proposition and customer-relevant proposition meaningfully.
Siddhartha Bera: Got it. In terms of slightly more color on the growth, will it be possible to indicate generally the growth will be led by the urban regions or how is the rural areas or which will be your focus area in the near term and whether this growth number can have further upside if you sort of penetrate more into a particular category. So some thoughts there.
And secondly, sir, on the margin side, you talked about multiple catalysts more remaining for further improvement. So some color which will be these areas which can sort of support further improvement from current level.

Pratik Pota: Siddhartha, I'm sorry. I didn't get your second question. Can you repeat the second question, please?

Siddhartha Bera: Sir, on the margin side, so what will be the catalysts for improvement?
Pratik Pota: Margin side, okay, got it. Sorry, I didn't hear that. So let me answer your earlier question first and I will request Gaurav to chip in on the margin improvement point. I think one additional element of a growth in quarter 3, apart from the growth being cross category, cross channel, was the fact that we saw strong growth in both metros, non-metros and the smaller towns.
We saw growth come from modern trade, which obviously as you imagine is more in larger towns. We saw growth come from general trade, which goes down the Forbes data. We saw growth coming from our direct channel, both in the metros and smaller towns. And we saw very strong growth come from e-commerce. And e-commerce, as we spoke to a part and then we saw the data, the e-commerce growth was across the Forbes data; small towns, large towns and metros.
I would say that our contribution of pure play is rural is still small, but you can be sure that in our plans, we intend to build a much larger rural portfolio going forward. The good news is that five quarters availability, power availability in small towns and in rural is becoming meaningful now. And this, we believe, offers us a runway for growth in the future. Gaurav?
Gaurav Khandelwal: Yes. I think, Siddhartha, multiple levers available as far as margins are concerned. Let me break this into smaller parts. I think one on the cost side, I think some of the areas where we see very clear line of sight is around COGS. I think an outcome of a volume growth in a business is that it gives you better leverage in negotiating better prices. So COGS is one area that we've identified as a big opportunity.
The second is that when we look at some of our spend lines, e.g., our IT spends, our freight and logistics spends, and when we benchmark it to other companies, we clearly see a headroom of driving efficiencies. So I think cost is one area where we believe that there is still adequate opportunities to be extracted.
The second is around product mix. And I think one interesting thing that we've seen is that the new users who are coming in are not just in the economy segment, they are also coming in the mid and premium segment. So we have a portfolio opportunity within our product business in terms of economy, mid and premium.
So that mix is a driver for us in terms of margins. And the third is, of course, our service business. It's a combination of cost, it's a combination of our product portfolio, and it's a combination of our product

versus service business.
I think the best manifestation of this is the fact that when you look at a year-on-year margin improvement of 111 basis points, this has come after a conscious investment in advertisement and promotion of 310 basis points. So after having invested this more, we are still able to drive a year-on-year improvement.

Even if you look at the sequential margins, in a quarter which was non-seasonal, and for a business with high gross margin, the EBITDA margin was down only by 54 basis points. And this is after investing 150 basis points more on advertisement and sales promotion. So from our perspective, I think we see there being multiple levers to drive margins. And from our perspective, we don't see any of these to be a one-time exercise. These are levers which are going to be deployed on an ongoing basis to drive profitable growth.
Siddhartha Bera: Thanks for the opportunity. I'll come back in the queue.
Moderator: Thank you. We have the next question from the line of Abhijit Akella from Kotak Securities. Please go ahead.
Abhijit Akella: Yes. Good afternoon. Thanks for taking my questions. First, just on the volume growth, while I understand that most of the revenue growth this quarter was driven by volumes, if possible, would it be possible to share some sense of how much in quantity terms the volume growth exactly was for this quarter, and particularly in the water purifier category?
Pratik Pota: Thank you for your questions, Abhijit, or rather for your question. Like you mentioned, our growth in quarter three was strong. And as we had called out, it was driven on the back of encouraging volume growth. And the encouraging part was that this growth was across all our categories; water, vacuum cleaners, air. And within water, we saw growth across all segments of water purifiers; economy, mid-price, and premium.
We also saw strong growth in the RO range of purifiers and the UV range of purifiers. We saw growth in all the regions and we saw growth across all our channels. So this was very, very broad based and very robust. As you know, we don't give numbers, but I can say without any doubt that our growth and our volume growth in water purifiers was strong double digits.
Abhijit Akella: Understood. Thank you. That's helpful. And then on the advertising and promotional spending,

is there a rough target we have in mind for this year and maybe next year as well in terms of the absolute amount or percentage of sales? And in that context, can we continue to expect a sustained increase in EBITDA margins over the next couple of years, maybe touching 12% or 13% in the next couple of years?

Pratik Pota: Let me begin by giving you the answer, and then I'll request GK to add and build on my answer. I think first of all, I want to call out the point about EBITDA, the second part of your question. We had called out in our earlier communication that our journey of margin improvement and EBITDA will take us to a space somewhere between the durable benchmark and where maybe some competition could be right now. So between 8%, 9%, 10% to 18%, 19%, 20%. We will not be at either bookends. We intend to firmly travel on this continuum forward. So that's number one.

Number two, even as we invest in advertising, and we will need to invest in advertising to drive category growth, to drive volumes and to drive revenue… to drive our innovations that we are launching. Even as we do that, we believe we have the right levers and the elbow room to extract efficiency from other cost lines, remove and shed inefficiency, and make sure that we drive

investments in communication in a way that's sustainable and that helps us drive profitability and margin improvement.

Gaurav Khandelwa

l: And I think just to build on it, just a couple of points, Abhijit. I think one, we shouldn't see advertisement spends as a plus-plus to our expense line because this will be done in conjunction with efficiencies in other lines. Keeping that in mind, keeping in mind the requirement of growth, and keeping in mind profitability considerations.

The second is that from our perspective, this is one part of the larger roadmap that we have in mind in terms of driving year-on-year margin improvement. So we're very clear that we not wanting to be at either of the two bookends that Pratik spoke about would require a year-on-year margin improvement, and we have a roadmap around that.

Abhijit Akella: Got it. Thank you so much. And just one last thing, if I may, is on the improvement in service metrics. Pratik, you spoke at the beginning about improvement in service levels and turnaround times on NPS as well, I believe. So any sort of metrics you could share around that, you know, that would be great. Thank you so much.

Pratik Pota: No, Amit, I'm glad you noticed that, and thank you for your question. And this is one area which doesn't reflect necessarily in revenue or in margin KPIs, but it's obviously, as you can imagine, a very important enabler for sustained growth and our own reputation and customer experience. So towards that, in quarter three, we made very good progress on all our key service KPIs. Without putting numbers to them, let me tell you what kind of KPIs I'm speaking about. The number of complaints that we have opened at any point in time, that number went down consistently and was a very, very encouraging number in quarter three. The time taken to respond to complaints, the number of complaints we closed in one hour, the number of complaints we closed in four hours, the number of complaints we closed in 24 hours, all of these improved significantly.

And remember, as we're looking at these KPIs, we are not benchmarking consumer durables. We recognize that the customer expectations have changed, and therefore, and this is the customer who is getting accustomed to the quick commerce kind of service levels and timelines, and therefore our service aspirations are keeping in mind this context. And therefore, even in that context, you are encouraged by the improved service levels and turnaround times.

Yes, so across the board, and of course, like I said, this immediately translated and led to improvement across the board on the net promoter score and increase in the number of promoters and decrease in the number of detractors.

Moderator: Thank you. The next question is from the line of Rahul Kumar Paliwal from Shefa Family Office. Please go ahead.

Rahul Kumar Paliwal: Thanks for the opportunity. So Eureka created a legacy in cleaning and hygiene, but there seems to be a gap in technology-driven space. Like Apple kind of approach, which surprises consumers through advanced health care, new features, deep insights into consumer health areas, and best

perspective towards science and product aesthetics. Not only in look and feel, but the DIY side also. So that's one observation for growth going ahead. Then you spoke about innovation.
So my question is on this R&D side. Is it an in-house team? What is the size of the team, and how does it work for you, like talent profile, innovation, index measurement? How does it work so far the innovation is concerned? That's question number one. Question number two is on this air purification and water purification side.
This seems to be a large opportunity. But when we look at the products, the basic specification, like CADR, which is a Clean Air Delivery Rate, is missing. And that feature is not there in our advanced product, even including the new one launched. Like a few other European standard product, Blue Air, and all they do

about air purification. I think we should look into those space.
And in the water purification, I feel this electrolyzer moment is a big, so far the science is concerned. And that could create altogether a new category in water science, through not only purification and mineral addition space, but beyond it. So maybe you can consider it and answer about this.
Pratik Pota: Thank you, Rahul. Thank you for your question. And I was struck especially by your first question. You were comparing us to other tech businesses, companies like Apple, etcetera. But I think it's a very, very important point that you call out. If you think about it, Eureka Forbes, from its inception, was imagined to be a direct-to-consumer company.
With a direct sales channel, with a large service network. And that has remained some of our strengths over the years, even as we have acquired new ones. What we are now doing is to reimagine the company in making it D2C, with a much more technology-enabled, digitally-enabled, data-enabled way of working.
Which is why, in my opening remarks, I spoke about D2C health and hygiene powerhouse. So this is a new form of D2C, using the part of digital, part of data, etcetera. And you will see us do a lot of work progressively over the months to come. Our D2C revenue business, from both service and from product, has increased. And therefore, that needs to be something that we need to drive over the quarters to come. You will see us also invest in innovating around smart devices.
We know, and you know Apple for example, Apple Watch is a great case in point, where consumers, like any wearable device, look at data, obsess over their own data on health, and you know, footsteps, heart rate, etcetera. So we know that there is a growing cohort of consumers who like to look at health data. And what better way of driving health than to stay hydrated, and to have an adequate quantity of water.
So therefore, you will see us invest in innovating around smart devices, along with providing customers informed and intelligent value-added insights around their water consumption and hydration. So that will be one area that you will see us invest more and more. So that's number two.

Number three, on your question about R&D, the R&D category and the team that we have. I don't want to put numbers to the R&D team, but our R&D team and R&D efforts are largely in-house, even as we partner with external agencies, like academic institutions, IITs, etcetera, in driving collaboration and partnerships. And I'm happy to tell you that our R&D team is solid, is best-in-class, really, in our categories.
And in the last one year, we've invested in strengthening the capability by adding capabilities around smart, around IoT, around design and engineering, building a stronger team for cleaning and for air. And all of these, we believe, will help us drive innovations and differentiation and basic science work much more in the future. You talked about air and water being a large opportunity.
Couldn't agree more with you. And your observation about CADR, let me just tell you that both our air purifiers have a CADR called out, which, as you rightly mentioned, is a very important metric. Our AP150 air purifier has a CADR of 150 and our AP355 has a CADR of 355.
The name there captures the CADR. And all documentation, customer-facing material has this called out. But I hear your implicit feedback. I will make sure that it's called out more clearly and more unambiguously.
Rahul Kumar Paliwal: Thanks. And about electrolyzer moment in science, like we are getting into a time when the Gigafactories have been established in electrolyzers. So we are moving from purely a purification to advanced stage in not only mineralization of the water, but maybe playing with the water in terms of

H2O, right? So a mix of H2O in terms of alkaline water and so on so forth.
So how do you look at that opportunity and this sourcing of electrolyzer? I'm talking about like a can-can water kind of thing also.
Pratik Pota: Right, right.
Rahul Kumar Paliwal: So how do you look at this space? It will be outsourcing. And I want to plug another question about manufacturing. I mean, would you continue to be having the white labeling or wanted to get into more of manufacturing to own processes, technology innovation, in-house quality control and so on, which comes when we own the manufacturing side also, including the margin expansion.
So this thing, there will be certain point of time you might think about it. And what would be, what will be that trigger where you will think about, you know, getting into manufacturing itself, then the branding and the service side of this product?
Pratik Pota: So, Rahul, on your earlier question on electrolysis and also on the fact that are we getting into more differentiated products like you talked about can-can, etcetera. I think, let me step back and talk about two things. In the short term, first of all, I called out also my opening remarks, that our value-added water purifier segment, including alkaline water space, rose significant growth for us.

In fact, we were encouraged to see the response to alkaline water purifiers in general trade channel as well. And we could see that this was therefore a much more broad-based acceptance of this segment amongst consumers, not just people, you know, maybe who are more informed and more involved. So, we were encouraged to see that.
Going forward, we also are seeing the emergence of exciting new technologies, which are potentially going to open the door for us for the next technology after RO. And towards that, whether it's EDI or CDI, any of these technologies. So, our R&D team is doing some very, very exciting work now, both within ourselves and with partnerships.
We believe that will open the door for us to build the next range of water purifiers in the future.
I won't spend more time on this because it's obviously sensitive information, but you can be sure that we are at the early stage of the new technology and exploring ways of commercializing it.
On your second question about manufacturing, our manufacturing of water purifiers is entirely in-house.
And we have all the capabilities required to drive high-quality manufacturing. We have a very strong QA team and very robust QA processes. We have two factories, one in Bangalore, one in Dehradun. Our vacuum cleaner production is a combination of what we produce in these two factories plus what we outsource. And we'll, of course, remain open to looking at ways of insourcing more and more of the products as we go forward.
Moderator: Thank you. The next question is from the line of Harshit Kapadia from EIara Capital. Please go ahead.
Harshit Kapadia: Hi. Thanks for the opportunity and congratulations for achieving a double-digit volume growth, which you have been saying multiple times. So, congrats on that. A few questions from my side.
Since we have seen a double-digit volume growth, what has been the market share gains for Eureka Forbes in the water purifier and vacuum cleaner category? So, we retain our number one position.
But if you can give a sense, have we touched above 50% share in water purifier and probably around 70% share in vacuum cleaner? Is that the first question? Secondly, you had been mentioning on the service side that the consumers who are having AquaGuard and were not using the service of AquaGuard has been significantly higher.
So, has that proportion now come to equal level? Thirdly, just wanted to check you on the distribution, your revenue contribution where we were very significantly present on D2C channel. And now, sin

ce we are focusing on modern retail, so that share, how has it moved and what is the touch point that you have reached in terms of modern retail outlets? And where do you expect this number to go to? Thank you.
Pratik Pota: Thank you for your questions, Harshit, and thank you for your wishes. On your first question, I am happy to report and share with you that we have gained market share unambiguously in both water purifiers and in vacuum cleaners. In water purifiers, we were pleased to see a very strong gain in our modern trade channel.

And we were pleased to see a gain across different chains, different geographies, different segments. This gain, market share gain, was both volume and value. As you know, we don't share market share in absolute numbers. And in any case, the market share is reported only for retail by GFK, the third-party audit. And therefore, that's something we believe which does not represent and capture the entirety of market share. But both in retail and in its entirety, our market share gain was robust.
And like I said, it was both in EWP, in water purifiers, and in vacuum cleaners. And we expect that as we drive growth, as we drive innovations, especially in the premium space, we expect to continue to gain market share going forward. Moving on to your second question on service, you're absolutely right.
Our endeavor is to talk to the AquaGuard consumer, who is often unknowingly availing of a parallel operator service. And the attempt that we've been making is to drive awareness, drive ease of access, drive ease of authentication, to convert a large part of this parallel market into the organized AquaGuard space. Like I said, we are pleased with the progress we made in quarter three, with both volume and value growth coming our way in service.
But this will be a long journey. Behaviour change, changing the channel contours will be a sustained effort progressively, quarter after quarter after quarter. And I think it would be facile to expect some meaningful change only in one quarter.
But you can be sure that we will stay resolute, we will stay focused, and we already have and we will continue to have a strong set of plans aimed at converting a growing share of this market into the organized AquaGuard space. On your third question of D2C versus modern trade, actually there is no versus. We believe there is space for both a direct channel to grow.
Our online D2C segmented channel to grow, and of course, modern trade to grow. Indeed, as we demonstrated in quarter three, we were encouraging growth in a direct channel. And one interesting thing, one element of direct channel growth was our robust delivery of growth through premium vacuum cleaners, especially robotics.
And products like robotics respond very well to demonstrations. Robotics applied vacuum cleaners respond really well to demonstrations. And indeed, we delivered that and we saw that in quarter three as well. We also saw strong growth in modern trade, as I said earlier. And given where we are, I don't think it will be an either or. We intend to grow all these channels, modern trade, our direct channels, and indeed our online D2C channels. I hope that answers your question.
Harshit Kapadia: Thank you, sir. Thank you. Just one final question to GK. Your capex number was at INR60 crores for FY '24 and FY '25. Is that the number which you still retain or is there any change there?
Gaurav Khandelwal: No, I think like other all areas of spends, capex is also an area where we will get opportunities of efficiencies that are there having two or three things.

We do expect our capex to be higher than our previous levels of INR17 crores-INR18 crores. We expect this year to be more in the range

of INR40 crores-INR45 crores. And hence, we would be spending lower than what we thought. It's largely being driven by a choice of moving our digital development in-house.
We've made significant investment in our digital teams. And we believe that we have the right capability to kind of build whatever products that we want to build. And hence, that's a conscious model choice that we've made without impacting any of the outcomes.
The second point I want to call out is the fact that a capex on innovations and building a pipeline which goes beyond the coming year as well. That is something which continues. And the manifestation of that has been some of the recent innovations that you've seen. And going ahead also, you will keep on seeing innovations coming up.
Harshit Kapadia: Fair enough. And this last question on premiumization, as sir spoke about. Is it possible to share some sense on what percentage of your product portfolio is premiumized in water purifier and in vacuum cleaner?
Pratik Pota: So, it will be hard to share numbers on the mix of the premium products. But like I said, we saw growth in both the value end of the spectrum,the mid-priced products as also the premium segment.
Our innovations, as you have seen, have been at least in quarter three, have been much more in

the premium space. But as we go forward, we will have innovations and we will have a strong set of products spanning the entire continuum, the entire spectrum. We believe there is a lot of room for us to drive premium products for sure.
And we have seen that in category after category, the premium segments have been more robust, have responded well. We believe there is room for us to also compress the repurchase cycles of our existing customers by providing differentiated products, providing premium products. So, that is certainly an area of focus.
So, hard to share numbers, but that's an area you will see us focusing on more and more as we go forward.
Harshit Kapadia: Okay, sir. Thank you very much and wish you all the best.
Pratik Pota: Thank you, Harshit.
Moderator: Thank you. The next question is from the line of Kevin Gandhi from CapGrow Capital Advisors. Please go ahead.
Kevin Gandhi: Hello, thanks for taking my question.
Pratik Pota: Hello. Yes, we can hear you please. Go ahead.

Kevin Gandhi: Yes. So, just wanted to understand the margin improvement which you just talked about from approximately 9% to like 14%-15%. So, and as we seen as the service side that the gross margin has already been capped at a certain level.
How do you see from which all pockets of expenses do you see this growth in margins coming from? And in how many time or how many years to be to say that you expect this margin number to grow? So, Yes. Thank you.
Gaurav Khandelwal: Yes, I think two or three call outs on the question. One around the fact that, bear in mind the fact that we are a very high gross margin business and the impact of operating leverage is very high.
So, that is something that as we go along that will be one big driver of profitability.
So, that's one. Number two is around the fact that within the cost lines that we have, there are opportunities that have been identified and we are working upon, which is specifically in COGS, in freight logistics, in IT. And there we believe there is significant headroom for margin improvements.
And third, of course, is the mix that we have both within our product portfolio of premium versus non-premium and our service business. So, I think from our perspective, we see multiple drivers across cost, across mix, and across operating leverage via growth. I think I just want to clarify a couple of things.
One is around the fact that I think the intrinsic ability to drive margin is best reflected by the fact that we've had a 111 basis point improvement in EBITDA mar

gin, despite a 110 basis point
increase in advertisement sales promotion spend. And a lot of those spends have been veryvery conscious choices that we've made. The second is that we're not suggesting that, gross margin is capped.
All that we are saying is that there are going to be competing, items at play because from our perspective, the growth opportunity that we see is not just in service but also in product. And of course, as efficiencies and costs, etc. come and they increase with scale, even a gross margin could be a lever for overall EBITDA margin expansion.
Kevin Gandhi: Okay, so understood. Sir, just one more question to add. How much was the proportion of the AMC service revenue in this quarter and how much growth is expected over the quarters ahead?
Gaurav Khandelwal: Yes, I think just a couple of points. One, I think in this particular quarter, we've seen growth in our AMCs, both in volumes and in value. So that's an important call out.
The second is from our perspective, this is a big source of growth and profitability unlock. And I think the very fact that, for the first time we're investing behind it through a genuine Eureka Forbes service campaign is a clear manifestation of that. I'm afraid we don't give out on a quarterly basis the split of our service and non-service business.
So that is something that, we're constrained in sharing. But clearly from our perspective, we've seen growth in service and product businesses both.

Kevin Gandhi: Okay, so thank you. That's it from my side.
Pratik Pota: Thank you.
Moderator: Thank you. Ladies and gentlemen, we have no further questions. I would now like to hand the conference over to Mr. Pratik Pota for closing comments. Over to you, sir.
Pratik Pota: Thank you. Thank you, everyone, for your questions and for your interest in Eureka Forbes. I hope we've been able to address the questions to your satisfaction.
In case there are any follow-up queries, please feel free to reach out to our investor relations team and we'd be happy to circle back with you. Thank you so much and have a good day.
Moderator: Thank you. On behalf of Eureka Forbes, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Note:
1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.

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June 05, 2024 EFL/BSE/2024 -25/17

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Sub: Intimation of Transcript of Earnings Conference Call held on Wednesday, May 29, 2024

Dear Sir/Madam,

Pursuant to Regulation 30(6) read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call held with Analysts/Investors on

Wednesday, May 29, 2024.
The transcript of the aforesaid Earnings Call is also available on the website of the Co mpany at www.eurekaforbes.com .

Request you to kindly take the above information on record.
Thanking you,

For Eureka Forbes Limited

Pragya Kaul
Company Secretary & Compliance Officer

Encl: As above

"Eureka Forbes L imited
Q4 & FY24 Earnings Conference Call "
May 29, 202 4

MANAGEMENT : MR. PRATIK POTA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. GAURAV KHANDELWAL – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day and welcome to Eureka Forbes Limited Q4 and FY 24 earnings conference call. We have Mr. Pratik Pota, Managing Director and CEO, and Mr. Gaurav Khandelwal, CFO, Eureka Forbes with us.
As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this confere nce, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
Before I hand it over to Mr. Pratik Pota, please note the disclaimer. Certain statements made by

the management in today's call may be forward -looking statements. These forward -looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business.

I now hand the conference over to Mr. Pratik Pota. Thank you , and over to you, sir.

Pratik Pota: Good afternoon and I welcome you all to the Q4 earnings call of Eureka Forbes Limited. As we complete the first full financial year of our transforma tion program, Udaan, I will start by sharing my reflections on the ground we have covered during the year gone by. I am pleased to report that we made considerable progress on several vectors of our strategy.

Let me start with volume growth. For a business which has had a long -term trajectory of declining or low volume, we have now had four successive quarters of volume growth. This growth has been broad -based across both water purifiers and vacuum cleaners. It has reinforced the belief that our categories are indeed amenable to growth with the right mix of pricing, product and consumer proposition .

This brings me to the next big vector which is on product innovation. For the past several years, we were followe rs on innovation. As part of our transformation efforts, we consciously made several upfront investments in our R&D and marketing capabilities and the results of that are now being reflected in several innovations that we have rolled out in the second half of last year. From the S limtech range and the Blaze Instant Hot product in water to the Zero bend series and Robotics in vacuum cleaners, it has been a busy innovation calendar with indeed many more to come in the period ahead. Through our innovations and our focus on category -creating communication, we have started the process of reclaiming our role of building categories.

We launched several new campaigns during the year. Our ‘Nal Se Kapda ’ campaign was directed at driving category penetration and our research showed that indeed more than 70% of our customers that we acquired were first -time category entrants. Similarly, our campaign on Robotics also helped drive significant growth in th e segment.

Another area of priority for us is customer service. The service expectations of today's customers are higher and the benchmarks are category -agnostic. We have launched several initiatives to improve our customer experience. We have targeted an industry -first agenda of one -hour service under our project Gatiman and today more than 70% of complaints get resolved in an hour. We have upgraded our digital assets and made them more customer -friendly and 75% of our customer engagement now happens throu gh our app and our website, a big step-up from less than 30% last year.

The other dimension of service transformation is driving service revenues. Towards that, our interventions are aimed at addressing affordability, access, authentication and awareness. We have improved affordability by launching tiered and segmented AMCs which reduce the entry barrier for a customer by offering AMCs at pr

ices as l ow as INR 599.

On access, we upgraded our app and the UI /UX and this is making it easier and more convenient for our customers to buy AMCs online. We have seen a significant increase in our online B2C AMC purchases. As you are aware, the service market is plagued by several parallel market operators who provide spurious filters, thereby putting customer health at risk.

We believe that the solution lies in empowering customers and creating awareness. Hence, for the first time ever, we have launched a campaign on Genuine Eureka Forbes Service aimed at educating and thereby protecting our customers from fake filters and fake AMC sellers.

Our new filters that have been recently launched have a distinctive design and a QR code that allows customers to self -authenticate the filters. The above initiatives are leading to an encouraging change in the trajectory of our service revenues. This, however, as you can imagine, does not reflect fully in the reported financials as the AMC revenue recognition is staggere d while the costs are up front.

These are but a few examples of where we made significant progress and this is evident in our overall performance, more noticeably in H2 of last year. FY 24 therefore was in many ways a story of two parts. The early part of the year was focused on putting in place the right enablers and the right investments to kick -start the growth engine and the impact of that has been quite visible in H2.

Growth in our continuing business moved from 2.5% in H1 to 14% in H2 leading to a full year growth of 7.9%. As I look back on the first full year of the transformation, I see us as a business exiting the year on a strong footing on multiple fronts. Credit is due to our team, the Eurochamps as we call them, and our trade partners for embracing the change and delivering early results. This gives us immense energy and conviction for the path ahead.

I am confident that with disciplined execution of our strategic agenda, FY 25 will see a further step-up in our performance. On that note, let me switch gears and cover our Q4 performance. During the quarter, we reported a revenue growth of 8.8% over last year. Excluding the impact of discontinued operations, our Q4 revenue grew by 11.4% year -on-year. The growth was broad - based, both in terms of portfolio and in terms of channels.

Water purifiers and vacuum cleaners continued the trend of volume growth for the fourth successive quarter and registered strong volume growth, indeed double -digit volume growth, in Q4. In water purifiers, we saw growth in both our RO and our UV ranges, with strong growth especially in our stainless steel portfolio. In vacuum cleaners, our robotics and upright range grew by more than 100% year-on-year, the entire range of convenient cleaning.

On the profitability side, adjusted EBITDA margins continued to expand on a year -on-year basis and reached a lifetime high of 11.2%, up 186 basis points from last year. This improvement was due to ope rating leverage , as also a structured cost optimization program . On a full -year basis, adjusted EBITDA margins increased to 10.3%. The first time we've crossed the 10% threshold, an increase of 401 bps versus FY 23. We continue to strengthen our balance sheet with a net surplus of INR 108 crores as compared to a net debt of INR 50 crores in exit FY23.

Finally, before I end and hand over to Gaurav, I would like to invite you all to our first Investor Day event on the 26th of June in Mumbai. We look forward to hosting you and sharing more color on our strategy and the way ahead.

With that, Gaurav, it's over to you.

Gaurav Khandelwal: Thank you, Prati k. Good afternoon, everyone and thank you for joining us. Starting off with our full-year performance, revenue for the year ended at INR 2,189.2 crore s with a growth of 7.9% for the continuing businesses. Under

lying the full -year growth numbers has been a sustained improvement in trajectory. We started the year with a flat growth in Q1 and a low single -digit growth in Q2, but were able to exit the year with two successive quarters of double -digit growth. A key feature has been that the growth has been ena bled not just by volumes, but through new users in the category, and also having strong growth in the premium segments of stainless steel in water purifiers, and uprights and robotics in vacuum cleaners. The impact of the above has been reflected in our gross margins. While we have pursued a volume -led strategy to drive growth, the range of our portfolio has also enabled that gross margins have remained range - bound.

Full-year margins at 58.8% were down 60 basis points , and have remained stable dur ing the course of the year. Cost control measures and operating leverage ensure that operating expenses as a percentage to revenue were down 453 basis points year -on-year.

Full-year financial results incorporate non -cash ESOP charges of INR 34.5 crores . Our adjusted EBITDA increased by 71.9% for the year to INR 226.3 crores, and our margins expanded 401 basis points to end at 10.3 %. Most importantly, we have been able to decisively change the margin table of the business. For a business which for years was operating with a low single - digit margin profile, a double -digit margin profile, and with a sustained year -on-year improvement in all quarters is an important milestone.

This enhanced margin profile gives us the headroom to step up our growth in vestments as we go ahead. Strong cash flow generation of INR 194 crore s enabled a 51% reduction in our interest

costs, leading to an adjusted PBT of INR 172 crore s, an increase of 157% year -on-year. Adjusted PBT margins for the year ended at 7.9%, up 464 basis points.

Moving on to the Q4 performance now. Q4 revenues ended at INR 553.1 crores, with reported revenue growth of 8.8% and 11.4% for continuing businesses. Growth was there in both our portfolio and also in service AMC business. Within the product portfolio, growth in EWPs was volume -led, while for VCs, it was driven by a combination of volume and ASPs . More specifically, as the impact of innovation plays out in the coming quarters, we expect ASPs to be a source of growth.

Gross margins at 59% continue to be stable both on a year -on-year and sequential basis. We are beginning to see initial commodity headwinds and the focus will be on accelerating our cost reduction program in this area. Operating costs grew 3.1% year -on-year and reduced 266 basis points as a percentage to revenue. Cost lines remained largely stable. Q4 employee costs include a non -cash ES OP charge of INR 9.2 crores and we expect the ESO P charges to remain stable at these levels in the coming quarter.

Strong c ash flow generation, specifically in H2, led to an exit cash surplus position of INR 108 crores. This was reflected in our finance cost reduction of 53% year -on-year. Results for the quarter were impacted by a one -off charge of INR 15 crores related to fire at the company's Delhi warehouse. There was no major operational disruption and necessary insurance related processes are underway.

The combined effect of the above has led to an adjusted EBITDA growth of 30.6%, an adjusted

PBT growth of 38.9% and a reported PAT increase of 31.1% on a year -on-year basis. To conclude from a financial standpoint, the past four quarters were focused on driving operational efficiencies and building the necessary building blocks. As we step into the s econd year of the transformation, we will step up selective investments to drive growth and specific transformation initiatives. On that note, thank you so much and look forward to engaging with you all at our Investor Day.

Moderator: Thank you very much. We will now begin the qu

estion -and-answer session. T he first question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Yes. Thanks for the opportunity, Sir. So my first question is on the growth side, like now we have seen a full year of transformation and you have done multiple initiatives as well on the affordable side as well as premium side in the water purifier category. So just wanted your thoughts on the growth which we are seeing in the current quarter.

Is it more representative of all the initiatives which we have done and we should expect in the coming years? Or do you see a more step up from where we are currently in terms of the growth? And what will be the key driver for that? Is it more led by afforda ble segment or premium segment? So some thoughts there.

Pratik Pota: Thank you, Siddhartha . Thank you for that question. And let me respond to it in two parts. One, as I'll talk about performance that we just delivered in Q4 and then respond to your broader question of the growth outlook and the growth drivers in the future. I think as we spoke in the opening remarks as well, that Q4 was the second consecutive quarter where we delivered double - digit growth. And th is was on the back of very healthy double -digit volume growth as well and volume growth across both our key segments of water and of vacuum cleaners.

If I talk about the growth profile in terms of channel , I think our retail business again did very well, our direct business did well. However, we saw some slowdown in the e -commerce space post the festive period in Q4 and both platforms reported a slight slowdown. Notwithstanding that, and as we mentioned earlier, our H2 performance in aggregate was well ahead of the H1 trend.

If I look at the growth outlook for the future , I think we need to step back and keep in mind that the categories that we operate in, whether it's water purifiers or vacuum cleaners or air, all these segments have very low penetration. And therefore, there is a significant headroom for growth in all of them. We also have, as you know, a large base of existing users, both in water and in cleaning. And many of these customers h ave devices which are old and which are due for replacement.

So we also have a ready market for driving replacement sales. So if I look at the key drivers of growth, I think the first one would be, as we imagined, driving penetration. And we continue to stay invested in making our products and our services more affordable, driving distribution expansion, making sure we invest in category creating communication like we did last year. So that will be one important area for us to focus on and one very key grow th driver.

I think, equally, we intend to create differentiated products. We intend to invest in driving innovations to make sure we offer relevant and differentiated products to our existing customers. And therefore, premiumizing our portfolio will also b e one big area for us to focus on to drive growth. And as I mentioned earlier, that in FY 24, we saw very healthy growth in our stainless steel portfolio, as also in many of our other new products.

And you would have seen our innovations that we launched in Q4. All of them were premium in their nature. Whether it was the Slimtech range of water purifiers, or it was the Blaze Instant Hot product, all these were premium products. The third vector of growth a nd third area for us to focus on in driving growth is going to be in cleaning. And specifically within that, convenient cleaning. And we spoke about the fact that our portfolio of Robotics and Upright Vacuum Cleaners, the cordless ones, grew by more than 100%.

And we intend to stay invested in driving these segments. And that, we believe, will help us drive significant growth. Equally, some of the other more nascent categories like air purifiers or, ind

eed, water softeners are areas that we focu s on. We had good growth in Q4 and in FY 24, but we intend to accelerate that in the year ahead. So, I would say, the other area of focus for us in driving growth is the entire space of D2C.

And the investments we made in digital are now beginning to bear fruit, starting with D2C AMC revenues that are showing healthy growth. If I pull back and summarize all of this, I think we are well -placed to continue to drive growth in FY 25, both in our product business and, indeed,

in our service bus iness as well.
Siddhartha Bera: Great, sir. Thanks that was a detailed answer. Sir, this service business, so just some more thoughts here. I mean, what will be the growth if I look at for the entire year in FY 24? And, if you can share, what will be the percentage of AMCs which is coming directly to us now? And, going ahead, like you mentioned that we are yet to see more benefits here. What does it mean for the service charges? Do we expect, as a percentage of sales, this should come down going ahead? Or, if you can share some thoughts there?
Pratik Pota: Yes, Siddhartha . What I'll do is I'll respond to the first part on service and how it's done. I'll request Gaurav to chip in afterwards and talk about the service charge. So, on service, I think it's a very important question that you've asked. I think, if I take a step back and talk about, I think service is an area where we've had tremendous focus and a lot of interventions being made. And, I touched upon some of them in my opening remarks as well.
And if I look at the two vectors and two areas and two directions, the first one was aimed at improving our customer experience, elevating our customer experience and to meet the demands and meet the requirements and expectations of customers, people like al l of us who got used to quick commerce level s of service. So a lot of work that has happened in terms of increasing our service capacity and our service network and service infrastructure, getting more technicians, getting more partners on the ground.
We've also done a lot of work around securing our customer data and ensuring data privacy through number marking, customer number marking. We've also put in place a digital platform, and we spoke about it last year as well, where all our technicians come ce ntrally on one platform. We're able to monitor them, supervise them, and indeed be able to allocate calls and make sure that they're deployed efficiently.
We've also moved to doing digital invoices, so that the customer is sure that this is actually a genu ine Eureka Forbes AMC that he is buying . These were the initial efforts that we made. And these are more, as you can imagine, back -of-house efforts.
Then, we followed that up with significant changes in customer -facing areas. We talked about the tiered and segmented AMC that we launched. And this has been a big, big driver of making service more accessible, more affordable. We also made investments in improving our UI /UX. And really, I mean, if you look at our app now and you go to the customer, go to the floor for buying an AMC, it's a friction -free, very, very intuitive UI /UX and it's helping drive improved conversions in our entire funnel on the app.
The other thing that we've done, as you know, is we've put QR codes. And our customers struggle d with how to authenticate and how to tell apart a genuine filter from a fake one. A QR

code makes it very, very simple. They scan the QR code and they are told instantly whether it's a genuine or a fake. And that's helping us.
And, of course, we've invested behind communication as well. So these put together are helping drive customer awareness and the sensitivity towards ensuring that they're going for a genuine filter or genuine servic

e. And the encouraging part is that we are now beginning to see meaningful impa ct of all these interventions. The customer acquisition, you know, through service and for our AMCs and for our filters is increasing and we are seeing significant growth there. We also are seeing, therefore, service revenues show a very, very healthy grow th.
Now, like I said just now in my opening remarks, this doesn't necessarily translate linearly into the numbers that you see in the reported financials because these are AMC revenues which are staggered and deferred over time. But we are seeing that heal thy uptick in AMC volume and AMC revenues.
And back to your question about how much of it comes directly, short of sharing numbers, I think we are seeing a significant increase in the proportion of our AMC revenues, coming from our own online D2C channels. And the even more encouraging part of that is that a significant number of these AMCs come from customers who have lapsed some time ago, who are out of warranty, out of our AMC contract. And therefore, these are completely incremental and additive to what we would get from an existing legacy business partner network which is up there on the ground. So we are actually getting incrementality to our D2C interventions.
And if I have to hazard a guess for the future, given all that we are doing on service, we expect that our service business and service revenues will continue to deliver healthy growth in the period ahead. GK, on t he service char ge.
Gaurav Khandelwal: On the service charge , Siddharth a, I'll just first draw attention to what comes within service charge. This has got two components. One part of that is something which is linked to revenue. So as service AMCs grow s, this part of the service cha rge will increase. The second part which is there is related to call volumes. There are complaints, there are installations, there are mandatory service visits. That is something which is independent of revenue and it runs on thos e axes.

At a principal level, I 'll just draw attention to two or three things. First is around the fact that the cost related to call volumes, etc etera, is immensely amenable to technology interventions. So if you were to look at the number of complaints that were getting addressed through our non -digital assets, that has gone up exponentially. So roughly 12 months back, that number was 30%. That's now gone up to 75% of our complaints being addressed through an app. So that is one big lever as far as drivi ng efficiency in that area is concerned.

The second area that is there when I look at service charge is that as we keep scaling up our D2C revenue streams, revenue which comes directly by a consumer buying it either online or on the app, that will also give us a cost advantage because those channels of acquisition are cheaper than going through the offline route.

So that 's the way at a direction level, we are not expecting our service char ge to outstrip the increase in our service revenue. Having said th at, I just want to call out one thing that purely from an accounting standpoint, the AMC revenue is something that is staggered over the life of the AMC, while all the charges that we speak about in terms of cost of acquisition, that is something which is recognized on day one. So there is an element of timing difference, but at a gross level, we do n't expect our service charges to outstrip our service revenue growth.

Siddhartha Bera: Great Sir , thanks a lot. I have a few, I will come back in the queue .

Pratik Pota: Thank you.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Yes. Sir, thanks for the opportunity. From the media news flows, we see the number three player, Hindustan Unilever may exit the category also. So how do we see th

e opportunity for Eureka

Forbes? One obviously can be an inorganic opportunity or secondly, in general, a third player not investing much in the category. So there can be potential t o save in terms of ATL or BTL spends to us. So just wanted to understand on this front from you. That is question number one.

And then secondly, question number two in terms of all the investments or the changes to the products or innovation that you are thinking about is more in terms of the utility, improving the utility of the product. We have seen historically, more generally the lifestyle or vanity products or even fashion products tend to earn a very high margin, Fair & Lovely or such kind of products. Or in a way, right now also in durables also, we see there are a lot of lifestyle changes happening to the products and those fans, etc etera, are selling at a much premium realization.

So the margins can be better over there. So one, while we ar e investing in terms of utility of the product, is there any thought process in terms of improving the lifestyle quotient or fashion element in this kind of products or first of all, is it possible also in this? So these are the two questions from my side. Thanks.

Pratik Pota: Aniruddha , thank you for the questions. I think on your first question, it was in two parts. We are aware of the media speculation as well that you referred to and I think it would be unfair and wrong for us to comment on what is clea rly speculative and out there in the media space.

More broadly, if I may say, we are very, very growth obsessed and we remain open to any opportunities, organic or inorganic, provided they come at the right value and we believe they add value to our busine ss and to our shareholders. So that's a broader answer. I don't want to comment on the specific question you asked because that is, like you said, what we read in the media as well.

Look, the other part of your question about impact on competitive intensi ty, etc etera, I think we value and we welcome all competition, whether it is from legacy players or new entrants. I think competition is vital to create more excitement in the category, more new news , to drive

innovation and to therefore get more and more customers to be interested and to come and evaluate and hopefully enter the category.

Having said that, our focus is on the consumer and on navigating by what the consumer 's needs are and what she expects from a water purifier and we continue to be focuse d on that regardless of what happens in the competitive environment.

Which brings me to the second part of your question, what innovations? I think that's a really good observation you made, Aniruddha , about different kinds of innovations and what are we focused on. I think the innovations that you have seen already in the market are in two broad areas. One is, like you said, utilitarian.

So, for example, the instant hot water that we have probably launched or indeed earlier we ’ve had success with the stainless steel portfolio. These are more functional and very relevant differentiators that the customers value and we have seen good success and good feedback and good response to our instant hot product as well. But the other vector is on, like you said, I can

use the word vanity and more premium and more lifestyle innovations and I would like you to look at our Slimtech range of water purifiers.
These are glass design s, toughened glass, a completely plush glass look and they look unlike any water purifier that you have seen in the market. They are by far the most premium looking water purifiers and we have already launched the glass range, Slimtech range in UV and that comes at a significant price premium to the rest of the UV range. More than 60% price premium.
So, I think you are spot on the fact that with lifestyle quotient and with great desi

gn, we actually
command a premium and customers really value that these days. I mean, think about it. You have a nice modular kitchen with your other devices looking absolutely contemporary.
What you would expect and what you should expect and you would get from Eureka Forbes is a similarly classy looking water purifier. So, that would be the other area of focus for us which is even as we innovate and drive functional differentiators, we also have a very strong emphasis on design and on aesthetics and that is already something that is going out in the market. I hope that answers your question, Aniruddha .
Aniruddha Jos hi: Yes, this is very helpful. Just one bookkeeping question. So, we are doing the portfolio restructuring and the continuing business growth is always higher than the reported revenue growth. So, just wanted to check , now FY24 is over. Do you see further restructuring to continue in FY25 or largely the restructuring of portfolio is over?
Gaurav Khandelwal: Aniruddha , no. The portfolio restructuring is over. We do not plan to do any further restructuring for the portfolio. What you have seen in FY24 are essentially remnants of the previous portfolio which has carried forward. This gap that you see would be there for H1 of the coming year but after that it will taper down and even within the H1 of the year the range will be roughly 1.5%.
So, it is not going to be the gap that you see today. So, H1, roughly 1.5%, half two of the year this will taper away completely.

Aniruddha Joshi:
Moderator:
Nandita:
Pratik Pota:
Nandita:
Gaurav Khandelwal: Okay, sure sir, understood. Very helpful, thank you.
Thank you, we have the nex t question from the line of Nandita from Marcellu s Investment Manage rs. Please go ahead.
Thank you, am I audible?
Yes Nandita, I can hea r you clearly.
Okay, perfect. Thank you so much for the opportunity. So, I had a couple of accounting related queries that I came across. The first one is that in the consolidated cash flow statement there is a working capital outflow of roughly INR 42 crores but when I compare it with the balance sheet there is a working capital reduction of around INR 29 crores.
So, where is this difference coming from? And related to this in the balance sheet we can see that the inventory movement is around INR 33 crores but the same on the cash flow statement under change in inventory it shows a movement of around INR 48 crores? So, if you can just help me understand the difference.
And the second question is that it seems that even after excluding the ESOP charges, employee cost has gone up from around INR 62 crores in Q4 FY23 to around INR 76 crores in Q4 FY24.
So, if you can also help me understand this increase in employee cost excluding ESOP charges that would be great?
Ya, Nandita. So, let me pick on the employee charges first. So, the delta that you see is largely a combination of two or three things. First, we started the process of building our capabilities across various teams which was R&D, digital, product management, data science, marketing and what we've seen now is a full year impact playing out because that process teams have come in at different points in time. So, that's been one driver.
The second driver has been the impact of annual increments and the third is due to higher revenue growth, the incentive payouts have been higher and that's the one which has led to a year-o n-year increase. Having said that, if you look at during the course of this year our employee cost have been in the range of INR 72 crores to INR 75 crores.
So, that is something which has been range-bound and that is something we believe that this is one area where it's an opportunity to drive operating leverage and we expect to keep this cost range-bound as we go ahead. As far as your comments on inventory is concerned, the INR 33

crores increase that you see is largely a function of innovation build-up that has happened.
So, there are a bunch of innovations that happened towards the H2 of the year and that is

something which has led to the inventory increase. The delta in inventory is a function of the loss that we had in a Delhi warehouse. There was an INR 15 crores inventory loss that happened due to the Delhi warehouse fire and that is the reason for the delta.

Nandita: Alright, s o, you're saying essentially that this innovation build -up that you're talking about in H2, will get commercialized sometime in the next FY or has it already been used up?

Gaurav Khandelwal: No. Commercialized you mean? So, just for clarity there is a , since innovations have come in Q3 and Q4 there is a build -up that has happened because when an innovation comes in it is relatively more difficult to project the demand. We did not want to be in a situation where coming out with industry -first innovations you run out of inventory and hence there is a build - up that has happened and this will normalize as we go ahead.

Nandita: Okay, alright. Thank you.

Moderator: Thank you. The next question is from the line of Renu B aid from IIFL Securities. Please go ahead.

Renu Baid: Yes, hi. Good afternoon team and thanks for the opportunity. My first question is now that it has been almost four quarters of strong double -digit volume growth but still we continue to see the gap between volume and value growth so in your view by when do you see this gap narrow ing out and value growth finally outpacing volume? In your view.

Pratik Pota: Thanks Renu. Thanks for the question. And you're right. I think our first objective was to ensure that we fire the growth engine in terms of volume and therefore we were ple ased to see double - digit growth come and like you said for a large part of last year we had strong double -digit growth.

In the early part of last year we saw a significant investment being made in the economy portfolio and that led to an ASP dilution in th e early part of the year but however as the year progressed with the innovations in the premium space kicking in , we could see the ASP dilution come down significantly and the volume and the value gap to have narrowed significantly from Q1 to Q4 . And going forward we don't expect to see given the balance between driving penetration and driving premium water purifiers and premium range more generally . We don't expect to have a gap between the volumes and the value growth. I think in the early part of the yea r we were keen to drive the growth , innovations have still not fired and therefore there w as some dispersion, but that gap has reduced significantly and going forward we don't expect to have a gap at all.

Renu Baid: Got it. So if you look at the overall portfolio today how would be the proportion of premium products in the overall product mix today?

Pratik Pota: So Renu if I had to separate volume and value , volume of course the mix is a lot more biased towards econom y and towards mid -price segment, but if I look at the value contribution I think we have a very very healthy mix of premium portfolio which is substantive and meaningful and therefore the portfolio is not biased towards economy. It's much more balanced.

Renu Baid: Sure. Secondly , if we look at the last quarter also while we closed it , the initial part of the quarter overall demand sentiments across consumer categories and products was weak so probably

would have been for the water purifi ers and vacuum cleaner category. S o how are we looking at the end market demand? Have we seen some respite and pickup in volume uptake from consumers more on the expected line or do you still feel market is still under flame in terms of the actual uptake

?

Pratik Pota: Yes Renu that's a really good question and that's in many ways I guess the question that we've all sort of agonized over in the last one year. See we have seen some green shoots kick in during the third quarter during the festive season where we could see an improved consumer sent iment and we could see demand conditions get better.

However , in Q4 we saw perceptible slowdown especially in the online e -commerce space and therefore the consumer sentiment which was looking to improve in Q3 or looking like improving in Q3 again looked and became a lot more tepid in Q4. So to answer your questio n I think the demand still remains a bit of a challenge.

Towards the end of Q4 what also happened was and I think we're all living that reality even now. I think because of the heat and the impending summer we could see consumers prioritize co oling products , air conditioners, fans, and a ll of that coolers over other durables. So we could see that demand , the spend move towards some of these categor ies from the broader space of durables. I'm s ure that will correct overtime, but that's something we saw in the month of March specifically for last quarter .

Renu Baid: Over April and May, as we head towards monsoon you think that spend correction is happening back in favour of our categories or still is being relatively under played?

Pratik Po ta: Look, I don’t want to sort of talk about the future so much, but certainly going forward once the monsoon comes by we expect that this equation will get more balanced. B ut in the summer month more generally there is a preference as you can imagine for products that provide relief from the heat , from the extreme heat. So tha t continues through the summer, b ut going forward beyond summer , that will equalize.

There will be much more balance restored i n the demand across different durable s, but certainly we saw that in the month of March as we entered the summer month we could see people prioritize air conditioners especially over other categories.

Renu Baid: And lastly just couple of bookkeeping questions , A) broadly w hat was the kind of advertisement and promotional spend for fiscal '24 and given that we had a pretty good pipeline of new products being launched last year and same for fiscal '25, should one expect this spend to continue in the coming years?

Pratik Pota: I'll cover the broader point and maybe then Gaurav you can respond to the numbers . So Renu let me respond first in the broader level in terms of our strategy and we have talked about this in the past as well that one of the reasons we have seen challenged growth in the past has been the fact that we haven't invested and we haven't leaned in on adv ertising and on sales promotion expenditure especially in advertising.

Gaurav Khandelwal:
Renu Baid:
Gaurav Khandelwal:
Pratik Pota:
Renu Baid:
Pratik Pota:
Moderator:
Abhiji t Akella:

Pratik Pota: So during the course of FY24 we invested in two kinds of campaigns. One was to drive penetration and to drive category creation, but the other the second half of the year was to inv est in driving premium products the Slimtech range, robotic range. but also to drive service, the entire service category and that has led to what you talked about earlier strong double-digit growth, volume growth and now we are seeing growth continue in Q4 as well.

Coming to the question on the advertisement spend, we have increased them by double-digits in FY24 and that has been done as you mentioned to support our innovation and equally as we pivot towards more category creating communication, it's also being done to support that. The 'Nal Se Kapda' campaign was one attempt which was there for the last 2-3 months. We have had a campaign on genuine service. So we are repivoting our spends more towards consumer pull which is advertise

ment and those spends have seen a double-digit growth.

Having said that we are equally finding opportunities in other spend lines to make sure that the overall bucket of advertisement and sales promotion and overall opex in general is kept range bound.

Got it, is it possible to quantify it or should we wait for the annual report?

We'll have to wait out for the annual report where you will get the breakup.

Renu, just to add that even within the advertising spend, within the aggregate advertising spend that Gaurav spoke about we have chosen more productive kind of investments and spends in advertising, and we have pulled back from spends which were a little bit less effective and less working. So the working A&M part has been prioritized and that again translates directly into greater consumer facing visibility and therefore growth.

No surely I think your efforts of scaling up the services awareness and penetration is clearly visible both for investors and consumers as well as in the numbers. Thanks much team and we'll get back with other questions or queries.

Thank you Renu. Thank you for your questions.

Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Hi, thank you, good afternoon and congrats on a good year. Just three quick ones from my side. One is after the strong margin expansion we've seen already thus far; do you think most of the scope for expense takeouts is already exhausted or is there meaningful scope for further expansion going forward? That's number one. Number two on the cash generation which was almost INR 200 crores for the year. As that hopefully continues to ramp up, what might your plans for use of the free cash flow be? And the last one was just any sort of update you could share on the rental plan rollout. Is there a timeline that we could sort of anticipate on that? Thank you.

Thank you, Abhijit. Thank you for your questions and for your compliments. I request Gaurav to answer the first two questions. I'll come back on the rental part.

Gaurav Khandelwal:
Pratik Pota:
Abhijit Akella:
Pratik Pota:
Moderator:
Parikshit Kabra: On the expense part, we see it as so mething as an o ngoing program. T here are continuous op
portunities that are there and where more efficiencies can be extracted. So that is something that remains a continuing p riority. We do not believe that we have reached the end of efficiencies. If I were to give you a specific example, while for FY24 lot of the focus was on items which are below gross margin, as we have volume growth, we also see opportunities coming in our COGS line . So that is something that there are specific programs in place to drive those efficiencies. So, we will continue to work in extracting those efficiencies.
Also, I think keeping in mind the fact that you know after having reached a particular threshold of margins and making a decisive break from the past table, we will also be as we get into year two of the transformation, we will be stepping up our growth investments and in certain specific areas if there are transformation investments needed those will also require funding and hence our cost program is something which will continue.
Coming to the second part on cash generation, yes, I think it's been a second successive year of strong cash flow generation. See, from our perspective there are multiple ways in which cash could be deployed. If there are any opportunities and if they add value to shareholders that could be one area. If it means rewarding the shareholders in some form, subject to board approval, etc
etera. That could be t he other areas. So, at this point in time, all avenues are open and obviously there are the intrinsic growth investments that are needed for the business. So, all options are there on the table and

we will take a decision as the year goes.
Abhijit, just to add to that and your question on rental, as you are aware, we have had the rental pilot operational in Chennai. Even as we speak, the pilot is operational in Chennai and we are looking at it closely and looking to see the learning that we can extract from this pilot. Given the multiple priorities that we have got already on our plate, this is something that we don't intend to scale up in the first half of the year.
As we exit FY25, we will be evaluating the extension of the rental project into other markets starting with other proximate markets in the south and then looking at a scale up more broadly in FY26. I think we are convinced about the potential of the rental model and in a market which is extremely economy conscious a nd price c onscious. We believe the sachet model for water purifiers as in the rental business has tremendous potential and will be a source of growth for us in the future. But given the priorities on the plate right now, it's something we have chosen to do only towards the end of this year .
Understood. Thank you so much and wish you all the best.
Thank you, Abhijit.
The nex t question is from the line of Parikshit Kabra from Pkeday Adviso rs. Please go ahead.
Thank you fo r the opportunity and congratulation s on you r result s. I wanted to understand in the wa
ter purifier market, how is the marke t share trending? Tha t is my f irst question.

Pratik Pota: Let me answer your first question first. I think you ar e aware that we had for many years, we have had market leadership positions in water purifier and in FY24 specifically, we invested in driving category growth to a penetration campaign and also as we mentioned in the second half of the year, we focused on the premium portfolio to drive the top end of the market. I think the context also, Parikshit is that in the years preceding FY23 and FY24, we have had many consecutive years of market share decline.
However, given all the work that we have done in FY24, happy to report that we have indeed seen green shoots on market share in FY24 in this year. As we exited Q4, when all the premium innovations came into play, we were pleased to see a clear increase in year -on-year market share for water. You didn't ask this question but we also saw encouraging market share increase in vacuum cleaners as well. And we expect to see market share improve in FY25 as well as our portfolio gets stronger and as our strategy gets into execution more an d more.
Parikshit Kabra: Great, thank you for that. The second question that I had was that in your presentation you have shown that the water purifier market the organized part should go at 13% CAGR over the next five years and services at about 18%. But with a penetration of only 6% and the clear ability to build out this market doesn't the 13% number look a little bit slow?

Pratik Pota: So, Parikshit just to clarify, these are estimates by a third party. And these are by Technopa ck, as we mentioned in the investor report as well the presentation as well and these are their estimates. I think the context for these projections also is the fact that there have been many years of very little or no growth in the segment.
However, like y ou rightly said , given the near universal need of pure water and given the penetration in other comparable markets that we mentioned again in the investor presentation, we expect to see water purifiers as a category show very strong growth in the year s ahead. Whether the growth is 12%, 13%, 15% will be a function of also what people like us do as market leaders and as category creators. So w hether the number is 12%, 13%, 14%, I think that maybe not as meaningful a point. As a larger point that we have a strong runway to grow and it's up to us as market leaders to grow this catego

ry.
Parikshit Kabra: Okay, thank you. And if you don't mind, can I slip in a last question?
Pratik Pota: Yes, please. Please go ahead .
Parikshit Kabra: Thank you. So t he fact that there was a consumer slowdown and a pivot towards cooling products, could you help explain why that would have happened only through the e -commerce channel and not to the other channels? Shouldn't it have affected all the ch annels equally?
Pratik Pota: Parikshit I'm sorry, maybe I misspoke. What I meant to say was these were two independent tracks. One was the more broad slowdown in e -commerce in Q4 as compared to Q3. This by the way impacted all category and it wasn't nothing to do with the cooling segment. This was a broad channel specific trend. Separately in the month of March, we saw the preference for cooling products, air conditioners, fans , coolers , etcetera. Again this was channel agnostic. So

these are two independent points I made. Maybe I miscommunicated, but they are two separate points. And thank you for asking that question.
Parikshit Kabra: Got it. Perfect. Thank you so much .
Pratik Pota: Thank you, Parikshit.
Moderator: Thank you. The next question is from the line of Rishabh Gang from Sacheti Family Office. Please go ahead.
Rishabh Gang: Thank you for the opportunity, sir. A follow -up question on the pilot plan that you have in Chennai. I want to understand why are we going so slow on it? So Livpure has been doing pretty good on that front. What results are you expecting from the pilot run, which will actually make you think to start on a larger scale?
Second thing, I wanted to ask on the maintenance free products which are coming from players like Urban Company and Livpure . So, c ustomers in past have not liked the journey of getting the product service d as well as the associated cost of it. And maintenance -free products for the first 2 -2.5 years will lead to higher adaptation of the water purifier. So w hat are your thoughts on it? Why don't you start a similar product? And w hat do you think about the margin profile of such products?
Pratik Pota: Rishabh t hank you for both questions . They're both very, very fair questions . Let me start with responding to the first question on rental and why we are taking time . I think it goes back to what I was mentioning earlier in my response to Abhijit , which is that we remain believers in the potential of the rental business model. And indeed, you talked about some other players who are making progress there. All the consumer work that we do tells us that this model is relevant and will have potential. However, for us as an organization, it's also important that we prioritize and sequen ce our efforts.
So for the first half of this year, the first 2-3 quarters of this year, we will remain focused on doing everything that we spoke about in our strategy. Driving water purifier penetration, driving premiumization , driving larger cleaning an d air portfolio, growing a service business, etcetera, etcetera. And t owards the end of this year, we will make sure that we turn back and evaluate the scale up and extension of our rental pilot that's currently in Chennai.
To your point on learnings, there are several learnings that we continue to extract, but that's not the reason why we are not scaling it up right now . Now , I want to put one caveat here which is that having said what I have just said, if we believe that we need to change course and scale up rental faster, we have all the capabilities of doing that.
We have India's largest service network for installing new water purifiers, for servicing them. We've got a large sales team , we've got a very strong D2C back bone . So there are all the enablers required to scale up rental are those capabilities that we already have with us. So, t here is no barrier to rapid scale up shou

ld we decide to do it sooner.

Rishabh Gang:

Pratik Pota: That's the first part. The second part is about the competing products. You referred to the long-life products, etc etera. Look, there are different consumers and different customers who look for different things. Some customers insist on purifiers and on propositions where they need a service and they would like a service touched frequently, twice a year, thrice a year, etcetra . Some customers are looking for a light touch service model. As the market leader we will make sure that we have a portfolio of products that cater to all different consumer needs.

We have, as you are seeing already in the market, a very strong innovation pipeline. And you will see that if anything increasing and coming out in the future launches increase in the periods to come. So, w e are fully equipped to cater to all customer requirements and whether it is long life products long life filters or high touch service we will have the right products for all of the different segments.

On your question about impact on profitability, we don't expect to see any impact because the lifetime value of customers and the cost return equation for these customers is symmetric and therefore there will be no dilutive impact on our P& L.

All right. Also, you know, I wanted to understand about the unique product innovation that we see. So, this instant hot water thing, even other competitors are doing it. So what actually prevents, so when you say unique, like it should be something which is only to Eureka Forbes. What prevents other competitors from also having it? Do you have any intellectual property protection for things like alkaline or stainless steel, anything like that? Or it's just an innovation which can be copied by everyone else?

Yes, in some cases, it's a good question. It's a more philosophy question about innovations, Rishabh. In some cases, there is IP and there is therefore in those cases, an entry barrier for competition. But more generally, given that technology is becoming more and more accessible and more and more ubiquitous, those barriers are hard to come by. Therefore, innovation is about pre-empting, anticipating and pre-empting evolving customer needs and being there in the market for them first.

Knowing that somebody else will follow you if you do well. That's the law of the innovator. It's like a treadmill. You have to keep running. You have to keep innovating, making sure you're first to market. So I'll give you an example. The two things that I talked about earlier as well. Our slimtech range of products, we've launched the UV range in the market already, doing very well, and great response. These are sleek design water purifiers. And you can be sure that given the consumer response, everybody set up and taken notice of it. So you will see innovations of this nature from other products players as well, come by. Number one.

Number two, our instant hot product. Aquaguard Blaze Instant Hot. It doesn't have customers to wait for water to heat up. And today, as consumption of Green Tea, etcetera is increasing, that's a very useful feature to have. So we are India's first brand with an instant hot feature. But you can be sure that when the feature picks up and gains traction, somebody else will follow. But when they follow, we should have then by then moved on to the next big innovation. The

Rishabh Gang:

Pratik Pot a:

Gaurav Khandelwal:

Rishabh Gang: innovating is like being on a treadmill. You have to keep running. And I think that' s how you drive value and drive differentiation.

Alright, just last question on my part, you always emphasize on the focus on service income, right? I can observe that it was around 30% of you

r revenue last year. But in one of the few last concalls, you mentioned that you don't mention the service income on a quarter-on -quarter basis, but mention it annually. First of all, I think, why should you not disclose it on a quarterly basis? Also, this is Q4.

I don't think so you have disclosed it in the investor presentation. So why should someone just wait for such a basic number from the annual report? It's 30% of your revenue. I think I should be able to see it. Similar thing for advertising spend. I think in the previous quarter, Gauravji had mentioned about it.

So why should someone wait for advertising spend as a percentage of revenue till the annual report gets released? Second thing, on the AMC contracts, I understand that it is a staggered revenue recognition because of the nature of the AMC. But you can always tell what's the number of AMC contract as a comparison to the number of Water Purifiers that you have sold in last five years to six years. So why don't you give such a ratio so that I can actually analyse how much good are you doing on the AMC front?

No, thank you, Rishabh. I'll let Gaurav respond.

Yes, thank you for your question. I think, see, you can imagine that the service revenue stream that we have, that is something which is relatively unique to us within the industry and

even outside of it. And obviously, hence, it is a source of competitive scrutiny and advantage.
And that's the sole reason why we are conscious of what disclosure we give. Having said that,
on a larger basis, I think we started giving more colour on what's happening on the service side.
That is something that we will keep doing as we go ahead. Whether we change the disclosure
from an annual to a quarter, to be honest, would largely be driven by how we see this from a
competitive standpoint.
So that's as far as service income is concerned. Advertisements, again, see, it's something which
we are providing colour through our commentary directionally. As we've mentioned in the past,
we should expect that we will step up our growth investment. And that is something that you
will see when you see the annual report. But again, we'll keep your feedback in mind and see
how it can be incorporated as we go ahead.
So also, I just have one last question, sorry. I want to know more about the on-ground support,
right? And the sales team that you have on ground and how you are unique in terms of the
competitors, right? In this particular thing. I read that you have around 8,500 plus service
technicians. I wanted to ask, is it all in-house? And what has been the strength of employees,
right? For the on-ground support and the sales team in FY24 and FY23? And do we actually
expect to reduce it or change it? Any guidance on that?

Gaurav Khandelwal:
Moderator:
Rishabh Gang:
Moderator:
Pratik Pota:
Moderator: Yes, so I'll follow up first to your question in terms of the model, the on-ground team that you
see, you're referring to the service team. That is something which is an off -roll team that is not
on our payrolls. It is on the payroll of the business partner. There is an economics between us
and the business partner. And the business partner, pays for the technicians that are there.
Coming to the first part of your question, in terms of what is unique about us, I think two things
I'll call out. One, we have the capability where, while these people are on the roles of the
business partner, they are on boarded on a digital platform and hence we are able to performance
manage them.
So we know what the productivity is for each technician, how many calls are being handled,
what is the Redressal status, etcetera. So that's one key part which is there. The second is that
this in itself is a big source of competitive advantage. This is a business where the first sale

is
not the end of the relationship with the customer. This is something which extends over the
lifetime of the customer. And I think we as a player with a four decade old legacy have built a
fairly formidable network spread across 19,000 pin codes. And that is something we believe is
unique to us and a very very tough competitive moat.
Sorry to interrupt, but we hav e reache d the end of the questio n and answe r sessio n at this point.
So we wil l nee d to clo se the questio n and answe r session.
Sure, thank you.
I wou ld no w lik e to han d the conferenc e ove r to M r. Prati k Pota for closin g commen ts. Ove r to
you, sir.
Thank you everyone for joining the call today. I hope that we were able to address the questions
that you asked to your satisfaction. In case any queries remain unanswered, please feel free to
reach out to us and we'll be happy to respond. Thank you once again. And we look forward to
hosting you at the Investor Day on 26th June in Mumbai. Thank you. Have a good day.
Than k you. On beha lf of Eurek a Forbes , that conclude s this conference . Than k you all for joining
us. Yo u may now disconnec t you r lines.
Note:
1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.
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Call: Aug 2024

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August 16, 2024 EFL/BSE/2024-25/35

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Scrip Code: 543482
Mumbai 400001 Scrip ID: EUREKAFORBE

Sub: Intimation of Transcript of Earnings Conference Call held on Friday, August 09, 2024

Dear Sir/Madam,

Pursuant to Regulation 30(6) read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call held with Analysts/Investors on Friday, August 09, 2024.
The transcript of the aforesaid Earnings Call is also available on the website of the Company at www.eurekaforbes.com .

Request you to kindly take the above information on record.

Thanking you,

For Eureka Forbes Limited

Pragya Kaul
Company Secretary & Compliance Officer

Encl: As above

"Eureka Forbes Limited
Q1 FY '25 Earnings Conference Call"
August 09, 2024

MANAGEMENT : MR. PRATIK POTA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. GAURAV KHANDELWAL – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day and welcome to Eureka Forbes Limited Q1 FY '25 Earnings Conference Call. We have Mr. Pratik Pota, Managing Director and CEO and Mr. Gaurav Khandelwal, CFO, Eureka Forbes with us.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded.

Before I hand it over to Mr. Pratik Pota, please note the disclaimer. Certain statements made by the management in today's call may be forward-looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual result may differ materially from the current expectations based on a number of factors affecting the business.

I now hand the conference over to Mr. Pratik Pota. Thank you and over to you, sir.

Pratik Pota: Good afternoon and I welcome you all to the Q1 FY '25 Earnings Call of Eureka Forbes Limited. During the quarter, we reported a revenue growth of 9.4% over last year with a revenue of INR 552.8 crores. Excluding the impact of discontinued operations, our Q1 revenue grew by 10.8% year-on-year. I'm pleased to share that we've now had three successive quarters of double-digit growth for our continuing business. Within this, our product business grew in the high-teens, with the growth being broad-based across all product categories.

The results of our transformation efforts on the product side are visible, with the product business now growing consistently in high-teens. Our premium products across both water and vacuum cleaners did very well, driven by our recent innovation. Our newly introduced range of water purifiers, the Blaze Insta Hot and Ambient Water Purifier and the Designo NXT under-the-counter purifier have both seen a very encouraging response.

We also saw a strong pickup of our Aura 2X product, which has a two-year filter life and which was launched online earlier. The vacuum cleaner category continued its pivot towards convenient cleaning, with robotics devices being the engine of growth. Amongst the channels, direct, retail and e-commerce all showed good growth, with e-commerce growing the fastest.

In line with our strategy, we stepped up our advertisement and sales promotion spend, which grew 21% year-on-year in Q1. In this quarter, we launched our campaign on the Stainless Steel range of purifiers. We also continued with a genuine Aquaguard service and filters campaign to educate consumers and protect them from fake AMCs and filters.

Service is a key priority as part 2 of our transformation efforts. Our early interventions have led to AMC volume growth coming back and also led to a significantly improved customer experience and improved customer satisfaction scores. In Q1, our service business did well, with revenues growing by double-digits.

While these are encouraging early outcomes, I must say that there are several initiatives underway to drive superior customer experience and higher growth. On the profitability side, adjusted EBITDA margins continue to expand on a year-on-year basis and margins were at a lifetime high of 11.5% in Q1, up 166 basis points over last year. This margin improvement was delivered despite a deliberate choice of significantly dialling up our advertising and sales spend that I spoke about earlier.

Looking ahead, our focus will remain on executing Phase 2 of our transformation strategy. Our experience and our results so far give us the conviction that we have the right strategy and a strong set of plans to drive sustained and profitable growth in the future.

With that, I

want to hand you over to Gaurav for his remarks on the Q1 performance. Gaurav.

Gaurav Khandelwal: Thank you, Pratik, and good afternoon, everyone. In the backdrop of consumer wallets being diverted towards summer products, our revenues at INR 552.8 crores grew 9.4% on a year-on-year basis. Adjusted for discontinued businesses, our revenues grew by 10.8%. Driven by a larger share of premium portfolio, realizations improved, leading to both volume and mix being growth drivers. Growth was visible both in electric water purifiers and vacuum cleaner products, and also in our service revenues. In line with our strategy for Phase 2 of this transformation, bolt-on growth investments were stepped up.

As an example, our advertisement and sales promotion spends grew 21% year-on-year. We intend to continue such investments. Our Q1 gross margins at 60.5% were largely in line with the previous year. Prices of certain commodities showed an upward trend in June month. It remains to be seen if these trends will continue. Our expenses as a percentage to revenue, excluding ESOP charges, were lowered by 156 basis points versus previous year.

Our focus on cost program will continue to drive further efficiencies. Non-cash use of charges stood at INR 8.7 crores versus INR 9.2 crores in the previous quarter. Other lines below EBITDA remained largely stable. Starting this quarter, we have also started providing additional visibility by separating our depreciation and amortization lines.

Depreciation for the quarter stood at INR 6.9 crores and amortization was at INR 6.7 crores. It may be noted that while the depreciation charge is linked to capex investments, amortization charge in P&L is largely for intangible assets created as part of acquisition accounting. This quarter was unique in terms of all three profitability matrices of EBITDA, PBT and PAT margins being reported at lifetime high levels. Adjusted EBITDA margins at 11.5% grew 166 basis points

year on year. PBT margins pre-ESOP grew 219 basis points to 9.1% and PAT margins expanded 186 basis points to 6.8%.
In summary, in relatively challenging market conditions, we have been able to sustain top line growth across the portfolio, step up growth investments and been able to achieve lifetime high profitability levels. Thank you.

Moderator: Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: Hi Sir, thanks for the opportunity and congrats on a good set of numbers for the quarter. My first question is again on the revenue side, so you correctly highlighted that we have seen shift in spends to other categories. So just wanted to check as some of the aberrations probably have normalized now, as we go into the year, will it be possible to show some colour on how we are looking at the demand? Is there any further pickup? We are seeing at the ground level and the initiatives we have done, how, if you can throw some light there first?
Pratik Pota: Yes, Siddhartha, thank you for that question. And as you saw in the numbers and as I mentioned in my opening remarks, we've had a quarter with a near 11% growth in our continuing business. Within that, our product business grew by the high-teens. And our service revenues also were up double-digits. This was in the context, like you rightly mentioned, of an extremely challenged quarter in terms of both the summer and overall demand sentiment.
Let me talk about the summer. And you mentioned that you've seen that across all the reported results as well. There was clearly a huge demand for cooling products, for air conditioners and the others. And they saw a huge surge. But in the durable space, other than cooling products, the demand sentiment was muted. As we look at the period ahead, we do not see the demand sentiment chan

ging materially in the short term.
I think the food inflation being persistently high has dampened sentiment, the demand sentiment, consumer sentiment. That said, I think we have strong set of plans that we have deployed already. And you saw that even in the peak summer period of Q1, we were able to deliver strong product growth in high-teens. So notwithstanding the demand sentiment, I think we are focused on executing our own plans in terms of driving products, driving innovations, driving a superior customer experience.
Like I said, the service transformation projects that are underway, the early results of which are already encouraging, but more remains to be done. So I would say, yes, the demand environment could be brighter, could have been more encouraging. But we are confident of delivering on our strategy.
Siddhartha Bera: Got it, sir. And in terms of the mix, like you mentioned, that we have started seeing ASP improvement as well. So any colour, how much is the premium mix in the portfolio now? And given the launches which we have recently done, so that we can get some sense that it can see more improvement and can support our value growth?
Pratik Pota: Siddhartha, you're right. I think the one interesting feature, encouraging feature of this quarter's performance was, I think, the increase in the ASPs. And let me talk about the categories separately. In the case of water, we saw the ASP improve and increase on the back of our premium innovations. And as I mentioned, all of them have been very, very interesting and very encouraging consumer response. I think on VCs especially, as we have seen the category pivot continue towards convenient cleaning.

And as you can imagine, the convenient cleaning segment comes at almost a 4X ASP higher than the conventional cleaning ASPs. So as the category mix evolves and moves towards convenient cleaning, both robotics and upright vacuum cleaner, we are seeing the ASPs improve. And the ASP improvement, as you can imagine, has been the most pronounced within vacuum cleaners as compared to the other categories.
We expect this to continue, this trend to continue of convenient cleaning growing and becoming a bigger and bigger part of the portfolio mix in the future. Equally, in water, there will be both the bookends growing. We will grow the premium segment through innovations and through point-of-sale innovations and interventions.
There will also be a lot of effort in driving penetration. So I would say the ASPs will be, I think, up, but will be range-bound in the case of water. But you will see that ASP improvement continues significantly in vacuum cleaners.

Siddhartha Bera: Got it, sir. So last question on the margin side.
Moderator: Sorry to interrupt. We may request that you return to the question queue. The next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.
Umang Mehta: Yes, thank you for the opportunity and congratulations for a good quarter. Sir, you mentioned that continuing business grew by 11%, products grew by high-teens, and service in double-digits. So, this high-teens growth in products, is it volume growth? I mean, just trying to understand why is value growth at 11%?
Pratik Pota: Yes, thank you for the question, Umang. Just to clarify, the high-teens growth that I spoke about is in terms of gross revenues. So, it is in terms of net revenues and reported revenues. So it is a revenue growth that I'm speaking about. I think what you see as sales numbers reported at 11% is a combination of this high-teens growth of products and a double-digit growth in service. However, what happens, when you look at the accounting treatment of service revenue, I think there is a lag between the reported revenue and the actual gross revenue. I think that's pulled down the overall reported revenue growth. But on a realization basis, on

what customers spent,
we grew high-teens in products and double-digits in service.
Umang Mehta: Thank you. And just a related question to this was, so service charges, the percentage of sales has seen a decline. Were there any specific drivers to this?
Pratik Pota: I'll start, and I request Gaurav to come in and add. So, I think, first of all, Umang, just to once again reiterate that our transformation efforts on service albeit the early efforts are showing some encouraging results. And the service business grew by double-digits during Q1. I think the service revenue and the revenue charge that you see, the service charge that you see going down in Q1, there is a seasonal element to that. And if you look back at the prior periods as well, you can see that the service charge and the reduction in service charge mirrored almost last year's trend. I think in addition to that it should see some impact.

I think Q1 also saw a reduction in our call center charges. And on account of our digitization efforts more of our calls and more of our transactions moved online. I think there was also some savings on account of efficiencies that we were able to extract. I think also on account of our improvement in service delivery, we saw a reduction in the number of calls we received. I would say those were the big reasons, but Gaurav can add to that.
Gaurav Khandelwal: I think I'll add one more element. Because when you see from a year-on-year perspective and service charge going down as a percentage to revenue that's also a function of the fact that the product business has grown faster. High-teens growth for product is higher than the overall reported revenue. So it is that part which is playing out as well. Our focus in the phase two of our transformation will be very much there on driving up service revenue. Plus, efficiency measures on our service charge will continue. Service charge, as we mentioned in the past is a combination of what we pay for AMC revenue but equally what we pay for various items like call charges, call centers, etcetera.
Umang Mehta: Understood. Makes sense. Thanks a lot and good luck for the rest of the year.
Moderator: Thank you. The next question is from the line of Ashvin from Marcellus. Please go ahead.
Ashvin: Thanks for giving an opportunity to ask a question. Pratik, again, just staying with that, you said that there is a high-teens growth in product revenues. Is it possible to get the volume and realization split within that? Maybe you can say it's largely volume-driven or it's a mix of realization-driven.
Pratik Pota: Let me separate volume and the value piece so that it gives more color. Let me start with water purifiers. Water purifiers, we delivered a double-digit volume growth and this continued our trend of the earlier period when we had sustained volume growth and double-digit volume growth. And of course, as I mentioned earlier, on account of the improvement in our premium portfolio and innovations, we also had an increase in realizations.
And therefore, the net revenue growth is translating into a high-teens growth. In vacuum cleaners, the volume growth was more muted because as you can imagine this is a category pivot happening, a structural change happening. The more premium segments are going much faster. So, in vacuum cleaners the growth was much more led by ASPs and realization. And volume growth was muted there compared to water. I hope that gives you more color.
Ashvin: Yes, and Gaurav, is it possible to get what is the accounted service revenue growth Y-o-Y, service revenue which has been accounted?
Gaurav Khandelwal: So, Ashvin, we don't share that revenue separately but I'll give some more color. One, the gross revenue that is recorded basically what the consumer is spending that has seen a double-digit growth. So, that's one element.
The second is that, as you can imagin

e, AMCs have a fairly long tenure. The average tenure is
anywhere between 18 to 20 months. So, hence, the amortization happens over a fairly long

period of time. And hence, it will take three to four quarters for this to start getting reflected in the reported number.

Ashvin: Just one last question, if I can. Pratik, you introduced a product called Aquaguard Enhance NXT, I can see in the slide, wherein the service seems to be bundled with the product. Is my understanding correct? And why is that the case? So, is there some challenge around services that we are finding and hence, we are trying to bundle it with the, basically, giving a two years warranty or two years AMC free with the product?

Pratik Pota: Thank you for the question, Ashvin. I think the product you're talking about is Enhance NXT, like you said, which has got a two-year filter life. Now, our filters normally last for one year. This one is innovation, where we've given a two-year filter life product. The reality is that there are different consumer segments and people have differing requirements from products. A case in point being under-the-counter products that you see also in the same slide, where people are looking for modular kitchens and looking for under-the-sink purifiers.

Similarly, consumers are looking for a lighter touch, like a service touch for the purifier with longer filter life. So, this is just a response to different consumer segments and ensuring that we are catering to all of these consumer requirements. It is not a response to any challenge that we saw in terms of service. It was just to tap into an opportunity that we saw.

Ashvin: Okay, I will come back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia: Hi, thanks for the opportunity and congratulations once again for a good result, sir. Just a couple of questions from my side. Just wanted to check on the competition side. I believe one of the MNCs has acquired and probably they may get more aggressive. Any color that you think, do you think there is a space that is there for players like them and could that impact our strategy? If there is any color you can share. And secondly, on the capex, if you can give us a sense, what should be FY '25, '26 capex that you are looking at that would be helpful.

Pratik Pota: Thank you, Harshit. I'll start with the first question the response to that and then Gaurav will pitch in with the other one. I think on competition, I think this category needs more competition, it needs more innovation it needs more excitement to drive growth and to get consumers to re-evaluate this category to enter it.

So we welcome all competition including the ones that you referred to. I think the fact that our performance in the last one year the improvement has happened in the face of intensifying competition give us that conviction that we have the right set of plans to deal with any competitive headwinds that we may encounter. I think that this category is not about competition, Harshit, as you can imagine.

This category is all about unlocking penetration and getting a much larger share or larger number of customers across cost strata, across different consumer segments to enter the category. So we

welcome all competition and I think that would be good for the category and to grow the category. Gaurav?

Gaurav Khandelwal: Harshit, on the capex side, we are expecting for this year a capex of anywhere between INR 45 crores to INR 50 crores. Our capex, if I look at the years gone by was focused largely on digitization and innovations. While that continues, we'll also keep investing on areas like R&D, etc. But we expect the year to end somewhere between INR 45 crores to INR 50 crores

.

Harshit Kapadia: Understood. Fair enough. Thank you and wishing you all the best.

Moderator: The next question is from the line of Parikshit Kabra from Pkeday Advisors. Please go ahead.

Parikshit Kabra: Hi. My first question was actually just a recap of something that you mentioned but I couldn't quite comprehend. Is that in the services business, you're seen as double-digit revenue growth but you said that something would materialize over the next 3 to 4 quarters. Could you repeat that part?

Gaurav Khandelwal: So, Parikshit, what happens is that service AMCs are for a particular tenure and service AMCs are sold for either a 1-year period or a 2-year period or a 3-year period. Now, depending on the mix, what happens is that the revenue gets amortized during the tenure of the AMC. Typically, in our case, the average tenure of an AMC ranges anywhere between 18 months to 20 months. Hence, what happens is that the AMC that you sell, for example, in a particular quarter, the revenue of that gets amortized over 18 months to 20 months. However, the cost for acquiring that AMC, that cost entirely comes upfront. So, hence, what I was mentioning was that in a particular quarter, if I sold an AMC and it's showing a growth in terms of the absolute number of AMCs sold, the revenue of that since it gets amortized over an 18 months to 20 months period, the reflection of that comes with a lag.

Parikshit Kabra: So, the revenue gets recognized over a time period, but the cost gets recognized immediately. So, in some sense, the number is showing more compressed than it is actually.

Gaurav Khandelwal: One can say in some ways.

Parikshit Kabra: Got it. And I apologize if I'm asking this. If you've already made some revelations about this, I joined a few minutes late. Are you in a position to reveal your ad spend, your advertisement and marketing spend now, or do we still have to wait for the Annual Report?

Gaurav Khandelwal: Parikshit, we'll have to wait for the Annual Report. I think what we can, however, share is the fact that one, in this particular quarter, our advertisement and sales promotion spend are up 21% year-on-year. Equally, what we can share is the fact that we will stay the course on increasing our growth investments.

But the most specific number for the year FY'24 is something which will come up in the Annual Report. But directionally, one can assume that our spends in FY'25 will be a step-up over those levels.

Parikshit Kabra: And the last thing I wanted to understand is that since we saw, in terms of revenue, in the water purifier segment, we saw mid to high-teens. In the vacuum segment also, I think you said double-digit. And in services also, it's double-digit. So what has, what is the blended average which should be somewhere around 14 revenue growth or 13 or 14 rather than being at 11?

Gaurav Khandelwal: Yes, Parikshit, the only reason for that why the blended average turns out to be lower is because of the fact that the service revenue is amortized. So since the service revenue is amortized over a longer period of time, that revenue upfront is not coming in and service is only 30% of our business. So what effectively happens is that on a 30% part of the business, since that revenue is deferred over a period of time, we don't see that impact.

Parikshit Kabra: Perfect. I understood. Last question. Have we seen a gain in market share for water purifiers?

Pratik Pota: Yes, pretty static report that we have seen a market share gain in water purifiers versus same time last year. And I think the good news is that we are beginning to see the impact of our premium innovations kick in. This is early days yet. We expect that to intensify as we go forward. But even in this early sort of results, we are seeing the market share improve, especially through the premium segment.

Parikshit Kabra: Alright. Thanks a lot.

Moderator: Thank you. The next question is from the line of Rishabh Gang from Sacheti Family Office. Please go ahead.

Rishabh Gang: Yes. Thank you for the opportunity. So I wanted to understand like we are building products at the lower end of pricing spectrum, right? So that would increase the penetration for the product. So how has the trend been there? How many first-time users are using our product? And what is our outlook on the after-sales service from these low-priced purifiers? Yes, sir.

Pratik Pota: Yes, Rishabh. No, I think it's a good question. And I would agree that our strategy, one of our strategic pillars is to drive the penetration of the water purifier category. You would know that the penetration of this category is only about 6% in the country. And the opportunity is immense. And there are many things we are doing to drive penetration, including launching affordably-priced Aquaguard products like we have done last year. And that has been driving the growth for us in the economy segment for quite some time. And I think the good news and encouraging part is that more than 75% of customers who enter, who buy economy products, are first-time users.

That said, we also have the strategy of driving premiumization because a lot of customers, of Aquaguard, for many years ago, are due for a product replacement and an upgrade. And it's important that we give them a reason to upgrade and to replace the product. And therefore, driving premium innovation through differentiated functional benefits, design, etc. becomes a way of encouraging that replacement. So we are seeing both parts of the portfolio grow, the economy, as also the premium segment.

In terms of the aftermarket opportunity, I think the good news is that if you look at a slightly longer-term for our customer, the lifetime value of a customer will be significantly higher than, of course, the entry value and it will be symmetric across all parts of the portfolio. And our AMC proposition that we have launched last year, it's a combination of, a platinum-priced AMC for the premium products and for the customers who can afford it, plus also a very affordably-priced base AMC.

We've also launched a more affordable AMC for economy products earlier this year. So the idea is to make sure that we are relevant and accessible and affordable for all consumer segments, both in upfront product purchase and as also in the AMC, the aftermarket.

Rishabh Gang: So, for the low-priced purifiers, are we locking the device that it cannot be serviced by someone non-Eureka Forbes? Also, how do we compare on pricing for AMC with the unorganized player, right? How much alpha do these guys still have in front of us in terms of our affordable packs? How cheaper are they still? Yes.

Pratik Pota: So on your first question, Rishabh, we have ways of authenticating fake filters and therefore we are able to alert our customers if a fake filter is being used or a non-Aquaguard filter is being used. So we have ways of authentication and that helps us ensuring that we get a much larger share of the replacement market, when it comes to changing the filters. I think, on the grey market, while there is this perception that the parallel market gives much cheaper service, that's not necessarily true always.

And customers very often avail of parallel market AMCs and service without being fully aware that they are availing of a non-Aquaguard service, which is why the campaign that we've run recently about educating consumers about genuine Aquaguard AMCs, which is why we've launched our filters with a new design, which have a QR code, which allows customers to authenticate. Those are all steps toward helping customers make an informed choice when they replace their filters or go for service.

Rishabh Gang: I wanted to understand more on what is here going to be a go-to market strategy

for the rental
model. And how does your on-ground presence differentiate you from other players in the rental model?

Pratik Pota: I didn't hear that first question, Rishabh. Was it about rental?

Rishabh Gang: Yes. Like, what is going to be a go-to market strategy for the rental model? And how can your on-ground presence, right, which you have better than other brands, can differentiate you in the rental model? Yes.

Pratik Pota: Yes. Rental, as we've been saying, in our earlier calls as well, remains an area of opportunity that we are watching closely. And it's an area where we believe we have a right to win. We have not scaled up a rental project yet. It is in pilot, we are looking at it closely. But it's a question of prioritization when we decide to scale this up. From your second follow up question,

I think we are clear that our legacy strength, whether it's a strong brand that we have in Aquaguard, whether it's a nationwide service network that we've got, whether it's our growing digital presence, all of these are very, very strong and enabling strengths that will allow us to drive the rental business when we decide to enter it.

Keep in mind, however, that our product business is already growing into high-teens. And we want to make sure that we have no distraction or no lack of focus in driving our portfolio growth. Rental, we remain open to the opportunity. And when we get to it, we are sure we will have a right to win.

Rishabh Gang: What do you think about the B2B business?

Moderator: Sorry to interrupt. We request that you return to the question queue for follow-up questions. The next question is from Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Yes. Thanks for the follow-up, sir. Sir, again, I mean, I wanted to just finish this gross margin question where we have seen flattish on YoY basis but slightly down sequentially. So is it more of a seasonal phenomenon that we have seen a bit sequentially? And in terms of going ahead now with more premium products in our portfolio which probably have a better gross margins and service also sort of becomes a bigger part of the revenue, so maybe a couple of quarters down the line because of the accounting issue. Can we expect improvement in the gross margins as well going ahead?

Gaurav Khandelwal: Yes, Siddhartha well, I'll take it one by one. First, from a year-on-year perspective, you see a gross margins to be largely at the same level, so no real difference there. 60.4 to 60.5. And again, on a sequential basis, what you see is actually an increase. So from a Q4 59, we are actually at 60.5, so it's not a drop, it's actually an increase sequentially. So that's one point. The second coming to the outlook of how we expect the gross margin to go, first stepping back on a more structural basis, we are not looking at any reset of the gross margin table.

We believe we have the portfolio width which allows us to straddle both the economy segment

and the business segment, and the best manifestation of that has been the last five quarters where volumes have grown, yet gross margins have remained range-bound. Coming more closer to outlook, for us as a business, Q2 is usually the highest quarter for the year. Q2 is also a quarter where our gross margins go down a bit.
That's largely because of the fact that our AMC revenues are higher in Q2, and going back to the point I was making earlier that the cost for that come upfront while the revenue gets spread over a period of time. Hence, even if you look at last year, Q1 to Q2 will be a gross margin drop, and the same trend will continue this year as well. Having said that, it's just more a question of timing more than anything else, and you know it again reasons back from Q3 onwards, so we expect the same phenomenon to continue this year as well.
One last thing that I would call out is the fact that what

we've seen in the month of June in
particular are in the case of certain commodities like polymers, we've seen prices go up. It's still

at a stage where we are in a bit of a wait-and-watch mode to see whether this sustains or not. That could be one additional driver as we go along, but I think it's still a bit of a wait-and-watch there.
Siddhartha Bera: Got it, sir. Thanks a lot.
Gaurav Khandelwal: Thank you.
Moderator: Thank you. The next question is from the line of Harshit Kapadia from Elara Capital. Please go ahead.
Harshit Kapadia: Hi, thanks for the opportunity. Just wanted to check, would you be able to give us a sense on region-wise growth or even tier-wise growth in terms of plus tier-1, tier-2? Have we seen a double-digit volume growth across each of these segments as well?
Pratik Pota: Thank you for that question. I think the good news is that our revenue growth across regions was in double-digit and all regions grew well. And there was no specific reason that was an outlier when it came to growth. In terms of town-wise growth, again, all town tiers grew, but what was an interesting sort of nuance was that our Tier-2 and Tier-3 towns grew faster than the tier-1 towns in metros. But all towns had good growth.
Harshit Kapadia: And would it be right to say that economic growth grew faster in the Tier-2, Tier-3 towns than the premium?
Pratik Pota: I think it's a combination of various things. I think, first of all, the fact that we have, like you said, the economy range, that's done well. That's done well in the smaller towns especially. I think the other part is that our premium innovations are also doing well in the small towns. One interesting data point is that robotics is seeing as much traction in the smaller towns as it is seeing in the larger towns in metros.
And I think the smaller towns are increasingly adopting and are open to premium innovations as well. So it would be fair to say that while economy certainly drove growth in the smaller towns, we had premium also showing encouraging growth.
Harshit Kapadia: Fair enough, Good to hear. On the service part, we were looking to tap consumers who had Aquaguard products but were using service from third parties. Has that shift also been the one reason where we have seen shift? Or is it because our base of product was going hence the service grew?
Gaurav Khandelwal: Harshit, the line was a bit not clear but can you just repeat the question. Your question was around whether we are seeing a shift from grey market on the service side. Is my understanding correct?
Harshit Kapadia: Yes, the shift that we were all looking at from somebody who has a Eureka Forbes product but was using third party consumer. Was that also one of the triggers which actually grew service revenue or it was only because the base is increasing hence our service is growing?

Pratik Pota: Harshit, I think it's an interesting question and going back to what we've been saying earlier. I think the reality is that we have a very large installed base of Aquaguard users of which a relatively smaller share and proportion are part of an AMC offer and AMC ambit and therefore the opportunity of tapping into the rest of the installed base is immense.
And towards that we pulled out a number of initiatives that we spoke about and that you're aware of whether it's tiered AMC to make sure we are feeding a relevant large cross section of users or whether it is the advertising campaign about informing customers about genuine Aquaguard service or the grey filters that we've launched, the differentiated filters with a very clear QR code

which allows customers to check and verify and authenticate for the genuine filters. All of these are steps towards that direction.
I think the good news is that these results or these steps are

beginning to show some early results
and we are seeing awareness about our genuine filters grow. We are hearing evidence of customers asking technicians for filters with QR code authentication. We are seeing many more inquiries about these filters and genuine service amongst our business partners and call centers and so on.
But I think most important to recognize is that these are still very early days. As I mentioned in my opening remarks are the phase 2 of transformation will involve some heavy lifting around services and ensuring that we are able to tap into the very large opportunity that we spoke about of this installed ways of users who are not availing of Aquaguard service and many projects are underway and that we hope to give us a result and if I have to draw an analogy a year and half ago when we met many of you and we would talk about our performance we have shared with you that we were not seeing volume growth or any growth for a matter on products for long time.
As you have seen in the last 12 months to 18 months we went from having strong volume growth to now high-teens overall products revenue growth. We believe and it is our conviction that the same trajectory will repeat in service as well as the full impact of transformation becomes evident.
Harshit Kapadia: Very nice, sir. Good to know and wish you all the best, sir. Thank you.
Moderator: Thank you. The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.
Pallavi Deshpande: Yes, sir. Thank you for taking my question. I just wanted to know is all the investment on the app side done because I still have problems when I try to use the app.
Pratik Pota: No, Pallavi, thank you for that question. And separately I will touch base with you and understand what problems you are having in the app because I would love to understand more about it. But if I take a step back and respond to your question, I think the one step that we took in Q1 of this year was to significantly improve our customer experience, our UI/UX on our app.

And this has helped in making the customer journey on our app a lot smoother, a lot more friction-free and that's reflecting in the increase in our rating both in the Play Store and App Store and that's moved up significantly. I mean, we used to be below two earlier obviously not a very good score. We are now up to 4.2 rating on both iOS and Android. So, it's a reflection of the improved user experience.
Also, I think as the new app has availed that has got rolled out, more and more of our customer engagements have moved online. And almost 80% of our customer engagements now are largely through apps and a little bit through our website. So that's a reflection again of much better adoption of our app.
Our installed base of app users also is growing significantly and it grew last quarter as well. So I think those are the interesting and encouraging developments and lead indicators about our app. But to answer your question this is just the beginning and there's a lot of work that's happening in strengthening our digital play.
As an example, while the first part was about improving the service experience, we have just recently as you can see about a week ago, rolled out our website for product commerce which completely transforms the product commerce experience on our website. And I would love for you to speak and share your feedback because this is something that we believe will help us drive our D2C revenues as we go forward.
Digital is an area Pallavi, I'm sure you understand where you would never say that investment is done. It's always WIP as we learn from our customers, as we look around us, find new areas for us to tap into to improve our customer experience, to improve customer revenue realizations and drive efficiencies, improving sometimes even the employee experience. So, this

will remain
an area of focus for us as we go forward.
But again, just to conclude we will reach out to you separately and get your feedback on your app experience. You at least share your phone number, we will meet up from you separately and we would love to hear from you.
Pallavi Deshpande: Yes, I agree with that. And I mean somehow I feel somewhere maybe it is this deficiency which is driving the product revenue growth. It's simpler to buy a new Aquaguard than to get the one you have serviced, just a side thought?
Pratik Pota: Simpler to buy a new Aquaguard than I didn't hear that.

Pallavi Deshpande: No, I mean, it's just simpler to buy a new Aquaguard than to get the one service, maybe one reason for the high product revenue growth?
Pratik Pota: No, Pallavi, those are harsh words. I take your feedback though, your implicit feedback about our service experience. But let me hasten to add, I think it's important for me to clarify, even as we reach out to you because obviously you've had some experience which has not been very positive, we'll reach out to you separately.

But let me clarify and let me place on record. There are customer satisfaction scores, our NPS, Net Promoter Score across complete dissolution, across first-time installation or across doing the regular maintenance, the regular service. Our NPS has never been higher. Our lifetime high NPS is what we reached in Q1 well above what we had in Q1 at the same time last year or indeed above the recent year of Q4, number one.
Number two, we are seeing a significant number of complaints getting closed within one hour of either the customer facing the complaint or the customer's desired time of resolution. So I think overall our service levels have improved significantly. Our product growth coming back to your comment is driven by a number of things. I responded to some of the earlier questions about penetration. So, we had a range of economy products that we launched last year that drove the growth in economy and drove penetration.
We also have done a lot of work on innovation, premium innovation which is head drive growth. And if you now go to the store and I would love for you to see our product, our premium innovations, you will see that they are clearly the best in class, whether it's a Slimtech RO or Slimtech Glass which is RO and UV both or indeed it's a Blaze Insta which is Insta hot plus ambient temperature water or an under the counter product.
There are a number of innovations that we can talk about which are helping drive growth and helping drive share. So I take your feedback and once again we talk with you offline to hear more about it and make sure that we are satisfying with you like we have satisfied many of our customers.
Pallavi Deshpande: Second, just on the core ROIC what's the long-term target for the ROIC for the company five years down the line?
Gaurav Khandelwal: Pallavi your question is around long-term targets on ROCE or overall?
Pallavi Deshpande: Yes ROCE.
Gaurav Khandelwal: So I think one key feature of our business is the extremely high ROCE. It is a business which doesn't require a lot of capex. I spoke about our capex for this year being somewhere in the range of INR 45 crores to INR 50 crores and our profit levels will be going by what you've seen. I think that's going to be higher than that. So this is fundamentally a business which is very high on ROCE and that is something that we intend to preserve. This is not a business which requires a lot of capex.
Even if I look at the volume growth that we've had, it's not required any significant investments on the manufacturing side. Our capacities are adequate to cater to it and I think we'll stay close to our value creation model which is essentially about three parts. One, remain a very, very significant leader in a much larger TAM.
The expectation is that the cat

egories in which we operate will anyway be between INR 23,000 to INR 24,000 crores in five to six years' time. Second is margin expansion, more through

operating leverage and efficiency and third is this translating into cash and this for us is the value creation model that we are working on and we intend to preserve this as a high ROCE level.
Pallavi Deshpande: Lastly, on the utilization of cash.
Moderator: I am sorry to interrupt ma'am. We request you to return to the question queue for your follow-up questions. The next question is from the line of Srinarayan Mishra from Baroda BNP Paribas. Please go ahead.
Srinarayan Mishra: Yes, hi. Thank you for the opportunity. Am I audible?
Pratik Pota: Yes, we can hear you.
Srinarayan Mishra: Yes. So, my first question was on the services. So, are lower-priced services, are they helping to drive our product sales in terms of the filters? Are they helping?
Pratik Pota: So, Sri, your voice was a little muted, little muffled, but I think I heard your question. Let me respond, and if I haven't answered it, please come back. I think the segmented AMC offering that we did, we launched last year, had a suite of AMC options for our customers from affordably

priced base AMC at INR 599 all the way up to platinum AMC.
The fact that we drove this plethora of choice for our customers and segmented choices for our customers has helped us drive AMC adoption and helped us drive AMC growth. And as I mentioned in my opening remarks as well, we have seen a growth in the number of AMCs sold, and that is, we believe, one reason for that is this segmented AMC launch. Is that helping us also drive our product sales?
And by product, you mean device sales? We believe that over time, most certainly it will, because for the consumer, the high total cost of ownership has been a barrier in entering the category, and defined as both the upfront cost of the device itself and the recurring cost of service. Every research that we've done has shown us this.
So, as we drop and as we make our products more affordable, and as we give customers the choice of various AMC options, it will certainly drop the total cost of ownership, which in turn will drive penetration, which in turn will drive the new category adoption, and of course therefore drive growth.
Srinarayan Mishra: My question was in terms of the filters, are we able to sell through the filters to these lower priced AMCs? That was my question.
Pratik Pota: Got it, got it, Sri. Sorry, I misunderstood that. Yes, to respond to your question, you're absolutely right. We cater to this customer opportunity in two ways. One is we attempt to convert this customer to an AMC, and in that AMC, we have, like I said earlier, those different multiple choices where the customer can opt.

Equally, we also give customers the choice of replacing the filter without necessarily adopting the AMC, and happy to report that we also are seeing very, very encouraging growth in our filter business, enabled also by the work we've done on our filters, which is to make sure we differentiate our filters, they look different, they have a QR code which we can use to authenticate the filters, of course the advertising campaign that I spoke about.
So all of this is a very, very convergent, very, very congruent effort that we are mounting to make sure that we drive awareness about a genuine service and a genuine filter to appropriate a much larger share of this lifetime value of the customer.
Srinarayan Mishra: And sir if you can give some color on the EBITDA margins for services business?
Gaurav Khandelwal: Yes, we don't share the numbers specifically for the service business, but what I can share is the fact that the profitability for the service business is obviously higher than the product business, as

you can imagine would be the case for any service that you see.
Our priority there is to make sure that how do we keep driving superior customer experience, because our belief is that that will finally lead to more lifetime value getting created. Our priority in service is to get more and more people into the AMC fold, and what we've seen in terms of our AMC growth that is giving us early signs of encouragement.
Equally, while we have the moat of our service margin, we are equally focused on making sure that the product business profitability also keeps going up. So we don't intend to plan our business profitability only on service, but for each part of the business to be profitable in its own right.
Srinarayan Mishra: Just last question, if you can take. So between RO and UV, which of these two products is growing faster?
Pratik Pota: So, Sri, I think clearly given the deteriorating water quality across the country, we are seeing the RO segment grow faster. I think what makes the RO segment more attractive to consumers is that there is often inconsistency in the source water and the source water quality. So if a consumer is assured of municipal water right through the year with a certain low TDS, then the customer would be happy to go for a UV device.
But because the water source changes, leading to very differing input TDS amounts, customers prefer to play safe and go for a device that's either RO or RO plus UV. So overall as a category, RO is growing faster than UV.
Srinarayan Mishra: That's it from my side. Thank you so much for today.
Moderator: Thank you. The next question is from the line of Avinash Nahata from Parami Financial Services. Please go ahead.
Avinash Nahata: So, three questions. The first is, what is the unamortized, unrecognized amount sitting in the balance sheet as a part of service revenue which is not recognized?

Pratik Pota: Okay, why don't you finish all three questions please and we'll come back to all the answers.
Avinash Nahata: Okay. What is the seasonality across our three products, whatever anecdotal data have based on that, and what percentage of our product sale was accompanied by AMC?
Pratik Pota: So let me start with the third question and then we'll go in the reverse order. The proportion of bundled AMCs upfront is very, very low. And I think if you think about the point I made earlier that one of the barriers that the customers face very often in the category, especially new entrants, is what they believe is a high cost of product and high cost of service.
And therefore, customers prefer to defer the AMC decision to until later. We have just, as we discussed earlier on the call, launched a two-year filter-like product called Aura 2X online and enhanced NXP in retail. And both of these are doing very well. But if I pull back, the proportion of upfront bundled AMCs is very, very small. So that's your third question.
Avinash Nahata: One question on this. Would it be very different for high value products, for premium products on the water purifier side?
Pratik Pota: It would not be very different; it would be similar.
Avinash Nahata: Okay.
Pratik Pota: Yes. On your second question about seasonality of categories, I think clearly water has been imagined as an obvious seasonality where monsoon months, this period, ends up being a bigger period and a more relevant period for consumers to both enter the category and buy new products and also to go in for servicing. So, this is an obviously high quarter for water.
For cleaning, there is no specific seasonality except that when there is a festive period, just like in any durable category, when there's a festival period, all those big events or big days, that ends up driving category growth. Other than that, there isn't any pronounced seasonality of cleaning.
Sorry, go on.
Avinash Nahata: On a regular basis, would this quarter

account for more than 30%?
Pratik Pota: We don't give that break-up, but you will see historically, you will see the numbers historically how we have done. But rather than talk about specific numbers, I think, like you said, the broader point is what I made to you. Air purifiers have an obvious seasonality which we are all aware of, which is already in the headlines. While this category remains small for us, that seasonality is very, very pronounced. On your first question, Gaurav will just come in and answer.
Gaurav Khandelwal: So, the revenue that is there, which is amortized, we disclose it as part of our annual report. So that is something which will be disclosed at that point in time.
Moderator: Thank you. Due to the paucity of time, we will take this as a last question for today. I now hand the conference over to Mr. Pratik Pota for closing comments.

Pratik Pota: Thank you. Thank you everyone for joining the call today. I hope that we were able to answer the questions to your satisfaction. Of course, in case there are any queries that remain unanswered or if you want any more clarifications, please feel free to reach out to us at Investor Relations and we will be happy to respond. Thank you and have a good day and have a good weekend ahead.
Moderator: On behalf of Eureka Forbes, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This document has been edited to improve readability

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Call: Nov 2024

November 14, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 543482
Scrip ID: EUREKAFORB
Ref.: EFL/BSE/2024 -25/65 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block - G,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051

Symbol: EUREKAFORB
Ref.: EFL/NSE/2024 -25/26

Sub: Intimation of Transcript of Earnings Conference Call held on Friday, November 08, 2024

Dear Sir/Madam,
Pursuant to Regulation 30(6) read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call held with Analysts/Inv estors on Friday, November 08, 2024. The transcript of the aforesaid Earnings Call is also available on the website of the Company at www.eurekaforbes.com .

Request you to kindly take the above information on record.

Thanking you,

For Eureka Forbes Limited

Pragya Kaul
Company Secretary & Compliance Officer

Encl: As above

Page 1 of 18

“Eureka Forbes Limited
Q2 FY'25 Earnings Conference Call”

November 08, 2024

MANAGEMENT : MR. PRATIK POTA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. GAURAV KHANDELWAL – CHIEF FINANCIAL
OFFICER

Moderator: Ladies and gentlemen, good day and welcome to Eureka Forbes Limited Q 2 FY'25 Earnings Conference Call. We have Mr. Pratik Pota – Managing Director and CEO and Mr. Gaurav Khandelwal – CFO, Eureka Forbes with us.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during th is conference call, please signal an operator by p ressing star and then zero on your touch -tone phone. Please note that this conference is being recorded.
Before , I hand it over to Mr. Pratik Pota, please note the disclaimer : Certain statements made by the management in today's call may be forward -looking statements. These forward -looking statements reflect management's best judgment and analysis as of today. The actual result may differ materially from the current expectations based on a number of factors affecting the business.
I now hand the conference over to Mr. Pratik Pota. Thank you and over to you, sir.
Pratik Pota: Thank you. Good afternoon and I welcome you all to the Q2 FY'25 earnings call of Eureka Forbes Limited . I hope all of you had a good Diwali break, and my best wishes to you and your family.
Starting off with the Q2 performance. In Q2, we reported a revenue growth of 13.6% over last year, with a revenue of Rs. 672.9 crores . Excluding the impact of discontinued operations, our Q2 revenues grew by 14.7% year-on-year. This was a fourth successive quarter of double -digit growth for our continuing business, and it was underpinned by our product business which grew in excess of 20% . Our interventions last quarter in the areas of innovation, portfolio, pricing and the step -up in growth investments led to sustained high growth in our product business .
In-line with our strategy, we have stepped -up our advertising and sales promotion spend, which grew 40% year-on-year in Q2. This, as you would recall, is on the back of a 21% growth that we had in Q1. The consumer response to innovations and new campaign s has been quite encouraging, and during the quarter, we also launched aggressive buyback offers to drive replacements and upgrades, and this received a ver y encouraging respons e as well.
The vacuum cleaner category continued its pivot towards convenient cleaning with robotics devices and the premium uprights and cordless vacuum cleaners , being the engines of growth .
An important dimension to draw attention to , is the increased growth being witnessed in both our categories . A combination of higher activity, more innovation s, premiumization and increased visibility is helping drive this growth . This, as you can understand , is and will be a helpful tailwind for us in the future.
On the channel side, growth was broad based across all channels, with particularly strong growth in e-commerce and modern trade. As you are aware, we picked up service transformation in

phase 2 of our strategy earlier this year. As part of this, our focus continued on improving the customer experience, in growing our service franchise . Our AMC base expanded year-on-year, driven by more affordable segmented AMCs, albeit at a lower ASP. In addition, we strengthened our distribution and our go -to-market system for filters to tap into the non -AMC customer base.
The impact of growth and the associated operating leverage was visible on all profitability parameters. On the profitability side , the adjusted EBITDA margin increase d to 11.5% expanding 1 06 basis points on a year-on-year basis. This margin improvement was delivered despite a deliberate choice of significantly dialing up our advertising spend that I spoke about earlier . Our profit after tax grew 83% year-on-year to Rs. 46.7 crores fo

r Q2.
As we look ahead, we will remain focused on executing our transformation strategy , drawing energy from our recent performance . With our product business continu ing to grow strongly, and with the acceleration of our service transformation effort, we are conf ident of driving sustained and profitable growth in the periods ahead.
With that, I now hand you over to Gaurav. Gaurav , over to you.
Gaurav Khandelwal: Thank you Pratik and good afternoon, everyone . Starting off with the headline numbers : Our revenues at Rs. 172.9 crores grew 13.6% on a year-on-year basis . Adjusted for discontinu ed businesses , our revenues grew by 14.7% . Adjusted EBITDA margins expanded 1 06 basis points year-on-year to 11.5% in Q2. Adjusted PBT grew 36.2% year-on-year and PAT at Rs. 46.7 crore grew 83.2% year-on-year. On the revenue side , product business clock ed +20% growth and we continue to see broad based growth in both , electric water purifiers and vacuum cleaners . Driven by premium innovations, realizations improved, leading to both, volume and mix being growth drivers.
Growth initiatives were supported by bolt on growth investments in advertisement and sales

promotion spends . In-line with our strategy, our advertising and sales promotion spends grew 40.1% year-on-year in Q2. Part of these investments are also driven by an early festive season and supporting new innovations. We intend to continue stepped up growth investments. Our Q2 gross margins at 56.3% were 111 basis points lower versus previous year. This was driven by a combination of buyback offers and channel mix. Commodity prices remained range bound during the quarter. The sequential drop in margins is a seasonal phenomenon, as witnessed in previous years also. This is largely due to the fact that in Q2, the product bus iness has got a higher share compared to the service business . Driven by operating leverage , our expenses as a percentage to revenue, excluding ESOP charges, were lower by 217 basis points versus previous year. Our focus on cost program will continue to drive further efficiencies .

Within expenses , if I were to give some color, service charges red uced by 12% year-on-year. This reduction was mostly driven by a larger share of digital AMC's and consumer interactions happening via the digital route, and also , leakage control measures that have been taken by the company. Going forward, we will make spe cific investments in driving improved customer

experience . Non-cash ESOP charges stood at Rs. 5.7 crores, versus Rs. 10.7 crores in Q2 last year, and Rs. 8.7 crore in Q1 FY'25. We expect ESOP charges to now stabilize at these levels. Other lines below EBITDA remained largely stable . Depreciation for the quarter stood at Rs. 7.2 crore and amortization was at Rs. 6.8 crores. It may be noted that while the depreciation charge is linked to CAPEX investments, amortization charge in the P &L is largely for int angible assets which were created as part of acquisition accounting .

On the balance sheet side, the net surplus improved to Rs. 119 crore . Trade receivables increased due to channel mix with higher growth in e -com and modern trade. There are standard credit terms in both these channels and we expect this to unwind in H2 of this year . Inventory increase was due to festive build up that were carried out.

In summary, sustained double digit growth for 4 quarters for continuing business and steady year-on-year margin improvements, despite significant bolt on growth investments , gives us the confidence in our strategy of driving sustained profitable growth. Thank you.

Moderator: Sir may we proceed with the question -and-answer session?

Pratik Pota : Yes, please.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Umang Mehta from a Kotak Securities .

Please go ahead.

Umang Mehta: Thank you for the opportunity , congrats on a good quarter. So, first question was on, if you can share some ballpark growth rates in water purifier product, vacuum cleaner product and service segment, if not for the quarter, just for the first half , that would help to understand the mix growth ?

Pratik Pota : Umang, thank you. Thank you very much for your question and for your wishes. As we mentioned in our opening remarks, as the results reflect, I think our Q2 performance was on the back of a very strong product growth , in excess of 20% . This growth was extremely broad based , we saw similar strong growth across both water purifiers and vacuum cleaners. This came on account of #A, volume growth , #B, the success of our premium innovation and #C, our investments that we made in driving adver tising and driving visibility, of course both , on air and on the ground. The growth was, as we mentioned earlier as well , broad based in terms of channels as well. While e -commerce was the fastest growing channel, we saw robust growth in retail and in our direct channels as well. So , I would say in terms of both category as well as channel, our growth was extremely well distributed .

Umang Mehta: Sure, but mainly on the service business. So, like in first quarter you had highlighted double digit growth in co nsumer spend s, at least that time would have continued in the second quarter ?

Gaurav Khandelwal : Yes, Umang I will take the question . On the service side, we have now moved to that part of phase 2 of strategy of growing the franchise, because our focus is on replicating our experience that we saw on the product side, where you get more consumers into the franchise. So, as part of that strategy, what we have done is , that we have made our offerings even more affordable . As a consequence of that, what we have seen is our AMC base to go up. We have also seen our AMC volumes to go up, and that is something which is given us an indication that our strategy of product that worked well for us is something that should work well in service as well. So, that's how service is panning out . As you can imagine , getting more people into the franchise and the annuity business is critical , and that has come with a ASP block , which we are conscious of. But going ahead we would then say that, on a lifetime value basis , you will see this playing

out in the quarter s ahead . An important number I will draw your attention to is the fact that if you look at the liability that we carry on our balance sheet, which is towards the unamortized revenue , that continues to remain very, very healthy.
Umang Mehta: Understood, this is helpful, t hank s a lot. I have follow -up questions; I will come back in the queue .
Moderator: Thank you. We have the next question from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: Thanks for the opportunity , sir and congrats on a good set of numbers. Sir, first question again, you have mentioned that the product growth has been very strong at 20% in the quarter. Some color there about , is it largely volume driven , or what amount can be volume and what can be the ASP , that will be very helpful to understand this . And some indication about now we have completed the festive season, so some indication about how the growth trends are , are some of these trends sort of better in the near term, in the festive period. So, some color there will be helpful to understand the growth momentum?
Pratik Pota : Thank you, Siddhartha, thank you for th at question . On your first question , on our performance on the product business, and some color on that. I am happy to report , that both for water purifier and for vacuum cleaners, our growth was a combination on the back of volume growth as also an increase in our ASP . Let me

double click on both the categories individually. In the case of water, as you are aware , we have a penetration task, that's been ongoing and that reflected in our decision to invest once again i n an advertising campaign to drive awareness, and again, that led to a very strong volume growth in the water business. In addition , our premium innovation, one of them was under -the-counter product, another was the instant hot water product , both of these helped strengthen our ASPs. Our premium portfolio within water purifiers grew well ahead of the others. As a result, our ASPs improved as well. So, in water, it was a clear combination of both, volume and ASPs .
In the case of vacuum cleaner s, as you are aware there is a pivot happening in the category, which we have spoken about earlier, and that is towards convenient cleaning. The categor y has for a long time, been driven and anchored in conventional cleaning categories, canister based

vacuum cleaners an d corded vacuum cleaners . In the last couple of years, and especially in the last 2-3 quarters, we have seen that pivot accelerate and this quarter , we saw growth again led by the premium segments of robotics and the handheld and the upright vacuum cleaners. Again, in this category, we were happy to see volume growth, but a much greater bias of the overall growth came from the ASP improvement. It's important to also underline , that in neither of the categories, was there a pricing led growth . We did not take pricing ; it was on the back of both volumes and ASP . I hope that answers your question .
Siddhartha Bera: Yes.
Pratik Pota : Got it . On the second questi on that you asked about festive, you are right. Now, w e've had the entire festive season behind us, and if you look at our overall performance, especially in the last and most recent period of Diwali , we saw two patterns play out . First, the growth that we saw from the Pujas to Dussehra to Navaratri period , to Diwali, there was a very clear acceleration. The growth picked up , the consumer, the footfalls in the markets, and the sentiment improved and there was a very clear uptick, which in turn reflected in robust demand during Diwali across all our channels. Once again, as I mentioned earlier, e -com was the fastest growing channel, even during Diwali and overall festive , but modern trade did well, as did our direct channel . Traditional trade, while also growing , was slower to grow compared to the other channels. So overall I would say , we are happy with the way festive has performed for us. It was a strong performance that tertiary sales were robust, and again, reflected what we spoke about earlier. There was a v olume impact, and there was a very, very encouraging response to our premium innovation and therefore, the festive momentum was very positive. It's important to have a underlying in the same breadth , that given the festive and Diwali timing, a lot of the p rimary billing that went behind this tertiary billing actually happened in Q2, and is reflected in our performance and which we called out in our remarks as well. So , while the tertiaries have played out through and will lay out through October and through Q3, the primar y has been baked into the Q2 numbers . We will now see the refreshment happen t hrough November and December.
Siddhartha Bera: Got it, sir. S ir second question is on the schemes you have launched to drive upgradation with consumers. So, some numbers you have about what percentage of buyers would be upgrading between your product sales and any sort of data point would you have to share on this?
Pratik Pota : That's a really good question. I am glad you picked up the schemes that we have driven and a very concerted plan that we have driven to drive upgradation , to drive faster replacement. And if you recall, in earlier calls, especially last yea

r, we have spoken about t he fact that while part
1 of our agenda in water was to drive penetration, part 2 was indeed to drive replacement, and upgrade s. And that's laid out this year, especially in Q2. We are happy to see therefore , that the response to our buyback scheme was ver y, very strong and that scheme from both , our existing installed base of users, and also from our non -user base, the competition base. Our premium portfolio did well, with almost half of the new customers who were coming in, half or more , being upgrade r in our premium product s. And as you can imagine, this was focused sharply on our premium product s. So, our premium product s actually saw a very encouraging response with

like I said, more than half of the users being upgrade r or people who are buying faster. I hope that helps.

Siddhartha Bera: Thanks a lot sir, that is helpful. I will come back in the queue.

Moderator: Thank you. The next question is from the line of Naushad Chaudhary from Birla Mutual Fund. Please go ahead.

Naushad Chaudhary: Thanks for the opportunity and congrats on a good set of numbers. First, the bookkeeping sir , in the P&L our service charges this time was slightly lower year-on-year. What has happened there and is this something we should take as a new normal for the business ?

Gaurav Khandelwal : Thanks for your question. The service side reduction was largely driven by two things. First is the fact that as we digitize more and more of our business, we are seeing the extent of our digital AMC sales go up , and equally our consumer interactions via digital means go up. Just to give you a data point around that , today 80% of our interactions are now happening through digital forums. Now when that happens, it obviously leads to a situation where the service c harge that you are paying through the non -digital or offline route, those go down. The second thing that has happened is that, as you can imagine on a very large network, there would always be opportunities or there would always be certain areas of leakage that could arise, and those leakages are being addressed one -by-one. As we mentioned in the past, driving cost efficiency is a continuous process, and again as an ongoing process we keep identifying the opportunities that are there to keep driving efficie ncies. So, that is other thing which has played out. Having said that, as we mentioned in phase 2 of our transformation, service is an absolute priority and while these efficiencies come in, it equally gives us the headroom to invest in certain customer experience initiatives, and we will make those investments as we go ahead . So, this will be a combination, as we go ahead in this journey, a combination of certain efficiencies playing out, but then part o r some parts of the efficiencies getting deployed back in driving superior customer experience .

Naushad Chaudhary: Understood sir very clear. Second, on the expected BIS regulation for the water purifier. Any update on this and if that happens, how do you think t his can benefit or impact to organized players like us?

Pratik Pota : Naushad that’s again a very good question. And the impending BIS rollout, is very good for the industry, and it is something that will give the organized sector a much -needed boost. It will also encourage all of us to drive products that have high water recovery and therefore are far more sustainable. And I am happy to say that, all our products are and will be compliant well in time for the BIS implementation . We are aware th at there's something that is a very important initiative and important area of focus for us, and our entire portfolio will be compliant and we believe , that as BIS guidelines get accepted and get implemented, this will help drive the organized sector more favorably .

Moderator: Thank you. We have the next question from the line of Anirudh ha Joshi from ICICI Securities . Please go ahead.

Anirudh ha Joshi: Thanks for the opportunity. Sir, t he efforts that we have done , so definitely the fruits of those efforts are seen in this quarter. Just wanted to understand, how are we in terms of the market shares across the products , so what would be the performance, let's say in market share terms across the region. Then secondly, have we seen the growth broad based, is it across the regions of India, or is it in some pockets, because most of the companies are indicating weaker consumer off take, we are among the very few companies which had shown such robust performance. So, is there any particular region where we are getting this growth, or any other abnormality, or any rural, urban kind of say, like if you can share more on that. So, that is the second question , thanks.

Pratik Pota : Thanks Anirudh ha. We spoke about the fact that we had a strong broad -based growth . Happy to report that it also reflected in a market share increase that we have seen in our retail business. This market share increase was evident in both , our traditional trade , and the modern trade channels . And clearly, therefore we have in the last quarter , outgrown the market . Your second question about the growth profile , was it broad based. The growth was broad based , we spoke about the category growth , which was broad based across both , water and cleaning. It was broad based in terms of regions as well , all our regions had strong growth. But amongst the regions, we are seeing the South region grow faster and again, that's something that was over index on our overall growth . In terms of town class, we saw all town class es grow, but the tier 2 and tier 3 towns and the mid -tier towns actually grew faster than the metro and tier 1 towns. And that, again , that growth pattern and profile reflect s what we are seeing in other consume r businesses elsewhere, that the smaller towns have grown a little faster. So , I would say while there was uniform growth everywhere, the growth bias and the growth over indexing was #A, in e-commerce, #B, in the South region, and #C, in the tier 2 and tier 3 towns.

Anirudh ha Joshi: Okay, sure sir this is very helpful . Last question , so when we had started somewhere around that time, there were 8 million water purifier installed base, and I guess we were directly servicing around 1 million water puri fiers. So , where does this number stand now, in a way has that penetration of direct servicing has gone up considerably or how should we read that and where do we see this number, let's say going up to in 3 years, because we have done lot of on ground initiatives on this. So, just wanted to check with you for an update , that's it fr om my side. Thank you.

Pratik Pota : Thank you , Anirudh ha. That's really a good question, and you are absolutely right. We had tal ked about a significant expansion in our installed base. Our strategy, as we discussed earlier, was to drive volumes and dr ive penetration and in the year 1 of our transformation strategy, we spoke about a significant volume growth that we deliver on the back of affordable Aquaguard and the advertising campaign supporting it. So , that led to a significant growth in our overall installed base. We have also seen as we mentioned earlier in the call, growth in our service franchise and our service installed base, we have separately also spoken about, and it’s there on the investor

deck , about the fact that we have got access to almost 14 million first party data, and that again, as you imagine is an extremely valuable asset. So, happy to say that our installed base has grown overall, our base of AMC users also has grown encouragingly. But as you are aware, we don'

t

give these numbers separately. We don't give volume growth numbers separately, but they both have moved in the right direction . Both are overall installed base of Aquaguard users, and also within that the base of AMC users.

Aniruddha Joshi: Okay, sure sir. Many thanks , very helpful.

Moderator: Thank you. The next question is from the line of Nandita Rajhansa from Marcellus Investment Managers. Please go ahead.

Nandita Rajhansa: Thank you. First of all, many congratulations to you Mr. Pota and Mr. Khandelwal for an excellent set of numbers. So, my questions are twofold , one is a little macro related, and the second is basically on the accounting si de. So, the macro related question is that we have been hearing this, and I am seeing this in the data as well that there is a slowing urban demand overall across the country. So , I wanted to understand that whilst we have had a really good Q2 which could seasonally also be good because of the monsoon and therefore the higher consumption of water purifiers, but how sustainable is this going forward and the accounting questions are regarding increase in trade receivables and reduction in trade payables , as well as the gross margin reduction quarter -on-quarter . So, if you can just give us more color on that, that will be great.

Pratik Pota: So, Nandita thank you for the wishes and let me respond to your first question befor e handing you over to Gaurav for the question on receivables. You have spoken about the context where we are seeing demand challenges, and we have spoken about that as well earlier. The change that we begin to see now is that we are seeing of a greater adoption and a greater acceptance of the water purifier category, there is increased activity , there is a lot more innovation happening. There is a lot more visibility in terms of advertising and on the ground, there are more players entering. So, there is a lot of excitement, plus the fact that we in the last 18 months or so , have sustained our advertising investment in driving basic category need and relevance . All of that is reflecting in an improved category adoption and category growth rate. So that's a tailwind that's working for us, which I spoke about in my opening remarks. In addition, what we have been doing as you are aware, is being focused on driving our own penetration efforts and driving more recently our premium innovations. These have worked for us, and as we mentioned earlier, we had now 4 quarters of double -digit growth in our continuing business. Product growth have been high teens , this quarter was +20%. We feel good about the plans that we got lined up for the future. We feel good about what we have got, being getting rolled out in both Q3, Q4 and beyond. We feel that between our efforts at driving penetration, driving innovation, creating more relev ance, investing as we said earlier ahead of the curve on advertising , and of course , our execution improvement on the ground, we believe that we will be able to sustain strong product growth in the foreseeable future. I don't want to quantify it and get do wn to numbers, but strong growth, robust product growth, we have immense confidence in being able to deliver it.

Gaurav Khandelwal: To the first question on trade receivables, we have seen from a growth profile standpoint, strong growth on the e -com side and strong growth on the modern trade side, while other channels and geographies have also grown, but the growth has been relatively higher in these two channels. These channels operate with standard terms of trade, in terms of credit that is there with major players. And hence, what you see is a reflection of those credit terms in our debtors position. So, this is something which is very, very normal. It is something which will unwind between October and November, because that is when collectio

ns fall due , and part of that is already happened in October. You will also know that this is a consistent pattern that happens every year because of the simple fact that festive is always around October or early November. So, that's the reason why trade recei vables have gone up , but this is more a question of timing than anything else. The second thing is around gross margin , again, when you look at gross margins from a sequential basis, this again is something which is a function of seasonality . Q2 for us is the biggest quarter of the year and within that , the product salience goes up because there is festive selling, etcetera that happens , there is selling which is related to monsoon that happens . Given the fact that product gross margins are lower than service , there is an overall portfolio effect that happens , if I draw your attention to even, let's say last year, there was a sequential drop of gross margin that had happened, and then these gross margins come back again in Q3, once the portfolio rebalan ces. I will draw your attention to our H1 margins. If you look at on H1 basis , our margins are 58.2% versus last year of 58.8%.

Nandita Rajhansa: Understood. And the point about trade payables , there's been a reduction in trade payables as well?

Gaurav Khandelwal: It's just a function of , so part of our trade payables are linked to our import portfolio. So, there are certain, for example the vacuum cleaner portfolio , that supply chain is China based largely . Now, for a festive buildup , you bring in VCs , etc., and those payment terms is something where you end up giving payments. So, it is more a function of again linked to inventory which is there and its regular inventory payments that are happening .

Moderator: Thank you. The next question comes from the line of the Diya B rijwani from White Whale Partners. Please go ahead.

Diya Bri jwani: Really appreciate the initiatives you all have been taking on the AMC contracts, but any metric that you can share on the renewal rates, given that the first year service is free. So, any metric that you can share on that , that would be my first question. Second is , any update , so you have mention ed on the pilot that you have been running on the rental model, so how has the progress on that been . That's it.

Pratik Pota: Thank you, Diya , thank you for the question. I will respond on your first question , on metrics linked to our AMCs and our contracts. Let me first pull back and talk about what we have seen in the service business that we spoke about earlier in the call as well . Our service strategy, to recap , has been to sort of follow the same analogous path that we did with product a year and a half ago, which is to recognize that one big barrier to our service and to our AMC and to a

contract has been the high perceived cost, and therefore what we have done, as you are aware, is to offer consumers and our customers segment al and tiered AMC options to drive unit sales and unit off take , knowing that in annuity business, the more volumes we have and the more customers come up with a franchise, the better will be the revenue stream in the future. So, with that objective, we have rolled out affordable AMC 's, as I mentioned earlier, we are seeing that reflect now in a growing service franchise and service base. So, that has been the first encouraging output and outcome of what we have done. That, of course as I mentioned earlier, has come a t slightly lower ASP, but that was by design to drive affordability. We don't share detailed metrics of how conversions have trended, but happy to report that our conversion and you asked a question about the first-time user, our conversion metrics have improved in terms of people who were first time adopters of AMC, so people who bought the device and were into warranty, and the adopti

on of AMC which we have improved last quarter. We sort of don't share numbers beyond that. On your second question, the rental pilot , the pilot continues on a slow burn, and I want to, sort of talk about that a little bit, because it's a question that has been asked earlier as well, and it's a very fair question. The rental pilot continues, and it has delivered whatever we wanted to deliver, in terms of learnings, in terms of the KPI, the debate that we have internally is when to step it up and the interesting, and this is a problem of plenty in many ways, because when we are growing at +20% in a produc t business, we want to be careful not to de -prioritize that when we open up a new front as far as rental goes, because any such initiative will require investment s, will require creating the right awareness , the right field, and folks in the field and go-to-market system. So, it's a matter of prioritization, and as of now, we are choosing to prioritize our product sales business before we scale up our rental business , that remains on a peripheral vision. But given the strong momentum , I guess just the convi ction that we have in product, we believe that this is not the right time to digress and to distract our teams from the agenda by getting into scaling up rentals.

Diya Brijwani: Got it, that's helpful. Thank you .

Moderator: Thank you. The next question is from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia: Thanks for the opportunity and once again congratulation s for a very good set of another good quarter. Few questions from my side. So, when you mentioned that premium product has been one of the major contributors, how wou ld you define a premium product, so is it based on price point, or is it based on liter and what contribution is premium in your current portfolio, within water purifier and a vacuum cleaner?

Pratik Pota: Thank you Harshit . Thank you for the wishes and the feedback. And we have seen, as you mentioned rightly, growth come by in our premium business, the premium portfolio and while I will talk about and answer your question in det ail in just a minute, I also want to underline that we saw growth in all parts of our portfolio. It wasn't just in the premium business. We saw first of all strong volume growth overall in the water business and indeed in VC . We saw strong growth in econom y as well, and not just in a premium , so therefore, we were encouraged to see

that the growth was very broad based. Now coming to a specific question on premium growth, and how do we define premium products . They are defined by price points, and the price points are different for RO devices and different for UV devices. In the case of UV devices, the price point that we have is more than Rs. 12,000 for UV devices, and for RO devices is more than Rs. 20,000. Any product that we have in the price band , which is like I mentioned earlier, more than 12K or more than 20 K, will be defined as a premium product .

Harshit Kapadia: Okay. And what percentage right now would be your premium product in your portfolio ?

Pratik Pota: While we don't share that breakout Harshit , given the fact that the premium portfolio has grown faster than the overall category average, you can imagine that this mix of premium has strengthened versus last year. And again, just to rewind the clock back a little bit, same time last year a s you recall growth was driven largely by the economy segment, and we were talking about our intent to grow premium and to make sure we had a much more balanced growth profile. Now, if you look back and reflect on the last one-year journey, and of course l ast quarter, we feel good about the journey we have traversed , where our penetration work and efforts continue to bear fruit and give us volume growth and revenue growth, but we now have second

growth
engine firing for us, which is a premium innovation and the premium business .

Moderator: Thank you. We have the next question, ladies and gentlemen from the line of Anupam Goswami from SUD L ife. Please go ahead.

Anupam Goswami: Sir if you can give some light , I missed some points on the service segment, and how much we are growing in that and given our newer launches, do we give any minimum sort of pre-services or a guarantee period, and where do we see the service segment as a percentage of a total revenue going forward?

Pratik Pota: Got it. So, thank you Anupam. O n the service segment, while we don't give out the segment al revenue every quarter , it will be fair to say that ser vice revenue constitutes about a third roughly of our overall business. Our service transformation agenda was picked up earlier this year. Our transformation strategy was divided broadly into 2 phases. Phase 1 was to restore product growth, and this was a business they would recall that hadn't had product growth for almost a decade. So, it was important for us to bring product growth b ack, which we began doing last year and very deliberately , this year , in addition to product we picked up a service transformation agenda. We feel good about the progress we have made in the last six months. I spoke earlier about the fact that we have driven now affordable AMC , we have also now picked up the agenda of targeting the non -AMC user s, the installed base of customers who are comfortable, in fact would prefer not to have an AMC, and are very comfortable replacing filters as and when they need it. So, w e have now bolted on our efforts by having focus on a new filter go-to-market that I spoke about earlier . So, that's beginning to bear fruit as well. So, that's now reflecting in our service segment, expanding the franchise, o ur AMC base expanding and strong pick up in our filter sale. Also what we have not spoken about, and it's important to underline, is that our customer experience KPIs also have improved significantly year-on-year. Our service KPIs , our

service tags, our NPS numbers are far higher than last year and at lifetime highs. So, that's on your first question. On your second question , how is the whole service structured, yes, when we sell a new product , in the first year, we have a warranty that covers the first year. As part of that warranty, depending on which segment the product falls into, we either have one or we have two free service options being given to the customer, and that's part of the warra nty offering wherein our technician goes to the customer's home, cleans up the filters, if any other help required, services the device and comes back . At the end of the one-year period, we then attempt to convert our customers into our AMC offering , some customers pick it up right then , some customers wait for some time, and some customers like I said earlier, they prefer not to go in for an AMC and wait for a filter change to come by. So, that's the way it's structured, the construct.

Anupam Goswami: Okay. And so this time the margin improvement , is it only because of the premium segment catching up or is there any service segment also coming up, and talking from the point of view like where we could see the margin going forward, one was the thesis that se rvice segment will come up, and we had a lot of leakage in that segment, and also premium product, where is that strategy playing out?

Gaurav Khandelwal: So, at a macro level, the margin improvement is being driven by operating leverage. Because fundamenta lly if you look at, it's the near 14% growth which is giving us that operating leverage advantage , because at gross margin , at high gross margin level that plays out quite well. Because again, I would just like to reiterate that this margin improvement tha t you see , is

after a 40%
year-on-year growth in advertisement and sales promotion spends . So, it’s largely been driven by operating leverage, the re will obviously on an ongoing basis, opportunities of cost efficiencies that will be kind of worked upon, but at a macro level, it is going to be operating leverage, which is the biggest source of profitability improvement.

Moderator: Thank you. The next question is from the line of Harsh from Nepean Capital . Please go ahead.

Harsh: Than ks for giving this opportunity. So, I just had two questions. Firstly, on the buyback front , how much of the buyback has contributed to our 20% product growth, and secondly on the ASP improvement , I understand that we are focusing on the broad base growth wi th penetration and premiumization both. But I would just like to understand what's our mix that we have in our mind given that the mix of premiumization should stand given that how the margin moves. That's the two questions I have.

Pratik Pota: Thank you , Harsh. Let me sort of start with the first question. Second question , before I come to the first question. T he exciting opportunity that we have in water purifiers is that we have both a penetration task as also an upgradation task . In a category that has 6% penetration , as you can imagine, there's a long runway we have to drive category adoption and convert non-users , and towards that we remain invested in driving awareness, driving relevance, driving affordability, driving access and distributio n, and that has led to a strong growth in our economy portfolio this year and therefore in our volumes, which I spoke about earlier. Equally, we are lucky to have a very large installed base of users and the average replacement cycle for water purifiers ha s been

typically 6-7 years or in many cases even longer and that is much, much longer than what other durables typically have or have begun to have more recently. And the reason for that is the category has not driven innovations, significantly until recen tly. So, therefore, a big part of the strategy now is to tap into our installed base and indeed install ed base of water purif ier user more generally and to give them very, very differentiated and clearly different products and premium products which they c an upgrade to. And that is what will lead to, and that is what we need to an ASP increase. So, our growth i n the last quarter was a combination of both , of strong volume growth and water , accompanied by a higher mix of premium, which led to an ASP increase. Going forward, we expect this t wo-step tango to continue. We will have a focus , with an approach that will have a very clear focus on driving penetration , we will make sure that we drive affordability, we grow volumes, we drive relevance , equally however, we will remain focused on driving innovations, driving differentiation, giving consumers specific functional reasons or other reasons, aesthetics, design s, form factors, to upgrade the devices faster. So, we expect both of them to grow and which will lead to a very healthy and a balanced growth profile .

On buyback , you asked about the contribution which was your first question. I mentioned earlier that we were encouraged by the response to the buyback offer, and you may have seen our press advertising that we ran across the country. We also ran a lot of digital campaigns around it. We also had television campaign running both in Q2 and more recently in October , our focus on the premium product, and that led to a very, very encouraging response from our customer s. And while we don't give numbers out in terms of the adoption of buyback, acceptance of buyback, the number I did mention is that more than half of a premium device user s and the buyback users actually were existing users who came in to upgrade their devices so this is, to be honest this

is
the first time we have done an effort of this nature at this scale. But we have always had buyback offers running in bits and pieces earlier, but with this kind of support and this kind of visibility , it's the first time, and we have been fairly encouraged , encouraged and enthused , by the response we have received, and we intend to continue this as an area of focus for us.
Harsh: That's all from my side, Thank you.
Moderator: Thank you. The next question is from the line of Yash from Stallion Asset. Please go ahead.
Yash: Thank you for the opportunity. I just wanted to understand just from the management 's vision perspective. So, after this transformation project is over, do you believe that the business has potential to have a significantly higher EBITDA margin maybe something like 15 %, 16% for the next 3-4 years?
Pratik Pota: So, Yash , thank you for the question, and I am glad you sort of asked a more longer -term question, because really the exciting part about Eureka Forbes is that there is a here and now opportunity, but there is also a much more exciting, longer -term opportunity. This is a busi ness with tremendous assets. We ha ve got an incredible brand in Aquaguard and a very strong corpo rate brand in Eureka Forbes. We ha ve got two strong categories, two large categories, which are both under penetrated, which are both relevant and seeing increased adoption, increase d growth, w ater and cleaning. We have got a very large service business , we have now

got a growing digital back end, and as reflected in all our digital growth , etc. So, with these foundational assets and such strong assets, we have an extremely promising and a very high growth model ahead of us. We will be a much larger business as we go forward, and we will have growth, and I am talking of the next 5, 10, 15 years. So, this is a business that we are designing and rebuilding, as we say often , for the next 40 years, building on the foundation that are being laid in the last 40 . So, as we grow, as we drive innovation, as we drive penetration, one big part of that effort will also be to improve profitability. And as you can imagine, in a business with healthy gross marg ins like ours, as revenues grow, there will be some obvious impact through operating leverage on our EBITDA. But equally however, we have to invest back in driving category growth, in driving and supporting our innovations, and in general, just stoking both the category option s. So, over time, longer term, we will grow , there will be profitability expansion , but it will be calibrated , it will be systematic , it will be step -in-step.
Gaurav, y ou want to add to that?
Gaurav Khandelwal: One thing , I will just draw attention to the fact is that we are still literally at the end of the second year of the transformation. So, obviously, we are at a stage where there is still a very clear runway that is there and if at the end of second year, we are at some margin profile, which is, which is roughly 11 .5%, then it also tells us that there is a roadmap which will take us beyond this, now where exactly it lends , time will tell. But from our perspective, again goes back to the point that with a high growth margin profile and a focus on expanding category , growth comes and with that follows operating leverage, which automatically ensures profitability.
Yash: Okay, got it. And just coming back to the previous participants question on this buyback scheme, so I just want to understand, so are you targeting existing Eureka Forbes customers and telling them that if you upgrade to like a latest model , I just want to understand how this works ?
Pratik Pota: Yes, Yash. See the logic like I said earlier, is to talk to y our existing users of water purifiers , more generally, not just Aqua guard and give them specific reasons, both linked to p

roduct and
innovation as also supported by some financial incentives and offers and discounts to accelerate their re purchase . And so w hether it is our instant hot water product or indeed, it is our under -the-sink product, or a glass SimTech product or a stainless steel product , we have specific buyback offers, different offers on different products, targeted at existing users across all channels, whether it is a direct sales channel, through direct a sales channel, or through retail or through e -commerce , we have different version s of these offers running, and as I mentioned earlier, we ha ve been quite encouraged with the response that we received .
Yash: Right. And you will continue this offer for the rest of the year?
Pratik Pota: Sure. It will be part of the strategy going forwa rd, yes.
Moderator: Thank you. We have the next question from the line of Rishabh Gang from Sachethi Family Office. Please go ahead.

Rishabh Gang: Thank you for the opportunity. Really wanted to appreciate your great perf ormance and effor ts from the team. I understand a good amount of growth is coming from the robotic vacuum cleaner, and we have done new product launches as well. I want to understand what are we doing and will do incrementally for product awareness as well as increasing sales, especially c ross sales. Like, do we have demonstration at customers place, what is t he status of this across India. And any cross -selling initiatives that you have right, especially for those people who have bought premium water purifier and any referral mechanism that you have for this?
Pratik Pota: Thank you, Rishabh, thank you for two things. One is for appreciating the performance but thank you for asking question that's very close to my heart . And absolutely right , you spotted the opportunity well. And yes, we have talked about robotics being a big engine of growth. Robotics is a category that has now grown handsomely for us for the las t many quarters, and we believe that a long runway for growth lies ahead. So, what are we doing , actually before that , why robotics is growing so well , it's important to recognize the fundamentals that are driving the growth. The consumer, especially post pandemic, realized the need for a n automated cleaning solution at home, just in case the domestic help was not available. And because the solution had to be automated, it had to be a convenient one. You wouldn't require , shouldn't require a lot of manual effort, and that is given two segments broadly, one is the cordless an d the handheld vacuum cleaner, and the other one is the robotic segment. Robotics far more than the former. So, our attempt and our strategy in robotic s is twofold , the first one is to drive robotics penetration and to make sure that there is adoption at different price points. So, one part of the strategy is to have a portfolio that straddles from economy to the premium segment. One interesting nuance i n robotics is that , because it's so low in penetration and there is growing awareness , the consumer is looking for more and more premium options. So, we ha ve just launched last quarter , a product which is a robotic device with an auto bin station, with an auto dust station. In other words, the robotic device will go , dock, get recharged automatically, not just that, the dust in the vacuum cleaner and the robotic device will get emptied and sucked into the bin and that bin can store that dust for as much as 60, 65 days. So, it needs to be emptied only once in 2 months. So, it's extremely convenient for the consumer , now that obviously has a premium price point that comes at Rs. 34,000, Rs.35,000 price point, as compared to Rs. 23,000, Rs. 24,000 which the oth ers come at. But that has been extremely encouraging adoption, because consumers are looking for more and more convenient solutions.

So, that is the attempt that we have to have a full spectrum of products, from the affordable ones which are maybe more gyr o based, to the more premium ones, which are full station to dust station, which are all laser or radar based. So, that's the attempt at first of all building out a full portfolio of products . The second part , and the question you asked was spot on, how do we create a much greater awareness about these products, and how do we use our strengths and our assets, like the installed base to drive that adoption of robotics. So, for the first time, we have actually begu n investing in advertising of our robotic vacuum cleaners. You would have seen in some of the leading publications, full page ads with ro botic devices. We ha ve also done a lot of work with digital influencers, and the digital marketing campaign has gained ground in the last quarter, and you will see us invest going forward as well in driving awareness of robotic cleaners. The other thing we have done, and which is building on a strength from service and from wat er, is offering

customers an in -home demo of robotic devices. Of course, our direct sales team does that, and that's a great strength, but the same in-home demo option is available to customers even in modern trade, because modern trade , customer walks into a Vijay Sales or into a Croma and looks at a robotic device and what's an in -home demo. Somebody will go to her house, take the device, do a demo, and land the sale. E qually we are supporting our online sales efforts, so Amazon, Flipkart, etcetera with an online demo. So, we will have a live online demo happen, and if a customer wants to follow th at up with a physical demo, that's an option as well. So, we are using our strengths and our assets to drive awareness of robotics. And yes, both our installed base and within that, specifically like you said installed base of premium water purifier users, that's a very, very valuable base into whom we can cross sell th ese robotic products. And there is work going on in that as well. So, get quite excited by the opportunity that robotics offers us .
Rishabh Gang: Also, on the AMC front, how are we tapping the existing customers for AMC which have not been with us for some time . Also, once the product is sold, the first AMC after the product warranty, it is very important, if that goes out of our Eureka thing, then the person actua lly becomes a customer of a non -Eureka AMC. So, how are we ensuring that the customer sticks with us post the first year of product . And just a follow up on the vacuum cleaner , do we have

any after sales revenue opportunity like servi ce or consumables in vacuum cleaners and air purifier as well. Yes, sir.

Pratik Pota: Rishabh , on your second question, the follow up question . Certainly, for both vacuum cleaners and robotics, one that you asked about earlier and also for air purifiers, we have a consumables opportunity, and the fact that we have both a direct sales network, but also a growing B 2C presence, will allow us and allows us to m onetize that more effectively. So, that's your question on after sales opportunity . On AMC 's, you are right absolutely, the effort is to provide our customers a very, very good and a superlative experience in their first-year post purchase, which is within the warranty period, and what comprises that . First of all, post purchase, a speedy installation, making sure that the customer's expectations of installations are delivered , number one. Number two, wherever the customer has a query, and very often our new users, new adopters, have a lot of queries about the purifier, about the water and all of that , how do we address those queries, both virtually and remotely and i f required physically, promptly. The third use case, or third issue is when the complaint, and very often what happens

is , when the source
water quality changes and becomes adverse , the customer calls and complains , so how fast we respond to that complaint will also define of co urse the customer experience. So, the better the customer experience in the warranty period, the higher as you can imagine is the probability of conversion from warranty to our AMC . It's important to note that the AM C adoption is not a day 1 activity , it's not as if on the 12 months first date people either do or not do, i t is a continuous process , so up to 6-7 months after the end of warranty, there is a gradual adoption of the AMC, and the curve continues to increase. That's a function of various things, customers intent , time, the filters continue to work for longer , etc. So, the revenue opportunity continues for 6-7 months thereafter. And you would absolutely be right , there's a lot of work that is going on in targeting this customer, both through our business partner network and increasingly through our D2C outreach. And like I said earlier, we have seen success, and we have seen encouraging increase

in conversion of the warranty users into AMC. T hat said, it's also important to remember that there are many customers who would not want to have an A MC and would prefer to change the filter as an d when required. Now , going back to question about after sales opportunity , the interesting part, and the g ood part about the category, is that there will certainly be an aftermarket opportunity, because either through AMC or through filter change, there will be necessarily a need for the customer to change the filter. So, we have to do two things. #A, we have to make sure that the customer is able to differentiate our filters from the parallel market filters, the unorganized filters, and towards that we have launched a different looking filter , we have also got QR codes on th ose filters to allow customers to authenticate , we have also invested in advertising to create awareness , so that's one part of it . The second part of it is the distribution and the access to these genuine filters, on which as I mentioned earlier, there's a l ot of work happening in strengthening our distribution and on a go -to-market and on availability, and this will require talking to the technicians outside the system as well. So, there's a lot of work that's been kicked off and is ongoing in that area. So, between a greater focus on AMC and a greater focus on driving filter sales, we believe that our service revenues going forward will be encouraging and will target the large installed base we have got, which offers a great opportunity .

Moderator: Thank you. Ladies and gentlemen, if you have any further questions, you may reach out to the company investor relations team . I now hand the conference over to Mr. Pratik Pota for closing comments. Over to you, sir.

Pratik Pota: Thank you everyone. Thank y ou for joining the call today. We really appreciate the questions that were asked and effort that you took to think through and ask these questions, and I hope, and I , that we are able to answer the questions effectively. However, in case there are any fo llow up queries, please do reach out to us, and we would be more than happy to respond. Thank you everyone , have a good day and have a great weekend ahead. Thank you.

Moderator: Thank you. On behalf of Eureka Forbes, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Note: This document has been edited to improve readability

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Call: Feb 2025

February 17, 2025
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 543482
Scrip ID: EUREKAFORB
Ref.: EFL/BSE/2024-25/82National Stock Exchange of India Limited
Exchange Plaza, C-1, Block - G,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Symbol: EUREKAFORB
Ref.: EFL/NSE/2024-25/43
Sub:Intimation of Transcript of Earnings Conference Call held on Tuesday, February 11, 2025
Dear Sir/Madam,
Pursuant to Regulation 30(6) read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call held with Analysts/Investors on Tuesday, February 11, 2025. The transcript of the aforesaid Earnings Call is also available on the website of the Company at www.eurekaforbes.com .
Request you to kindly take the above information on record.
Thanking you,
For Eureka Forbes Limited
Pragya Kaul
Company Secretary & Compliance Officer
Encl: As above
“Eureka Forbes Limited
Q3 FY'25 Earnings Conference Call”
February 11, 2025
MANAGEMENT:MR. PRATIK POTA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. GAURAV KHANDELWAL – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the Eureka Forbes Limited Q3 FY '25 Earnings Conference Call. We have Mr. Pratik Pota, Managing Director and CEO, and Mr. Gaurav Khandelwal, CFO, Eureka Forbes, with us.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
Before I hand it over to Mr. Pratik Pota, please note the disclaimer. Certain statements made by the management in today's call may be forward-looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual result may differ materially from the current expectations based on a number of factors affecting the business.
I now hand the conference over to Mr. Pratik Pota. Thank you, and over to you, sir.
Pratik Pota: Good afternoon, and I welcome you all to the Q3 FY '25 earnings call of Eureka Forbes Limited. Before I start, I would like to apologize in advance for my voice quality. As you can tell, I have a really sore throat, and my voice will therefore sound a little hoarse.
In Q3, we reported a revenue growth of 11% over last year, with a revenue of Rs. 597.8 crores. Excluding the impact of discontinued operations, our Q3 revenues grew by 11.3% year-on-year. This was the fifth successive quarter of double-digit growth for a continuing business, and it was underpinned by a product business which grew in mid-teens.
I would like to point out that the Q3 growth came on top of a high Q3 FY '24 base and amidst challenging demand conditions. In line with our strategy, we stepped up our advertising and sales promotion spends, which grew by 19% year-on-year. This was on the back of a 40% year-on-year increase in Q2 and a 21% increase in Q1.
Stepping back, a key factor contributing to our growth has been our focus on innovations. In the first phase of a transformation, our focus was on building capabilities and on catching up. With both these objectives achieved, we are now in the phase of claiming a rightful role as innovation leaders and indeed as thought leaders in the category.

Our premium innovations launched over the last 9 months have been the biggest engines of growth for us. Products like Blaze Insta hot water purifier and the Designo NXT Under-The-Counter water purifier have both grown to be market leaders in their respective segments and have helped drive overall water purifier growth.

In line with this, I'm pleased to share that towards the end of Q3, we have launched what is India's first truly smart water purifier, the Aquaguard Ritz Pro with IoT. The functionalities of the product include preventive alerts, water quality monitor, water consumption and hydration monitor, device health check, etcetera, all of which are available on the EFL app. This device,

and most such smart devices going forward, will make water purifiers a much more integral part of consumers' life, and indeed, drive daily customer engagement with our products.

On the cleaning side, the vacuum cleaner category continued its pivot towards convenient cleaning, with robotics devices being the engines of growth. Our Forbes Smartclean Pro robotic vacuum cleaner, the Forbes Robo Vac N Mop Easy and the Forbes Smartclean Auto Bin all helped drive strong growth in the robotics segment. I'm also pleased to share that our air purifier business grew 3x year-on-year in the seasonally critical Q3.

From a channels’ perspective, growth was broad based across all channels, with particularly strong growth in e-commerce, followed by direct sales. Growth in the retail segment was a little muted, and further softened after the end of the festive period.

On the service side, I'm pleased to share that our customer service KPIs showed significant improvement in Q3. Our investments in technology and on driving organizational focus have helped drive this improvement. More work remains to be done, and we will continue on this journey of customer centricity in the future as well.

The impact of growth and the associated operating leverage was visible on all profitability parameters. On the profitability side, the adjusted EBITDA margin increased to 10.8%, expanding 94 basis points on a year-on-year basis. This margin improvement was delivered despite a deliberate choice of significantly dialing up on advertising and sales promotion expenditures. Our profit after tax grew 53.6% year-on-year to Rs. 34.8 crores for Q3.

Looking ahead, notwithstanding the relatively soft demand conditions, our focus will continue to remain on driving growth. We will sustain growth investments and stay the course on driving penetration, increasing innovations, improving customer experience, digitizing our business, and extracting cost efficiencies. We remain confident of driving sustained and profitable growth in the periods ahead.

With that, I would like to hand you over to Gaurav.

Gaurav Khandelwal: Good afternoon everyone, and thank you, Pratik. Starting off with the Q3 numbers, our revenues at Rs. 597.8 crores grew 11% on a year-on-year basis, and adjusted for discontinued businesses, our revenues grew by 11.3%. Adjusted EBITDA margins expanded 94 basis points year-on-year to 10.8% in Q3. Adjusted PBT grew 28.7% year-on-year, and PAT at Rs. 34.8 crore grew 53.6% year-on-year.

On the revenue side, product business continued to register growth in teens, with premium innovations and robotics being the key growth drivers. Our Q3 growth of 11.3% was in the context of a base effect caused by 16.8% growth in Q3 FY '24 and an earlier festive season this year. Added to this, was the relatively muted demand environment. A combination of product innovations, sustained advertisement and sales promotion spends, and attractive consumer offers led to this growth in Q3. In line with our strategy, our A&SP spends grew 19% year-on-year in Q3.

Our Q3 gross margins at 57.5% were higher by 125 basis points on a sequential basis as Q2 margins were impacted by seasonality. Year-on-year margins were down 142 basis points,

largely due to a continuation of consumer offers post festive period and channel mix. Driven by operating leverage, our expenses, excluding ESOP as a percentage of revenue were l

ower by 236
basis points versus previous year. Our focus on cost program will continue to drive further efficiencies.

Our expenses remain range-bound both on a year-on-year and quarter-on-quarter basis. On a year-on-year basis, expenses were up 5.7% with A&SP spends being higher by 19%. On a sequential basis, expenses were down by 7.2% largely due to Q2 being a seasonally stronger quarter. This was reflected both in the form of lower A&SP spends and people incentive cost.

Non-cash ESOP charges at Rs. 5.7 crores were at similar levels as Q2 and Rs. 10.7 crores in Q3. We expect ESOP charges to stabilize at these levels.

Other lines below EBITDA remain largely stable. Depreciation for this quarter stood at Rs. 8.1

crore, an increase versus previous quarter and year. Several technology and product innovation investments have now gone live and is now being reflected in the depreciation charge. I'm pleased to share that our credit rating has now been upgraded to AA- Stable by CARE. I must point out that this is the third upgrade in the last 2 years. In this quarter, rating coverage was also started by CRISIL at similar levels. Let me now get some color on the 9 months year-to-date performance. Our revenues have grown 11.5%, EBITDA margins have expanded by 120 basis points and PAT has grown by 60.3%.

An important aspect of these 9 months numbers is the sustained performance in each of the quarters. Our revenues have grown double digits, and product revenues within that have grown in teen all through. Year-on-year margin expansion has been in the range of 94 basis points to 166 basis points in the 3 quarters on the back of sustained A&SP spends.

A combination of the steady top line growth and margin expansion has led to PAT growth of 40.7% in Q1, 83.2% in Q2, and now 53.6% in the current quarter. In summary, Q3 is a continuation of the improvement we have seen in our business since the last 2 quarters.

Given the relatively muted consumer sentiment, our immediate focus will be on driving growth.

The sustained and steady performance seen in all the quarters of this year give us the confidence in our strategy of driving sustained, profitable growth. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. We have the first question from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta: Thanks for the opportunity and congrats for the high-teen product sales growth. My question was on the volume growth in water purifiers this quarter, would you be able to share some color? And also, how is the base variant doing, the ones you launched last year?

Pratik Pota: Thank you, Umang. Let me respond to your question on water purifier volume growth. I think our performance in Q3 was on the back of both, volume growth in water purifiers and on the back of our premium innovations doing well. If I wind the clock back a little, you would recall that in the first phase of our transformation, we had stepped up our investments in driving penetration, which led to a strong volume growth in the first year. I'm happy to report, that both on a YTD basis, and like I said in the most recent quarter, that volume growth sustained, and we saw good, strong volume growth continue.

But what also helped us this quarter and indeed in the last two quarters as well, is the increasing role that our premium innovations are playing, which was part of our strategy for this year. So our growth this year in water and this quarter other than water was a combination of both good robust volume growth along with premium innovations.

And looking forward, back to your question on the base variant, I think again the base variant across all our channels continue to do well and drive growth, volume growth as well. And we expect that to continue.

If you look at our category, the reality is

that even with the volume growth that we've delivered over the last couple of years, penetration levels still remain very low, and we see a significant runway continuing to grow penetration, even as we drive our premium innovation. So we expect this to continue in the future.

Umang Mehta: Got it. Thank you. And the second one was on, so Kent's filing showed some numbers on the channel mix. While I understand that you do not share exact numbers, the difference in GT channel seems quite stark between Eureka and Kent. So any steps which you are particularly taking to address that? Or do you think that their mix is unusually high and this category should settle with a lower GT mix?

Pratik Pota: No, thank you, Umang. Yes, you're right. We have studied Kent's DRHP closely to gain insights on their business, on their portfolio, on their channel mix, like you said, on the growth profile and the profitability profile as well. And based on that analysis, we see many areas in which we can learn and we can change and drive our operations.

One instance, for example, as we have spoken often in the past is in the area of profitability. Their margin profile gives us evidence, not that we needed it, of the headroom that we have to drive profitability. There are many areas like that where we've looked at the data and drawn up our benchmarks. Beyond that, I don't want to comment on specifics, except to say that we are truly an omnichannel company.

We have very, very strong both channel mix between traditional trade that you spoke about, modern trade, our direct sales channel, which is, as you know, our unique strength and of course the growing strength that we have in e-commerce and an online place. So we feel comfortable with the channel mix. But that said, we'll of course continue to learn from whatever our competitors are doing and seeing how we can improve our operations.

Umang Mehta: Thank you and all the best.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go head.

Aniruddha Joshi: Thanks for the opportunity. So while product growth is in strong double-digit, so is it a fair assumption that services have grown in probably mid to high single digits on a year-on-year basis. That is question one. And secondly, now obviously we have taken multiple initiatives to drive the services revenues and in a way reduce the services cost also, also to reduce the loss of revenues and even reduce the cost in servicing as well.

So is it a fair assumption that now almost most of the initiatives and the benefits are in the numbers and probably here on the profitability should remain at similar level? Means, is Q3 a representation of a normal margin, or should we see more efforts and, in a way, increase in profitability in FY'26 also?

Pratik Pota: Thank you, Aniruddha. Let me start by responding to your first question on our performance in service. I think there were several aspects to our service performance. The first one was, as I mentioned in my opening remarks, we saw a very clear and a very significant increase in our customer satisfaction scores and therefore in our service quality and our customer experience. And that improvement has been an ongoing feature since the early part of this year, and that continued to play out in Q3 as well. On the service revenue side, our service revenue underperformed product, like you mentioned, and our growth was well below product growth. That said, we have rolled out, as you mentioned, a number of initiatives towards driving service revenue.

Many are already in play, some are in the pipeline. Between them, we expect our service revenue to gain momentum in the periods ahead. And while it's still early days, I must say that we are beginning to see some green shoots already. And progressively, we see our service r

evenue
becoming more robust and growing better as we go forward. On your second question about, therefore, is this the end state margin or not? I will request GK to pitch in.

Gaurav Khandelwal: Sure. I think, clearly, there is a very clear headroom which exists as far as profitability is concerned. I think just to remind ourselves, we are nearly at the end of the second full year of the transformation. And it would be way too early to kind of say that are we reaching a steady state? Certainly not.

And let me disaggregate this for you at 3 different levels. First, at an aggregate Eureka Forbes level, the very key driver that you see is operating leverage. If you look at this year's number as well and I look at Q3, for example, an 11% growth has given an operating leverage of nearly 250 basis points on cost, and that just tells you how much more opportunity is there. So that is one clear headroom that we see, just sheer scale will drive operating leverage and profitability. If I were to disaggregate this even further, first, on the service side, there are still opportunities that are there.

Besides growth, I think plugging leakages, extracting efficiencies is an ongoing process. At no point in time can one say that we've reached an end point. It's an ongoing process. You extract certain efficiencies, you invest back in business. Certain things you let it flow to the bottom line, but this is going to be an ongoing feature. And we still have several work streams to drive those efficiencies.

When I look at the product side of the business, there again, the very fact that in aggregate if we are at 11% margin with the service business, it tells us that our product portfolio is at a margin which is lower than where we would want it to be. And there also we see very clear opportunities in terms of driving cost efficiencies, and there are several work streams that are there.

So big picture, if I were to step back, I think we are not even close to saying where we would be from an endpoint perspective. There's still a fair amount of runway that we see. And if you can

look at this year's YTD number, the margin expansion on a year-on-year basis has been 120 basis points. And that is something that from our perspective, our aim would remain to keep on driving year-on-year margin efficiencies, and we expect that to sustain going ahead.

Pratik Pota: And if I may add to what Gaurav just said, I think as we look at the competitive context and competitive benchmarks, as I just mentioned in my response to Umang's question earlier, we see clearly headroom for improving profitability. So, I absolutely agree with Gaurav. We have a lot of room for us to expand profitability and expand margins, and we are nowhere done yet.

Aniruddha Joshi: Okay. Sure, sir. That's very helpful. Just last question. Air purifier has Sizable market centre at least in North India. Now we are seeing demand rising in other major cities like Mumbai, Bengaluru also. So, any update on the growth in air purifier, especially considering this is the peak season for air purifier?

Pratik Pota: No, Aniruddha, you are right. This is absolutely the peak season for air purifiers. And as I mentioned, we saw a very healthy increase. We had a tripling of revenues from air purifiers in the last quarter. A significant portion of those revenues came from the North as is true for the

category, but we began seeing momentum also in the other markets.
That said, this category is still North-centric. And we expect that mix and that skew to start balancing out progressively in the future. And we'll start seeing the category scale up in other markets where we see air pollution as a very real problem. So, while the market is still very North-centric, that mix will change.
Aniruddha Joshi: Really helpful. Pratik sir, please take care as you have a really bad throat.
Modera

tor: Thank you. The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: Thanks for the opportunity. Sir, first question is on the sustained traction in the premium segment. Possible to get some color on how much was the growth in the premium portfolio and the mass portfolio in the quarter? And what would be the premium salience for us compared to competition? Just to understand how sustainable and how in the longer term we can continue to see a stronger traction from this portfolio?
Gaurav Khandelwal: Thank you, Siddharth. First, I think, again to reiterate that we've seen overall volume growth and that volume growth has not been restricted to premium portfolio, but also to our economy portfolio. Second, I think, clearly, premium for us has been over-indexed in this particular quarter, and it's a continuation from what we've seen in the previous quarter.
I think one clear learning that is coming across is that you put out the right quality of product with industry-first features that is something that works really well with consumers, and we continue to see very good demand for our premium portfolio.
What it has done in this particular quarter is that since it's outgrown other segments within water purifier, its share in the overall pie has increased. But having said that, we still retain a very, very balanced portfolio between economy, mid and premium.

The second point to draw attention to would be that I think we've gone from, in some ways, being laggards on innovation to now very clearly moving to a space where we are taking the lead. I think the latest example being an industry-first IoT smart water purifier. And you will keep on seeing more such innovations going ahead as well. So, we do expect our growth in our premium portfolio to continue.
Pratik Pota: If I may add to what Gaurav said, I think another interesting feature of our performance in the premium segment was that we saw a very clear upgradation from the mid-price segment to the premium segment. Consumers who were in a lower price point, upgraded when they saw the premium propositions, for example, the Blaze Insta Hot product, and that helped move the needle and move the mix in the salience more towards the premium segment compared to what was there last year.
Siddhartha Bera: Got it, sir. Second question is on the service side. So, we had launched multiple tiers to expand the service base. So, can you share some color on when, in which tier have we seen the maximum adoption? Just trying to understand if that has been the reason for a slightly slower service growth for us. So, some color there will be helpful?
Pratik Pota: Yes, Siddharth, as you mentioned, we had launched segmented or tiered AMCs earlier last year. And I think what we have seen very clearly this year is robust volume growth, robust growth in unit AMCs that we have sold. So, the objective that we had when we made our AMCs more affordable was to drive greater AMC adoption. And we were encouraged to see that volume growth played out as we had expected.
Going forward, as I mentioned in my earlier response, the multiple initiatives that we have taken even post the launch of tiered AMC are now beginning to land impact. And going forward, we see service revenues, therefore gaining in momentum. But specifically, the launch of the tiered AMC has indeed worked the way we had hoped it would, which is to drive volume growth and drive AMC adoption.
Siddhartha Bera: Thanks a lot. I will come back in the queue.
Moderator: Thank you. The next question is from the line of Rahul Ranade from Goldman Sachs Asset Management. Please go ahead.
Rahul Ranade: Just one question. So just a clarification here. So, in terms of, let's say, any consumables that are used in the service business, those still get classified under service income, right? Is

that the right
understanding?
Pratik Pota: Yes. Rahul, the consumables that are used as part of our service revenue business, service business rather are indeed reported as part of service revenue.
Rahul Ranade: Okay. And any filters, I think, or any other consumables that we had started to sell, which were kind of used by third-party service people, those are reported as product revenues. Is that the right way to look at it?
Pratik Pota: No, Rahul. All sales of filters, no matter which channel it goes through, comes under service revenue reporting.

Rahul Ranade: Understood. So, product is basically just the new machines that we sell there?
Pratik Pota: That's right, Rahul. Absolutely.
Rahul Ranade: Okay. Fair enough. And just in terms of the service revenue, like this is kind of a repetition of the earlier question, but what kind of volume growth are we seeing in terms of the services? And should we look at it as a plus, kind of a positive volume but a slight drag in terms of ASPs because of the tiered AMC structure that we had rolled out, and that is why the service overall revenue as such seems to be a little muted. Is that the right way to look at it?
Pratik Pota: Yes, Rahul. As I mentioned, we have seen robust volume growth in our service business. Our unit AMCs have grown in volume and grown in numbers. And this was in line with our strategy to grow our AMC penetration and drive greater AMC adoption. However, that has come, as you mentioned, with a dilution in ASP as consumers have gravitated towards a portfolio of different tiers within the AMC. As a result of which, the revenue growth in service has been muted with the ASP dilution over the volume growth that we have seen.
Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Fund. Please go ahead.
Naushad Chaudhary: Two questions. First on the service business. I just wanted to know if you are able to share the AMC advances growth in the balance sheet on a year-on-year basis? That would be helpful?
Gaurav Khandelwal: Yes. So Naushad, we report our balance sheet every 6 months as part of the regulatory requirements. Having said that, I'll just reiterate that we've seen volume growth in our AMC franchise. Our strategy was to drive volume growth because, again, it was a portfolio which had not seen volume growth for a while.
So that is a path that we've pursued. In some ways, it's a replication of the strategy that we adopted for product as well. This, as you can imagine, also came in with an ASP dilution, which is there. But importantly, we've seen volume growth in the franchise. And going ahead, we are seeing an uptick in the business even in value terms because the franchise is becoming bigger.
Naushad Chaudhary: Okay. Second, last quarter we had rolled out the buyback offer for purifier. And can you share some more on this? How is the response? And anything on this strategy?
Gaurav Khandelwal: Yes. No, this is something which has worked quite well. Interestingly, we did not keep it restricted only to a buyback of our own device. We had kept it open-ended for even other brands and the response has been very good.
In fact, it's been one of the reasons which has contributed to consumers upgrading from mid-segment to premium segment that Pratik spoke about earlier because it was an offering which was very attractive for consumers and has been a contributor to the growth in the premium portfolio. Given the response that we have got, we've also kind of extended this in Q3 as well beyond the festive period.
And the other important dimension to add is that in a GTM like ours and specifically when it's a direct sale, offers like these end up with a very high conversion ratio because you have a sales

person sitting inside a home and is able to very quic

kly identify for a consumer what could be an old device and offer a new device at a great price.
So, from our perspective, the buyback offers have worked very well. Importantly, we've not kept it limited only to Eureka Forbes devices. And given the success that we've seen, we continue to operate these teams even now.
Moderator: The next question is from the line of Prolin Nandu from Edelweiss Public Alternatives. Please go ahead.
Prolin Nandu: Thank you for giving me this opportunity. But Pratik, one highlight, let me start with a request, right? Service is such a key element of our business? I would appreciate if you can deliberate, if you can start giving quarterly numbers on that, on the revenue part, which is coming from services because otherwise lots of questions are on that? And we have to probably determine as to what is the service revenue growth.
So, that's one suggestion. But my question to you, Pratik, is that this whole service part, it's lagging the product part, and you started this whole transformation journey on the service part a bit later than product. But what is it that is taking a bit longer than expected? What are the issues that you are facing apart from the lower ASPs that you have implemented, to increase the adoption? Is it the existing base of 8 million, which was there a year or so back?
Is bringing them into the organized net, cutting the leakages there an issue? Or is the new conversion an issue? Can you just give us some color and also some quantification on how fast have you been able to stop the leakage, so to say, or bring back some of these customers who are not in our net back to the company's stream of revenue, both on filters as well as on the service part? That's number one question.

Pratik Pota: No, thank you, Rohit. Thank you for your concern. And thank you for your suggestion on sharing of quarterly numbers for service. It's been duly noted. I think you asked a very interesting question on the service revenue and why the service revenue and the growth there is lagging the product business. I think one reason for that is what you began by mentioning yourself, which was that by design, in our phasing, we had rolled out our product interventions earlier. And as evident in the robust product growth that we've been delivering for the last few quarters.

In Stage 2 of a transformation, we began rolling out our service interventions, whether it was dialing up the service quality, whether it was launch of a tiered AMC, launching of a D2C and our website and many other interventions in the field to help manage our technician workforce better. The reason why the impact will take time to come or has taken time to come is because of 2 or 3 reasons.

One is that there are existing behaviors, legacy behaviors for many, many years, which take time to change. And I say behaviors, I mean behaviors from consumers, behavior from channel partners, behavior from technicians. So, these take time to change and for the impact to play out.

The second reason is that, as you're aware, there is a very large unorganized market, a parallel market, which keeps interplaying with the organized Aquaguard in Eureka Forbes service market. And while we have worked systematically to cut leakages, co-opting a much larger share has taken time.

That said, I must also, in the same breath, point out that we have taken a number of steps and a number of interventions to cut down the leakages. And we are seeing each one of them make incremental impact. And cumulatively, where we are today in service, we feel a lot more confident now than what we were possibly a year ago. And we feel confident that these impact, these initiatives will land a cumulative impact in the periods ahead. And like I said earlier, green shoots are beginning to get evident.

But I must say that these are early days, but we a

re seeing green shoots. And systematically, we'll keep chipping away at some of these barriers, at driving customer behaviour change, at driving greater customer awareness, driving filters differentiation and filters availability and distribution, co-opting a much larger set of technicians, both our own and from the parallel market in driving our filter sales, our AMC sales. All of these, we believe, we are very confident actually that going forward these will make an impact.

Prolin Nandu: That's very clear, Pratik. My second question is, see, we are a very unique consumer durable company, right, where a decent part of our revenue comes from annuity income in the form of service. Also, we have a very unique proposition in terms of our direct salesperson who have access to some of the customers whom we can cross-sell across different products that we have in our basket.

So when you think about your company from a lifetime value that it provides to the customer of how you value a customer from a lifetime point of view, where was it, let's say, 2 years back when this whole transformational journey started? Where is it now? And where can you take it, let's say, next 2 to 3 years? How do you think about Eureka Forbes as a brand and a company from a lifetime value of a customer to cost of acquisition of a customer point of view?

Pratik Pota: No, Prolin, that's a really good question. And I think you've sort of distilled the essence of what makes Eureka Forbes such a powerful business. The fact that we have a very large installed base of customers, very happy, very loyal customers built over the years. We have both an annuity that sustains from a service business, but we also have a very strong direct sales network, which with the service business allows us to reach customers' homes, resolve their complaints and issues, but also to be able to cross-sell and upsell. I think in an earlier response we spoke about the very encouraging feedback and the uptick we saw in the buyback offer.

One big reason was that we have these channels. We have these possibilities. Ever since we began the transformation, we have rolled out very specific steps to help create and unlock much greater lifetime value. I think the first step was to roll out a very powerful digital back end. We've often spoken about us being really a D2C company, but we were a D2C company in a very physical, very brick-and-mortar way. But by strengthening our digital back end, we have complemented the physical access with a very, very strong digital backbone. And we are beginning to see that play out both in service and in product.

So for instance, a very significant part of our service revenue now comes from our digital assets. And that number has grown every quarter over the last 8 quarters. Equally, we had mentioned in the last earnings call that we had rolled out a product commerce functionality online on our website.

And we've seen that also pick up momentum this quarter. And we ran a festival program during

Diwali on our own D2C asset, and we saw a very, very strong response to that. So that's one example of the way we have used our direct and our service network to drive and unlock much more lifetime value. So that's one example. Let me give you another example of cross-selling. The fact that we've got a very large installed base and that we've got the access that I spoke about also allows us to sell and cross-sell categories which are evolving, which are still very small, but which need to be incubated and nurtured. For example, robotics. The fact that our direct sales network can take a robotic device to a customer's home, even if it's a water purifier inquiry and demonstrate the robotic device and very often land that sale, if not there and then, subsequently. So that's an example and one reason, by the way, why robotics has do

ne so well for us is because
we have this unique access. So that's another example.
The third way we have tried to secure a lot more of customer value is in ensuring that we protect our customer data. And I spoke earlier in response to your earlier question about leakages, etcetera, and the parallel market. I think it will be fair to say that a couple of years ago or earlier, our customer data was available a little bit more widely. Year and a half ago, we rolled out customer number marking, and we've secured customer data. And therefore, it will not be easy for anybody to take out and to extract value from our customers. That's another example.
The fourth example is the way we've strengthened our direct sales network, and we strengthened our service network. The fifth example is the buyback offer that we spoke about earlier. And I could go on all afternoon. But there are a number of things we've done which have meaningfully helped unlock our customer value. That said, given the relatively early phase of our D2C evolution, we see a significant runway to do much, much more and, if anything, extract even more lifetime value. So we've just got started on many of these things.
Moderator: The next question is from the line of Palak from MIV Investment Management.
Palak: So sir, my question is, I was going through our annual report. In the other liability, we have a line item which is basically income received in advance. If I add the non-current and the current liability, the amount is approximately Rs. 500 crores. When I was going through the note, I understand that this is basically income which is received in advance for the maintenance services, which is for the period of 1 to 4 years.
But in our revenue recognization policy, 75% of this revenue we are recognizing in the first financial year. But if the period is for the 4 years, then isn't the 75% a very aggressive revenue recognition policy that you are following?
Gaurav Khandelwal: Yes, no, let me just clarify, Palak. So the revenue recognition happens exactly basis the tenure of the AMC. So, the tenure of the AMC could be a 1-year, 2-year, or 3-year. And hence it happens exactly basis that. The range that you are referring to is the 1- to 3-year period that you mentioned is the range that is given out.
It does not mean that the revenue or the AMC that are sold are of an even period that it's 25% in 1 year and the similar levels in each of the years. So, the range is just indicative of what could be the tenure of an AMC. The revenue recognition is basis the exact tenure of the AMC. On an

average, our AMCs end up with a tenure of anywhere between 18% to 20%, and hence you will find roughly 70% of our revenue coming within the year.
Palak: So, basically there will be certain products where the tenure could be 1 year, 2 years, 3 years. So that is an average of all the products that we sell.
Gaurav Khandelwal: That's right. The largest chunk, if I go by the count of AMCs sold, the largest chunk comes from the single year AMCs. But equally, there are consumers who want to buy a longer tenure AMCs.
And hence, the revenue recognition happens basis the weighted average that comes through.
Moderator: The next question is from the line of Rishabh Gang from Sancheti Family Office. Please go ahead.
Rishabh Gang: Thank you for the opportunity. So, you mentioned that our air purifier business has grown by 3x YoY. But I think at an overall revenue level, it is still not playing a great role, right? So how are we investing on spreading the awareness of the use case as well as Eureka's presence in the category? Because I did some analysis on Eureka's presence in this category as well as like on YouTube and Amazon.
And our presence looks very tepid. Like, for example, when I search for air purifier on Amazon, we are not even on the first page of search, right, le

t's say, 20, 25 searches. Like if a prospective
customer searches for air purifier on Amazon, there is a chance that they will not even find us. Choosing our product versus someone else is the next question, right?
Also, even on the sales floor platform like Amazon looks very low prima facie. Let's say for the products that you have, the number shows like 50-plus bought in past month, whereas for competitors it is 500 or 1,000-plus bought in past month, right? So how do we plan to tell people that we are a dominant player in this category and we are very serious about it?

Gaurav Khandelwal: Yes. So, Rishabh, I think let me start off by saying that air purifier in general as a category within the country is relatively small. And the same applies for each of the individual players who are there in the category. So hence, even in our case, the business is relatively small at this point in time.
But on that base, we have indeed grown 3x. That's one. Number two, from scaling of the category, it is certainly on the horizon. But obviously, from our perspective, we've kind of prioritized growth in water purifier, vacuum cleaners, and service because that growth is giving us the headroom to kind of then start growing air purifier business.
As a first start, what we are doing is to use and leverage our direct channel, because if you were to go to the e-com platforms, there are considerations of ROI, etcetera, which have to be there. And for a category which is still not large enough that ROI may not work out. What we are adopting as a strategy is to use our direct channel because that is giving us complete access to home and using that as a first port of call on a GTM lens.
The second thing that is happening in parallel is to get in product innovations and it's still early days there, and drive this particular category. It's for this particular reason that you will not find

us on the first few pages on the first few searches of any e-comm platform that you would go because we are largely using our direct channel from a GTM standpoint.
But this is clearly a category, I think if I were to just wind back 2 winters back, this was seen as an NCR problem. I think pretty much there is consensus now that it extends to most of the cities, including Mumbai. So clearly, the category is beginning to gain traction. But this is something which will have to be built over a period of time.
Rishabh Gang: Also, on the opportunity to cross-sell, right? So let's say, I am an active AMC user of Eureka Forbes, I bought through direct platform only, and I have not received a single message till date from Eureka, right, to what I understand, for cross-selling, right, a robotic vacuum cleaner or air purifier, right?
This is such a low-hanging fruit. I'm actually looking for buying an air purifier, but Eureka has never sent me a message. Okay, we also sell air purifier, why is it not happening?
Gaurav Khandelwal: No, Rishabh, it's a fair feedback. And what you point out is clearly an early win opportunity. We do it in a few cases, but in a few cases, we still have learnings. So, thank you for the feedback, and we'll make sure that we incorporate it in some form.
Pratik Pota: And to just to add to that, we do have a very structured cross-selling program. And as I mentioned earlier, many of our products in this quarter have benefited from that cross-selling program. I talked about robotics. Indeed, Gaurav mentioned air purifiers as well. So, we would love to understand why we did not reach out to you and how you got excluded.
And that's something we'll figure out after this call. But your feedback is well taken. And all that I want to say and add is that cross-selling is and will remain a very important area for us to drive growth. And we have the base and the customer data for us to do that.
Moderator: We have the next question from the

line of Parikshit Kabra from Pkeday Advisors LLP.
Parikshit Kabra: Thank you for the opportunity. I wanted to actually go back to the services business again. And I obviously have been paying attention to the entire conversation so far. So, I appreciate the fact that the volumes have grown up and the ASP has come down and hence the growth has not remained as fast. But then can you give us a sense of how much has the volume gone up?
I know you're not going to share numbers, but can you tell us how much of the incremental customers that are coming? Are we increasing our penetration in terms of AMC being sold along with the machine? Has that been happening? How are we trending there?
Gaurav Khandelwal: Thank you, Parikshit. No, so the metric that we measure is since the machine comes with a 1-year warranty, at that point in time there is no reason for an AMC to be bought by a consumer. So that's not something that is a point of sale and hence we don't measure that. But the metrics that we measure, the primary metric that we measure is actually volume growth for a simple reason that this is, again, has been a franchise where there's a large unorganized market that is there.

And I think just getting a part of that would start driving volume growth. Also, it is in sync with our strategy of using pricing as a lever to drive volume growth. So that's the primary metric that we drive. Associated metrices that which are there are certain conversion metrices.
On the volume growth, I wouldn't be able to give out specific numbers, but this is something where we've seen healthy volume growth compared to the past trends that we've had. But more importantly, I think it has now achieved a particular scale where we also have line of sight to value growth also coming through.
Parikshit Kabra: Gaurav, the last part statement is the part that I'm not able to understand because one would think if you're only going to talk about in terms of volume growth, if the overall numbers are not risen

adequately in the sense that the elasticity that we expected, the price elasticity that we expected this category to have is not how it's played out, right?
Because the reduction in ASP has not given us a more than compensatory increase in volumes, then maybe this strategy of reducing prices was not the best strategy.
Gaurav Khandelwal: I think, see, at the end of the day, it is not the only strategy. It is one of the levers that we've exercised. But bear in mind the fact that this is an annuity business. So you have sustained periods of volume growth, that then indeed starts translating into a value growth. So that is something which will play out.
Having said that, there are equally learnings that are there certain places where pricing may not be a lever. Those course corrections are something which are an ongoing exercise. So that is something that we keep doing it in certain segments and there are certain segments where we've seen pricing not give us the elasticity.
So those are the corrections which have been done to make sure that we don't lose out value there.
But importantly, I think given where we stand from our perspective, the key thing that we are having a line of sight to is value growth to start coming through.
Moderator: We have the next question from the line of Siddharth Purohit from InvesQ Investment Advisors Private Limited. Please go ahead.
Siddharth Purohit: Sorry if this question is repetitive, but can you say what would be the ESOP charges on an annualized basis? And like tentatively for FY '26, what could be the charges?
Gaurav Khandelwal: Yes. The ESOP charges that we are currently trending is Rs. 5.7 crores. It was similar in the last quarter as well. And going ahead also, we should expect a similar range of ESOP charges. So roughly, you can assume the ESOP charges to be anywhere between Rs. 23 crores to Rs. 25 crores on an annual basis.
Moderator: Ladies and gentlemen, we will take that as our last question for today. If you have any further questions, you may reach out to the company Investor Relations team. I would now like to hand the conference over to the management for closing comments. Over to you, gentlemen.

Gaurav Khandelwal: Thank you for joining the call today. I trust that we were able to address the questions today to your satisfaction. In case there are any queries that remain unanswered, please reach out to us, and we will be glad to respond. Thank you, and have a great day.
Moderator: Thank you. On behalf of Eureka Forbes Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.
Note: This document has been edited to improve readability
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Call: May 2025

May 22, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 543482
Scrip ID: EUREKAFORB
Ref.: EFL/BSE/2025- 26/11 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block - G,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051

Symbol: EUREKAFORB
Ref.: EFL/NSE/2025- 26/11
Subject: Intimation of Transcript of Earnings Conference Call held on Fri day, May 16, 2025

Dear Sir/Madam,
Pursuant to Regulation 30(6) read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed
herewith the transcript of the Earnings Call held with Analysts/Inve stors on Friday, May 16, 2025.
The transcript of the aforesaid Earnings Call is also available on the website of the Company at www.eurekaforbes.com .
Request you to kindly take the above information on record.
Thanking you,
For Eureka Forbes Limited
Pragya Kaul
Company Secretary & Compliance Officer

Encl: As above

"Eureka Forbes L imited
Q4 & FY25 Earnings Conference Call "
May 16, 202 5

MANAGEMENT : MR. PRATIK POTA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. GAURAV KHANDELWAL – CHIEF FINANCIAL
OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to Eureka Forbes Limited Q4 FY 25 Earnings Conference Call. We have Mr. Pratik Pota, Managing Director and CEO; and Mr. Gaurav Khandelwal, CFO, Eureka Forbes, with us.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need ass istance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this call is being recorded.
Before I hand it over to Mr. Pota, please note the disclaimer. Certain statements made by the

management in today's call may be forward -looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business.

I now hand the conference over to Mr. Pratik Pota. Thank you. And over to you, sir.

Pratik Pota: Good afternoon, and I welcome you all to the Q4 FY 25 earnings call of Eureka Forbes Limited.

We are conscious that some of you may not have had a chance to look at our results, given the rather short time gap between the results and the earnings call. We will, therefore, be a little bit more detailed in the call today, and of course, our teams will be available to clarify if there are any follow -up questions.

The end of a financial year is a good time to step back and to look at the big picture. And hence , I will start off by sharing my thoughts on the year gone by and where we stand at the end of the second full year of our transform ation journey. If FY 24 was about changing the long -term trajectory of the business, FY 25 has been all about step up, a step jump in all performance parameters.

Full year growth for our continuing business has moved from 7.9% to 12% with six successive quarters of double -digit growth. Underpinning this , has been our product portfolio, which has grown in high-teens. Not only has this growth sustained, but it has been broad-based as well. Several factors have contributed to this. The first has been innovations.

During the year, we've had several innovative product launches in water , cleaning and air. We launched more than 30 new products, which helped us in serving the needs of different consumer segments and is strengthening our overall portfolio. It also included the launch of several industry -first products. Secondly, our growth i nvestments have grown by 25% YoY. This is a 121 basis point increase YoY.

On a related note, I'm happy to share that we have signed up Shraddha Kapoor as a brand ambassador for our vacuum cleaner portfolio. We believe that our partnership will provide greater visibility and salience and help us in growing our cleaning portfolio, especially robotics.

Thirdly, an additional and important factor enabling our growth, has been the step up in the overall category growth which is now i n mid to high-teens.

The categories in which we operate, water, cleaning, etcetera, all have decisively inflected in the trajectory enabled by our own innovation and interventions, increased category visibility and activity and greater recognition by con sumers on the importance of health and hygiene.

Moving to the margin front , cost management and operating leverage have been the key enablers in driving margin improvement. Margins grew YoY in every single quarter , and we ended the year with 11.7% margin, an expansion of 136 basis points over FY 24. It may be noted that this expansion is after 121 basis points increase in advertising and promotion expenses. Our cost program has become institutionalized and is providing us a headroom for g

rowth investments
and margin expansion.

We continue to strengthen our balance sheet and ended the year with a net surplus of Rs. 284 crores. Lastly, I want to speak about the service side of our business. Our investments in capability and significant front -end digitization have led to lifetime high service quality metrics. We've also made many interventions to drive service revenue which have led to a growth in AMC unit sales last year.

I'm pleased to share that we are now seeing green shoots in terms of service revenue. We believe that our interventions in driving filter innovations, building a filter go -to-market, co -opting and partnering our offline network of technicians and business partners, strengthening our D 2C intervention , will augment this growth, and supported by consumer awareness campaigns, we believe, will lead to a further increase in the service revenue growth.

To summarize, as I look back on the second full year of transformation, I see us as a business displaying a clear step up in performance and with strong foundational capabilities in place. Our teams at EFL and our partners have led the step up. I'm confident that with the disciplined execution of our strategic agenda, FY 26 will see a further improvement and step up in our performance.

Let me now switch gears and talk about the Q 4 performance. During the quarter, we reported a revenue growth of 10.8% over last year. Excluding the impact of discontinued operations, our Q4 re venue grew marginally higher , at 10.9%. In relatively challenging market conditions, our product business grew in high- teens. Our innovations in water and robotics sustained their performance trajectory and were the key drivers of growth.

As I mentioned earlier, an important call out is the fact that we are seeing green shoots in our service revenue as well. Similar to what we saw in our product business in FY 24, where volume

growth was followed by value growth, we are seeing a similar pattern play out in service as well.
On the profitability side, adjusted EBITDA margins continue to expand YoY and reached 13%, the highest ever and up 183 basis points over last year. This improvement was due to both operating leverage a nd also a structured cost optimization program.
In conclusion, Q 4 was in many ways the perfect end to the full year, where we had another quarter of double -digit growth, accompanied by YoY margin improvement. The progress we've achieved in the 2 years of our transformation and with the momentum of 6 consecutive quarters of double -digit growth, and lifetime high margins in Q 4, give s us the conviction, the confidence

and the energy to drive sustained profitable growth in the year ahead. With that, I would like to hand over to Gaurav.
Gaurav Khandelwal: Thank you, Pratik. Good afternoon, everyone, and thank you for joining us. I will first comment on the full year performance. FY 25 ha s been a year where the key theme has been one, of sustained performance leading to a clear step up versus FY 24. Revenue for the year ended at Rs. 2,436.1 crores with a growth of 12% for continuing businesses. As reference , we grew 7.9% in FY24. Underlying the full year growth numbers has been strong teens product growth in each of the quarters. A key contribution to this growth has been the impact of the premium portfolio on the ASPs.
Gross margins have been range bound and for the year , were at 58.3% versus 58.8% in FY 24.
On the cost side, operating expenses as a percentage to revenue were down 187 basis points, reflecting a very clear operating leverage. This reduction, I must call out, is after the conscious 121 basis points higher investment in A&SP spends, which in absolute terms grew 25% YoY. Full year ESOP charges were down 35.9% and cash generation led to a 42.1% reduction in finance costs.
The impact of all the

above led to an adjusted EBITDA expansion of 136 basis points to 11.7% and a YoY increase of 25.9% for the year , to end at Rs. 285 crores. Margins grew YoY in every single quarter. This enhanced margin profile gives us the headroom to step up our growth investments as we go ahead.
Adjusted PBT for the year at Rs. 235.9 crores grew by 37.1% YoY. PAT grew 78.4% for the year. Adjusted for exceptional items in both FY 24 and FY 25, PAT grew 48.3%. Our net surplus at year -end, excluding lease liability, was Rs. 284 crores. In summary, it has been a year where we have stepped up our performance and delivered sustained improvements in both, top line and bottom -line parameters.
Moving on now to the Q4 performance. Q4 revenues ended at Rs. 612.5 crores with reported revenue growth of 10.8% and 10.9% for continuing businesses. Going ahead, there will be no divergence between reported and continuing business growth. Growth was enabled by the dual levers of both volume and mix -led pricing. Adjusted EBITDA margins expanded 183 basis points YoY, and we ended the year with a 13% margin in Q 4.
Adjusted PBT grew 39.9% and PAT at Rs. 50.8 crore s, grew 137.5% on YoY basis. Q4 of both FY24 and FY 25 have one -off exceptional items and adjusted for those PAT grew 33.3% . Both , gross margins and operating expenses remain range bound. Our Q4 gross margins at 59.5% were largely in line with last year margins of 59%.
Gross margins were higher by 202 basis points on a sequential basis due to a combination of factors; cost efficiencies, better product mix and lower buyback and other consumer spends, which we have done in Q 3 post the festive season and the impact of that was felt in our gross margins. Driven by operating leverage, our expenses, excluding ESOP as percentage of revenue was lower by 127 basis points versus previous year. Our focus on cost program will continue to drive further efficiencies.

Absolute spends grew by 7.8% YoY led by higher A&SP spends of 28 %. Non-cash ESOP charges at Rs. 2 crores were lower versus previous quarters due to annual valuation true -up. On a steady state basis, this charge will be in the range of Rs. 5 crores to Rs. 5.5 crores every quarter. Other lines below EBITDA remained largely stable. Depreciation f or the quarter stood at Rs. 8.2 crores, in line with Q 3. This quarter had an exceptional net income of Rs. 2.1 crores. This has two parts. One part relates to the receipt of full and final insurance claim settlement for the fire at our Delhi warehouse last year. This amount is Rs. 10 crores. There were non -cash charges of Rs. 7.9 crores which were incurred related to inventory w rite-off. We are now 2 years

into the transformation and had several initiatives in our product portfolio, supply chain model, etcetera. We have done an assessment of the initiatives done so far and also factored in our future product plans and basis that, this write off has been done.
To conclude, we would stay focused on our ambition of driving full year growth and full year margin expansion. This continues to be a business with strong fundamentals , low category penetration, category tailwinds, high g ross margins, scope to drive operating leverage and high ROCE and cash flows.
As we step into the third year of the transformation, we will stay focused on driving improvements in the above areas with specific initiatives. As mentioned at the beginning, w e are conscious of the short time gap between the results declaration and this earnings call and will be available for addressing any further queries post this call. Thank you.
Moderator: Thank you. We will now begin the question -and-answer session . The first question is from the line of Anirud dha Joshi from ICICI Securities.
Aniruddha Joshi: Thanks for the opportunity. In terms of what we see in the PPT also, you have given th

e strong long-term growth potential, we continue to see the growth rates remaining in very low double digits, like 10%, 11%. So , when do we see that inflection point in the industry as well as Eureka when we see the growth rate acceleration to mid or high -teens? That is question number one.
Second point is we have also seen the margin has gone up now compared to the revenue growth while revenue growth has also seen strong recovery, but the margin recovery has been more faster. So, is the company focusing a bit more on the margins and the market shares and revenues? That is question number two.
And lastly, in terms of the products portfolio has reported high-teens growth. So, is it fair to assume that services would have declined in a way mid to high -teens? Will that be a fair assumption? And also, is the decline in service revenues attributable to the changes in plans? Or is it any other particular reason? And also , how is the performance of the new plans? So, post that, what has been the customer activations? How have we seen the superior growth in the servicing part of the business?
Pratik Pota: Thank you, Aniruddha. Let me start with your first question. You've talked about the fact that while there is stron g potential, our growth is in low double digits. Let me go back to what I said in my opening remarks that in this quarter, we delivered a low double -digit growth but for the sixth consecutive quarter, we delivered that. We've now had six consecutive qu arters also of mid

to high -teens product growth. So , product growth story has sustained and sustained at a robust level for the last six quarters.
Both earlier, in the preceding periods , and in Q 4, this growth was led by both , volume growth and also the impact of premiumization. The growth was also broad-based across categories. It was visible and strong in water, in cleaning and all other categories. Very encouragingly, the growth was robust across our channels as well, both o nline and off line.
So, if I pull back and look at the product performance, as you mentioned as well, we see robustness, we see sustained growth, and we see broad-based growth. Our service business has trailed the product business. It did not decline last quarter, but it has tra iled. And to go back to what we have said in the earlier calls and what we spoke about in our opening remarks as well, our objective in service was to address the issue of the cost of ownership and to get volume growth, similar to what you'd imagine our tr ajectory was in product.
The good news Aniruddha is that last year, we saw volumes expand on unit AMC sales. And that was very, very encouraging to see the service business respond to our interventions. Over the last 12 to 18 months, we've had a number of interventions going in. We had launched the tiered AMC , we have put in a number of D 2C investments. In digitalization, there was a step up. You're aware that we launched the authentication of filters campaign. And of course, it was accompanied by a significant improvement in customer experience.
So, all of these enablers are now leading to green shoots visible also in service revenue. So , product business has had strong and sustained growth. Service business, we are now seeing a clear green shoot and clear evidence of revenue growth coming by as well. So , I would say we have turned the corner on service in terms of where we were and where we are going.
Your second question on margins , and the fact that our margins have g rown and faster, does that imply in any way a shift in our approach? Far from it Aniruddha. Our approach remains consistent, remains unchanged. We know that we are a growth business, and we will continue to invest in drivers of growth. In the fourth quarte r, the margin improvement came despite a 28% YoY increase in A&SP spends. So , we are cl

ear that our larger bias has to be towards growth.
We are a business, as you reminded us with great potential, low penetrations across the categories, huge room for premiumization, growing consumer awareness of health and hygiene.
So, we are abs olutely obsessed about growth. And towards that, as you have seen products have been very, very strong. So , our margin improvement will come because of 2 reasons. We called that out. One is, of course, a disciplined cost management program , and the seco nd is with our business with a 58% - 59% gross margin, just the sheer impact of operating leverage that comes from growth. So , our bias, just to repeat, will remain towards sustained profitable growth with a bigger bias on growth.
Your third question was about , again, I said similar question about service and products. Our service business did not decline, just to repeat that point. And we are now seeing the impact of our interventions, beginning to bear fruit. And you will see a lot more action happening on service, both on AMC and on filters. And we have a lot of exciting plans lined up.

We are very clear that our approach of driving AMC affordability, AMC segmentation, for different segments, having different AMC offers, driving filter differentiation and filter innovation, strengthening the go-to -market for filters , and of course, ramping up our D2C efforts, along with supporting our offline partners, we believe is the right way to go and will give us results in the future. Gaurav, do you want to add something please?
Gaurav Khandelwal: I'll just add one more thing , I think this margin expansion also kind of signals on the structural business model advantage. When you marry a 58% gross margin with double -digit growth and are able to maintain a reasonably well -disciplined cost profile, in many ways the margin flow - through becomes a consequence. Because I repeat, this margin expansion is after the 28% YoY increase in our A&SP spends.
So, it is not at all by sacrificing any of our growth investments. If at all, we've invested consistently at these high levels all through the yea r, and the plan is to keep our growth investments high. Because we're very clear that with this gross margin profile, growth will inevitably lead to margin profile and a margin expansion and no better example than the Q 4 margins.
Moderator: We'll take the next question from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: Thanks for the opportunity. Sir, first question is again on the product side. We ha d showcased multiple new products for the last few quarters which clearly seems to have led to strong growth for you. What is the plan for next year? Can you talk a bit about what new areas you are trying to explore and which should sort of sustain or broadl y increase your growth momentum in product side? That is one. And second is on the advertisement side.
While we did invest 25% plus on a Y oY basis, how do you see in the next few years? Do you think this pace will continue? Or do you think there can be some moderation given that your size and quantum will go up? And if you are looking to drive more service, that may sort of come down? So, some thoughts there, sir?
Pratik Pota: Thank you, Siddharth, for the questions. On your first question about our plans on the product portfolio for the year ahead, without being too specific and without being too elaborate and detailed for obvious reasons, let me call out the few themes that we are working on. The first theme for water remains penetration and remains driving down the total cost of ownership. We know that in our category, not just upfront product cost, but more importantly, the repeat cost, the sustenance cost of service, is what is often the barrier for penetration.
So therefore, one big work stream for us will be to reduce the cost of owner

ship and to make sure that we grow penetration and grow the market size. Along with that, our focus on premiumization will continue. We've had, as you're aware, good run and good results come by, with our innovatio n focus on premiumization, and that will continue. You will see in the next 3 to 4 months, more products rolling out.
As you are aware, we rolled out one of our first IoT products last year. You'll see that scale up significantly through this year. So , penetration , in water , followed by premium innovations. The second big vector is going to be on cleaning. As you are aware in cleaning, the segment that's

really breaking out and that's driving growth for the overall category is the segment of convenient cleaning. And within that, specifically is robotics.
I think we were one of the first pioneers to see this opportunity, and we invested ahead in building a portfolio and in strengthening our go-to-market for robotics. And despite fierce competition from other global players, we are now the market leaders in robotics. And you will

see us build out the portfolio even further, and increase our investments , both on the go -to-market side and on the category creation and awareness creation side.

As I mentioned in my opening remarks earlier, we have signed up Shraddha Kapoor as an ambassador for our cleaning portfolio, and she'll help us grow the category and make it a lot more salient, a lot more relevant for consumers. And other than robotics and cleaning, we also have a portfolio, which includes air purifiers, includes softeners. So , across all parts of our portfolio, we have a strong set of innovation plan lined up and go -to-market ramp -up plans lined up, which we believe wi ll drive growth.

As I mentioned earlier, notwithstanding, I would say, mixed and challenging market conditions, we expect the product growth levels to sustain at mid to high -teens. Your second question, Siddharth, was about A&SP spends and whether they' ll remain elevated or do we expect them to moderate. Going back to the question asked earlier on the call, we are a business which has tremendous growth potential and one enabler unlocking the growth is to create greater awareness and to create greater brand pull.

And towards that, our spends and our investments in advertising and promotion , will sustain as we grow our categories and grow our business.

Siddhartha Bera: Last question is, if you can broadly share the service and product revenue mix for the year, it will be very helpful, if possible.

Gaurav Khandelwal: Hi, Siddharth. So , we will plan the breakup as part of our annual report. So, you will see the split come up at that point in time. At this stage, you can imagine for obvious reasons, we ar e not sharing, but you will definitely see this split in the annual report come up.

Moderator: The next question is from the line of Naushad Chaudhry from Aditya Birla.

Naushad Chaudhary: Thanks for the opportunity. First, a compliment to you and the entir e team till ground zero, the kind of effort the team is putting in is visible on the ground from a n overall momentum improvement point of view. But I think on the service level dissatisfaction still we have improved from where we had started, but I believe there is still enough scope for improvement on the service side.

As a customer, as a channel, if we collect 1,500 samples as well, I think this is the problem in most domestic brands, but we have relatively improved and there is enough scope for improvem ent. If you can comment on that, what all steps we will take to make it further better in next financial year?

Pratik Pota: Naushad, thank you so much for your compliments and your kind words. Your question is very relevant and a very impor tant one for us to talk about. For a business like ours, ensuring that our

customers are satisfied , that the levels of service we provide them are comparable to any other service brand, I think is probably the number one priority for us.

And towards that, we are really happy to see that our customer satisfaction scores as measured by NPS have improved significantly YoY, including Q 4. And our NPS levels now are at lifetime high levels and beyond what we've had ever in the past.

So, that is a good news about service. However , service is a business of eternal vigilance. We have to make sure that every customer moment of truth is handled properly. And hand on heart, we have a lot of ground to cover before we perfect that. So even as we improve the average customer SAT score, we are now pursuing movements of service failure and how do we salvage those moments of failure. So, when a customer is satisfied, there is absolutely no problem. We do a good job of that for the larger part.

But in the edge cases, when there is a service failure, we need to get better at managing those service failure moments. Good service brands , every service brand will have moments of failure, that's the universal truth. But how you manage the moment of failure, how do we resurrect and salvage that customer and win the customer back is the critical differentiating strength for service brands , and that's the area where we are sharpening our experience now. And we'll make sure, and there's a lot of going on, both working with our partners offline, our technicians, our business partners, also putting in place technology enablers.

So, for instance, about 3 months back, we have launched a new technician app, and that's gone live over the last 45 days or so. One element of that just to illustrate and to respond to your question, one feature of that is that if there is a customer pending complaint open, no other call can be attended until that complaint is resolved.

And there's a lock put in, etcetera, etcetera. So , we are using technology enablers along with working with our business partners and providing the right nudges, both in terms of rewards and in terms of penalties, to make sure that we converge all efforts towards improving the customer experience, not just on an average, but also when there is a moment of service failure.

Naushad Chaudhary: Sure, sir. Second, on the vacuum cleaner business side. If you have to visualize this segment

from the next 3 to 4 years point of view, what do you think , how big this can be for you? And
what are the levers which make you believe that this could be big?
Pratik Pota: Naushad, that's a very, very good question. And this question, if asked maybe a couple of years ago, might have had a very different answer, when we were searching for the role and the
relevance of the vacu um cleaner category itself in a market like India, where there is abundant
and affordable domestic help available.
I think that has changed in the last 2 years or so. On the back of convenient cleaning, hand held
vacuum cleaners, cordless vacu um cleaners, most importantly, robotic vacuum cleaners, we are
seeing strong acceptance and increased relevance and adoption of this category across metros, across pop stra ta of town.
And the way to think about the potential of vacuum cleaners now, is in a way to think about how
washing machines as a category grew. 25 -30 years back, if you had asked the consumer about

washing machines, they would have told you about all the reasons why washing machine would
not be relevant, it does not clean tough dirt, it does not clean cuffs and collars, how you need to still take a bar or a tikya and rub the dirty spots on the fabric, etcetera, maids were available
abundantly, etcetera, etcetera.
But as the category improved its offering, its functionality, as consumers got used to t

he idea of
having washing machine as there was word of mouth which spread, we have seen the way the
category has grown. Vacuum cleaners are analogous in nature, they replace and they offer the
same service in cleaning that washing machines offer in washing.
And as there is adoption, first by early adopters, followed by word of mouth and then the late
adopters, you will see this category grow. This category, both robotics in particular, but VCs in
general , has now in the last 1.5 years seen a very, very stepped up growth. And we are very, very
confident about the way that category is going to grow.
Within this category, we are market leader s, and we expect to remain strong and dominant
market leaders in the years ahead, on the back of both a strong portfolio i n conventional cleaning,
which is canister based vacu um cleaners, wet and dry vacuum cleaners, as also a stronger
portfolio in convenient cleaning, which is the cordless and cord free vacuum cleaners like what
we have in the K -Series or indeed our robotic cleaners in the smart cleaning portfolio.
Naushad Chaudhary: Any rough figure or ballpark figure you want to extrapolate how sizeable this business can be
for you if this all goes well?
Pratik Pota: So Naushad, it would be difficult to share specific numbers but let me give you an indicator of
sub-segment within vacuum cleaners, which is robotics and how fast that is g rowing to give you
illustration of the opportunity and the potential siz e. Robotics as a segment has been growing by
100% YoY for the last 3 years or more and we expect that rate to be in the same ballpark of
between 75%, 80% to 100%, 110% in the next few years as well. What's also happening, again
just to bring out the point about potential, this category was centered around e -commerce and
online.
And as you can imagine, early adopters of most categories gravitate towards e-commerce and
online platforms. That was a source of the early growth. Increasingly, we are seeing the adoption
of robotics as a category in offline channels, both in modern trade and in traditional trade. And
in our context, also in the direct sales channel. So as robotics becomes larger and spreads to the offline channels, it plays to our strength , because the international and the global brands don't
have that offline presence while we do.
So, this category will grow and spread from online to offline, allowing us to increase our share
and increase our strength as the category grows.
Moder ator: The next question is from the line of Anupam Goswami from SUD Life.
Anupam Goswami : Sir, my first question is on the advertisement spend that you are doing. So how do we look at
from here onwards now that we have brought in new brand ambassador? Will that increase as a
percentage of sales from here onwards? That is my first question, sir.

Pratik Pota: Anupam, thank you for that question. As I mentioned earlier, we clearly see ourselves as a
business that will drive sustained and profitable growth with a very clear bias towards growth,
given the nature of our categories and the life stage in which they are in. So, we have as you
mentioned, stepped up our advertising spend last year. And we see that continuing to step up in
the future.
However, even as we do that, we have the right cost programs in place to take out costs from

elsewhere so that we are able to create bandwidth for these growth investments. So even as we grow ad vertising spends, even as we invest in driving growth, we will continue to deliver a YoY margin expansion.

Anupam Goswami: Okay, sir. Sir, next question, how competitive are we and what kind of competition pressure are we getting from the peers? There has been some new brands in the same category in the same products. And how comfortable are we in the premiumization that we ar e seeing ? And what percentage as

such, have we grown in our premium products?

Pratik Pota: Anupam, you make a great point that all our categories, especially water , have seen heightened competitive activity, greater visibility, more innovation by different players, including some new brands. We believe that this is very, very good for driving overall category visibility, overall category awareness, overall category g rowth.

As the strongest brand in this category and as the market leader, the unequivocal, unambiguous, unquestioned market leader, as the category grows, we stand to gain a larger share of that growth.

Aquaguard, both as a brand and through the products a nd innovations that we've delivered, clearly has an edge over the others. Back to your second part of the question, our premium innovations have delivered much higher growth than even what we had estimated.

And we now have best -in-class products across th e entire suite of the portfolio. If you look at the water purifiers , best portfolio and the different segments, Aquaguard is the only brand that straddles each and every segment, from economy to mid -price to premium across price points across propositions and platforms, whether it's stainless steel or IoT as a premium end or hot and ambient , or the economy and through our Aquaguard Sure, every single segment, price wise and proposition wise is very participated.

So, we believe that we have probably today the most competitive portfolio , and while we welcome competition because like I said, it helps category growth, we are not worried about competitive threats. We believe that it will allow us to grow and to grow th e category overall.

Our premium portfolio grew faster overall versus our average growth last year. We talked about our high-teens growth overall and within that, premium grew faster and allowed us to clearly balance our portfolio.

So with the premium segment growing faster, it gives us the elbowroom to invest back in having more economy products, which help in driving penetration. So, we feel good about where we are and we welcome competition and we believe that will help us drive category growth.

Anupam Goswami: Okay, sir. Would that be above 20%, 30%, of our whole product, premium brands?

Gaurav Khandelwal: Anupam, we don't give out the split. But suffice it to say that we have a very well-balanced portfolio across price point. And I think if you look at the peer universe, I think we would be the ones who would have perhaps the most balanced portfolio across economy , mid and premium.

Moderator: We'll take the next question from the line of Shrinarayan Mishra from Baroda BNP Paribas.

Shrinarayan Mishra: Thank you for the opportunity. Sir, my first question was on the service side. I mean we have done a good part to democratize the AMCs by making relevant interventions , but the good part of service business will still revolve around the cost of replacement filters. So , are we doing some interventions there maybe in terms of pricing or in terms of longevity of the filters, which makes it affordable for the customer's ultimate cost of ownership of the water purifiers.

Pratik Pota: Thank you, Shrinarayan. And I think your question is spot on. As I mentioned earlier, one of the category barriers itself is the perceived high cost of ownership. And the cost of having filter replacements every year or the cost of AMC every year. As part of our effort to grow penetration and to grow the category size, it is absolutely in our work stream to drive affordability and to make the category grow.

You're aware that we've launched a product first online and that has now gone offline as well. The product that was launched online last year was called Aura 2x and what has been rolled out in modern trade and retail is a product called Aquaguard Enhance NXT, both of them have a 2-year filter life ,

in other words, filters need to be changed only after 2 years.

That as you can imagine reduces the cost of ownership and makes the category much more attractive for non -users. As we work more towards improving affordability and driving down the total cost of ownership, you'll see us doing many, many more interventions , both on the product side and on the after -market side. So that's one part. The second part is exactly to make sure that we cater to different consumer segments, different consumer's inclination to spend on service, we had launched tiered AMCs 2 years ago.

And as I mentioned earlier, that has led to an encouraging unit volume growth in AMCs last year. And we are now hoping to follow that up with growth in revenue as well. But the horizontal work stream of improving and reducing the cost of ownership, improving and therefore driving penetration up , is a very important work stream that we continue to work on.

Shrinarayan Mishra: And the second question was on the cost structure side. W e understand that there are some legacy costs, which we are trying to beat out gradually, so if you can you highlight where we are in terms of that journey and how much more margin improvement we can expect?

Gaurav Khandelwal: Yes, Anupa m, I think I'll give you a couple of examples where the legacy costs are being addressed, we've spoken about them in the past as well. So one, for example, is IT cost. Our IT costs when we benchmark with other companies is relatively on the higher s ide. We've done several interventions in terms of technology, in terms of contract changes, in terms of renegotiations, etcetera.

And I'm pleased to share that we 've seen those effects come out, and when you see the numbers that will come up in the annual report, you will see the impact of that play out, not just in percentage revenue terms, but even in absolute terms , so that's one area. Another area that we've

been working on for a while, and I think the impact of that is beginning to become more pronounced is on COGS. So, for a very long period of time as an organization, we did not have volume growth and that kind of constrained our ability to go back to vendors and renegotiate prices.

We've now had volume growth for a while now. And now when we are going back to our vendors and discussing prices and sharing our plans for the coming year, the reaction and the support and the partnership that we are getting from them is giving us very clear price advantages. Just another example , the third piece that I would again call out is again in the area of COGS because that for us is a big area of cost.

I think we're just going back to the drawing board and kind of questioning, literally every single bomb and saying why does it need to be at a particular level, are there replacements that can be done without impacting product quality or customer experience. So, it's a combination of these things that are there.

But I think underpinning all of this, I woul d call out is that the growth and more importantly, the sustained growth that we've demonstrated over now the past 1.5 years, also, the confidence of that has got manifested with the partners as well , and now the conversations on cost opportunities is, I think, bearing fruit because they also then see a line of sight to this becoming a larger business.

Moderator: We take the next question from the line of Parikshit Kabra from Pkeday Advisors LLP.

Parikshit Kabra: Congratulations on a great set of numbers . Coming back to the services itself, I just wanted to ask, I know there's not much you guys are going to be sharing , but is there a sense of when , at which stage is your ambition that the services segment will stop putting a drag on the growth of the overall company?

Gaurav Khandelwal: Hi Parikshit, I think I'll again share the journey that Pratik spok

e about earlier. The first phase of th at journey was to restart the volume engine. That is something which we've seen, and we have had volume growth in FY 25. We're beginning to see green shoots in value growth as well. And given the plans that we have, I think we are confident that value growth will accelerate from where we stand right now.

So that is something that we are fairly clear on and have very clear set of plans around that. Obviously, as you can imagine, this is something which gets amortized, so hence the impact of that would come 3 or 4 quarters down the line. But I think importantly, from our perspective , AMC booking is the lead indicator of future revenue. And I think there, we are seeing value growth beginning to come through.

Parikshit Kabra: Understood. Great. And the only other thing I want to ask was that is with the price cuts in your services, will the gross margins of your services business remain higher than your product business? Or now would they be about the same with the price cuts?

Gaurav Khandelwal: No, the service business will always have a gross margin profile, which is much higher than the product business. So that is something which will continue. I think product business will see a gross margin expansion because of the series of cost initiatives that are happening. But

fundame ntally, at a structural level, service business, as I would imagine, for any industry , would be of a higher margin profile compared to product business.

Moderator: The next question is from the line of Nandita from Marcellus Investment Managers.

Nandita : Thank you for the opportunity. Congratulations on an excellent set of numbers. So, I had a couple of questions. The first one being, I wanted to understand how the salience of your product versus service business has been in terms of your revenue over the last 1 year? Has the salience of product business increased? And in case it has, can you give us a rough indication of what percentage of revenues does products and services account for? Just a rough indication is also fine.
And secondly, my question is about your services business specifically. We see a lot of third - party service providers coming into the market and providing services specifically in water purifier segment and generally also for other services related to consumer durables businesses in the country. What is your game plan? And how do you plan to combat this surge of third- party service providers in the market?
Pratik Pota: On the first question, yes, the salience of the product business vis -a-vis service has gone u p because product business has been growing in the high-teens while service has lacked. So yes, the salience of product business has gone up. Having said that, service is still a substantial part of our business. As I've mentioned earlier, we'll be constr ained in sharing the split at this point in time, but we will definitely share the split in the annual report for FY 25.
To your second question on a lot of third-party suppliers, I think that is something that's an issue which plays in the wider durable industry, and I think more so in our case. So , there are a series of interventions that have happened, and I'll kind of play back, the kind of inputs that have happened over the last 1, 1.5 years.
First, I would say, at a very basic level, the first port of call was to make sure that the customer data does not go to these particular players. And hence, we had put in call masking , 1.5 years back. So today for example, a customer would not know a technician's number or vice versa , so that's one example that is there. And we've now got fairly restrictive access mechanisms vis -a- vis our partners as well for accessing data.
The second part, which is there to also ensure that we give consumers lesser and lesser reasons to go to these players.

So , one part of that was to make so that we make affordable and tiered AMC offering s available to them. So , AMC starting from as low as Rs. 599 were br ought in . Similarly, how do we kind of empower and enable the customer to identify that something is fake, so we had launched QR code-enabled filters, so that is something which has gone into the market 1 year back which essentially allows the consumer to check if it's genuine or not.
Other vector of addressing this problem has been to drive a consumer communication. In this year, for the first time ever, we had done a service campaign which was focused on dra wing attention to going to genuine players. So that's the second part as far as the consumer is concerned. The third leg is in te rms of co -opting our partner network and our technician network and making sure that they are sensitized to this.

I'm pleased to share that all the thousands of technicians who work on the ground, they are all digitally enabled on our platform. Their ince ntives , while they remain on third-party payrolls, their incentives are paid by us, their ability to drive their behaviour is significantly higher and we are working in partnership with them and our business partners. Having said that, I think if I were to step back, this has been an established behaviou r and practice for a few decades, so it takes time to change.
Equally, we are very cognizan t and sensitive to the reality that we have to take our partners along with us. We don't want to do anything which kind of precipitates any matters , because there is also a service experience for the customer to be concerned. But I think the important part is that it's been a lot of interventions across the spectrum.
But from our perspective, the key takeaway is, one, our customer experience metrics are at a lifetime high , and number two, the trajectory that we have noted in our product business where we first got volume growth, then we saw value growth and then an acceleration, I think we are at a situation where we are beginning to see value growth come on the back of vol ume growth, and we have a line of sight to this value growth accelerating going ahead. So apologies, it's a long answer to a relatively short question, but this is a subject which has got many dimensions and no straight answer per se.
Moderator: We'll take the last question for today, which is from the line of Amruta Deherkar from Wealth Managers.
Amruta Deherkar: Thank you for the opportunity and c ongratulations on the really good numbers. Sir, in the presentation, you've mentioned the different growth ra tes for the industry, whereas the air purifier is growing at 18%, which is on a lower base, and the vacuum cleaner is growing at around 17% and water purifier is growing at 13%. So , at the company level, do these product categories also have a similar patt ern for the company in the growth rate?
Pratik Pota: Thank you so much for your compliments. The growth numbers you are talking about which are in our investor

presentation are from a study done by independent third-party agency,
Technopak . While in some cases, those good numbers are consistent, we have seen actually an
acceleration of the category growth compared to what Technopak had forecasted.
Whether it's in water purifiers or in air purifiers or indeed in vacuum cleaners, the growth
numbers have over the last 1.5 years, 2 years have been significantly faster and higher than what the study forecasted. To give an illustration, in vacuum cleaner, what the study forecast as a
market size for 2028 will now be happening in FY 26. So, we ar e almost 2 to 3 years ahead in
terms of the category growth compared to the initial estimate and the prognosis.
To your question about how our growth profile compares versus the industry growth profile, I'll
do an illustration. Air purifie

rs for instance, albeit of a small base, we grew significantly faster, more than 3x to 4x faster as compared to the industry growth rate estimated by the independent
study. Therefore, two themes, one is that categories are growing faster than what was originally
estimated , number one. Number two, our own growth as Eureka Forbes in some of these
categories is higher than what the study has had forecasted.

Moderator: Ladies and gentlemen, we will now conclude the question -and-answer session. I would now like
to turn hand the conference over to Mr. Pratik Pota for closing comments. Thank you, and over
to you, sir.
Pratik Pota: Thank you, everyone, for your questions. And once again, I want t o repeat what we said in the
beginning that given the short time between the results and the call, if there are any clarifications
or follow -up questions, we'd be happy to respond to them. But in the meantime, thank you once
again, and have a good day.
Mod erator: Thank you, members of the management. On behalf of Eureka Forbes, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Note: This document has been edited to improve readability
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Call: Aug 2025

August 19, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 543482 Scrip ID: EUREKAFORB
Ref.: EFL/BSE/2025 -26/29 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block - G,
Bandra Kurla Complex, Bandra (East), Mumbai - 400 051
Symbol: EUREKAFORB
Ref.: EFL/BSE/2025 -26/29

Subject : Intimation of Transcript of Earnings Conference Call held on Tuesday, August 12 , 2025
Dear Sir/Madam,
Pursuant to Regulation 30(6) read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call held with Analysts/Inve stors on Tuesday, August 12, 2025. The transcript of the aforesaid Earnings Call is also available on the website of the Company at www.eurekaforbes.com .

Request you to kindly take the above information on record.

Thanking you, For Eureka Forbes Limited
Pragya Kaul
Company Secretary & Compliance Officer

Encl: As above

"Eureka Forbes L imited
Q1 FY '26 Earnings Conference Call"
August 12, 202 5

MANAGEMENT : MR. PRATIK POTA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. GAURAV KHANDELWAL – CHIEF FINANCIAL OFFICER

Q1FY26 Earnings Conference Call
August 12, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Eureka Forbes Limited Q 1 FY26 Earnings Conference Call. We have Mr. Pratik Pota, Managing Director and CEO; and Mr. Gaurav Khandelwal, CFO, Eureka Forbes, with us.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask qu estions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star , then zero on your touchtone phone . Please note that this call is being recorded.

Before I hand it over to Mr. Prat ik Pota, please note the disclaimer. Certain statements made by the management in today's call may be forward -looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business.

I now hand the conference over to Mr. Pratik Pota. Thank you. And over to you, sir.

Pratik Pota: Good afternoon, and I welcome you all to the Q1 FY26 Earnings Call of Eureka Forbes Limited.

Q1 was a difficult and challenging period. There was a continuing softness in consumer demand, which was aggravated by pressure on trade working capital owing to the slowdown in cooling products, especially in April and May, and it was only in June that we saw some recovery.

In this tough external environment, we are pleased with the results we delivered in Q1. Overall revenues grew by 9.9% on the back of a double -digit growth in our products business. This growth was driven by a double -digit volume growth in both our key categories of EWPs and VCs.

In EWPs, our strategy of focusing on driving penetration and premiumization worked well for us. Our economy range of EWPs continued to grow strongly. During the quarter, we scale d up our range of EWPs with two- year filter life. These products significantly lowered the lifetime cost of ownership, and we are confident that they will help drive penetration and growth for us.

We now have more than 40 products that offer two -year filte r life. In the premium segment of EWPs, we scaled up our smart IoT -enabled range during the quarter.

We are pleased with the early results and feedback. Our innovations launched in prior periods also continued to do extremely well. In vacuum cleaners, our conviction and early bet on robotics is beginning to bear fruit.

We rolled out and scaled several new products during the quarter - Forbes SmartClean Home Mapping Turbo, Forbes SmartClean Auto Bin Turbo, and Forbes SmartClean Fully Automatic Cleaning S tation . We saw 52% growth in robotics, and this helped drive the vacuum cleaner category to strong double -digit growth.

One of the most encouraging new developments in this quarter was the service turnaround. We had a healthy double -digit growth in fresh service bookings. This growth came from a combination of growth in AMC count and an increase in the ASP. We also saw an increase in the number of multi -year bookings.

We ha d taken several initiatives to drive service revenue growth in the preceding peri ods. We had first launched segmented AMC offerings to improve affordability and to provide choice to our customers. We then invested in building a strong D 2C engine for our AMCs and nearly 2/3rd of our AMCs are now bought digitally. In addition, we strengthened our engagement with our business partners and our service technicians and rolled out direct payouts to the technicians, along with performance -based incentives.

As you're aware, we also laun ched differentiated filters and rolled out a campaign last year to create consumer awareness around them. We are pleased to see that all these efforts are beginnin

g to bear fruit, and we are confident that this momentum in service bookings will sust ain in the periods ahead. On the profitability side, the adjusted EBITDA margins for Q 1 came in at 11%, after accounting for higher service charge payouts and with the increased growth investments. Our profit after tax grew by 24.1% over last year.

In summary, in a difficult external environment, we have started the third year of our transformation with a double -digit volume growth, delivered the seventh successive quarter of double -digit value growth in our product business and witnessed a cl ear and decisive turn around in our service business.

As we look to the future, we could not be more excited at what lies ahead. Our categories have low penetration and offer immense potential. And we are confident that we have the right strategy and the right set of plans to win in this market and to deliver sustained and profitable growth.

With that, I hand you over to Gaurav Khandelwal for his remarks.

Gaurav Khandelwal: Thank you, Pratik, and good afternoon, everyone. Before I start off, I would like t o bring to your notice that we have given additional information in our Investor Relations pack. We hope it helps in providing a better understanding of the business.

Starting off with the Q1 headline numbers. Our revenues at Rs. 607.7 crores grew 9.9% on a YoY basis. As mentioned previously, starting Q1, there would be no divergence between reported growth and continuing business growth. Profit after tax at Rs. 38.5 crores grew by 24.1% on a YoY basis. On the revenue side, product business continued to register double -digit growth, both in volumes and value. Growth was led by the economy and premium segments in water purifiers and robotics in

vacuum cleaners.
Our ahead of curve investments i n both innovation and the robotics category is pa ying off, and both of these now make meaningful contributions to our growth. On the service side, we reached a significant milestone. Bookings grew by double -digits in value, and this was driven by both volumes and ASPs. Within that, multiyear AMC mix improved, which helps in driving customer retention.

While the reflection of service bookings in financials will come with a lag due to service amortization, this provides a healthy revenue stream for the quarters ahead. Our transformation interventions have taken us to a place where we believe that we will be able to drive double - digit bookings growth in service in the quarters ahead as well.
Moving to gross margins. Our Q1 gross margins at 59.7% were range bound versus 60.5% last year and 20 basis points higher on a sequential basis. Commodity costs remained benign for most parts. Given the challenging market conditions in the quarter, tactical promotions were run, which led to a gross margin drop. We bel ieve that our structural advantages and guardrails on gross margin in the form of a healthy product and service mix, portfolios straddling various price points and effective cost management , give us several levers on gross margin.
We continue to exercise cost discipline and both employee expenses and other expenses grew at a rate lower than top line growth. Employee expenses grew 7% and other expenses grew 6.1%
on a YoY basis. It may be noted that the increase of 6.1% in other expenses is after growth investments being sustained at elevated levels. The increase in service charge of 17.6% is attributable to the double -digit increase in service bookings.
As we have communicated previously, while the revenue is amortized over the tenure of the AMC , the cost is recorded upfront. Non-cash ESOP charges were Rs. 5.6 crores and are expected to remain at these levels in FY 26. After absorbing the higher cost due to service bookings and growth investments, adjusted EBITDA margins came in at 11% in Q1. Adjusted PBT grew
14.2%.

Depreciation for this quarter stood at Rs. 8.3 crores, largely in line with the previous quarter and amortization reflected an increase due to deployment of technology investments. Other income increase was largely driven by hi gher treasury income , linked to a larger cash balance versus
previous year.
In summary, in challenging market conditions, volumes have grown in double -digits and the transformation interventions have led to the service business turnaround. This has enabled a robust performance for the quarter and provides the necessary platform to drive our performance in the quarters ahead. As highlighted earlier, we will continue to be growth focused and aim for
margin improvement on a full year basis. Thank you.
Moderator: Sir, should we open the floor for questions?
Pratik Pota: Yes, please .
Moderator: Thank you very much. Our first question comes from the line of Umang Mehta from Kotak Securities. Please go ahead.
Umang Mehta: Hi, thank you for the opportuni ty. The first question was on the service business. Your commentary this quarter is much more kind of encouraging than past few quarters. I heard Gaurav mentioned that service bookings also could continue with double -digit growth going forward. Any outlook on how the revenue acceleration would take place? Do you have visibility of service growth kind of not weighing on overall growth in a few quarters? Any qualitative comments on that would help. That's the first question.

Pratik Pota: No, Umang, thank you for that question. Let me begin by first addressing the larger point about service revenue growth, and then I request Gaurav to chip in and talk about when you can expect to see this flowing into the reported numbers. I think you're absolutely right. All t he efforts that we've been making and that we've made in the prior periods, we see them coming together now and helping us drive both significantly improved customer experience and, in this quarter, especially , strong double -digit service booking growth.
What encourages us is that A, the growth came on the back of both AMC count growth, i n other words there was a volume growth which came back , as also , a greater number of multi -year AMCs, and that's a reflection of customer retention and customer longevity and eventually higher lifetime value. So, it was both a volume , and a value driven growth in AMCs. We also saw growth in both our offline channels and, of course, in the D2C online channel. So it was a fairly balanced growth profile.

In addition to the AMC growth, we also saw growth come by in our filters business. And as you may recall, in the prior investor calls, we've talked about putting in place a new go-to -market system for selli ng filters and spares. And that's now begun to stabilize, and that helped us drive growth in Q 1.
As we look ahead at the periods ahead, we feel very confident that we will see double -digit growth in service bookings sustained and all the efforts that we've made and that we continue to put in, in service transformation, picking up pace and helping us drive growth. In terms of impact in the P&L, you can expect to see the numbers show up in the reported numbers by Q 4 of this year. And GK, you want to add anything?
Gaurav Khandelwal: Yes. And Umang, the reason for that is that the revenue gets amortized and hence, it comes with a lag. But I think the important part from our perspective is that going by what we've seen in Q 1 and the line of sight that we have, that pipeline looks quite healthy, and you will start seeing this getting reflected from Q4 revenue onwards.
Umang Mehta: Understood. That's very helpful. And the second one was on gross margins. You did mention about some tactical promotions had some impact this quarter. I also kind of we picked up about this big exchange, which we've launched recently , so,

any outlook you can give on that front? I mean, how should we think about gross margins going ahead and the impact of this exchange program on margins?
Gaurav Khandelwal: Yes. I think our focus is on driving innovation and getting adoptions going. And our experience has been that our exchange program has worked quite well. So that is something which as a program we continue and that has helped in driving growth, particularly in our premium segment. So that is one part. Second, from a gross margin outlook, as I mentioned, Umang, we've got multiple levers in hand.
We've got a 2/3
rd , 1/3rd split of product and service business , in product we straddle all the price points , our higher volumes have now given us buying efficiencies which are coming in and hence, our view on gross margin is that it will be range bound . There will obviously be elements of seasonality, which are there, which will play out, but we expect this to be range bound.

I'll just also draw attention to the fact that if you look at the last 3 years in some ways, we've pursued a strategy of driving penetration. Our product growth has been ahead of our service growth. If you look at a 3- year view of our gross m argins, they've been very, very range bound. So, our belief is that there are multiple levers in hand, and we will keep gross margin at a place where we think that it remains range bound. Obviously, you're well aware of the market conditions , so we are very conscious of the fact that we will be pursuing growth and will be price competitive in the market, but we will use all levers available to make sure that our gross margin remains at a particular level.
Moderator: Our next question comes from the line of Aniruddha Joshi from ICICI Securities.
Aniruddha Joshi: Thanks for the opportunity and Congrats for a great set of numbers. Two questions , one, in terms of PPT, you have indicated that we have launched water filter with 2 years of life targeting the nonusers. So if you can indicate about the TAM or the findings that the company sales or marketing teams would have got regarding the market size of these nonusers? And what will be the growth potential over, let's say, next 2 or 3 years in t his market? That is question one.
And then second is an accounting question for Gaurav. So let's say, a multiyear plan is taken by any consumer, let's say, 3 -year plan is taken by any consumer and he pays the money upfront. So how does the accounting happen ? Whether it is based on the servicing, or it is any periodic accounting that is done that every month some revenue is recognized out of that and till that time, whether the money is in current liabilities, or some portion is in current liabilities and other remains in long- term, in a way, obligations? These 2 questions.
Pratik Pota: Aniruddha, I'll answer the first one, and then request Gaurav to chip in on the second question.
I think the 2- year filter life products address a very fundamental category barrier for water purifiers. The water purifier category, as you know, Aniruddha , has a penetration of only about 6%. Even in urban India, the penetration of EWPs is about 12% and rural , of course , is much lower at 3%. And one of the big barriers that holds back EWPs is a perceived high cost of ownership.
If you recall, about 2.5 years back, we had launched an economy range of Aquaguard, which addressed another barrier, which was the high upfront cost of entry and by l aunching Aquaguard at less than Rs. 7,000, we tackled that barrier, and we are seeing very, very encouraging growth and penetration increase thereafter. And all the data had shown that more than 2/3
rd of the
customers who had bought that economy device were first -time category entrants.
This time with a 2 -year filter life product, we are addressing the other barrier, which is the high

cost of ownersh

ip barrier. And by launching purifiers, w hich have a 2 -year filter life, our customers can actually save almost Rs. 18,000 over the entire lifetime of the ownership. And we believe very strongly that this will help drive category penetration immensely and because of that, we have launched a range of these purifiers and not just at the premium price points, but across , starting in economy to mid-price to premium. And we believe that this can significantly expand the market.

If you think about the current market and the penetration being only 6%, you can do the math. As the penetration increases, as we address this fundamental category barrier, we will see the category grow , and look, if you look at any other peer country in the neighborhood, let's look at Sri Lan ka, penetration of about 18% to 20% , China upwards of 25% now , Korea upwards of 60%, Thailand upwards of 25%. So, these are all markets which are very, very similar in profile and we believe that our penetration in India will follow the same trajectory as we systematically attack both the consumer barriers, like the one I mentioned just now, or indeed activate the triggers. So that's on your first question. Gaurav, on the next one.

Gaurav Khandelwal: I'll cover the qns, on the accounting I'll cover all dimensions. So revenue is done on a straight - line basis amortization. So , let's say, it is a 2 -year AMC, and let's say, the cost of that is Rs. 7,200. So, it will be Rs. 300, which is getting recorded every single month as a revenue. So that is how the revenue keeps getting reflected every month. Hence, you have upfront bookings and a cash inflow of Rs. 7,200 , what you see in the financials is Rs. 300 every single m onth.

Coming to the cost bit of it, the entire cost of acquisition of this AMC of Rs. 7,200, that is recorded upfront. So cost is not amortized over the tenure of the AMC, that cost is upfront. And hence, you see the service charge increase happening at a rate higher than what you would see reflecting in service revenue.

Now coming to the balance sheet part of it , for the part in a 2- year AMC , up to month 12, that will appear in current liabilities , from month 13 to 24, that will appear in non-current liabilities, and this keeps shifting for whatever balances which pertain to within 12 months from the closing period.

Aniruddha Joshi: Okay , this is very helpful. Just one further clarification. So essentially, we are right now booking all the costs, but a partial revenue is getting booked when a service revenue is booked. Is that correct?

Gaurav Khandelwal: You're absolutely right.

Aniruddha Joshi: So as this phase will get normalized, let's say, in a period of 1 year or maybe 1.5 years.

Moderator: May we request you return to the question queue for any further follow -up questions, please.

Aniruddha Joshi: Actually, this is just a clarification only. So, we will see a relatively better margin expansion as we are booking the additional cost. So is that understanding correct?

Gaurav Khandelwal: Yes, because the costs are coming upfront and hence, the revenue will come later and then you will see a margin expansion. The thing to be kept in mind is that on a sustained basis, if you are growing bookings, then there will be that cost which will come in. But on a standalone basis, you're absolutely right that the entire cost of Rs. 7,200 AMC is coming on day 1. While when you start recording future months, there is no corresponding cost that you have to record. But then again, you may book another AMC at that point in time, and that cost will come.

Moderator: Our next question comes from the line of Harshit from Elara Capital.

Harshit: Thanks for the opportunity and Congrats for a good set of numbers, sir. Two questions from my side

, we see a double -digit growth across the product category , would you be able to share whether in economy, mass premium and premium, all 3 segments grew in double -digit for water purifier? And because of the average selling price mix, we see that probably the value growth was a bit lower than the volume was , specifically to any particular segment? And do you think this trend is what is going to continue?

Pratik Pota: So Harshit, thank you for the questions. Let me start by responding to your first question, which is about the growth in our growth profile in our EWP portfolio. I think as I mentioned in my opening remarks, we had in line with our strategy, a very deliberate focus on driving the economy segment to drive penetration and to get in new users. That strategic objective yielded us results very clearly in Q1, as indeed it has in the preceding period as well and we saw very strong volume and value growth in the economy segment.

And again, in line with our prior experience, a dipstick on these new users or this new acquisition told us that most of them were first -time category users. So again, the objective of growing penetration was served by the growth of the economy segment.
In addition, we also had a very deliberate strategy of upgrading the mid-price segment and the mid-priced user via premium offerings at competitive price points. Our prior innovations of Blaze Insta hot water product or indeed the under-the -counter product or our various stainless - steel products or more recently in the last quarter, our range of IoT products, all of them helped upgrade the consumer from mid-price to premium. As a result, we saw a very, very strong growth in our premium portfolio as well.
I think as Gaurav mentioned earlier in his opening remarks, I think we are the only brand in this category that has a very balanced portfolio across price points, across propositions. And we brought all of that to bear in driving growth last quarter across price points. On your second question, I think we were fortunate to see both a double -digit growth in volume , and in value. So, there was no material dispersion between volume and value growth.
Harshit: Understood. Sir, and secondly, on servicing, would you be able to share some comments on since we are ramping up the servicing portfolio, how is the filter production inventory management? And is there any input element on the filteration side as we see more bookings coming up, are we have enough service people? Or are we required for any further investment in this category?
Pratik Pota: Harshit, that's a really good question, and let me answer both parts of it. I think, first of all, given the growth that we have seen in our product business and as the category penetration grows, expanding our service network and growing the service capacity is an ongoing work stream that will continue in the foreseeable future. We have a very large and a very, very, I think, capable and a very solid network of business partners and technicians in our existing markets, and we intend to strengthen our partnership with them. But as the markets grow and as the categories grow, we will need to ramp up our network of partners and technicians. And that, like I said, is an ongoing effort, number one.

Number two, in terms of your question about imports, et cetera, all our manufacturing of filters, et cetera, is done in -house. We have 2 factories, as you know, one in Dehradun, one in Bangalore, and it's all done in-house. We have abundant capacity to accommodate for filter growth in the foreseeable future. The third point around filters, and it's important to underline this, is that there's a lot of work that we've done, and you'll see a lot more of that in the near future as well on filter innovation, to make sure that we are having very clearly differentiated product acr

oss
the filter range and relevant for different parts of the country.
So for example, we have a filter called Ironil, which removes iron from groundwater and from the water source, and that's very relevant in markets in the eastern part of the country. Last quarter, we had launched a HMR cartridge, which is heavy metal removal cartridge, which again is relevant in many markets where you have is sue of heavy metals, markets like Bihar, markets like UP, Chhattisgarh, et cetera. So that's an example again of filter innovation and we continue to do a lot more of these innovations to make sure that we offer differentiated and relevant filters for different parts of the country.
Lastly, on filters, I mentioned that earlier also , in order to make sure that these filters reach the consumer, we are strengthening our network of distributors and partners. I think it's important to call out that histor ically, we've been focused a lot more on AMCs, and we haven't really had the same distribution outreach in filters as required and this filter ecosystem is a very different ecosystem.
And therefore, this new network of distributors that we've created a nd are strengthening , will help us reach this large, large network of the aftermarket with technicians who are not employed with us and not working with us but who service customers, nevertheless. So, all of these put together will help us really realize and leverage the vast opportunity which lies in tapping into the base of customers who don't sort of use or avail our AMCs right now.
Moderator: Our next question comes from the li ne of Mehul Desai from JM Financial.
Mehul Desai: Hi Sir, thanks for taking my question. So, my question was more on the EBITDA margin side. Obviously, you did allude to the fact that gross margins will remain range bound and you also highlighted that service charges might not materially come down because obviously, you are focusing on increasing the bookings and that double -digit booking growth will sustain. So, to that extent and obviously, growth spends also, my sense is that will continue. S o can you provide some flavor on how do you see EBITDA margins? Will they be also range bound at these levels? Or do you see levers for EBITDA margins to improve from this 10% level at least in FY 26? Or should we assume that the margin expansion will be more seen in FY 27 when the service

revenues start kicking in?
Gaurav Khandelwal: Yes. Thank you, Mehul , for your question. No, I think just for immense clarity, we continue to aim for growth and margin expansion on a full year basis. I think that is something which we have set out as an agenda, and we continue to remain focused on that. So that's part one. Part two, in terms of what are the drivers that are available to us, I think first is going to be operating leverage. With a gross margin profile like us, growth automatically leads to an operating leverage. So that is something which will continue to be there.

The second element that is there is going to be to drive cost efficiencies in terms of wherever we find opportunities, that is something that we will keep working on. And if I were to kind of correlate these 2 with, let's say, our Q1 performance i n some ways, we are in a situation where the Q1 margins on a YoY basis are down by 46 basis points, but this is after absorbing additional growth investments of 66 basis points, and this is after absorbing a nearly 80 bps on higher service char ge.
So it just tells you that intrinsically, the margin profile is quite strong. And hence, we believe that we've got enough and more levers which are there to help achieve the ambition of driving a full year margin improvement. There should be absolutely no doubt whether the margin expansion agenda is being pushed to FY 27, certainly not. It very much remains part of the ambition for

FY 26.
Mehul Desai: Got it. And when you say operating leverage, obviously, your 3 big line items are your advertisement and s ales promotion expense and then the other big item is service charge. So, I mean, I was assuming that ASP spends as a percentage to sales might not come down in FY 26, but is service charges where you will still see an operating leverage kicking in ev en when you are going for a double - digit bookings growth?
Gaurav Khandelwal: So Mehul, it may not come in service charge because I think service bookings is something where we feel that there will be sustained double -digit growth. But the other big lines which are there where operating leverage will come, employee cost , for us, it is a Rs. 300 crores plus line . If you look at Q1, our employee cost increase has trailed revenue growth. Even within other expenses if you were to look at, there is one element which is advertisement and sales promotion. But outside of that, there are other expenses where we continue to exercise very, very strong efficiency measures. So the levers that are available to us outside of service charge is a fairly large universe to look at. And I think our trend so far has been that on those lines, we've been able to sustainably drive operating leverage, and that is something that we believe will continue as we go ahead.
Moderator: Our next question comes from the line of Anupam Goswami from SUD Life.
Anupam Goswami: Sir, if you can just clarify how are we seeing the market competition now? What is our market share in this versus the competitors? And also, sir, if you can mention the servic e revenue, just a clarification from the previous participant. If you take the service revenue from the current liabilities that part and add it along with the cost, should we get an adjusted sort of feel that how the margins and service revenue are playing out? Would that be a correct approach, sir? That is all.
Pratik Pota: I'll answer the first question, and then I'll request Gaurav to clarify on your second query. As you've mentioned and as I'm sure everyone has noticed, there has been a signific antly increased competitive activity in this category and number of brands that have either entered or scaled up the presence in the last few months. We believe that this is an extremely positive development for the category. Entry of new players and new entrants with new communication, new innovations, all are signal that they all believe that there is promise and potential in this category, number one.

Number two, they create more awareness about the category. They create more interest i n the category and more levels of visibility. So all of these will help stimulate and drive category growth further. And as the largest and the strongest brand in the water purifier category, Aquaguard will stand to benefit as the category grows and expands. We have been very, very cognizant and very, very watchful of the evolving competitive activities, and we've been very, very swift to respond and to take action as required.
So we've stepped up our activation and our innovation efforts across different spaces in EWP. I mentioned earlier in one of my remarks that we have scaled up the 2- year filter life products.

We've also scaled up the range of our smart IoT -enabled products. We've also done a number of other things across all channels, whether it is in modern trade or in traditional trade or indeed in e- commerce.

We've been very, very aggressive and very, very forceful in our response. You'll be happy to know that notwithstanding the increased competitive activity, our market share has not gone down. It's remained absolutely unchanged, and we feel confident about that going forward as well. Gaurav .

Gaurav Khandelwal: Yes. Anupam, on your second question, just to get my understanding right, what you're saying is that

or you are trying to understand is that if you were to add the current liability part, would that be a reflection of revenue? No, that may not be the right way because this is a rolling thing. So there is a particular balance as it stands at each period end.

Then you sell fresh AMC, t hen there is then a fresh CL and non -CL bifurcation that happens because some of the past AMCs also expire. So this is something which is an ongoing feature.

And hence, looking at a standalone balance on a particular balance sheet date and taking that as a view, that may not be the right way to look at it.

I think a good surrogate in some ways, it may not be exact, would be to maybe keep looking at the service charge line. That gives an indication, although I must call out service charge has got 2 components. One is revenue related and one is just the cost of servicing. But I think the balance sheet approach may not give the exact answer or even an approximate answer in some ways.

Anupam Goswami: Got it. So, service cost growth, Sir, just a clarification on that.

Moderator: I'm sorry, but there are several other participants waiting for their turn. Our next question comes from the line of Mr. Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: Good afternoon and thank you for the opportunity. Sir, if you could clarify in terms of what kind of installations we have at this point in time? And how much is the penetration of the service offering for us at this stage? And what could be the potential? I mean, if you were to paint a blue sky scenario, what could be that number in terms of penetration? Just a broad sense on the same.

Pratik Pota: Thank you for your questions. In response to your first question about what our installed base is, I'm happy to share with you that we have an installed base in water purifiers of almost 14 million customers, and that has grown year after year.

Notwithstanding that, the reality is that the category of water purifiers has a very low penetration of 6%. And earlie r in the call, I had talked about several neighboring countries, not very different from ours in many cases, who have much higher levels of penetration, whether it is a 20% or a 60% or a 25% , and there is no reason to believe that penetration in India could be any less. If anything, the groundwater quality in India that we see tells us that the relevance for water purifiers is even more. It's near universal.

I would draw your attention to the recent report by the Central Groundwater Authority and which shows the water quality in different parts of the country having deteriorated over the years and the fact that groundwater in different parts of the country has traces of nitrates, ars enic, pesticides, heavy metals.

So this is a universal problem. And therefore, this category has universal relevance and universal need, whether it is in top t own urban India or it's in small town urban India or rural. And we have absolutely no doubt that as consumer awareness grows, as affordability increases and as people like us , as category leaders, we attack these category barriers, we will see growth come by.

Two years back, and maybe this is bit of a flash back, but 2 years ago, when we had begun the transformation, we were asked this question repeatedly by people that the water purifier category actually hadn't grown in the preceding 4, 5 years and the question to us was what gives you conviction that the category will grow. You've seen the growth over the last 7, 8 quarters of water purifiers growing by double -digits, both volume and value. We have seen th at momentum sustain and continue.

And we have absolutely no doubt, as you look at all the data points, our own consumer insight data, the macro data, we know that this category will have a penetration expansion, penetration growth, which will sustain over the

next many, many, many years. So, I mean, I don't want to put a blue -sky number to it , the blue -sky have only 100% penetration because that's the relevance in this country. There is no c onsumer in this country who does not meet this category. That's on water.

Now let me switch gears and talk about vacuum cleaners. Again, this category was felt , what was perceived to be one of absolutely no relevance or very low relevance. However, the onset

of convenient cleaning and especially robotics has changed the paradigm completely. In a
country like India, which is urbanizing rapidly and which is time starved and time scarce, something that removes the burden of cleaning, is extremely relevant, and we are seeing that
reflect in our robotics growth.
And as I mentioned in my opening remarks, we took a bet on this category very early on, 2.5 years back, and we are seeing those results now come by. So whether it is cleaning or indeed
earlier water, we see the runway for growth being tremendous.
Achal Lohade: Sir, on the service part of it, where the AMCs are taken up by the customer out of the 14 million
customers, what is the penetration at this stage? And what kind of numbe r would be more of a
fair number, let's say 4, 5 years or 10 years, whatever you feel appropriate?

Pratik Pota: Yes. Thank you, Achal. That's a really good question. And that again, I think that question
illustrates the sheer runway and the s heer opportunity that we have ahead of us. So out of this
installed base that we have , the large installed base of Aquaguard, only a very small proportion
of these customers , avail of our AMCs and avail of our organized services. A larger part of the
installed base avails of either the service or the filters from the unorganized parallel market. And
our research shows that most of this purchase happens unknowingly .
Let me rephrase that. Most nonusers of Aquaguard AMCs believe erroneously, believe mistakenly that they are availing of genuine Aquaguard services and very often paying the same
amount. So it's a question of information asymmetry and knowledge asymmetry. So therefore, as we drive awareness of genuine AMCs, genuine filters, as we drive filter differentiation, as we
drive our own go -to- market becoming stronger, as we drive digital up, we will see a much larger
share of this installed base coming under the ambit of our service offering.
And one reflect ion of that runway is the growth that we saw last quarter in service revenues.
Like I said earlier, we saw a double-digit growth in service bookings, and we expect that momentum to sustain in the period in the future. So going back to your first part of the question,
low penetration in product categories, tremendous runway for growth. Low penetration of the
installed base in service, tremendous runway for growth. So really what lies ahead of us is an
extremely exciting period of multiple opportunities.
Achal Lohade: Got it. The second question I had was with respect to the seasonality part of it. So, if I see in the
first quarter, we have had on a reported basis, I'm not looking at the adjusted EBITDA at this
stage, the margin was stable actually Y oY at 10.1%. So, given what we are looking at in terms
of the service growth, like you said, 4Q, it will stabilize, right? So 2Q and 3Q, could we see
margins remaining stable, offsetting the entire operating leverage of the product mix? If you could just give some clarity because if I look at the EBITDA growth for the first quarter on a
reported basis is 9%, right, while PAT growth is 20%, helped by the other income. So just wanted
a bit of a color on the 2Q and 3Q margins , could we see margins being stable Y oY given the
offset?
Gaurav Khandelwal: So Achal, I'll just reiterate the principle that we are aiming for a full year margin improvement.
And obviously, that would mean that for

a full year margin improvement to happen, that would
be a journey which would need to span across quarters. On a reported basis, you're absolutely
right, our margins are flat on a YoY basis. And our expectation and our plan is that to drive a
full year margin improvement, there would be a need to keep driving margins ahead of the previous year and the balance 9 months. So that is what our ambition is.
Again, just to reiterate the fact that in our business, operating leverage plays a very, very critical
role. With a gross margin profile, which is nearly 60%, that has a very large role. The second
element is that our agenda on cost efficiencies, that is something which continues. So, our focus
will remain very much on that and we remain to our ambition of driving a full year margin
improvement.
Moderator: Our next question comes from the line of Parikshit Kabra from Pkeday Advisors LLP.

Parikshit Kabra: Thank you for the opportunity and Congratulations on a steady set of numbers. I wanted to
understand from the re venue perspective for the services line, I think you said that the margins
will start improving by Q4, but the revenue growth rate should start coming sooner rather than
later?
Gaurav Khandelwal: Parikshit, what we mentioned is that the reflection of the bookings growth that is happening
now, the reflection of that in revenue will start happening from Q 4. Now the implication of that

is that the moment it starts landing as revenue that also then means it starts flowing into margins as well.
Parikshit Kabra: But why would it take so many quarters for it to come up in the revenues? You said it's just a straight -line method, right? You'll start seeing it from immediately the next month?
Gaurav Khandelwal: No. So , there is a straight -line method, where the revenue for what you've sold now, that gets recorded in every single month from the first month itself, but what you are carrying forward are the past AMCs, where some of them lapse. So they go away and you ha ve a fresh booking that happens for which the revenue gets recorded.
Parikshit Kabra: Got it. Got it. So then let me put it this way. Will we be seeing double -digit revenue growth from Q4 based on current trajectory?
Gaurav Khandelwal: As I mentioned, the impact of service bookings will start getting reflected in our revenues meaningfully from Q4. So currently, you see service being a lag on the overall growth and it creates a fairly large lag at this point in time , that will start coming closer and converging from Q4.
Moderator: Our next question comes from the line of Dhrumil Wani from Girik Capital.
Dhrumil Wani: Thank you for the opportunity. Just wanted to ask one question. Like on Slide 20 of the presentation, we have given the growth rates expected. So if you take a weighted average of our product portfolio, it comes to around 13%, 13.5% growth rate for the projected period. But despite that, like in Q1, which is like a seasonally strong quarter, we have done only a 10% growth. So how confident are we of achieving the numbers stated , like the category growth rates?
Pratik Pota: So, Naitik, just to clarify, what you see on Slide 20 is an estimate of the total category and tota l market. And what we are showing is that the total market size would be Rs. 23,000 crores at a CAGR of 13%. So that's the reflection of the category size an d the category growth momentum.
Coming back to your question about Q 1. I think it's important to once again underline and remember that Q 1 was a challenging period, in part , because of soft consumer demand sentiment, but also because of the headwinds which the cooling category faced because of unseasonal rains, the compressed summer and the mild summer.
And in some ways, our category was collateral damage as part of that headwind , because trade inventory was stuck and the fa

ct that there was working capital stuck, which impacted velocity, impacted other categories. So that's the first point.

The second point is that if you double -click on the growth that we've had, while the reported growth was 9.9%, we've said clearly that our product business grew actually by double -digits, both in volume and in value. And in a n otherwise challenging environment, growing double - digits was something that we were extremely encouraged by, especially because the growth came on the back of volume expansion and volume growth.
So I would imagine that the longer-term projection of the category growth that you see on Slide number 20, they remain. If anything, I believe that in some categories, you see faster growth and higher category size.
So, for example, to illustrate, vacuum cleaner category, it talks about the category becoming Rs. 1,500 crores by FY 30 from Rs. 500 crores in FY 23 at a CAGR of 17%, as you can see on the slide 20 , o f our IR pack I can tell you that with robotics going the way it is, we are seeing that momentum already being surpassed and we expect that to sustain going forward.
So, we expect to see the vacuum cleaner category become much, much larger in the FY 30 time period compared to what you see here. So if anything, I would like you to go with a conviction that what you see on Slide number 20 is a modest conservative estimate. And both in water purifiers and in cleaning, you will see growth that will surprise us all.
Dhrumil Wani: Okay. And just a follow -up on that. Like we have on Slide 16, given the details on the contribution of online to total AMC booking, which stands at 64%. So, at what margin and like by when we can expect that contribution to stabilize?
Gaurav Khandelwal: So Dhrumil , I think just to give a reference, the contribution of online earlier used to be roughly 10% to 12% and has now gone up to 65%. From a profitability profile, it is not very different from wha t we would have in offline. I think the important part to call out is the rationale of this strategic initiative. What online does for us is an ability to get customer retention to be better. Because with an online thing, there are multiple , I could prompt the customer, I could send notifications on app, I could alert the customer. So there's a bunch of things that I could do with the customer. And that is why it becomes very, very critical from a strategic standpoint as far as customer retention is c oncerned. From our perspective, our ambition would be to take this number as high as possible. So, we've had over the last 2, 2.5 years, a journey from 8% to 10%, which today is now 2/3rd, our ambition would be to keep increasing these numbers as we go along because it helps in customer retention.

Moderator: Our next question comes from the line of Naitik from NV Alpha Fund.
Naitik: I just wanted to know what was the services revenue growth if I were to compare it YoY during this quarter?
Gaurav Khandelwal: Hi, Naitik. So the service bookings growth that we've reported is a double -digit growth in value, underpinned both by volume and ASP. As far as the service revenue growth is concerned, we are constrained on sharing that for the reason that the AMC business is something which is unique to us.
In our view, it is a source of competitive advantage and a competitive moat , because we have a very wide service network. So we don't share that split. However, I can share that at a big picture

level, service is 1/3rd of our business and adds an important source of profitability for us , but beyond that, we don't really share data points on service business.
Naitik: Right. So okay, sir. Then in terms of product revenue, is it safe to say our growth Y oY was just about double -digits then in that cas

e?
Gaurav Khandelwal: It is not just about double -digits , it is more than just about double -digits because if the aggregate itself is coming to 10% and service is under indexed, which is 1/3rd of the business, then by implication, product becomes a higher growth. So just for clarity, it's not that the product business is a 10.1% or a 10.2% growth business , it is higher than that , let me put it that way.
Naitik: No, sir. What I meant is 11%, 12%, not say 10%, but about 11%, 12%?
Pratik Pota: Yes. I think we've been very clear, Naitik, in all our comments so far, product business grew in double -digits. It wasn't, as Gaurav said, marginally over 9.9% or 10%. It was a decisive double -digit growth, both in volume and value. Beyond that, I don't want to debate and pinpoint a number, but I think you should walk away knowing that it was very clear double -digit growth.
Gaurav Khandelwal: I think just one last point to add that in an annuity business like AMC, the critical lead indicator is bookings because that then gives you an assured revenue stream for the future. Your cash flow has all come in upfront. You've taken in the cost upfront. It's just a question of timing of recognition of revenue. So from our perspective, we look at bookings as an important lead indicator.
Moderator: Our next question comes from the line of Keshav Lahoti from HDFC Securities.
Keshav Lahoti: Hi, thank you for the opportunity. Sir, what was the ad spend in Q1 as a percentage of sales? And what is the budgeted spend for this year?
Gaurav Khandelwal: So as per as spends for the year are concerned, Keshav, we will continue investing for growth because we've got a bunch of innovations which we've launched, our bet on robotics has moved quite well and hence, we will keep investing for growth. We are also very cognizant of the fact that the market is in a bit of a challenging condition.
We don't want to, in a market like this , constrain ourselve s, but we will keep investing for growth. Having said that, we will be choiceful and calibrated about the spends that we do where we get maximum ROI. So that is the balancing that we will keep doing, and also keeping in mind what other cost efficiencies we are able to drive, so that our ambition of achieving a full year margin improvement is also on track.
As far as quarterly number is concerned, again, we've maintained our spend at elevated levels versus last year , we've taken up our spends in absolute te rms and that is something which going ahead is something that we will continue doing, but within the guardrails that I mentioned earlier.
Pratik Pota: Let me just add to that Keshav. I think look our advertising and promotion expens es serve 2 objectives. First one, and very important for our category is consumer education and category creation, so driving awareness, driving behavior change. And the second one is about making

sure that our innovations that we have done reach the consu mer. So driving awareness and penetration , driving our innovations.
I also draw your attention to what you may have seen in the last 1 month, 1.5, 2 months, which is a very, very dialed up visibility, both in print and on television to some of our campaigns. So, for example, in the very exciting India -England test seri es, you would have seen our advertising on the 2- year filter life. You may have seen in multiple newspapers or print ads on again t he 2-year products as also the robotics products and you will see that sustain overtime. So, driving penetration and awareness and driving premium innovation will be the agenda that you will see us do.
In addition, we also have a task on service, and you will see us driving awareness around service

as well. Lastly, it's very, very important that we bring this alive a t the point of sale. So the shopper marketing and the point -of-sale a

ctivation, those work will also get a lot of focus. And indeed, if you go to the market now, you will see a much higher level of visibility around the products in the retail stores. So al l of these will be genuine areas of investment for us and all serving the objective of driving growth.

Keshav Lahoti: Got it. That is helpful. One last question from my side. As we're starting to see finally the service business is growing by double -digit in booking terms , what is your sense possibly maybe a few quarters down the line, whether the service business can catch up the growth rate what the product business is doing?

Gaurav Khandelwal: Yes. So, the reflection of the bookings will start comi ng in from Q 4 and I think from that period onwards, we expect the service business, which currently creates a lag on the overall growth , for that gap to start getting lower and lower. So, you will start seeing the impact of growth coming in from Q 4.

Keshav Lahoti: Got it. My question is more on the product business is still growing by good double -digit, what you highlighted, possibly the service business may be a few quarters down the line we should expect a similar growth on this business also, at least in booking terms?

Gaurav Khandelwal: So yes, I think given the line of sight that we have, I think we are quite confident that the service business will grow in booking terms in value on a double -digit basis. So that is something that we are fairly confident about.

Moderator: Ladies and gentlemen, we will take that as the last question. I now hand the conference over to the management for closing comments.

Pratik Pota: Thank you, and thank you all for joining the call today. I hope that we're able to answer the questions that you pose to us. In case there are any follow -up queries or any doubts, please do feel free to reach out to us, and we'll be happy to respond. Thank you. Ha ve a great day ahead.

Moderator: Thank you. On behalf of Eureka Forbes that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This document has been edited to improve readability

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Call: Nov 2025

November 20, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 543482
Scrip ID: EUREKAFORB
Ref.: EFL/BSE/2025-26/52 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block - G,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051

Symbol: EUREKAFORB
Ref.: EFL/NSE/2025-26/52

Subject : Intimation of Transcript of Earnin gs Conference Call held on Friday, November 14, 2025

Dear Sir/Madam,

Pursuant to Regulation 30(6) read with Schedule III of the Securiti es and Exchange Board of India (Listing Obligations and Disclosure Requireme nts) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call held with Analysts/Investors on Friday, November 14, 2025. The transcript of the afores aid Earnings Call is also availa ble on the website of the Company at www.eurekaforbes.com .

Request you to kindly take the above information on record.
Thanking you, For Eureka Forbes Limited

Shilpa Jain Company Secretary & Compliance Officer

Encl: As above

“Eureka Forbes Limited

Q2 FY26 Earnings Conference Call”
November 14, 2025

MANAGEMENT : M R. PRATIK POTA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. GAURAV KHANDELWAL – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to Eureka Forbes Limited Q2 FY26 Earnings Conference Call. We have Mr. Pratik Pota, Managing Director and CEO; and Mr. Gaurav Khandelwal, CFO, Eureka Forbes, with us. As a reminder, all pa rticipant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing star then zero on your touchtone pho ne. Please note that this conference is being recorded.

Before I hand it over to Mr. Pratik Pota, please note the disclaimer. Certain statements made by the management in today's call may be forward-looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectatio ns based on a number of factors affecting the business.

I now hand the conference over to Mr. Pratik Pota. Thank you, and over to you, sir.

Pratik Pota: Good afternoon, and I welcome you all to the Q2 FY26 Earnings Call of Eureka Forbes Limited.

I'm extremely pleased to share that Q2 was an important milestone quarter for us. We delivered a strong revenue growth of 14.9%, driven by high teens growth, both in our products and in our service business. For the first time ever, we adde d more than Rs. 100 crores of revenue YoY in a quarter. This growth was not only in the context of a challenging external environment, but also on the high base of a 13.6% growth of last year.

Our focus on building and expanding our product categories is playing out well. In water purifiers, our 2 years range aimed at lowering the lifetime ownership cost for customers, has expanded well, and driven growth.

In addition, our Smart IoT range also began scaling up well. We saw very, very encouraging traction to our products during the festive season, both in online and in offline channels. In cleaning, our focus on driving convenient cleaning continued, and it gave us encouraging results in the quarter.

Our robotics range grew at a very strong pace on the back of the premium additions to the portfolio, the Forbes SmartClean Auto Bin and the Forbes SmartClean Fully Automatic Cleaning Station. With the growth and the growing salience of robotics, which now contributes to nearly 60% of VC sales, the cleaning category has now emerged as a powerful growth engine for us.

With this quarter, our products business has delivered consistent and broad-based double-digit growth in every single quarter over the last 2 years. We expect this momentum to sustain in the periods ahead. I'm also pleased to share that we have recently inaugurated our revamped R&D centre in Bangalore, and this will add more muscle to our product innovation capabilities.

On the service side, the business turnaround continued and indeed, gained momentum. After a double-digit growth in our service AMC bookings, our growth trajectory accelerated in Q2 with overall service revenue, including AMC bookings, growing in high teens. This growth came on

the back of both, growth in our AMC count, as al so in an increase in ASP driven by a higher mix of multiyear AMCs, which, as you can imagine, lead to a better customer lock-in.

Going forward, we have strong plans lined up for service, and we expect this momentum to continue without a shadow of doubt. In addition, we strengthened our interventions aimed at improving customer experience. This in turn le d to our customer service KPIs stepping up significantly and reaching an all-time high.

On the profitability front, Q2 adjusted EBITDA crossed Rs. 100 crores for the first time ever with a lifetime high margin of 13.1%. Our EBITDA margin expanded 162 basis points YoY during the qu

arter, even after a 21% increase in advertising and promotion spends. It is clearly evident that operating leverage is playing out for us.

Going forward, as we increase the scale of the business with gross margins remaining healthy, this will create a positive and virt uous cycle, givi ng us additional head room for both, growth investments and profitability improvement. Our prof it after tax in Q2 was Rs. 61.6 crores at a PAT margin of 8%, growing 32% over last year.

In summary, in a difficult market environment, we delivered a very strong quarter in Q2 with a very healthy growth in our product categories and in the service business, along with a step-up in our profitability. Looking ahead, our focus will remain on category creation and on driving growth through increased awareness, affordability, availability and affinity for all our categories.

In addition, we will deliver a significantly improved and best-in-class customer experience and also drive service revenue grow th, both through AMCs and through filters. We remain confident of driving sustained double-digit growth with a YoY margin expansion in the periods ahead.

Finally, before I conclude, I just want to say that we are looking forward to hosting you at our upcoming Investor Day on November 27th in Mumbai, meeting you in person, and sharing our plans for the next phase of our exciting transformation journey.

With that, I now hand you over to Gaurav to give some more flavour on our performance.

Gaurav Khandelwal: Thank you, Pratik, and good afternoon, everyone. Starting off with the Q2 headline numbers.

Our revenues at Rs. 773 crores grew by 14.9% on a YoY basis. Product business continued its momentum and registered high teens growth. This growth was volume and mix led, and we saw strong growth in both the economy and the premium segments.

On the service side, we contin ue to witness good traction, which began from Q1 this year. AMC bookings growth accelerated and grew by strong double-digits in value. This was driven by both,

volumes and ASPs. Within that, the multiyear AMC mix improved, which helps in driving
customer retention.
While the reflection of service bookings in financials will co me with a lag due to service
amortization, this provides a healthy revenue str eam for the quarters ahead. Our transformation
interventions have taken us to a place where we believe that we will be able to drive double-digit bookings growth in service in the quarters ahead as well.

As we have communicated previously, while the revenue is amortized over the tenure of the
AMC, the cost is recorded upfront. After absorb ing this higher upfront cost and a YoY increase
of 21% in growth investments, adjusted EBITDA for Q2 crossed Rs. 100 crores with a lifetime
margin of 13.1%, up 162 basis points YoY.
Moving to gross margins. Our Q2 gross margins at 56.5% were range bound versus 56.3% last
year and 25 basis points higher on a YoY basis. While on a sequential basis, you may see a 322-
bps contraction, it is important to clarify that th is has been the trend, where Q2 margins tend to
be lower due to seasonality led product changes.
We believe that our structural advantages and guar drails on gross margin in the form of a healthy
product and service mix, portfolios straddling various price points and effective cost
management, give us several levers on gross margin. Gross margins from Q3 onwards will go up again. Profit after tax for the quarter grew 32% on a YoY basis.
I will now cover H1 summary. Revenue at Rs. 1,381 crores was a growth of 12.7%. Adjusted
EBITDA for H1 was Rs. 168.5 crores, resulting in a growth of 20% YoY. Our margins are up
70 basis points on a YoY basis. Our strong cost management program has helped deliver COGS
savings, and this is reflected in our gross margins being range bound. Reported PAT for H1 was at Rs. 100.1 crores with a gr

owth of nearly 29%. Cash flow in H1 was impacted due to working
capital deployment. This pattern is consistent with previous years.
Within working capital, debtors increased due to three main reasons. Number one, Q2 is always
a seasonal quarter due to monsoons and pre-festive billing. Within that, the revenue mix is biased towards channels like
e-commerce and modern trade, the standard terms of trade are given. 87%
of the increase in debtors that you see is attributable to these two channels alone.
Lastly, ahead of the GST 2.0 rollout, customer orders were back ended and closer to the GST
2.0 applicable days, and this also impacted working capital cycles. These will unwind in H2 as
has happened in the past. On the inventory front, besides the impact of seasonal buildup, we've also consciously increased the stock levels of the import portfolio to ensure supply security. As
we progressively move to more in digenization, this will go down.
On that note, I would once again like to extend to you a warm invitation for the upcoming
Investor Day, and we look forward to hosting you there. Thank you.
Moderator: Thank you very much. Our first question comes from the line of Aniruddha Joshi from ICICI
Securities. Please go ahead.
Aniruddha Joshi: Congrats to the entire team for a really excellent set of numbers in this quarter despite having a
very strong base. So, two, three questions. One, the vision is mentioned in the PPT as a D2C
health tech company. So, Eureka Forbes is alr eady doing extremely well in general trade. So
why do we want to become more of a D2C company or the understanding about D2C is incorrect
in this context. Just need one clarification on that.
Secondly, it is also mentioned about some loss of revenues due to GST shift period. So, what
would be probably the loss of revenues during the anticipation of GST changes? That is second.

And third, if you can update on the pet care products that we had introduced around 3 or 4
quarters ago?
Pratik Pota: Thank you, Aniruddha. Thank you for the wishes. Let me take your first question first on our
vision to be a D2C health and hygiene company. And how does that play out given our historical
strength or historical legacy.
Actually, if you take a step back, Aniruddha, we believe that Eureka Forbes was actually India's
first D2C company 40 years back through our direct sales channel, albeit in a very, very physical
and a brick-and-mortar way. We have, as we speak now, a first-party data of nearly 15 million
customers. We reach our customers through both, our direct sales channel and through our
service network. We are probably the only durables brand that has privileged access to
customers' homes.
More recently, we built on that legacy using a digital platform to build our own app. Our app

now has more than 1.5 million monthly active users who come to us for transacting, who come to us for looking at products and of course, for se rvice interactions. We believe that this strength that we have of being able to reach customers directly, both physically and digitally, gives us a tremendous advantage.

As a case in point, at this time of the year, wh ere there is a lot of discussion around air quality and air pollution, we have mounted an aggressive campaign targeted at our installed base, our existing customers, to using just D2C channels, to drive the cross-selling of air purifiers, and we are seeing some encouraging results. We believe th is is a sign of things to come. So, our vision of transforming into a D2C company is merely a logical but digital extension of where our legacy lies. I hope I was able to answer that question, but happy to talk in more detail at the Investor Day.

On the second question. I'll reques t Gaurav to just chip in here.

Gaurav Khandelwal: Yes. So, I think Q2 was an interesting quarter because there were two factors at play. First

was the GST rollout because what it led to was a situation that ordering for nearly a 30-day period is something which had slowed down quite a bit. So that was a negative factor which played out. But equally, there was an element of a positive factor as well, which was a relatively earlier festive period compared to last year.

So, between the two, it kind of cancelled each other out and hence, during the quarter, I wouldn't call out any meaningful impact on a net basis. I think from our perspective, the key metric, which is looking quite good is the tert iary and secondary sales growth. That is what we've been focusing on, and that is moving in the right direction.

Pratik Pota: If I can take the third question, Aniruddha, about pet care. You're right, we had launched our pet care range as part of our first set of innovations about 2.5 years back. It met with, I think, a reasonably good response from pet owners, and it was actively being sold until about a couple of quarters ago. Our learning from the sales of pet care cleaner was that while consumers like the pet care vacuum cleaner, I think they were looking for slightly more comprehensive cleaning solutions.

So, we have now evolved the pet cleaning and pet grooming functionality using our robotics range. So, if you see our robotics range, one of the use cases for robotics is the cleaning of pet hair that's shed. So, we have seen the use case of pet care and cleaning of pet hair as a big driver of robotics preference. And as we talked about al so in the earnings presentation, robotics was a big driver of growth for us last quarter. And like I said, one of the drivers of that also was pet care.

Moderator: Our next question is from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Hi, thank you for the opportunity and congratulations on a strong set of numbers. I want to understand one thing, as you highlighted, Gaurav sir, it has netted off. One was the festive and second was the GST thing. So, it will be a fair understanding possibly in Q3, at least because of early festive, there won't be a loss because of GST sales.

And secondly, in Q1 call, you highlighted because of working capital Q1 sales was impacted. So, has better working capital at dealer level led to better sales in Q2? Or should we see more like a 15% kind of a sustainable growth rate, possibly can speed up because of pickup in the service business?

Gaurav Khandelwal: Yes. On your first question, Keshav, I think we don't see any meaningful impact happening in Q3. So, your understanding of that is right. I think from our perspective, what we are seeing is that the product momentum that is there is quite good, it remain s quite strong. I think what is now adding to it is the service turnaround. So, we don't expect any meaningful impact to come through there because of GST or festive in Q3.

I think the only callout that I would have is that as you would have noticed, the consumer sentiment does continue to remain mixed and that is still getting reflected in various sectors and parts of the economy. So that's the bit you know, that to what extent that plays out is there, but I think outside of that, we don't see any impact coming through.

From a working capital standpoint, yes, in Q1, in the initial parts of the quarter, as we had mentioned, trade working capital was blocked because summer products were there. But towards the end of the quarter, that had kind of evened out, so that is something which kind of in Q2, we don't see any impact of that playing out and nor do we see the impact of that playing out in Q3 as well.

Pratik Pota: If I can just add to that, Keshav, a couple of points that I want to underline. I think the demand environment continues to remain challenging. Notwithstanding that, we have a strong set of plans to drive growth, both in products and in our service busines

s. In products, you have seen
sustained growth for many quarters now.
We grew by high teens last quarter. And the good news now is that we have not just one growth engine, but multiple growth engines. We have a strong growth engine in, of course, water. Robotics and cleaning is our big growth engine now as are the other smaller categories of softeners and air purifiers. So, we have multiple engines firing on growth. We also have renewed momentum in our service business. We talked about an acceleration in Q2, and we also said that we expect this to sustain.

So, we are confident about the growth prospects going forward. How that will show up in terms of given the service revenue accounting, et cetera, that time will tell. But in terms of our growth vectors and our confidence in the growth that lies there, I think we have a high degree of confidence.

Keshav Lahoti: Understood. Got it. Sir, my second question would be, as I see your margin have expanded quite a bit by 260 bps this quarter. So, when we see the brand spend is high and margin expanding, so is it fair to assume this year, we will see a stro ng expansion in margin? How should we see this in upcoming quarters?

Gaurav Khandelwal: So, Keshav, our view on margins is that we always look at it on a full year basis. And given the performance that we've had in H1, we will contin ue to aim for a full year margin improvement. So that is something that we'll aim for. I think very clearly what's come across and you made a very good point that this is after a very high growth investment. So even the 162-bps improvement is after the 58-bps increase in A&SP spends. So, I think ther e are two main things I would call out. One, clearly the impact of op erating leverage and number two, our cost programs are giving us very, very good outcome.
So, we will continue aiming for a full year margin improvement. Whether it would be similar to last year, it was nearly 120-125 basis points higher, perhaps not, because that may mean that maybe we are holding back on growth investments, but you can expect our margin expansion to come through.

Moderator: Keshav, sorry to interrupt. We request you to please rejoin the queue if you have any further questions, Keshav. Our next question comes from the line of Renu Baid from IIFL Capital.

Renu Baid: Congrats team for the strong performance. My first question is, can you highlight how has been the mix of your products and services portfolio for the H1 of the financ ial year? And within the product mix, have you seen a material change in the share given that robotics has been growing at a much faster pace. So, the cleaning portfolio share would have increased in the mix?

Pratik Pota: Thank you, Renu. Let me talk about your first question. I think as we mentioned earlier, we have seen a strong momentum in our products and in our service business last quarter and indeed in the H1 of this year. Products grew by high teen s last quarter on the back of both, strong volume growth as also an increase in ASP on the back of a premium products launch. We also saw a high teens growth in our service business, coming, like I said, both from the AMC, as also from filters, and within AMC, it was both a volume growth as also growth in multiyear AMC.
Given the strong momentum that we see in service and product, there has been no material mix change in the H1 between service and product. That remains pretty much in the same range.
Within the product categories, you talked about cleaning and robotics. Robotics of a smaller base has shown very strong growth, as we mentioned. We've built a strong portfolio of products in robotics. We've built a very detailed playbook , which works off our st rengths, our strengths across multiple channels, our strength in D2C, our strength in service, and it really helped grow the portfolio.

So, the robotics growth and the cleaning growth, therefore, has been ahead of the other categories last quarter. So, the mix did move in favour of robotics and in favour of cleaning last quarter. I think that said, it's important to also underline the fact that our gross margins in this category are healthy, and they are not going to be dilutive to overall P&L as we go forward.
Just one more point to add, in robotics, our growth has come also from a premium end of our portfolio, the fully automatic cleaning station as al so the auto bin station, which come at higher gross margins and which are, therefore, more P& L accretive. In water as well, we have seen strong growth coming from the premium end of the portfolio, along with the economy range.
So, between the growth that we see in various parts of the category, we do not expect to see any margin dilution going forward.

Renu Baid: Sure. And just in continuation to that, typical ly, our volume tends to see a much better acceleration in the second half of the financial year. And if that is to happen along with sustenance of this premium portfolio mix supporting gross margins, do we see operating margins actually heading better than H1 in H2, given operating leverage as well as sustenance of the mix that we have seen?

Gaurav Khandelwal: Renu, that could be a possibility. I think the only callout that I would have is that what we are seeing on now a sustained basis is that all our product segments are growing. So, whether it is water, whether it is VC, whether it is air, whether it is softener. And I think, hence, equally the key consideration for us is also the fact that how do we kind of keep pushing this growth higher and higher and whether it makes sense to make slightly ahead of time investments.

As an example, if you look at Q1, our margins were down YoY, but we had made ahead of time investments, which have played out now. So, we will keep that consideration in mind when we look at margin expansio n. But yes, I think with our gross margin profile, the operating leverage possibility is there. But I think at this stage to say whether it will be better than H1, maybe a bit too early, but you can expect our YoY margin expansion to be healthy given the fact that H1 itself has clocked in at 70 basis points.

Renu Baid: Sure. And lastly, Pratik did mention that overa ll, the demand environmen t continues to remain challenging. We have now seen almost 20-25 days post the festive season through. So, have we seen a meaningful tapering down of the volume momentum at tertiary and secondary level? Or it was just a timing issue and business demand is not that weak as it was initially at the start of Q2?

Pratik Pota: No, Renu, like I said, the overall demand environment remains mixed, remains challenging. That said, post festive, while the demand environment hasn't changed materially, we see the offtakes and the tertiary sales momentum being reasonable and in line with what happens after a typical festive peak. So that's number one.

Number two, in that difficult demand environment, as I mentioned earlier in my comments, we have a very powerful set of initiatives to drive gr owth in water, in cleaning, in air, and in the other parts of the business, including in service.

Let me talk about water purifiers first. In water, we have scaled up during the quarter, our 2 years filter life range and that, as you can imagine, lowers the cost of ownership significantly. And when we did our dipstick check to look at the profile of the new users we were getting, we were extremely reassured to see, and we were very pl eased to see that almost 70% of users who are buying the 2 years purifiers are first-time category entrants. So, it's ticking the box and playing to the thesis of growing penetration.

Equally, our premium portfolio di

d well in Q2 and continues to do well in this quarter as well.

So, while we see the environment being a little soft as indeed it was last quarter, and you saw our number delivery, we expect our numbers to be reasonably good and strong and healthy, notwithstanding what we see in the environment outside.

Moderator: Our next question comes from the line of Umang Mehta from Kotak Securities.

Umang Mehta: Thank you and congratulations on a good set of numbers both, Pratik and Gaurav. My first question was on competition. So, while your number s are quite robust, we have seen a couple of new entrants kind of talk about very kind of healthy initial tractio n, which they've got in their water purifier portfolio. Any increase in competiti ve intensity that you' re picking up? And does it concern us in terms of our trajectory? Or is the market big enough for us to accommodate these new entrants?

Pratik Pota: Thank you, Umang. Thank you for the wishes, and I think it's a great question. I think, first of all, before I respond to it specifically, I think it's important to sort of recognize that increasing competition and the presence of the arrival of new en trants is a very clear signal that this category has promise and has potential. And all new entrants, when they come in, they create new news, they create excitement, they create awareness of the category, and they end up driving category growth.

So, we welcome all competition because we believe it's going to be creating this virtuous cycle of higher growth. We are the strongest brand, unequivocally the strongest brand in this category. We are synonymous with trust, with service, with care. And as the category grows, we will stand to benefit. Our growth last quarter was healthy across all categories, including in water.

In water, we are sustaining our investments in growing penetration, in growing the category and you just heard my answer earlier about the 2-year filter life category products, which are drawing a lot of new users into the category. And we also keep investing in driving premiumization and driving faster replacement cycles. Some of the new entrants, working off a very small base may have had higher growth. But I think clearly, what we see as market leaders is that there is no impact on our market share.

Indeed, in e-commerce, where there was some ear ly competitive activity a couple of years ago, we have managed to recover and grow share to the highest ever across both our e-commerce platforms. So, while we see competition, we s ee more activity, as the leading brand in this category, we are not impacted right now and we see that it will only help drive growth for the category.

Umang Mehta: Very clear. And the second one was on service. So, I heard you mentioned high teens growth in service revenues. Is it because of spares? Or I mean, if you can share some more colour, because if we take high teens growth in product, then implied revenues for service would have been lower, right, growth-wise?

Gaurav Khandelwal: So just to clarify, the high teens growth that is there is a combination of the growth in the revenue growth in filter and the bookings in AMC. So, since it is the bookings in AMC that will come with a lag, otherwise, you rightly pointed out a high teens growth in product and high teens growth in service would logically lead to high teens growth on an overall basis. It is just that the service amortization would come in with a lag. But the good news is that we are seeing growth both in our AMC bookings, which will get reflected in the quarters ahead and also in our filter business.

Pratik Pota: If I may add Umang to what Gaurav said, our service AMC booking growth, just the AMC bookings, without the filter part, actually accelerated over last quar ter. And therefore, both parts of the service business, both our filters portfo lio and also our AMC

book ings have shown very healthy growth.

Moderator: Our next question is from the line of Mr. Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: Congratulations for the great set of numbers. Just the first question, in terms of premium, how do we define premium in the water purifier? And if you could just talk a little bit about the mix, what was it like 3 years back? What is it now? What potential it has? I think that would be helpful.

Pratik Pota: Thank you, Achal. In water purifiers category, the premium segment is defined as products which are above Rs. 20,000 price point in the RO segment, which, as you can imagine, is the bulk of the water purifier category, almost 90%. Over the last 2 or 3 years, we have driven innovations, we've driven growth across the spectr um of the water purifier portfolio. In the beginning, our growth was on the back of Aquaguard Sure, which is entry-level water purifier, which led to significant volume growth and an increase in the economy part of the mix.

Thereafter, we've invested in premium innovations and building a premium portfolio, and we saw strong growth come to us last year through the premium business. So, on a 3-year basis, if I zoom out, our mix of economy has remained the same, increased marginally. Our mix of premium has increased, and the mix of the mid- price segment has shrunk a little bit because people have upgraded to premium.

Achal Lohade: Okay. Understood. Second, similarly, if you coul d call out in terms of the distribution mix, the channel mix in terms of the D2C, general trade and the modern trade/e-commerce?

Pratik Pota: So Achal, I think as you're aw are, I think we have a strong omnichannel presence and all our channels contribute roughly symmetrically to our sales and to our revenues. Between the channels, last quarter, we saw very strong growth in organized trade and modern trade. We saw very strong growth coming from e-commerce, and we saw strong growth coming also from the direct sales channel.

The channel that has been under pressure for some time now, and this is not just for us, for the entire category, indeed for the entire space of appliances and durables, is traditional trade, which is under pressure from the organized trade channel. So the general trade channel, it grew, but it grew less than the other channels. And the engines of growth were both modern trade and e-commerce.

Achal Lohade: Would you be able to give the mix?

Gaurav Khandelwal: Our revenue is, by and large, evenly spread out between the four channels, give or take, 300 to 400 basis points between each other. Having said th at, progressively, if I were to step back and take, let's say, a 3-year view of the business, the share of modern trade and e-commerce has gone up and the share of direct and GT has gone down. But even in some ways, that also provides us a hedge because at any point in time, if there' s a particular channel under pressure, there are other levers that are available, which help in kind of driving growth.

Achal Lohade: Understood. Just last question.

Moderator: Sorry to interrupt. May I request you to please rejoin the queue if you have any further questions, please. Our next question is from the line of Harshit Kapadia from Elara Capital.

Harshit Kapadia: Thanks for the opportunity and Congrats for a great set of numbers to the Eureka team. A couple of questions. Just wanted to check what's the status on the rental model that we were looking to launch in the water purifier segment? Is it still on cards?

Second, on product side, I just wanted to know, have we now crossed the 50% mark share in water purifier for the organized segment for Aquaguard. Third is on the filter side on the service side, has a large part of the growth come thro ugh conversion of non-Eure ka filter customers to Eureka filter customers? Or has it been completely more

new booking where we have seen growth? That's the third question.
Pratik Pota: Thank you for the wishes, Harshit. Let me respond to your first question first on subscription or rental. As you're aware, we had looked at the rental model a couple of years ago. We had tried a pilot in Chennai, which has gone reasonably well, and we had distilled some learnings from the pilot. We have all the capab ilities ready now to do a scaled rental play when we want to. However, given what we are seeing as the growth opportunity and the growth runway in the conventional product business, as of now, we do not intend to get into subscription. It's a readiness that we've got and that we keep on standby and activate if and when required.
On the second question that you asked, I wasn't entirely sure of the question but let me try and respond to it and then in case there if you need any clarification, happy to respond. As we said earlier, the organized trade channel has been a big driver of growth for us, not just in the last quarter, but over the last 2 or 3 years. The organized trade and the modern trade channel comprises the national modern trade players like Croma, like Vijay Sales, like Reliance Digital as also regional modern trade chains. All of these players have grown strongly over the last 2 or 3 years and have grown geographically and using same-store growth as well.
In each of these partners, we have a strong presence, and we are market leaders in the modern trade channel across the country. And our share position has if anything grown even stronger.

Your third question on filters and our service revenue, I think our service revenue has grown, as we mentioned earlier, on the back of both AMC bookings and with filter growth.
We have a large base of Aquaguard customers who are not in our AMCs and for whom filter replacement becomes a monetization opportunity. And our filters growth has come from tapping into the base of out of warranty, out of contract customers, who otherwise would have gone to the local filters market, and that will remain a big source of growth for us going forward.
Just to take a step back and remind us, Eureka Forbes has historically focused mostly, in fact, solely on the AMC business. It's only the last 1 year that we began building out a playbook for participating in the filters opportunity. And you'll see more of that coming along over the next 2 or 3 quarters.
Moderator: We have our next question from the line of Balasubramanian from Arihant Capital.
Balasubramanian: Thank you so much for the opportunity. This 2-year filter life, I think its key innovations will reduce the cost of ownership for our customers. Is there any risk of cannibalizing the high margin recurring revenue from filter replacement sales and associated service assets? And secondly, service business is growing with double-digit AMC booking growth. The growth is coming from the existing installed base or it's heavily reliant on new product sales? And what is the retention rate for AMC after the first year.
Pratik Pota: On your first question, you're absolutely right in that the 2-year filter life products address a fundamental barrier, which is the perceived high cost of ownership and by addressing that barrier, they end up driving growth for us. The 2- year filter life products make the category more affordable, more accessible and we've seen the impact of that play out.
We are seeing growth coming from the adoption of the 2-year filter life products. And as I mentioned earlier on the call, more than 70% of customers who bought these products are first-time category entrants. So indeed, they are helping and they're serving the objective of driving category expansion.
If you recall, we had about 2-2.5 years ago launched an affordable Aquaguard, Aquaguard Sure, to drive category growth. That too, we are seeing strong growth.

And this, therefore, is the second step in driving category penetration. From a service revenue perspective, I think as we've said earlier as well, only a small proportion of our large installed base of users are in our AMC offering. We see immense potential to grow our service revenue by tapping into this base of customers who are outside our AMC purview right now, by driving filters and by driving access to them through the network of market technicians which are out there in the ecosystem.
So, between growing our AMC revenue and tapping into this filters opportunity, we do not expect to see any meaningful risk on our service revenues going forward. On the retention rate that you asked, I think given the fact that we have record levels of customer SAT and customer service, our retention rates remain very healthy. We would not be able to share and divulge the number for competitive reasons.

Balasubramanian: Okay. Sir, just last question beyond water, ai r and cleaning, what are the specific new health tech product categories you are exploring? When can we expect to see first launches from this new initiative?
Pratik Pota: Bala, all our current categories are in the space of health and health tech. As you may be aware, we've transformed a meaningful part of our portfolio in water to being smart and being connected. All our robotics products are smart and are connected. Two of our top-selling air purifiers are also smart and connected. And therefor e, it is our objective to weave these products together and create a network which is D2C, which allows customers to know exactly what the consumption is of water, th eir air quality, et cetera.
To your second part of the question, we remain open to looking at new category entries. But for the moment, we believe that we have an abundant runway to grow in our current categories themselves. You are aware that the penetration of water purifiers is nearly about 6%, 6.5%.
Cleaning is even lower, and air hasn't even got started. So just between these three categories, we see a lot of headroom to grow before we start exploring other categories.
Moderator: Our next question is from the line of Parikshit Kabra from Pkeday Advisors LLP.
Parikshit Kabra: Congratulations on a great set of numbers, guys. I just have two questions. First is actually the question. The second is just an observation. The observation let me just say first is, are you guys planning on giving out dividends or some kind of share buyback now because you're generating enough money. So, unless there is an acquisition or you have something in your sights, why not give it back?
But the question I wanted to ask was on the services part, which was that historically, we have been discussing about how there are edge cases in our services that create horrendous experiences for our customers, and that has a massive overhang on the overall feel or the perception of quality of our service. So what incr emental steps have you guys taken in that space to improve and reduce the number of edge cases? And specifically, if you can comment on one of the issues that I have raised in the past, which is the tenant's issue.
Gaurav Khandelwal: Yes. I think on the dividend and share buyback option, I think you're right that it's a healthy cash position and this will only improve going ahead. So , I think that remains an option. Having said that, our bias at this stage of the transformation would be towards looking at growth opportunities, and that is an ongoing process. Bu t yes, at an appropriate point in time, if the Board feels that it has to be in the form of rewarding shareholders through dividend or share buyback, we would be open to it. But as I mentioned, our bias would be towards growth investments.
Pratik Pota: Thanks Gaurav. And Parikshit, if I may turn to your second question on how we are handling edge cases. First of

all, I think we are acutely aware and cognizant of the importance and the need to contain and to mitigate the impact of edge cases. Like I said earlier, our customers SAT scores on an average have improved both in the last quarter and more longer term as well. And like I said, our customer SAT scores for installation or indeed for complaints, et cetera, have reached all-time highs.

I think on managing the edge cases, we are now beginning to make a meaningful improvement in addressing the edge cases and extreme service failures. We have set up a special desk both here at the central level and also in the regions at managing escalations.
Our escalation TATs, where there is noise on social media or whether there's other kind of escalation, the TATs have improved meaningfully ov er the last 3 months. We have put in a small team to proactively pre-empt escalations when we see that there is a pattern emerging of a customer complaining repeatedly or a complaint open for more than x number of hours or x number of days. We have a team which moves proactively to reach out to the customers and address and resolve that complaint before it becomes an escalation.
We also put in a small team, which is focused only on social media escalations and closing the loop with them very quickly. We've also moved to align our partner and our technician incentives as also the rewards for our team members based on how fast we resolve escalations. In addition, we've also put in place a dedicated work stream to improve the spares availability at our business partner points because as you imagine, sometimes lack of spares becomes a reason why there's an escalation. And I'm happy to report that our spares availability has improved meaningfully again in the last 2 or 3 months.
We also have strengthened our digital assets to make sure that a complaint cannot be parked unless and until it's resolved and that prevents the technician from sometimes gaming the system.
Equally, if there are technicians who customer does not want, we found a way digitally to make sure we assign technicians who are effective and who are able to resolve the customer's issue.

So lot of small things we've done, and I could go on. But all of them are helping us materially improve the edge case resolution. You will see that play out, I think, much more visibly in the next 3 to 6 months.
Parikshit Kabra: Anything on the tenant's issue, Pratik?
Gaurav Khandelwal: Parikshit, on the question around tenancy related number changes and asset tagging, we did try out a few pilots. I think, however, one large part of the learning that came was that it was susceptible to gaming and leakages. So that is something which kind of we've gone a bit back to the drawing board to see what is the other way. Because as you can imagine, this is an area where a technician could game, and we've seen that happen. So, we're just very mindful of that implication.
Pratik Pota: We are looking to resolve that through other solutions, which have better governance but are also effective in addressing the very real pain point of tenants that you mentioned. So that's a work in progress, and you'll see something coming out in fact, in the next 2 or 3 months.
Moderator: Our next question is from the line of Shrinarayan from Baroda BNP Paribas Asset Management Company.
Shrinarayan: Thank you for the opportunity. So firstly, I wanted to know where we are in the journey of negotiating our contracts with the vendors wherein we had some levers to expand our gross margins.

Gaurav Khandelwal: Thank you, Shrinarayan, for your question. I thi nk that process has already started, and I would say it started nearly a year back. And the key trigger for that was the fact that the business had seen and continues to see good volume growth. So that i

s something which gives us a very, very important lever in negotiating costs. So that is something which is already an ongoing process.
I don't think at any point in time, we can say that, that activity is over because constantly, new opportunities come up, new things come up, new ideas come up. So that's an ongoing feature.
At a principal level, one important change that we've done is that we now discuss with our vendors the forward plan for the year and are able to give them visibility of the volume and the growth ahead and hence, able to extract and negotiate prices from them in a win-win manner, so that is an ongoing process.
And I think one of the key reasons that you see our gross margins to be very, very stable is the fact that ther e are cost efficiencies which are flowing in.
If you were to step back and take a 3-year view of the business, on a 3-year period, we've been able to drive a penetration strategy, we've driven volume growth, our service business has lagged the product business, we've been able to expand into newer categories and yet you see a gross margin impact every year to be a 50 basis poin t and no more. And one big part is the efficiency benefits that have come on the COGS side.
So, this is an ongoing process and where we stand today, we feel quite comfortable with how the program is structured. It's got institutionalized within the organization, and we expect this to be a source of savings going ahead as well.
Shrinarayan: Sir, if you can highlight more in terms of quan tification, maybe let's say, the percentage of vendors with whom you have already renegotiated or the total value of purchases wherein this has been done and how much is pending. That will help in fo recasting future gross margins.
Gaurav Khandelwal: Sure. I think two or three parts to it. One, if I just start off with your last bit in terms of what you should assume for the gross margin going ahead. I think our gross margins will remain range bound. I think a good reference point is the journey that you've seen over the last 3 years and that could be one way to kind of see the gross margin stability. That's point number one.
In terms of what percentage of our vendors we've addressed, for the high-value items, we've reached out to 100% of the vendors. But I think the important point to say is that it's an ongoing recurring process. It's not that you negotiate once and then there is no other negotiation, because constantly, we are also working on changing our product design, bringing in newer specs, removing features which may be not needed. So, there are a bulk of things that keep happening.
So, it's an ongoing process that is there. But all our vendors, all the high-value vendors have been touched by the program. We partner with them.
In terms of the exact quantification of the value, as you can imagine, that is something which we would not be in a position to share but suffice it to say that it is making a very meaningful impact as far as our gross margins are concerned.
Shrinarayan: And similarly, on the IT spends?
Gaurav Khandelwal: IT spends again, if I were to draw your attention, if you look at again the last 3-year trends, the IT spends have been stable, which effectively means that operating leverage is playing out. I

would also draw your attention to the fact that du ring this period, the extent of digitization in the organization has also gone up substantially. So, you see a reasonably stable spend profile, but with a much higher degree of digitization, which th en indicates that there are efficiencies being driven there as well.
So, we will continue to remain focused on that. If I were just give you flavour and you would have it in the annual report as well, but FY23, our spends were Rs. 53 crores, FY24 it was Rs. 54 crores, FY25 it was Rs. 48 crores. So, on a 3-year basis, spends are flat to marginally d

own for a business which is much larger in size, and which is far more digitized.
Shrinarayan: Got it. And lastly, on the demand side, so you said we are facing some challenges. So basically, are these challenges on the custom er side or because of competiti on, let's say, from unorganized or private labels of few companies. So, what is impacting the most?
Gaurav Khandelwal: No, I think when we said that the challenging demand environment, it was more in the macro context that we are talking about. As you would have seen in quite a few sectors and parts of the economy, the demand environment as reflected in the numbers have been relatively muted. So that's the reference that we were making to. It was not in the context of either competition or unorganized players.
Just to kind of reiterate, as far as competition is concerned, our shares remain stable, and we believe that more competition is helping the category expand, and we don't see any risks on that front.
Number two, unorganized players. I think the more this category innovates, and it is going down that path, the more organized players come in. The more there is consumer awareness about health and hygiene, unorganized segment will get a lesser salience. But our reference was in the context of the larger macro demand environment and nothing specific to us or any factor attributable to the company.
Moderator: Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, gentlemen.
Pratik Pota: Thank you for joining the call today and I hope that we were able to address the questions to your satisfaction. In case there are any queries that remain unanswered, or should you need any more clarifications, please feel free to reach out to us, and we'll be happy to respond. Look forward to seeing you all in Mumbai next fortnight. Thank you so much and have a great evening. Thank you.
Moderator: On behalf of Eureka Forbes, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.
Note: This document has been edited to improve readability

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Call: Feb 2026

February 11, 2026
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 543482
Scrip ID: EUREKAFORB
Ref.: EFL/BSE/2025-26/68 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block - G,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Symbol: EUREKAFORB
Ref.: EFL/NSE/2025-26/68
Subject : Intimation of Transcript of Earnings Conference Call held on Thursday, February 05, 2026
Dear Sir/Madam,
Pursuant to Regulation 30(6) read with Schedule III of the Securiti es and Exchange Board of India (Listing Obligations and Disclosure Requireme nts) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call held with Analysts/Investors on Thursday, February 05, 2026. The transcript of the aforesaid Earnings Call is also available on the website of the Company at www.eurekaforbes.com .
Request you to kindly take the above information on record.
Thanking you, For Eureka Forbes Limited
Shilpa Jain
Company Secretary & Compliance Officer
Encl: As above
Page 1 of 18 “Eureka Forbes Limited
Q3 FY26 Earnings Conference Call”
February 05, 2026
MANAGEMENT : M R. PRATIK POTA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. GAURAV KHANDELWAL – CHIEF FINANCIAL OFFICER

Mod
erator: Ladies and gentlemen, good day, and welcome to Eureka Forbes Limited Q3 FY26 Earnings Conference Call. We have Mr. Pratik Pota, Managing Director and CEO; and Mr. Gaurav Khandelwal, CFO, Eureka Forbes, with us. As a reminder, all pa rticipant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference, please signal an operator by pressing star then zero on your touchtone pho ne. Please note that this conference is being recorded.
Before I hand it over to Mr. Pratik Pota, please note the disclaimer. Certain statements made by the management in today's call may be forward-looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business. I now hand the conference over to Mr. Pratik Pota. Thank you, and over to you, sir.
Pratik Pota: Thank you. Good afternoon everyone, and I welcome you all to the Q3 FY26 earnings call of Eureka Forbes Limited. We witnessed a resilient performance in Q3 in a challenging macro environment. Revenue grew 8% year-on-year and adjusted EBITDA margin expanded by 57 basis points year-on-year to reach 11.3%.
This quarter witnessed macro challenges on the consumer demand front. A slowdown post the festive period led to elevated trade inventories, which weighed on growth. This impact was the most pronounced in the e-commerce channel and on the Water Purifier category. Our Water Purifiers performed ahead of the category, leading to market share gain both sequentially and year-on-year.
Our emerging categories did well in the quarter and sustained or accelerated their momentum.
Robotics continued its strong trajectory and delivered very strong growth during the quarter. Our full range portfolio, comprehensive playbook and good execution enabled an all-round growth across all channels. The air purifiers portfo lio did very well and delivered a breakout performance in Q3. We built a stronger product ra nge this year and rolled out strong awareness and point-of-sale activation programs, which helped the business grow 3x, albeit on a low base, and we were out of stock during the end of quarter.
Going ahead, given the worsening air quality acro ss the country and in most metros, we see this

demand staying strong and becoming more geographically broad-based beyond the North markets. In addition, the Water Softeners category continued to perform well and delivered healthy growth in the quarter. As the quarter's results show, we have clearly transitioned from being a single category product business to a business which now has multiple and meaningful levers of growth.

Coming to service, our AMC bookings growth trajectory continued strongly, making Q3 as a third consecutive quarter of double-digit growth. We rolled out a new program aimed at appropriating a larger share of the filter's aftermarket, which included launch of a new simplified assortment of filters, attractive pricing and an engagement program for market service technicians and for the distributors.

On customer experience, I'm pleased to share that ou r service KPIs have witnessed a sharp improvement during the quarter, and we are now at a new all-time high. On profitability, we delivered a 57 basis points margin expansion despite increasing our A&SP spends by 23% year-on-year.

Stepping back, let me reframe our Q3 performance in a broader context. Coming as it did after 8 quarters of double-digit growth, it is our firm conviction that the gr owth slowdown in the quarter was a one-off aberration, which came on account of very temporary channel-specific issues. With the benefit of hind

si ght, it is now clear that the Q3 sell-out growth was not in line with our earlier projections and the post-festive slowdown was not anticipated. A more accurate view of our performance, therefore, mi ght be to look at Q2 and Q3 together.

As we stand today, our inventory levels have begun improving, and we expect the growth trajectory to normalize from this quarter onwards and increasingly and progressively position us on course to achieve the longer-term ambition that we have set for ourselves. It is important to recognize that the relevance of our categories and the need for our categories has never been felt more, or been more salient, be it water purifiers or air purifiers or convenient cleaning.

Recent news headlines highlighted the criticalit y of point-of-use water purification given the poor quality of groundwater in the country and the risk of wate r contamination in transit. We believe that the EWP category will see sustained tailwinds as consumer awareness grows about the hazards of drinking untreated and impure water.

Similarly, the challenge of poor air quality is now actually visible and experienced directly by people living in most metros and large towns. We have seen growing incidence of respiratory and health issues, and this, in turn, is leadi ng to greater category awareness and demand. We expect this to continue and indeed only increase in the foreseeable future.

Not only are the categories more relevant, but we also believe and have no doubt that we have the right strategy and the right playbook to drive profitable growth in our business. Number one, we will continue to grow the water category, driving both penetration and premiumization.

Towards this, our economy portfolio did well last quarter, and we also launched a new premium product, the Aquaguard Arctic Bl aze, at a price point of INR 79,999, the highest in the category.

Our newer categories of convenient cleaning, soft eners and air purifiers drove growth for us last quarter. We have built a comprehensive strategy and playbook for each of these categories and we will continue to invest in creating consumer awareness, driving differentiated innovations and bringing alive a visible and co mpelling point-of-s ale experience.

Number three, in Service, we will make customer experience a source of competitive advantage for us. We will grow revenues by increasingly participating in the aftermarket filters business.

Towards this, we have launched the assortment of filters and spares. We are investing in customer education, building a dedicated go-to-market and forging relationships with a larger group of market technicians.

Number four, our installed base of long-standing and loyal customers provides us a very valuable market for both upgradation and cross-selling, and we will mount online to offline D2C programs aimed at this base.

Finally, we will remain focused on driving profitab ility even as we continue to invest in driving growth. In summary, our overall business remains on a firm footing. The breadth of our performance across categories, along with the year-on-year margin expansion gives us the confidence to achieve and to aim for a longer-term ambition of achieving 2x revenue and 3x EBITDA by FY30.

Thank you. And now I hand you over to Gaurav to give some more flavor on our Q3 performance. Gaurav?

Gaurav Khandelwal: Thank you Pratik, and good afternoon, everyone . Starting off with the Q3 headline numbers.

Our revenues at INR 645.4 crores grew 8% year-on-year. Adjusted EBITDA margins expanded by 57 basis points to 11.3% in Q3. Adjusted PBT grew by 11.3% year-on-year and pre-

exceptional PAT at INR 39 crores grew by 11.9% year-on-year.
The adjustment referred to above here relates to a one-time pre-tax charge of INR 40.4 crores arising from the new labor codes. The company has done an assessment and will continue to monitor developments a

s we go ahead. We do not expect this to be a significant recurring impact.
This one-time impact has been reported as an exceptional expense in our financial statements.
On the revenue side, our emerging categories delivered a solid performance during the quarter.
These categories comprising Robotics, Softeners an d Air, continue to report strong growth. The Electric Water Purifier segment experienced a soft er quarter. The post-festive demand was lower than our expectations, thereby leading to elev ated trade inventory levels. This was most pronounced in the e-com channel. We see this to be a temporary phase as underlying growth fundamentals remain intact.
If you see Q2 and Q3 combined, we delivered a robust double-digit revenue growth of 11.7%.
We see inventory levels normalizing in the offline channel already and expect that to happen in the e-com channel within this quarter.
Gross margins expanded 331 basis points year-on-year to be at 60.8% during Q3. This improvement was primarily driven by our COGS program and quarter-specific issues like channel mix and lower discounts.
Our COGS program is now well institutionalized and is helping create the headroom for growth investments.
In line with our strategy, we continue to increase our A&SP spends to increase category awareness. Our A&SP spends grew by 23.3% year-on-year in Q3, and the focus will remain on investing for category expansion.
I would now like to draw attention to our YTD FY26 performance. On a YTD basis, the business remains on a healthy double-digit growth trajectory and our structural levers remain intact. Our YTD FY26 revenue stood at INR 2,026.6 crores, registering a growth of 11.1% year-on-year and adjusted EBITDA margin stood at 11.9%, up 67 basis points year-on-year.

Adjusted PBT grew by 22% year-on-year to INR 204.8 crores. 9M PAT (pre labor code impact) stood at INR 139.1 crores, up nearly 24% year-on-year. Gross margins have expanded by 90 basis points to be at 58.8% for the 9M period.
I would like to highlight here that the gross ma rgins have remained resili ent. And as reference, they were at 59.4% in FY23. In effect, our gross margins have remained range bound at these levels, and we expect that to continue. Our operating discipline, our guardrails around gross margins, supported by portfolio breadth across price points and the ongoing cost focus, continue to give us multiple levers.
Given the headroom provided by gross margin improvement, we have made conscious investment decisions, mostly in the areas of A&SP and service charges. While the total expenses have grown by 11.7%, this is primarily due to a 14.5% increase in service charge and a 16.4% increase in A&SP spends.
In summary, our YTD performance remained strong with healthy double-digit revenue growth and margin expansion supported by gross margin expansion as a result of our COGS program. We remain focused on driving growth and margin expansion on a full year basis in FY26. The business continues to benefit from strong fundamentals, low category penetration and even more favorable category tailwinds going ahead.
Thank you. I now hand it over back to the moderator for the Q&A.
Moderator: Thank you very much. Our first question comes from the line of Keshav Lahoti from HDFC Securities. Please go ahead.
Keshav Lahoti: So firstly, I want to understand, as Q3 is a one-off, so it's a fair assessment, Q4 will be back to a normal double-digit growth? And secondly, now you're giving a 5-year road map of growth and margin. Possibly, can you give some color on what sort of growth you're looking in FY26 and FY27 and what sort of EBITDA margin?
Pratik Pota: Keshav, like I said in my opening remarks and as you just remarked, Q3 was clearly a one-time aberration on account of very temporary channel-specific issues leading from the unexpected, unanticipated post-festive slowdown. Th

is impact was mostly, and the most pronounced actually in the e-commerce channel. I think that is, by and large, behind us in the offline channels and would get behind us in e-commerce by the end of this quarter.
This quarter, therefore, will be much more in keeping with the longer-term trajectory of our business that we have shown so far. We believe that with all the plans that we've got in motion, our Q4 growth will be ahead of the YTD FY26 growth that we've delivered, which is of 11.1%.
And we believe that going forward, we will move progressively on the glide path towards our objective that we outlined, which is of 2x revenue and 3x EBITDA. That will be a very graded, very progressive calibration of our journey, but we will move systematically towards that journey and that destination.

Keshav Lahoti: Got it. That is helpful. Last question from my side. On service, you have announced quite a lot of new initiatives on Investor Day. Can you elaborate more how are the progress happening on that side? And when we will possibly see some co lor on the revenue because of this initiative?
Pratik Pota: Yes, Keshav. Actually, as you mentioned, both at the Investor Day and even just now on the call, we've talked about many initiatives that we rolled out in th e service network. Let me start with the first one, which is a very focused effort aimed at improving customer experience. We've rolled out a set of programs and initiatives comprising both digital interventions and inputs, training interventions, availability improvement fo r spares and also a revi sed incentive program,
all of which has helped drive our KPIs significantly higher.
We have now the highest ever 24-hour complaints TAT resolution. We also have a very high level of complaints met within 1-hour of the complaints being booked or the time being booked.
And that, of course, is leading very clearly to higher NPS. So, a bunch of programs that we've done, which have aimed at improving customer experience and that's playing out and giving us results.
Number two, as we had talked about in the Investor Day, we have rolled out a comprehensive program to address the non-AMC service opportunity. As you're aware, our business model for the longest time has been AMC centric, and we were foregoing and not tapping into the large market for filters. We've begun sort of making, we've made a foothold in that segment by launching a completely new assortment for this filter ecosystem. We put together a new go-to-market system. We've rolled out a market ST engagement program and we're also investing in customer education, highlighting the importance of genuine filters. You may have seen some of our advertising campaigns in the print and the digital media. As you can imagine that this behavior change will take time. This is a very large market, a well-entrenched behaviour and therefore, we expect this to start having some impact from Q2 of next year onwards.
The AMC booking growth, that we've always worked on. That attempt, that journey continues.
We are driving both a greater share of the mult iyear AMC mix, which allows our customers to have longevity on our network and, of course, increases, therefore, lifetime value. We're also investing in driving AMC count. Those results you've seen already in Q3 and in Q2, and that will sustain in Q4 as well.
Moderator: Our next question is from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: Sir, first question is on the gross margins. So, you have mentioned in Water Purifiers, economy segment has grown quite well in the quarter. So, given the strong improvement in gross margins, have we seen some drag from the affordable segment share going up in the portfolio?
And also, on the other expenses side, we have seen a strong 20% increase. You mentioned that the ad increase has been around 23% and ad is about half of the other expense. So, does t

hat
mean that in some of the other elements here also we have seen a strong increase in the current quarter?
Gaurav Khandelwal: Hi Siddhartha, this is Gaurav. So let me start o ff with the gross margin question. I think the big impact that has played out on gross margin is the COGS program. The effect of that is definitely

there in the economy segment as well. As you can imagine, any cost optimization program would actually be looking at the parts of the portfolio, which make a lower gross margin, e.g. economy segment and hence, our efforts were directed more towards it. So, that is something where the impact has played out in the economy segment as well.
But having said that, our COGS program is all encompassing, looks at all cost of goods sold lines and not limited to any part icular line. I think the reason why you start seeing an impact more pronounced now is that as the year progre sses, the number of projects that start getting commissioned will increase. What you would have in Q1 versus Q3, there will be a difference. So that is one impact which plays out.
The second, which is more specific to this particular quarter is that in this quarter, given that the growth in the e-com channel was on the lower side, there is a mix impact which also played out.
So, these are the 2 main reasons which are there.
On the question of other expenses, yes, even the lines other than the A&SP line, they have shown an increase, and that is largely driven by the fact that we have, given the headroom that we saw, which was coming because of gross margins, th ere were certain capability projects that we've done specifically in the areas of supply chain and IT, and that is a cost that has been incurred as far as other expenses is concerned. But just to reit erate, it's not that these are structural costs that are getting added. These are capability build ing costs with a fini te time horizon.
Moderator: Our next question comes from the line of Renu Baid from IIFL Capital.
Renu Baid: Firstly, can you help us understand, while you did mention the channel inventory is coming off and getting normalized. Just for understanding, how elevated was the channel inventory at the end of December quarter, if you can quantify versus normalized inventory? And do you think

this will have a meaningful impact on your Q4 offtake?
Pratik Pota: Hi Renu, thank you for the questions. As I mentioned in my earlier remarks and in the opening comments, we had built up a certain inventory at the end of Q2 in anticipation of a certain momentum and offtake in Q3, certain sell-out grow th in Q3. That did not transpire. And hence,
we were carrying excess inventory through the quarter, which we are now unwinding. I think by the end of this quarter, we would have norma lized inventory across all channels. Already in offline channels, it is under control and evident from the fact that the quarter has begun well. So, I think that's on the inventory part.
On your question about Q4, as I said earlier, Q3 clearly is a one-off, and we expect Q4 to return to a trajectory of double-digit growth. Indeed, we expect Q4 growth to be ahead of our YTD FY26 growth number.
Renu Baid: Sure. But any quantifiable numbers on how elevated the channel inventory was versus normalized trend, in terms of...
Pratik Pota: It would be hard to quantify given the fact that our stocks are defined by the expected secondary/tertiary. It would be misleading given the fact that it was festive in Q2, part of Q3 and no festive going forward. But our inventory levels have corrected compared to both Q2 and Q3.

Renu Baid: Got it. And just a bookkeeping for Gaurav. Can you share with us what has been the YTD FY26 growth in our key segments of Air Purifiers, Water Purifiers, Services? And also at the YTD FY26 level, what is advertisement and s

ales promotion as a percentage of revenue?
Gaurav Khandelwal: So, Renu, we give out the segmental growth number only once a year. So that is when post the Q4 results is when we w ill be sharing it. But if I were to gi ve some color on some of the key categories, Service, you've heard us speak of ha ving grown in bookings all through the year in mid to high teens. So that is the number that you can keep in mind.
As far as Robotic is concerned, that has continued to be in a very strong growth trajectory. It is now already nearly 2/3 of our Vacuum Cleaner port folio. So that is something which continues.
And I think Air is one category, which I think Q3, in particular, was very good where it grew 3x, albeit on a lower base. So big picture is, Renu, that we've very clearly transitioned away from being a business which was dependent just on Service and Water Purifier to having far
many more growth levers. But we would be sharing these numbers as part of the annual numbers.
Moderator: Our next question comes from the line of Umang Mehta from Kotak Securities.
Umang Mehta: Pratik, we've historically maintained that wa ter purifiers because of low penetration has generally been in a way not impacted by the consumption slowdown. Is there any assessment as to what happened exactly on the e-commerce channel this quarter? And just a question linked to
it was, have we seen any impact from the 2 new players which are kind of showing aggression in this category?
Pratik Pota: Umang, let me answer your second question first. I think, like I said in my opening remarks, we have gained market share in the Water Purifier segment, both sequentially and year-on-year.
This market share gain has come across channels, online and offline. So, as the strongest brand in this category, the impact of the new brands that have launched over the last 12-18 months
hasn't been felt by us as much as it has been felt by the smaller brands. So, the answer to the question is no, I think our share continues to be strong. Indeed, we gained share.
On the first part of the, on your first question, actually, let me just reframe the discussion on water a little bit. I think the first point is the Water Purifiers segment gr ew double-digits in the first half of the year. In the Q3 that we just talk ed about and that's just gone by, if I take out e-commerce, outside of e-commerce, the Water Purifier segment had a strong sell-out growth in double-digits.
In e-commerce, we had a challenge stemming from what I said earlier, which is that there was a clear slowdown in offtakes post-festive and a very clear slowdown in traffic on a particular platform. So, while, of the 2 big platforms, one did well for us, including in water, the other platform saw a very clear slowdown in traffic and which reflected in the largest category that we have, which is the water purifiers.
That said, again, zooming out a little bit, the r eality is that the relevance of this category has never been more acute and more strongly felt. And we believe that with growing awareness and growing realization about the need for this category, this category will see sustained tailwinds and it will keep growing in the future.

Umang Mehta: Got it. The second question was for Gaurav. Gaurav, you mentioned that the gross margin expansion had 2 elements to it. One was the e-com mix going down and the other one was your internal initiatives. So, for the ne xt 3 quarters till these actions anniversaries, how much tailwind should we expect, in terms of year-on-year gross margin expansion?
Gaurav Khandelwal: I think there are 2 parts to this, Umang. I think firs t, what our gross margins tell us is that contrary to what has often been asked that if we expand into, if we drive penetration as a strategy, if we grow categories beyond water

purifier, if the Product business is growing faster than Service, does it mean that g

ross margins will decline? I think stepping back and taking a 4-year view is
telling us that, that is not going to be the case. So, I think that's principle number 1. And given the capabilities we've built, we are confident of keeping our gross margins within a particular
band.
Now coming to what do we expect going ahead? S ee, from our perspective, we will keep pushing
the envelope as far as COGS is concerned. And from there, now whether we choose to deploy it
for a growth investment, whether we choose to deploy it for any pricing action, which itself would impact gross margin, or whether we choose to let it flow into EBITDA as we've done in
this quarter, that's going to be a tactical choice.
Our guiding principle in this transformation has been very consistent that we will be optimizing
at an EBITDA margin level. I think in this part icular quarter, we saw the window where we felt
our gross margins were going to be good. And hence, we stepped-up investments wherever we
felt it was required.
But stepping back, I think what can be assumed is that we will keep our gross margins at a range-
bound level. We do not expect to keep our gross margins at a level of 61% that you would have
seen in this quarter. But you've seen our trajectory over the last 4 years, and we intend to keep it range bound at those levels th rough multiple levers and keep aiming for an EBITDA margin
improvement.
Moderator: Our next question is from the line of Aniruddha Joshi from ICICI Securities.
Aniruddha Joshi: Sir, we have seen various instances like indoor water contamination, or North India very heavy air pollution, even in cities like Mumbai, Pune. So, there is a sharp increase in the TAM. And
generally, a natural increase in TAM also attracts a lot of competitive activity also. So, do you
see a market leader like Eureka should focus very aggressively on driving growth because there is a natural growth available right now in the market?
So, what will be our strategy considering the conditions are extremely favorable for growing
most of the categories? That is question number one. And question number two is, with almost
23% increase in ad spend, is Eureka having the highest share of voice among all the peers in
almost most of the products?
Pratik Pota: Thank you, Aniruddha. I think like a lot of people across the country, as Indian citizens, we are
also heartbroken, and we were concerned to see the news coming out of Indore and the other cities. I think the problem of im pure water is one which can be solved only by using point-of-
use water purification systems.

And as awareness of that grows, like you righ tly said, this category will grow in penetration
across town classes, not just in the large towns. Th at may indeed in turn attract more competition.
But as India's largest and strongest brand and the brand with the largest service network, with a
proven track record of delivering innovations, with a very, very comprehensive and omnichannel
go-to-market, we have the stronges t right-to-win in this segment.
You can be sure that we will remain focused on driving 2 things. First of all, a maniacal focus
on growing the category by addressing all the barriers that hold back category penetration. A
case in point being our advertising campaign that we've done over the last couple of years with
our economy segment and more recently, with our Nanopore filter campaign to address the category barriers and to create the need. So that's number one.
Number two, we will invest in driving differe ntiated innovations across price points. Given the
low penetration levels of the category, category entr ants come in at all price points, not just the
economy level. So, it's important for us to keep innovating and attracting customers across the
price ladder. Again, an example being our Blaze Insta Hot product, which got almost 70% new customers into the SKU. That'

s number two.
Number three, we will invest in creating awareness, as you've seen us do, and that's your second
question as well, in creating awareness, both in terms of using advertising and also point-of-sale
visibility. I think the one thing is absolutely clear that even as we grow this category, we will defend our market share. Indeed, we will grow our market share with absolute aggression. We
will not let our guard down. We will not give any quarter.
The category growth, and the category will grow, has to accrue to us more rightfully given our
sheer brand strength. So that's number one. Going back to your second question of ad spends.
Our increase in advertising has been across all categories. I spoke about our investments in growing awareness on the back of the filter campaign. We also invested behind Robotics and
growing the category.
You've seen a Shraddha Kapoor campaign over the year. More recently, in the last quarter, we've
also invested in creating awareness about Air Purifiers. And truth be told, this was the first time in the last 3-4 years that we've actually meaningfully scaled up and participated in the Air
Purifier portfolio. So, with all of these invest ments, we have seen our A&SP spends grow by
23%.

To your question, yes, we had the highest shar e of voice in Water Purifiers. We also had the higher share of voice, as you can imagine, in Cleaning, given the lack of spend by the other players, as also in Air Purifiers, albeit in a very small category and a category with low media spends.

Finally, I want to conclude by saying that as th e category grows, as we start seeing tailwinds, as more competition comes in, it's actually very, very good for the categor y. More competition will create more awareness and will drive category growth further. And like I said earlier, as the strongest brand, we have the most right-to-win an d to appropriate a larger share of this growing market.

Aniruddha Joshi: This is very helpful. Just last question. We have also seen a trend that th ere is a RO filter being installed at the housing society level itself. So, a lot of consumers may not go for buying a separate water purifier in their homes. But at the same time, it creates an opportunity for a bulk water purifier kind of a market, like the way there is a room air conditioner versus a large project air conditioner HVAC kind of a market also. So, will that be an opportunity for Eureka? It will not be a consumer product as such, but like largely a consumer-centric product as such. So, will Eureka also look at that segment as it becomes more popular? Yes, that's it from my side.

Pratik Pota: So just to your question, I think we, as Eureka Forbes, as an Aquaguard for our brand, we are in the business of ensuring that our consumers and our customers get pure drinking water and safe drinking water and which keeps them healthy, keeps them safe. Anyway customers want that pure water, we'll be there to participate in that opportunity.

Even as we speak, we have a part of our bu siness which addresses the B2B Water Purifier segment, and that can be easily repurposed to address opportunities of the kind that you mentioned. We are in the business of pure water, and we will provide the pure water and save water to customers, whichever form and shape they choose to have it.

Moderator: Our next question is from the line of Priyansh Gopawat from Hornbill Capital.

Priyansh Gopawat: Just one question from my side. So, could you just throw some light on how we should look at connecting service charges or looking at it as a leading indicator for service bookings growth? Because for the last quarters what we have seen is the service charges have grown double-digits. And this is what the commentary has also been on the service bookings growth. But this quarter, the service charges growth is around 9%, whereas you had mentioned that the se

rvice bookings had grown by double-digits. So, could you please throw some light on that?

Gaurav Khandelwal: So, I think there are 2 lead indicators that one can look at. And both of them, I must call out would not be the perfect lead indicator. So, one surrogate is service charge, as you mentioned, it has grown roughly 9%. Service charge has 2 components. There is one part which is linked to revenue because there is, basis the revenue that is generated, there is a certain percentage that is paid out.

Equally, there is a part which is not linked to revenue. So, for whatever installations are being done, whatever visits are being done, whatever mandatory visits are being done, those are independent of revenue. And hence, it is that part which causes a bit of a disconnect and a perfect correlation with revenue.

Equally, from our perspective, one very important work stream that we continuously work on is trying to address leakages that may come up because as you can imagine, there could always be opportunities for a technician to kind of do some ki nd of leakage, et cetera. So, that's one part of which is service charge, which you can draw a bit of correlation, but not a perfect correlation.

The other number to look at is the deferred income liability which comes on the balance sheet. That is something which also gives an indication of the service business growth, and that will again help you.

Having said that, given that we are equally looking at tapping the filter sale opportunity, what it will also mean is that there will be a cohort of customers who may actually opt for a filter and that is something which will be like a normal product sale. So, that is something which will not even reflect on the balance sheet as well. That would be a normal product sale-based accounting that would happen.

So, it's going to be a blend of these 3 things. But unfortunately, it's a line where a perfect correlation may not be possible. But I think importantly, from our perspective, the trajectory that we've seen in our business, that is something which has sustained. And the line of sight that we have is that we expect this momentum to c ontinue. And with now the entire filter portfolio coming across, that provides a strong foundation for this business to grow.

Priyansh Gopawat: Perfect. Understood. Just one more question. Sir, could you also just brief me as to how you account for cost for this particular line of business and how the revenue is recognized?

Gaurav Khandelwal: Sure. And I'll explain this by an example so that it's more relatable. So, let's assume for a moment that the price of an AMC is, let's say, INR 1,200 and it is a 1-year AMC. And let's say the cost for that is X for acquiring that AMC. The entire cost gets recorded as a service charge at the time of sale. So, in a quarter, you will see the entire cost getting recorded upfront.

However, since the AMC is for a 12-month period, the revenue recognition that happens is 1/12 every month. So, in a quarter, there will be INR 300 recorded as revenue. There will be INR 900 which will be recorded as a deferred liability on the balance sheet. But the entire cost related to getting a INR 1,200 AMC is si tting within that quarter.

Priyansh Gopawat: Understood. And by the entire cost, do you also include the cost that you would be paying out your technicians?

Gaurav Khandelwal: Yes, it does. The entire cost of acquisition of getting an AMC customer is sitting there.

Moderator: The next question is from the line of Parikshit Kabra from Pkeday Advisors LLP.

Parikshit Kabra: I just wanted to try and triangulate the growth numbers that we are talking about, right? So, Pratik has said earlier in the call that in Q4, our growth numbers should definitely be higher than what the YTD FY26 numbers were. So, even if I pull a ballpark number of 12%-13% on that, just for the sake of calculation

and compute, my an nual revenue for this year will be around INR 2,700-odd crores, which is overall from last year giving a growth of about 12%?

And let's take 13% also. FY25, your growth was about 11.5%. And at that time, you were not doing as much ad spend and also you had services that was holding you back. Now services also, it's not fully come in double-digit, but at least we'll be getting mid-single-digit growth at least.

So, all in all, wouldn't this imply that our prod uct sales and particularly our water purifier product sales, growth rate has decreased in FY26 compared to FY25?

Pratik Pota: So Parikshit, thank you so much for the question and for doing the math. I think, like I said earlier, Q3 was an aberration, was a one-off, and we expect Q4 growth to be ahead of the YTD FY26 growth and like you also underlined. Within that, the product growth will also obviously

be ahead and will grow double-digits. Your specific question on how our growths have trended since the last year.

I think, let me zoom out and talk about it in 2 different parts. The growth that we have in our emerging category, whether it's Robotics or Soften er or indeed now Air Purifiers, that growth has either remained at the same level or, in fact, actually gone up. We see those green shoots playing out next year as well and the momentum sustained. And in the Investor Day, if you recall, we had talked about Robotics being INR 1,000 crores category by FY30. That momentum continues.

Coming to Water Purifiers, as I said in response to an earlier question, our growth in Water Purifiers in the first half was double-digits. Our growth in Q3, if I take out the impact of e-commerce, our sell-out growth in Water Purifiers in Q3 was again double-digits. We expect that to sort of sustain going forward in Q4 as well. So, that's the picture on Water Purifiers for this year.

That said, compared to last year, directionally, the momentum of the category has indeed slowed down a little bit, but remained at the double-di git level. Going forward, for reasons that we discussed earlier on the call, the very clear heightened sense of need, felt need, the growing instances of water contamination, the poor quality of groundwater in India and indeed the contamination in transit, we believe that this category will see sustained tailwinds and penetration growth for the next many, many years.

Parikshit Kabra: So correct, Pratik, just a follow-up on that. I a ppreciate the overall long-term story about Water Purifier category. I think that makes sense. But what would you attribute the lack, the slowdown in the growth momentum for such an underpenetrated category, right? Because, yes, there is a one-off quarter, but I don't want to focus on it because, honestly, it's a one-off quarter and it's one channel. In fact, it's one platform. If, I'm just trying to understand how can the overall directionally the momentum come down when we are making as much investment as we are at an overall year level?

Pratik Pota: That's a good question and a fair observation. And you're right, absolutely. We should not concatenate the longer-term potential of this category with performance of, in one platform in one quarter, and that is exactly the attempt. I think the reality also equally, however, is that the performance that we deliver has to be seen in the context of the broader macroenvironment and the consumer sentiment. And as the largest legacy category that we have, this category is also subject to the same variables as any other large category.

The emerging categories, because they are small, because they are nascent, because they have a very, very long runway to grow, they see less of those drags and those headwinds. But as a category that was ongoing, a very large categor y. The water category did see some headwinds on account of consumer sentiment. As that drag goes away and as, li

ke I said, the salience of the need grows and awareness grows, this category will return to strong momentum that it had last year.

Parikshit Kabra: Got it. All right. And just one last question is on the e-commerce model that you have with this particular platform, is it that you guys are selling over the inventory to them and then they sell it further? Is it not that your, it's not a drop shipment model?
Gaurav Khandelwal: So, it is a model where we sell the inventory to them, and we partner with them on the sell-out plan. So typically, the way it works and that works with most of the large chains is that there are joint business plans that are made. They have an assessment of what they are seeing of the market. We have an assessment of what interventions we are planning. So, this is basis that assessment that joint plans are made out and that's how it's done.
So, it is a sale from us to them, which is there. And obviously, then there are linked plans from sell-out, et cetera. And I think that's the part that we mentioned earlier in our comments that there was a certain expectation and a plan on both sides that we would achieve a particular sell-out growth. And that did not pan out as per expectation, and that is the overhang that came across.
Moderator: The next question is from the line of Mr. Acha l Lohade from Nuvama Institutional Equities.
Achal Lohade: Sorry, I'm hopping on the same line of questioning. I'm just curious to know, in Q2, we had a fair amount of growth, and we did highlight that the e-com had done very well. So, is it fair to combine Q2 and Q3 and look at the growth? Is that a fair way of looking at growth for the e-com business? And B, specifically, you called out that it's probably a problem with one particular platform. Is there, what is the challenge? Is th at the challenge in terms of execution, challenge in terms of any differences of opinion on how to grow this together? If you could clarify a little bit on the same?
Pratik Pota: Yes, Achal. Thank you so much for that question. On your first question, absolutely, our plans in e-commerce across both Q2 and Q3 were built on the assumption of a certain level of tertiary sell-out and certain category growth. While that played up to script, played on script up to Q2, post-festive in Q3, especially, we saw a deceleration.
And that led to, therefore, pressure on stocks and in turn pressure on our sell-ins with the platform. So therefore, if you were to look at a more accurate depiction of our performance in the last 6 months, combining Q2 and Q3, I think, would give you a far more accurate picture.
So, I will agree with you on that.
On your question about the issue with the platform and was there a difference? No, no, absolutely not. There is, both the platform teams and our teams are completely aligned on the need to grow the category, the need to grow the business, the need for us to grow share from our point of view.
However, what the platform saw was a deceleration in traffic. And that in turn reflected directly on lower tertiaries and lower sell-out. It was more of a platform issue than an issue between us and the platform.
Achal Lohade: And did you see a shade of that even on the other platform and other e-com sections or not really, it was just one particular platform?

Pratik Pota: On the contrary, Achal, the other platform in e-commerce did exceedingly well for us, delivering strong growth across all categories, including in Water. So, the problem was confined, therefore, to just that one platform.
Achal Lohade: And has that problem been identified and course corrected? Are you seeing that revival in Q4 or there is another way of managing cost at the company level for us?
Pratik Pota: I think the problem has certainly been identified. It's been discussed with the platform and the p

artner. They are also aware of the issue. We are working with them jointly in driving up tertiary sales and ensuring that we have stronger sell-outs in the quarter. And that impact will start being felt progressively through the quarter. As we said earlier, Achal, by the end of this quarter, we expect even the e-commerce inventory levels to normalize.
Achal Lohade: Right. Just last question, if I may. Probably I missed out in the beginning. In terms of the guidance, the medium and long-term guidance, what you had called out, that stays as is? Or is there any change to that?
Pratik Pota: Achal, that longer term guidance stays absolutely unchanged. We have, notwithstanding the quarter that's just gone by, we have complete conviction. And we believe that we are well on track to deliver to the ambition that we've outlin ed, which is of 2x the Revenue and 3x of the EBITDA. Our categories have never been more salient. The read has never been felt more acutely. And keeping aside Q3 as a one-off aberration, we believe that we are well on track to realize that ambition.
Moderator: Our next question is from the line of Ritesh from Lucky Investments.
Ritesh: My questions are answered.
Moderator: Our next question comes from the line of Deepak Kumar from Kalyani Family Office.
Deepak Kumar: So, I just wanted to know, on growth momentum, the management gave what's the problem and what they are working on. I just wanted to know more about – as our business grows, the cash balance is also growing in our books. So, do we plan to look for any inorganic growth opportunities? Or how do we plan to deploy that, use that excess cash balance which we are building on our books?
Gaurav Khandelwal: So, I think there are multiple areas in which the cash can be deployed. So, one is looking at growth

opportunities that would be a strong preference where we keep investing the cash for.
Now that could be in the form of organic growth investments or inorganic. So just to give a sense, our YTD FY26 capex this year is running close to INR 60 crores. And we've given out a guidance that we intend to keep our capex in the range of INR 60 crores to INR 70 crores. So, I think that's one area where the cash deployment is happening and will happen.
Inorganic is an ongoing process, as you can imagine. We keep looking at opportunities that may be there. Having said that, the important guardrail is to make sure that whatever we look at has to make business sense. There have to be synergies, there have to be complementarities. It has to be accretive, value creating, et cetera. So, those guardrails are there in place to make sure that

we come to the right decision. But at a big pictur e, our first preference will always be to use that cash for growth.
Having said that, equally, with the cash balance, we are also looking at areas, and that will all be subject to Board approval, whether there is some way to reward the shareholders. So, all those options are ongoing items of discussion. But our strong and disproportionate focus and bias would be towards investing the cash for growth.
Pratik Pota: And if I can just add to that, Deepak, I absolute ly agree with what Gaurav just said. With an increasing cash balance, we are very open to looking at any inorganic growth opportunities that might come our way. As you can imagine, they are hard to come by and not easy. But our intent is to use this growing cash that we have to invest in growing the business and specifically through inorganic, if possible.
Moderator: Our next question comes from the line of Mayur Parkeria from Wealth Managers India Private Limited.
Mayur Parkeria: I just wanted to understand one thing. In the past, this is slightly qualitative…
Moderator: Sorry to interrupt Mayur, but your line is not very clear. May I request you to please ask your question again? Your line is not very clear.
Mayur Parkeria

: Yes. So in the past, we have alluded to some of the initiatives we have taken to bring down the effective cost of ownership over the lifecycle for the Water Purifier segment from a customer standpoint, whether it is with respect to 2- year filters, whether it is the AMC cost, the effectiveness and some of the other initiatives?
What I wanted to understand is, will it be possible for you to give us an understanding on the, if you index the effective cost of ownership, let's say, what was it 4 years back? And has it come down from, let's say, 100 to 80, 70, 90, something like that, just to understand the impact of all the initiatives which we have taken from a customer standpoint, that is just on the past, what initiatives?
And similar question from the future perspective, do you believe that in your growth strategy going forward to FY30 and the aggressive market share retention as well as the growth outlook and the under penetration of that, how much of it is continuously built on the fact that we will have to continuously reduce the effective cost of ownership going ahead? And by what percentage do we target that, if at all? Is the question very complicated? Or am I not clear? Just trying to...
Pratik Pota: No, no, Mayur, you are very clear. It's a very good question and thank you for asking it. You're absolutely right. Reducing the cost of ownership has been a very clear strategic area of focus for us. Our category has very low penetration, as you're aware. And one of the barriers that people voiced was the high cost of both entry and the cost of sustenance and the cost of ownership.
So, we've taken over the last 3 years multiple measures to reduce and bring down the barriers and lower the cost of entry and the cost of ownership, starting with the launch of economy product Aquaguard Sure and then followed by the launch of a lower-priced AMC.

And more recently, last year, the launch of a 2 years filter water purifier, and that range now goes across price p
oints. With all of these initiativ es, the cost of staying in the category, the cost of ownership over a 5-year period has dropped between 40% to 50% for customers. So, it is a meaningful drop. And we believe that this, in turn , as awareness of this grows, it will help drive adoption and category penetration.
Your second question about our FY30 ambition, and will that mean that we keep dropping the cost of ownership? Let me separate the 2. I mean, our ambition of growing the Water Purifier business remains very important and one of the top priorities fo r us. That growth will come on account of 2 things; driving penetration and driving premiumization.
Penetration increase will happen bo th by reducing the cost of ow nership, but also even more importantly, by creating an awareness about the dangers and the hazards of drinking untreated impure water, by driving relevant innovations, by driving distribution and access and of course, driving our service network higher. So, all of thes e together will help us drive growth and drive

profitable growth and bring us closer to our ambition of FY30.
Mayur Parkeria: So, sir, you are not, again, because 40%-50% in the past has been a meaningful drop. Will it be fair to say that from an overall perspective, we have come to the maturity of effective cost of ownership or there is scope to reduce this meaningfully further in order to improve the, one is
the macro trend, we understand the penetration, the lower quality of water and everything else. But what is internal to us is our strategy to br ing down the effective, and it may be a little bit
market-driven. But do you believe that if you have to still index from today, it can, it has a scope to meaningfully come down further?
Pratik Pota: Yes, so Mayur, we have multiple levers open to us to drive category growth and to drive water
purifier growth. Driving affordability is one of th

em. Driving awareness is the other, driving
innovations is the other. As you can imagine, there are multiple consumer segments, and one
size will never fit all. So, we have multiple leve rs available to us to grow the water purifier
category, both by driving new category adoption, but also equally by driving faster replacement and faster upgradation.
Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand
the conference over to the management for closing comments. Over to you, gentlemen.
Pratik Pota: Thank you. Thank you, everyone, for your time today and for joining the call. We hope we were able to address your questions adequately. Please do reach out to us and our Investor Relations
team in case you have any follow-up questions. Thank you and have a good day.
Moderator: Thank you. On behalf of Eureka Forbes, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.
Note: This document has been edited to improve readability

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Call: May 2026

May 25, 2026

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 543482
Scrip ID: EUREKAFORB
Ref.: EFL/BSE/2026-27/10 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block - G,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051

Symbol: EUREKAFORB
Ref.: EFL/NSE/2026-27/10

Subject : Intimation of Transcript of Earnin gs Conference Call held on Wednesday, May 20, 2026

Dear Sir/Madam,

Pursuant to Regulation 30(6) read with Schedule III of the Securiti es and Exchange Board of India (Listing Obligations and Disclosure Requireme nts) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call he ld with Analysts/Investo rs on Wednesday, May 20, 2026. The transcript of the afores aid Earnings Call is also availa ble on the website of the Company at www.eurekaforbes.com .

Request you to kindly take the above information on record.
Thanking you, For Eureka Forbes Limited

Shilpa Jain Company Secretary & Compliance Officer

Encl: As above

"Eureka Forbes Limited
Q4 FY26 Earnings Conference Call"
May 20, 2026

MANAGEMENT : M R. PRATIK POTA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. GAURAV KHANDELWAL – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the Eureka Forbes Limited Q4 FY26 Earnings Conference Call. We have Mr. Pratik Pota, Managing Director and CEO; and Mr. Gaurav Khandelwal, CFO, Eureka Forbes, with us. As a reminder, all pa rticipant lines will be in the listen-only mode and there will be an opportunit y for you to ask questions after the presentation concludes. Should you need assistance during th is conference, please signal an operator by pressing star then zero on your touchtone pho ne. Please note that this conference is being recorded.

Before I hand it over to Mr. Pratik Pota, please note the disclaimer. Certain statements made by the management in today's call may be forward-looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business.

I now hand the conference over to Mr. Pratik Pota. Thank you, and over to you, sir.

Pratik Pota: Good afternoon, and I welcome you all to the Q4 earnings call of Eureka Forbes Limited. In quarter 4, we delivered a strong performance despite a progressively challenging operating environment through the quarter. Revenue for the quarter grew 11.6% year-on-year to INR 684 crores, driven by double-digit growth in our water purifier business and continued strong momentum in our emerging categories.

Our overall product business grew in double digits during the quarter, and the growth was driven on the back of volume growth and improving mix. Growth was also broad-based across channels and geographies.

The e-commerce channel disruption last quarter also normalized towards the end of the quarter and will not be a drag going forward. Very enco uragingly, our quality of growth continued to improve. We are seeing a broader growth profile with multiple categories contributing, growing service revenue and improving customer metrics supporting long-term business trends.

Our service business momentum sustained throug h the quarter, and we took several initiatives to unlock the large filter sales opportunity. During the quarter, we launched major influencer-led marketing campaign that has already generated over 1 billion views.

We also continue to make strong progress on customer experience. Response turnaround times improved significantly, escalations reduced sharply, and we roll ed out additional initiatives to further strengthen service quality.

On profitability, while input co st inflation intensified through the quarter, we delivered an adjusted EBITDA margin of 13.2%, our highest ever, which is a strong reflection of the inherent strength of our business model. As you're aware, the West Asia crisis has led to sharp inflationary pressures, coupled with currency depreciation.

In response to rising costs, we implemented a calibrated price increase of 6% to 7% on an average in April, and we will re main agile as the situation evol ves. Let me now step back and

reflect on the full year gone by and the progress we've made in our transformation journey. FY26 revenues grew 11.3% to INR 2,710 crores despite a challenging macro backdrop for much of the year. This was our second consecutive year of double-digit growth. Our product business delivered growth in teens for the third year in a row.

While water purifiers saw a temporary moderation after strong growth in FY25, the category has grown at a 3-year CAGR of over 12%, and we rema in confident of its growth trajectory stepping up as we go forward. Consumer awareness around the risks of untreated water is rising, and we will continue investing behind category growth by addressing the ba rriers of awareness, relevance, affordability and availability.

Our emerging catego

ries continue to scale well. Robotics delivered strong growth and expanded its presence in organized retail. Air purifiers gr ew 2.7x in FY26, albeit on a low base, and we see this as a significant future growth opportunity.

Water softeners also maintained strong double-digit growth, supported by increasing awareness and our own focused investments behind strengthening go-to-market capabilities. Eureka Forbes is now clearly evolving from being a one-categ ory company into a multi-category health and hygiene company, and that strategic shift is increasingly becoming a meaningful source of growth.

It is important to note that we are not just participating in category growth in these categories. In several areas, if not all, we are activel y helping shape and expand the category through investment in awareness, consumer insighting, di stribution and relevant innovations. In service, FY26 marked a clear turning point in customer experience.

Several service KPIs are now at all-time high levels, and we have materially reduced the extreme outliers. Our ambition now is to move from good to being great and making customer experience a true source of competitive advantage for us. On the service business side, AMC bookings grew

in double digits in FY26.
Filters remain an exciting opportunity to tap into. Towards that, as we've spoken about in the past, we launched a new simplified assortment of filters and filter kits, se t up a new distribution system and began investing in consumer education.
The early response has been encouraging, but we need to keep in mind that building this business requires changing years, if not decades, of established channel and consumer behavior and hence, sustained investment, focus and some patience will be called for. For the full year, adjusted EBITDA stood at INR 332 crores with margin of 12.2%, up 55 basis points over the previous year.
This marks a third consecutive year of margin expansion from 6.3% in FY23 to 12.2% in FY26. Importantly, we have achieved this even while continuing to step up our growth investments, which increased 13.2% in FY26. Our stance remains absolutely clear. We will continue to invest behind growth and when required, our bias will remain towards higher growth investments.
Our balance sheet also strengthened significantly, and we have moved from a net debt of INR 193 crores in June 2022 to a net cash surplu s of INR 443 crores today, giving us strategic

flexibility, including for inorganic growth opportunities as and when they arise. As we look ahead, the environment, as we know, remains uncertain.
The evolving geopolitical situation, input cost increases, currency pressure and the potential impact of inflation on consumer demand all warr ant close observation. In this context, we are sharply focused on two clear priorities: number one, stepping up growth through sustained investment and sharper execution; number two, driving efficiency by aggressively reducing wastage and improving productivity.
Overall, I believe that Eureka Forbes has built a very strong foundation, has the right strategy and the right set of plans and has an extremely capable and energized team. That gives us confidence in our ability to continue delivering sustained profitable growth in the periods ahead.
With that, let me now hand you over to Gaurav for more details on our financial performance.
Gaurav Khandelwal: Thank you, Pratik, and good afternoon, everyone. I will first start off with the FY26 full year performance. Revenue grew 11.3% year-on-year to INR 2,710 crores. This was the second successive year of double-digit growth and was underpinned by double-digit growth in 6 out of 8 quarters for our continuing businesses. This growth was broad-based, and there were two key aspects to this year's top line performance.
First is our shift from being dependent on a single category

to having multiple growth drivers.
This was instrumental in ensuring strong over all product growth in teens for the third consecutive year now. Secondly, our service revenue growth improved versus the previous years. Moving on to gross margins: Gross margins for the year expanded by 46 basis points to 58.8%.
I want to highlight two aspects here. First, our gross margins have remained range bound at 58% to around 60% over the last 3 years now. This is a reflection of our balanced portfolio, mix management and the well-instit utionalized COGS program.
Second, looking ahead, we are beginning to see some input cost pressures starting from Q1 FY27. This triggered us to press the button on price increase of an average of 6-7% across categories and price points. While this did no t impact FY26 gross margins materially, it is something we are monitoring very closely. If input cost inflation sustains at current levels, there will be some gross margin headwind s in FY27 that we aim to mitig ate through a series of actions across pricing, mix management and COGS initiatives. Let me now walk you through the details of operating expenses.
Employee cost for FY26 grew by 7% to INR 328 crores and came in at 12.1% of revenue versus 12.6% of revenue last year. The increase reflects the normal salary increments and measure headcount additions aligned to gr owth. However, the drop in peop le cost as a percentage to revenue is a clear source of operating leverage for us.
A&SP spends for FY26 grew by 13.2% as we believe our growth investments are enabling growth. This is a deliberate strategic choice, and we will remain focused on investing for growth.
Service charges for the year grew by 11.2%, largely driven by increase in our AMC bookings, while other expenses, excluding A&SP spends, grew by 13.4%. Putting it all together, our total

operating expenses, excluding the A&SP spends as a percentage of revenue declined by 27 basis points to 35.7%, giving us the benefit of operating leverage.

Adjusted EBITDA grew by 16.4% for the year to INR 332 crores, translating into a 12.2%
margin, up 55 basis points over FY25. Adjusted PBT pre-exceptional grew by 18% to INR 278
crores, while pre-exceptional PAT grew by 19% to INR 190 crores. Reported PAT for the year came in at INR 160 crores.
This year's PAT included the impact of the new Wage Code, which was taken in Q3 FY26. In
FY26, we further strengthened our balance sheet, ending the year with a net cash surplus of INR
443 crores, and we generated a free cash flow of INR 237 crores, representing 148% of reported
PAT.
This is despite a step-up in capex from INR 55 crores in FY25 to INR 84 crores in FY26. We
have consistently targeted an FCF to PAT conv ersion above 100%, and this trend has continued
in FY26.
Coming to Q4 FY26 performance: Revenue for the quarter grew by 11.6% year-on-year to INR
684 crores, led by strong growth from emerging categories and a double-digit growth in the
water purifier category. Employee expenses grew by 11.3% year-on-year to INR 88 crores,
largely driven by higher incentive payouts.
Service charges grew by 2.7% year-on-year to INR 85 crores. This was a combination of increase
in spend due to increase in AMC bookings, but with an offset caused by efficiency programs
focused on addressing leakages. Adjusted EBITDA for the quarter grew by 13.1% to INR 90
crores with an underlying adjusted EBITDA margin of 13.2%. I'm happy to share that we have delivered 13% plus margin in 2
out of 4 quarte rs in FY26. Adjusted PBT grew by 8.1% year-
on-year to INR 73 crores, and PAT came in at INR 51 crores.
After a Q3 FY26 that was impacted by transient channel inventory issues, Q4 clearly
demonstrated the resilience of th is business. To summarize, we believe that the business today
is on a strong footing. It has been 2 years of double-digit growth for the

business and sustained
margin expansion. The fundamentals remain intact with the categories becoming even more
relevant, though consumer sentiment remains mixed. Looking ahead into FY27, the key variable is the uncertain macro
environment.
Input cost pressures are real with no end in sigh t yet. We have a number of initiatives in progress
aimed at mitigating its impact. Our key focus in FY27 is on stepping up revenue growth while
at least holding margins. We will continue to stay disciplined on cost, route out inefficiencies
and execute against our priorities wi th consistency. I will now hand it back to the moderator for
the Q&A.
Moderator: Our first question comes from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: You have taken the price increase from April onwards. So, was there a channel stocking towards
March end? So possibly that lead to slightly mu ted growth in April? And how things have been
so far in April and May?
Pratik Pota: Keshav, thank you for the question. We had announced our price increase well towards the end
of last quarter in the last 2-3 days of March. So, while there was some stocking in a few pockets,
there was no material channel loading which happened because of the price increase. And
therefore, we expect no impact of that in our Q1 FY27 performance.
Keshav Lahoti: Understood. Now we have been seeing double-digit growth in service bookings from last 1 year.
So, is it fair to assume from Q1 FY27 onwards, at least servi ce revenue will also take a double-
digit trajectory? And how are the things happening on number of service initiatives which you
have taken and you have announced on Investor Day? What is the progress on the same?
Pratik Pota: Yes, Keshav, so I'll begin with your first part of the question and then request GK to also come
in and add. So we are pleased with the progress that we have been making in our service business.
We've had the fourth consecutive quarter of double-digit growth in bookings, in AMC bookings. And therefore, that
momentum has sustained.
We also have, as we shared in Investor Day, kicked off a new growth vector, which is working
on unlocking the filters opportunity. And that work stream is in market right now. We've
launched a new assortment. We've got a new distribution system in place. The focus has now moved to generating consumer
awareness and creating a greater pull for Genuine AquaGuard
filters through the para llel service network.
And that work is on, as I mentioned in my op ening remarks. The influencer campaign went live
about a couple of months ago. And we were very, very encouraged to see the strong response we've got to that. So, all those
work streams are in motion. But like I said, we recognize that this
involves changing many, many years of established channel and consumer behavior.
And for this behavior, this is a category which gets purchased infrequently. So this behavior
change will take time, but what we are seeing as early evidence is encouraging. The other
initiatives that we spok e about in the Investor Day aimed at digitalizing the entire service
network, aimed at improving cust omer experience, aimed at giving much greater visibility to

our service network and to our customers.
I think all of those initiatives are, in fact, going exactly as per plan. And I think that's one reason why our customer service KPIs have improved so significantly. So yes, I think in terms of all the interventions, we are pleased with the progress we are making. And on the revenue recognition, Gaurav, over to you.
Gaurav Khandelwal: Keshav, so you're absolutely right. We've had during the course of the year, bookings growth on a sustained double-digit basis. I think the important part is that it started from the early part of the year. And hence, we've been able to get a part of that impact within the year itself. So, we've seen

the impact of that play out in Q3. We see that impact playing out in Q4 as well when we look at our service revenue growth year-on-year.

Going ahead, we do expect that impact to continue in the coming quarters as well. I think one important call out that I would have is that you will see this impact very, very clearly when we release our annual report when you see the service growth between FY25 and what you see in FY26.
I think going ahead, one dimension to call out is that while we've had sustained growth in our bookings, a very conscious choice that we had ma de was also to drive the multi-year mix because we wanted to lock in customers for a longer peri od of time because the more multi-year mix that you do, the more is your chance to kind of elbow out the gray market operators.
So hence, the impact of that would come of our FY26 bookings growth would come in FY27.
But you may not see the full impact yet because some of that revenue may come in FY28 because the share of our multiyear mix in our AMC bookings has gone up quite significantly. But very clearly, to summarize, when we report our full year numbers, you will see a step-up in our service revenue growth.
Keshav Lahoti: Got it. Quite clear. Just a follow-up on this. How far are we to your double-digit service revenue growth?
Gaurav Khandelwal: I think, Keshav, from our perspective, I think all the interventions are in place. I think the bit on filter is an important pivot that we did during the course of this year , and that provides an additional opportunity to generate revenue. I think the key di mension that I would like to just reiterate is that there is a very entrenched consumer behavior.
There is a very entrenched channel behavior, the way we operate. And I think from our perspective, it is about just making sure that we keep all these considerations in mind and back it up with the right product, the right portfolio an d how do we keep creating that pull. And a part of that was launching the films of videos in this particular quarter. But this is going to be a journey.
Pratik Pota: If I just add to that, Keshav, I think like Gaurav said, all the input enablers have been deployed or are being deployed as we speak. The step-up to a double-digit growth in service lies in unlocking this filter opportunity. And therefore, towards that, we've rolled out all the possible interventions, including the right products, build ing the right distribution and now increasingly investing in consumer awareness and consumer education.
You will see that play out and step up in the near future as well. And we remain confident that as all these interventions play out, we will s ee a step-up in filters growth and thereafter and therefore, in service revenue as well.
Moderator: Thank you. Our next question is from the line of Chanchal Kumar Khandelwal with Birla Mutual Fund. Please go ahead.
Chanchal K. Khandelwal: Just on the service revenue, we have seen your projection, you're talking about by FY30, almost doubling your revenue and your operating profit growth even higher, which implies more than 20% CAGR. Now first question is on the service revenue. I mean, we are seeing disruption happening at various places. I mean, if I were to say right from quick commerce to Urban Clap to various people who have been able to reach to the urban consumer.

Now do we have to do some intervention that the service revenue apart from the filter which you have spoken about, are we thinking differently that the service revenue, which is a core of us be sticky and we tie with someone or do something which makes it sticky so that we win for longer term because the disruption by various other platforms is happening as we speak. Any thoughts there?
Pratik Pota: Chanchal, that's an interesting question. Let me respond to that

in 2 parts. I think the broader
point you're making is absolutely valid, which is that today's urban consumer is getting increasingly accustomed to faster and more agile ways of servicing her, quick commerce being
a great case in point.
And therefore, our service delivery has to measure up to that enhanced expectation. So what
we've done very consciously this year or rather last year is to make a very specific promise to customers of service within a particular slot.
Earlier, our delivery promise was a 24-hour TAT. In other words, delivering a service to a
complaint in 24 hours of booking. We've now moved that to a specific 2-hour slot promise, and we are doing very well against that promise. So that's the first step.
The second step we are working on analogous to what e-commerce is doing is working on a
similar 4-hour service promise that from the point when a customer is either buying a new
product or placing a service request, can we turn around that complaint in 4 hours.
And there are very interesting new models we are exploring towards that. And these are not
models that we've explored in the past. We haven't talked about them publicly, but these are very, very specific initiatives that we've put in place.
And right now, they're in pilot mode, as you can imagine, before we scale them up. In our
categories, as you're aware, there is a water categ ory, which requires an installation, but there
are other categories which don't require so. And therefore, a quick turnaround or quick delivery,
quick promise actually is very amenable in these categories.
And I think we spoke about in the last earnings call that in quarter 3, a big source of work for
air purifiers for us was using the quick commerce platform. Coming back to your question, from
a quick service point of view, we are indeed exploring various different avenues and many pilots
are in play to enhance the speed of service and it therefore improves the delivery that we promise that we make to our customers, similar to what you see in quick commerce, etc.
Now your question was also about revenue. Are we looking at different ways of enhancing our
revenue flow through? We have several initiatives in flight. The one thing I'm going to speak
about, the others, I'd rather not speak about right now. But the one thing I do want to talk about
is extended warranty and service bundling.
And some of those initiatives are in place. Like I said, we are in still pilot mode. And the moment
we have some results to share, we circle back with you and with the largest group of investors and talk about that. But yes, I mean, you can be sure that the changing world around us of quick
commerce, of technology-led se rvice disruptions and service pr omise enhancements are giving

us thought on and giving us lots of stabilize on how we can evolve our own service offerings.
And you'll see some of this play out in the near future.
Chanchal K. Khandelwal: Sure, sure. That's useful. The only point, again, to deliver on this is that our brands are much stronger than what our sales is, and we have a right to make our brand much, much stronger and
build the customer pool by itself. But our customer C is looking at service as a platform where
all these services are available, and that's the r eason that pivot to Urban Clap or various other
platforms.
So we'll have to do something in other platform for our service revenue to be consistently
growing with us. Otherwise, someone else will disrupt and we've been focusing on this core
service of fiber service. So there is disruption happening at some other places, which may affect
your core and the core is what your brand stands for. So that's what I just wanted to dwell on.
Pratik Pota: That's fair, Chanchal, and you're right. And we are absolutely watching this very closely to
ensure that we are not blindsided and that we look for and spot for di

sruptions, if any. But
equally, if I flip it over, and we alluded to this briefly in the Investor Day as well, the fact that there is a service platformization not only is a potential source of risk, but it is a very exciting
source of opportunity for us as well.
The reality is that today, we service multiple categories. Water is the most widely known, but
we service today robotics, softeners, air purifi ers, conventional vacuum cleaners, commercial
devices, which are deployed in the market. So, we already have a number of categories -- for
whom we provide service.
We are building a technology platform, as we spoke about in the Investor Day, which allows us
to be multi-tenant, multi-category and fairly flex ible in how we are ab le to onload market
technicians and provide customers these different service offerings. Having traveled this journey
and a lot of that will be completed in this financial year, it will allow us to think of possibilities
which are beyond our current categories, but that is for the future.
I don't want to get ahead of ourselves, but that is something clearly that we are keeping on a
peripheral vision. The fact that service and serv ice platformization can be a source of meaningful
opportunity and in the longer run, meaningful va lue creation. That is ab solutely some thing that

we are thinking of.
Moderator: Thank you. Our next question co mes from the line of Renu Pugali a with IIFL Securities. Please go ahead.
Renu Pugalia: So my first question is, from a near-term persp ective, given the steep inflationary impact across product categories on the consumption bucket, do you see risk of demand getting impacted ahead of monsoon season? And any allie d risk of down trading within the customer segment? Also, with this year expected to be a drought-like si tuation from a seasonal perspective, do you see the sales of water purifiers getting impacted in years of weak monsoon? That's the first question.
Pratik Pota: Yes. No, thank you. Thanks for the question, Renu . Let me start with the first one, which is do we expect any disruption on account of the inflationary environment? I think, as I mentioned earlier in my opening remarks, that given the cost pressures and given the currency pressure, we

took a calibrated price increase of between 6-7% early in April, and that got rolled out. It took some time for the price increase to play out in the market and because of the trade inventory, etc That said, the price increase is indeed in the ma rket now. And the early indicators that we have seen is that the price increase has landed well, and we do not see any impact as of now on sellouts or on tertiary sales, number one. Number two, as you're aware, we have a wide portfolio, which travels multiple price points, and therefore, we are able to offer consumers meaningful solutions at these different price points.
As of now, we are seeing, like I said, neither a meaningful impact on sales nor any indication of consumers down trading. But like you said, that's the risk that we are conscious of, and we'll navigate carefully as we go along.
On your second question of the likely risk to the business of a drought situation. We have looked at the data. We do not expect this to have a material impact on our water purifier business going forward. Keep in mind, Renu that and as you ar e well aware, our penetration of the category is very, very low, number one. Number two, in the recent past, there have been growing news of the risks and the dangers of drinking untreated impure water.
There have been unfortunately too many health in cidents in the recent past and they occupied newspaper headlines. And we are seeing as a consequence consumer awareness clearly grow. And we are seeing consumers and families prioriti ze water purifiers and in more generally health over other durables.
So we do not expect the drought

, if it materializes, to have any impact on our business. I think -
- and just to sort of pull back and summarize both your questions, the fact is that the inflation and the cost pressures notwithstanding. We have seen a sequential pickup in the momentum of water purifiers and the growth has indeed increased.
Now I know that there is still a lot of uncertainty ahead of us. We don't know what's going to unfold. So I don't want to say we are out of the woods yet. But clearly, as the quarter is progressing, because of the rising consumer awar eness, we are seeing greater traction for the water purifier category.
Renu Pugalia: Got it. And sir, the second leg of the question, since Robo as a product category is largely import dependent so far, the JV that we have or the exclusive arrangement that we have with Dixon, by when do we expect to fully localize the manufacturing of Robos in India? And if you can also help us update a small bookkeeping question for Gaurav, is the revenue mix between products and services for FY26?
Pratik Pota: So Renu, on the first part of your question, like you rightly mentioned, our robotics portfolio is imported. Given the pressure -- both the commodity cost pressure, the input cost pressures there, plus the currency impact, we have taken a small price increase in the portfolio, and that has landed, like I said, reasonably well. That's in the market now.
We do not see yet any impact on growth, but we are watching this very, very closely. The Dixon arrangement is about manufacturing SKDs. And as you're aware, the quality control order, the

QCO of BIS has got pushed out to September of th is year. And as we come closer to September, you will start seeing the manufacturing and assemb ly migrate to Dixon over the next 3-4 months.
On localization, that will be a progressive journe y starting in the next couple of quarters, but it will take some time to completely play out. For the mome nt, however, we are moving from importing FG to assembling from SKDs using our Dixon partnership.
Gaurav Khandelwal: Yes. Renu, on the second part of your question, we'll be giving out the specific numbers as part of the annual report, but I can certainly throw some color on it. On our product business, we've

got multiple growth drivers in place.
And one should expect the product growth to be reported in teens when you see the annual report. Equally, you will also see a step-up happen in our service revenue as well. So you will see a step-up in growth in that as well. But th e specific numbers are something that we will be sharing as part of our annual report.
Moderator: Thank you. Our next question is from the line of Achal Lohade with Nuvama. Please go ahead.
Achal Lohade: Sir, just a clarification. Did I hear you right when you said you would like to hold on to the margins for FY27? Have I heard it right, sir? So that means stable margins for FY27?
Gaurav Khandelwal: Yes, Achal. And let me kind of throw some color on it because given the situation, I think there are multiple moving parts here. But let me just step back a bit first. I think we've had a business for 3 years in a row, we've had a margin expansion play out. Importantly, within that, we've seen multiple sources of margin improvement.
So in year 1, it was driven by cost. You've seen margin improvement happen through operating leverage. And more recently, in this year, you've seen it improve by gross margins, which means that as a business, we've got multiple levers in place. So that's one dimension and reality that we are keeping in mind. Going ahead, how we think about the business and coming specifically to your question on margin, I think there are 2 key prio rities that we kind of set out for ourselves. One is stepping up growth. That is where a lot of energy would be going. And second is scaling up our efficiency projects. So we already have a nd y

ou've heard us speak about it in the past as well about our COGS program. Given the inflationary environment, we are stepping and scaling it up even further.
And these are the 2 main priorities that we are working on. All this in our mind, we believe takes us to a place where with the portfolio that we have, there's a service product business, there is a price lag that we have in the portfolio and with th e efficiency interventions, etc., we believe that we should be aiming for at least a margin hold.
But yes, I think we'll see the situation as it evolves, but this is certainly the aim that we are taking for this year. I'll also just clarify, and that's been our position all through. We look at margins on a full year basis and not necessarily get constrained by a quarter. There may be a quarter noise here and there. But I think on a full year basis, our aim would be to be holding margins at least.

Achal Lohade: Thank you for the clarification. Just a follow-up on that, sir. A, we would look at double-digit growth even in the current year. B, we also had the service, the cost against the service bookings actually or AMCs getting actually recognized upfront in FY26.
I'm just curious to understand, given there would be a benefit of operating leverage and also secondly, the normalization of the service margins or expansion in service margin, like are we too worried about the cost infla tion and that is why we are kind of indicating a stable margins Y-o-Y for the full year as a whole?
Gaurav Khandelwal: Yes. Achal, you're right in pointing out that some of the things that you mentioned do give us a benefit in the year ahead. I think I'm just being mindful of the fact that the cost situation is something which is really fairly volatile. So that's the only bit that one is very, very mindful of, but as I mentioned and I'm reiterating, we are lo oking at, at least holding the margin. That is what we are aiming for.
Equally, we also want to be very sure that we don't let a transitionary event impact our long-term view of the business. And hence, we will also remain focused on growth investments. So it's a combination of things that we are looking at. There will be certain benefits that come, some of it you pointed out. But equally, there are certain challenges to navigate, but this is what we are aiming at this point in time.
Achal Lohade: Fair point. Sorry, just a question on the cost infl ation. Is it possible to quantify at this current juncture, given the currency or the commodity prices , etc. What is the overall cost impact on our COGS?
And of that 6-7% you have taken, how much more is needed without assuming any further cost savings initiative, I'm just trying to figure out the cost inflation, the quantum and how much price hike is already taken and how much is re quired without assuming any cost initiatives, that I will keep it separately. If you could clarify on that, sir?
Gaurav Khandelwal: Sure, Achal. I think, see, it's difficult to put a specific number at an overall level because there are multiple areas where costs are moving. So there is a polymer im pact, there is an impact on metals. There is a foreign currency angle to it. So it is a bunch of things which are there. And they have individually different impact on different parts of the business.
Having said that, the pricing incr ease that we had take n in April, which was roughly in the range of 6-7% on an aggregate basis, That, in our view, was addressing to a very large extent the overall impact that we were seeing on the busine ss. It wasn't mitigating it in full. But outside of pricing, we've also lined up a bunch of interventions, more specifically about extracting

efficiencies and removing leakages. So that is where we are focusing on.
Equally, and I'm re-iterating, we have the benefit of a portfolio which has got a service product mix. We have t

he benefit of having products at ev ery single price point. So those are the inherent advantages. I think our approach as far as future pricing is concerned is going to be driven by the fact that, first, we stretch ourselves on how much efficiencies we can extract. That is what our key focus will be.

But we'll see how this plays along. I'll just remind ourselves that this is the first time in nearly 4 years that we've taken up pricing and our focus has been on reducing entry barriers in the category. So we're also very mindful that we don' t want to be in a situation where we make the category unattractive for a consumer.
And hence, that will be the othe r consideration. But we believe that the interventions and the mitigating actions that are there, I think right now keeps us at a place where we should be able to manage it. But we'll keep as it's an evolving situation, and we'll keeping a very, very close eye.
Moderator: Thank you. Our next question comes from the line of Umang Mehta with Kotak Securities. Please go ahead.
Umang Mehta: My first question was on your AMC business. So I just wanted to check in terms of active AMCs as of year-end, would that number have grown ve rsus last year? The reason I'm asking is, if I look at your other current liabilitie s, at least that number seems to be down. So I understand that multiyear mix has gone up and that's why the noncurrent portion has grown well. But just this other current seems to be a bit of an issue. So if you can just explain that would be helpful.
Gaurav Khandelwal: Yes. Thanks, Umang, for your question. So while we don't report the AMC base number for competitive reasons, I think you've already picked up, Umang, the numbers from the balance sheet. So I'll draw your attention to the liability balance that stands in aggregate in the balance sheet, and that's a very healthy 9% number that you would have noticed.
I think the current and non-current is a mix of th e multi-year mix that has played out. And that has been a very, very conscious choice to kind of lock in customers for a longer duration and also to elbow out the gray market operators. But in aggregate, we see our deferred income liability to have gone up quite a bit.
Umang Mehta: Okay. So, correct me if I'm wrong, but unless you've taken an ASP cut, I mean, if the volumes have increased, even the other current liability would increase, right? So either there has to be an ASP cut or volumes could have been flattish. Is that understanding wrong?
Gaurav Khandelwal: Just a slight modification needed there, Umang. So current, non-current is not a function of volume. Volume is just about how many AMCs you're selling. Current and non-current is more a function of the duration of your AMC. So, the more you sell longer-term AMCs, which we call as the multi-year AMCs, then it means that the proportion of non-current will be higher.
Now that could come from volume or that could come from ASP or mix, that's a separate thing, but there are 2 separate things. The big picture is that the proportion of our longer duration AMCs in our business have gone up. And hence, you see our non-current liabilities to have gone up quite a bit.
Umang Mehta: Sure. I'll take it offline. And the second question was on service charges. So you did mention about the reason for low-single-digit growth this quarter. If you can help share how sustainable are these gains? How do you look at service charges over the coming year? That would be helpful.

Gaurav Khandelwal: Umang, so from a service perspective, as we mentioned in the past, there are 2 dimensions to it. One part of it is the charge which comes because of bookings and the other is what we pay out for call charges. It could be complaint, it could be installation, it could be visitations, etc. So obviously,

from a going ahead view, what one should look at is that there will be an element which goes up in line with what is happening on the AMC booking side.
Equally, there are countervailing items at play, which is about continuously removing leakages in the system. So as you can imagine, there are ways and means in which people hack it. We've made a lot of progress in putting in digital controls and capabilities. So that is something that we hope will help us in enduring some of those bene fits. Some of that we've seen in Q4 already.

And those benefits we expect to continue going ahead as well.
Moderator: Thank you. Our next question is from the line of Siddhartha Bera with Nomura. Please go ahead.
Siddhartha Bera: Sir, first question is on the growth outlook. Y ou mentioned initiatives to step up growth. We did see a lot of new launches happening last year. So some color, I mean, how much are some of these categories like filters, softeners and other em erging categories contributing to this year's revenue?
And how much should we expect acceleration from many of these categories in the next few years? Just to understand, is it more near-term or it may take a few years to play out like you mentioned in the early part of the remark?
Pratik Pota: Sorry, that was a good question. So let me just talk about the first part of your question. I think as part of our strategy of growing from bein g a one category-led company to being a multi-category health and hygiene business with several growth vectors, we have invested behind creating many new businesses.
I'm happy to report and share that all of these categories have acquired, I think, very strong momentum and meaningful scale as well. Let me start by talking about robotics, which is the largest of them all right now. Robotics addresses a very specific problem statement in urban India of keeping the home clean in an environment where domestic health is not always assured.
Robotics portfolio has been growing strongly and consistently for the last 3 years, and indeed, it did so last quarter as well. Robotics now contribut es to more than 65-66% of the overall vacuum cleaner category. And you'll recall that the vacu um cleaner category wasn't growing earlier, and robotics has infused a new lease of life into this category.
There are key vectors driving growth for robotics, products and innovation, distribution expansion and just growing consumer awareness. And our strategy has been to double down on each one of them. We have built out a complete portfolio of products ranging from economy to super premium. We have increased distribution. We have now gone into retail as well, both organized trade and independent general trade.
And we've invested, as you know, in consumer awareness, including Shraddha Kapoor campaign of last year. This category is in, like I said, in strong momentum. And as we mentioned in the Investor Day, we expect it to reach more than INR1,000 crores for us by FY30. So that is not just a longer term. It is here and now, and it is one of the biggest engines of growth for us.

Similarly, air purifiers, where we began investing in the category meaningfully only this year, we have seen strong momentum build up. As you can imagine, quarter 4 was a lower revenue category for air compared to quarter 3, given the seasonality of the category, but we had a very strong growth nevertheless.
And going forward, we believe that given just th e quality of air across urban India, this category will grow. It will expand beyond North India, and it will expand and it will be used not just in winter, but through the year. So we have very strong plans of this category.
Softeners again, a very large market but highly fragmented. 90% of India has a hard water problem, and we are investing in growing this category. We've had strong growth for the last 3 years. We built out a complete

portfolio, including products which have IoT, and you will see this being a big engine of growth for us as well.
Filters that you talked about is, as I mentioned earlier on the call, it's a new vector of growth for us. And we began investing in it meaningfully only towards the end of last year towards quarter 3 and then quarter 4. And just given the very large installed base of AquaGuard users who are not in our AMC offer, and who actually replace filters and go to the open market to replace filters.
Addressing that TAM is going to be a big source of growth for us. And again, like I said earlier, this requires changing years, years and lots of embedded and entrenched behavior. It will require us to be patient, but we are in vesting in driving consumer awareness in unlocking all the barriers to this category to grow.
So, all of these vectors, all of these initiatives are making a difference here and now, and they are contributing to growth meaningfully even today as it did last quarter. And all of them have very low penetration. So, we see them all having a very long runway to grow over the next 3 to 5 years.
Siddhartha Bera: Understood. Sir, second question is on the price hike. I mean, you talked about 6-7%. So does that factor in the most of the cost pressure you have seen? Or do you need more? And is competition also taking similar pr ice hike? Or are we taking the lead here in taking these hikes?
Gaurav Khandelwal: Yes, Siddhartha, as I mentioned, our pricing actions, along with our interventions on our efficiency programs, etc., that in our view, kind of addresses to a very large extent, the cost inflation that is there. Having said that, this is an evolving situation, and we are constantly

keeping a very, very close eye on it and would intervene wherever required. So that's as far as pricing is concerned.
On the second part, yes, competition has also responded, and we've seen price hikes being done
by every player. The reality as it stands for ev eryone is that the inflationary environment is
indeed quite strong. And hence, not taking a price increase for anyone would not be viable, but
we've seen others take up prices as well.
Moderator: Thank you. Our next question is from the line of Mehul Desai with JM Financial. Please go
ahead.

Mehul Desai: My first question was on the water purifier segment. When you say this FY26, there was a low
double-digit or teens growth. How is split between volume and price mix in FY26 for water purifier segment?
Pratik Pota: Mehul, thank you for the question. As I mentioned earlier on the call, water purifiers as a
segment with its low penetration has over the last 3 years, had a CAGR of over 12%. Given the
growing category awareness and like I said, the lo w penetration, we expect this category growth
to indeed accelerate going forward.
The growth that has come in the last 3 years, including last year, came on the back of both
volume growth and also a mix leading to ASP increase. And going forward, again, given the fact
that the category has such low penetration, we expect volume growth to be also a meaningful
driver of water purifier growth in the future.
Mehul Desai: Got it. And given that you've taken a 6-7% price hike and at least your commentary suggests
that volume growth have not seen any material impa ct so far. Is this incremental price hike is
what is giving you confidence that there could be a step-up in revenue growth in FY27?
Pratik Pota: Mehul, let me clarify on 2 thin gs. First one is that, as I said, our price increase has gone in
relatively more recently into the market. And the ear ly indicators are that it's landed well. I think
like I said, we are watching it very, very carefully. And we're hoping that there is no material
impact of the pricing on volumes, especially given the fact that the entire category, all competitors have ra ised prices. So th
at's num

ber one.
Number two, to clarify again, our growth aspi ration for FY27 will be not be on the back of
pricing, but it will be on the back of driving volu me growth. It will be, as you're aware that we
are a multi-category business, increasingly so. And within each of these categories, we have an
assortment that spans economy to premium.
Therefore, we have multiple levers to drive growth, drive volume growth, drive ASP increase.
And therefore, all of these will be brought to bear to drive growth in FY27. The growth that you
see in FY27 will not be merely pricing led, just to be clear.
Moderator: Thank you. Our next question is from the line of Aastha Jain with Pkeday Advisors. Please go
ahead.
Aastha Jain: I wanted to ask you that Urban Company has shown a very high growth nearly of 100% in their
native business. So is there a possibility that we are losing market share? Or is it like informal
to formal shift is being appropriated by Urban Company?
Pratik Pota: Aastha, thank you for that question. I think, given the low levels of penetration of this category,
entry of new players, increasing innovation is good for the category. It stokes innovation, it stokes consumer interest, it helps
the category grow. The launch of new entrants, including the
one that you spoke about, has been good for the category. It has helped the category pick up and
grow, like I said, in a CAGR of more than 12% over the last 3 years.
That wasn't the case in the period preceding that. I'm happy to share with you also that given the
sheer strength of our brands, the innovation that we've rolled out and the aggression we brought

to bear in the market, all driven by our very cap able teams, we have not lost market share. If
anything, as we exited the year, we had market share tailwinds behind us. So, we have not lost market share. I think all of this
has helped the category grow.
Aastha Jain: Got it. Got it, sir. Sir, my question is that the sa les growth this year is very much lower than the
long-term guidance that we have given. Will th ere be acceleration this year to meet the long-
term guidance? And even same applies for EBITDA growth as well?
Pratik Pota: So, Aastha, our long-term guidance that we gave for FY30, we absolutely stand by that. The
goals both on top line and on EBITDA and profit ability are the goals that we are very much
going after. FY27, as we see today, short of any black swan events coming our way, we do see
an acceleration and a step-up in growth of what we delivered in FY26. And we will work towards
meeting our long-term object ives, clearly outlined in the Investor Day for FY30.

Aastha Jain: Sir, my last question would be, is it possible to disclose what has been growth in the service revenue as opposed to the service bookings? Are the 2 converting now?
Pratik Pota: No, we don't declare that.
Gaurav Khandelwal: Aastha, as I mentioned earlier, we will be disclosing the numbers in our annual report. I think, again, as a heads up, what you should expect is for our product business to continue its growth profile in teens, and you will see a step-up in our service revenue growth versus FY25. We'll share the specific numbers as part of the annual report.
Moderator: Ladies and gentlemen, we will now take our last question, which will be from the line of Trusha from Boring Asset Management Company. Please go ahead.
Trusha: Actually, I just want to understand going forward, what will be our strongest growth driver, like which category or like how are we looking at wate r purifiers remain the major category or how do we see this going forward?
Pratik Pota: Trusha, that's such an interesting question. Thank you for that. I think we are fortunate to have a portfolio that provides us a profusion of growth opportunities. Water purifiers, it's a category which has, like I said and like we all know, very low penetration, but it i

s a category equally of
universal relevance and need. We are seeing this category grow, and we are seeing this category accelerate in the future.
So that will obviously be -- it is an anchor categor y. It will remain a big engine of growth for us.
Additionally, in the last 2-3 year s, we've incubated and built severa l new growth engines. I spoke about them just a little while ba ck, engines like robo tics, a very small in fact, a nonexistent business 3 years back. It is going to be INR 1,000 crores portfolio for us in the next 3 to 4 years, and we are well on track for that.
Air purifiers, we live and breathe the problem every day and not just in Delhi, across large parts of urban India. That's the portfolio that we intend to build. And FY26 was a proof of concept, if you will, where we multiplied the revenue almost 3x. Yes, of a small base, but we have the conviction that this can be a very large and meaningful source of business and growth for us.

Softeners, I've spoken about, again, hard water problem is ubiquitous in India, and we intend to incubate and grow the softeners portfolio. The afterm arket business of filters, again, provides us an exciting growth and a profitable growth option. And therefore, all put together, in response to your question, may I say that in some ways, in some good ways, we're almost poised for choice.
Moderator: Thank you. I would now like to hand the conference over to the management for closing remarks. Over to you sir.
Pratik Pota: Thank you, everyone, for your time and for your questions on the call today. I hope we were able to answer them to your satisfaction. And if you have any follow-up questions or you need any clarifications, please do reach out to us and to the Investor Relations team, and we'll be happy to circle back and clarify. Thank you so much, and have a good day.
Moderator: Thank you. On behalf of Eureka Forbes, that co ncludes this conference. Thank you all for joining us. You may now disconnect your lines.
Note: This document has been edited to improve readability
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